

GAIL (India) Ltd. (GAIL)

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Call: Jul 2023

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"Gail India Limited
1QFY24 Earnings Conference Call"
July 31, 2023

MANAGEMENT : M R. RAKESH KUMAR JAIN – DIRECTOR FINANCE –
GAIL INDIA LIMITED

MODERATOR : M R. VIVEKANAND – AMBIT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to Gail India Limited 1QFY24 Earnings Conference Call hosted by Ambit Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal and operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vivekanand from Ambit Capital. Thank you, and over to you, sir.

Vivekanand: Thank you, Seema. Good evening, everyone. It is my pleasure to welcome all the participants and the management of Gail India Limited, led by Shri Rakesh Kumar Jain, Director Finance, along with other senior executives. On behalf of Ambit Capital, it's a pleasure for us to receive all of you this evening.

I would now like to request Shri Rakesh Kumar Jain to give you his initial comments and then we can move on to the Q&A. Over to you, Rakesh, sir.

Rakesh Jain: Thank you, Mr. Vivekanand from Ambit Capital. My colleague sitting with me here in our boardroom. My dear friends from investors and analyst community, a very good afternoon and warm welcome to Gail's earnings call for 1Q 2024. At the outset, I thank you all for attending this earnings call. I am pleased to share with you that Gail received great comments from CAG with respect to financial statements for financial year '22/'23 which is 14th year in a row. Further, our Gail, Vijaipur Unit received 18th cost excellence, first position in manufacturing sector, public medium category from the Institute of Cost Accountants of India. Also, by acquisition of JBF Petrochemicals Limited, it has successfully become wholly owned subsidiary with effect from 1st June 2023 and the name has been changed to M/s Gail Mangalore Petrochemicals Limited.

Gail has seen a very challenging business environment in previous quarters of financial year 2022-23 for reasons explained to you during various calls and communications. The stress seems to be easing and going forward we expect a favourable outlook and better business prospects.

Gail's results for quarter ended 30th June 2023 have been declared today and physical performance in gas marketing, gas transmission, petrochemicals and LHC segment has improved in 1QFY24 as compared to previous quarter.

Gross turnover for the quarter stood at INR32,138 crores. PBT stood at INR1889 crores, an increase of 220% over the previous quarter, PAT at INR1,412 crores, an increase of 134% over previous quarter.

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On a consolidated basis, Gail clocked a turnover of INR32,755 crores in 1QFY24 versus INR33,086 crores in previous year, down by 1%. PBT is up by 231 % to INR2,283 crores and PAT is up by 150% to INR1,793 crores.

The capex for 1QFY24 is approximately INR2,400 crores. and this on pipelines. To be specific INR967 crores on pipelines. Petrochemicals approximate INR530 crore, CGD approximately

INR69 crores, operational capex INR135 crore, equity contributions to JBF and others INR660 crores etc. The company has also embarked upon alternative energy like green hydrogen, renewable energy and biofuel projects which are of national importance and would provide a transition to sustainable future.

Now I would like to share the performance highlights of 1QFY24. Financial highlights, Gail's turnover stood at INR32,138 crores in 1QFY24, as against INR32,684 crores in 4QFY23.

There is marginal decrease of 2% due to natural gas pricing being settling down.

Profit before tax during the quarter increase to INR1,889 crores as of INR591 crores in 4QFY23, up by 220%. Mainly due to better performance by our gas marketing segment on account of increase in gas marketing spread, decrease in inventory loss, increased tariff

realization in gas transmission along with better performance of petrochemical and LHC segment. The PAT during the quarter increased to INR1,412 crores as against INR604 crores in 4QFY23, up by 134% mainly for the reasons explained above.

Now I come back to the physical performance for the current quarter versus previous quarter.

Physical numbers for our business segment during the quarter are as under. Gas marketing volume increased to 98.84 MMSCMD in current quarter as against 96.46 MMSCMD in previous quarter. The increase in volume is mainly due to increase in RLNG sales on account of relaxation in downstream cuts on resumption of SMTS supply and offset with the decrease in overseas volume. Natural gas transmission volume increased by 8.1 MMSCMD to 116.33 MMSCMD in current quarter as against 108.23 MMSCMD in previous quarter.

The capacity utilization is 56% during the 1QFY24. The increase in transmission volume is attributed to increase in RLNG sales on account of relaxation in downstream cut on resumption of SMTS supply.

Polymer production increased to 164 TMT as against 147 TMT in last quarter. The plant load was ramped up post resumption of supply by SMTS. Capacity utilization was 82% for the quarter. LHC production increased to 243 TMT as against 232 TMT in previous quarter. The capacity utilization was 69%.

LPG transmission stood at 1073 TMT as against 1079 TMT in previous quarter. On account of Jamnagar Loni LPG pipeline capacity augmentation by 750 TMT, Total LPG transmission capacity increased from 3,830 TMT to 4,580 TMT and capacity utilization was 94% during the quarter.

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Now, with respect to consolidated financials for Q1 as compared to Q4 financial year '23, the consolidated turnover in current quarter stood INR32,755 crores as against INR33,086 crores in Q4 financial year 2023, marginally down by 1%. The PBT in current quarter is INR2,283 crores as against INR689 crores in Q4 financial year 2023, up by 231%. The PAT is INR 1,792 crores versus INR634 crores in Q4 financial year '23, up by 183%.

Now, coming back to Gail CGD, Gail is having infrastructure of 154 CNG stations and approximately 270,000 DPNG connections. During the current quarter, one new CNG station and approximately 7,000 new DPNG connections were added. The physical volume is 0.3 MMSCMD during the quarter. In the next two years, Gail targets to add over 100 new CNG stations and 200,000 new DPNG connections.

Now coming back to our wholly owned subsidiary, Gail Gas Limited, during the current quarter, gross turnover stood at INR2,192 crores as against INR 2,522 crores in Q4 financial year 2023, a decrease of 13% and this is mainly on account of decrease in natural gas prices and bulk trading quantity.

PBT stood at INR102 crores as against INR90 crores in Q4 financial year '23, increase of 13%. PAT stood at INR76 crores as against INR67 crores in Q4 financial year '23, increase of 13%. The physical volume during the quarter remained flat at around 5.26 MMSCMD. During the current quarter, 1600 new DPNG connections were added. Gail Gas along with its JV subsidiaries has infrastructure of 870,000 DPNG connections and 456 CNG stations.

Another subsidiary company, Bengal Gas Limited as on 30th June 2023, Bengal Gas Company Limited is having 12 CNG stations, 213-kilometer pipeline and 8,000 domestic PNG connections (infrastructure made available). During the current quarter 2 new CNG station and 22-kilometre pipeline was added.

Now coming back to the project performance. Mumbai/Nagpur Jharguda pipeline, this pipeline is total length of 1,755 kilometre. Activities are moving in full swing and Mumbai-Nagpur section of 698 kilometres are expected to be completed by December '23.

Regarding Jagdishpur/Haldia, Bokaro-Dhamra pipeline, 2,550 kilo

metres out of total pipeline

length of 3,293 kilometres have been commissioned and the remaining part is expected to be progressively completed by June '24. Srikakulam to Angul main pipeline of length 423 kilometres is likely to be completed by December '23. PNGRB had authorized to Gail on 11 July '23 to lay the Gurdaspur/Jammu Natural Gas Pipeline, having length of 160 kilometres within 36 months.

Regarding Dhamra/Haldia pipeline, length of 253 kilometre, Odisha portion of the -- length around 150 kilometres expected to be completed by December '23. Barauni-Guwahati pipeline, 363-kilometre section out of 717 kilometre has been commissioned, the less portion is expected to be commissioned -- completed by October '23.

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Now let me give you some outlook about our various segment and this outlook is short to medium term. In respect of natural gas transmission, company has implemented integrated tariff with effect from 1/4/2023 post implementation of integrated tariff of INR58.61 per MMBtu.

The transmission revenue have seen an upside of approximately INR660 crores in Q1 financial year '24 and this increase is expected further increase with the volume ramp-up, which is expected to grow by 6% to 7% from existing level of 116 MMSCMD. Let me tell you, once again, currently, we are flowing around 116 MMSCMD volume and it is expected to grow by 6% to 7%.

Increase in transmission volume from 116 MMSCMD to 123 MMSCMD. We expect by the end of this financial year, we will be reaching transmission volume at the level of 123 MMSCMD. Further, during next 2 to 3 years, there will be increase in transmission volume by around 15 MMSCMD, that means we are expecting the transmission volume will be somewhere around 130 to 140 MMSCMD.

Further, the company has submitted a representation of a review of the moderation done by PNGRB in the tariff order as integrated tariff of INR68.55 was committed to the regulator, gas tariff of INR58.61 per MMBtu was approved. You may recall that Gail submitted tariff 68.55 regulator approved INR58.61 and the major reduction regulator has done on account of fuel cost which is INR5.76, and they consider the fuel cost at the rate of \$3.61 and that price does not exist.

So, there are some more parameters, but this is a significant parameter that I saw that bring to your notice and we expect that tariff will be increased and INR 5.76 was on the date of issue of order on an NPV basis, it will further increase.

Gas marketing for financial year '22-'23 has witnessed challenges in profitability of gas marketing segment and various mitigation efforts were put in place, despite all challenges Gail able to cloak gas marketing profit of INR3,000 crores during financial year '22/'23. Global gas market is settling down, as many of the negatives such as elevated spot price, shortfall, geopolitical situation is improving. This is visible from the volume ramp-up in domestic conjunction.

Let me remind you that during the analyst call we had in Mumbai at the end of the financial year in May 2023, we said that we expect to earn marketing margin of approximately INR3,500 crores and today, we maintain the same -- that at least we'll earn marketing margin of INR3,500 crores in financial year '23/'24 as informed earlier. And this is also evident and supported by the fact that during the current quarter, that is Q1, FY '24, we earn marketing margin of approximately INR1,000 crores.

Gail is planning to source long-term natural gas supplies approximate to the tune of 7 MMTPA to 8 MMTPA from sources in staggered manner by 2030 and do not intend to depend on one

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country for more than 1 to 2 MMTPA of volumes. This will help to protect from sudden shocks like steep hike in a spot prices SMTS -- disruptions like SMTS supply disruption we had.

Polymer

production stood at 164 TMT as against 147TMT in last quarter. The production has increased on account of plant being operated at higher load further during the year 23-24. It is expected that we may touch the nameplate capacity of around 8,10,000 metric ton. Liquid hydrocarbon production stood at 243 TMT in Q1 financial year 24 and during the year, production is estimated at a same previous level production also to protect the margin in LHC segment.

Gail is effectively involved in hedging of LHC prices LPG prices I beg pardon. That's all from my side regarding the overview of performance of various segments and project progress. The management of the company is available, and we'd like -- we'll be glad to clarify on any questions that you may have. Over to you, Mr. Vivekanand. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. We take the first question from the line of Mr. Amit Rustagi from UBS. Please go ahead.

Amit Rustagi: Yes, sir, thanks for this wonderful performance on the transmission and other segments. Sir, I have two questions. One is, can we assume in the transmission segment, that's the revenue we have earned on 116 MMSCMD volume, this kind of revenue run rate will be maintained even in the Q2 to Q4 and can we analyze this revenue, and it will -- it is adding towards INR10,000 crore plus on an annualized basis?

Rakesh Jain: Second question...

Amit Rustagi: And the second question is, can you give us a breakup of the transmission costs because in this quarter also, we have witnessed higher transmission costs. So, can you give us a breakup like how much was the fuel cost and how much was the normal expenses in this quarter on the transmission side?

Rakesh Jain: Okay. With respect to your first question, we expect that this transmission revenues not only to be maintained, but to further increase and your expectation of INR10,000 crores we are likely to achieve.

Amit Rustagi: Okay.

Rakesh Jain: And with respect to transportation costs there are -- as we said in our Annual Earnings Call that we were carrying costly gas, that is the US\$40 per MMBtu, which we purchased some time in last quarter -- last quarter of calendar year '23 in order to meet the immediate reduction in the allocation which we had. So, that is one impact, which we had during this quarter, and if you want the amount, we can also share that is one impact that we are having -- that is around

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INR172 crores, we have booked extra cost during this quarter, which is no more going to exist in coming quarters.

Second, we also made a provision of around INR60 crores on account of one arbitration case the company had. So, that is another one-off in this segment. So, around INR233 crores to be precise is one-offs or costly gas, which we don't see in coming quarters.

Amit Rustagi: Okay. Sir, can you give us like annual run rate because there has been a significant increase in revenues. However, there has been a significant increase in cost, even if I adjust this INR233 crores. So, for example, like I am assuming 1.5 MMSCMD gas consumption in the transmission segment at an annual -- at a cost of around USD12 per MMBtu. Will that be a correct estimate for the fuel and power cost or the compression costs in this segment?

Rakesh Jain: Yes, for the reduction in the allocation of APM gas, the INR12 or sub USD12 will be the cost, which we are likely to be booked to our fuel -- as a fuel to our compressor.

Amit Rustagi: Okay, sir got it. Sir, just one question more on the city gas distribution. So, are we looking to monetize any of our city-gas distribution assets because we are seeing a significant amount of profitability coming from MNGL even our Gail gas is doing well. So, what is the plan on outlook on monetization of any of the

entities in the city gas distribution?

Rakesh Jain: The one is our wholly owned subsidiary, certainly that call we can take, and we are evaluating. Another is a joint venture. So, two promoters have to sit together and take a call. Nevertheless, we are reviewing and considering the same for monetization. So, that evaluation part or the examination part is in hand.

Amit Rustagi: Okay, sir. Got it, sir. Got it. Sir thanks a lot for this. I'll come in the queue. Thank you, sir.

Rakesh Jain: Thank you.

Moderator: Thank you, sir. We take the next question from the line of Mr. Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: Thank you for the opportunity. Congratulations on the strong sort of numbers. I just had a couple of questions. One is, with respect to the trading segment, sir, do you now have any volumes available for overseas sales to take advantage of the arbitrage and basically it on the fact that now with the Gazprom new subsidiary, I presume all of the lost volumes are now actually flowing through into our company, all the 8.5 MMSCMD, 9 MMSCMD. So, are there any volumes available for hedging or opportunistic sales outside the country?

Rakesh Jain: Whatever volume we have from overseas, we have intent to bring all the volumes to India. So, therefore, in terms of the availability of volume, certainly, we don't envisage any trading of volumes in the international market, except to what we have done in past for the current year and next year. And -- but this -- when I'm making this statement, this does not mean that we will not do it, but in case some arbitrage is available. We find that we can take the advantage

of the situation, certainly, U.S. volume being flexible volume. We'll continue to do that. But in terms of requirement, there is no extra additional or we have any surplus volume available, which we think that we will not bring to India. We intend to bring 100% volume to India.

Probal Sen: So, no such sales actually happened in Q1, sir, is my understanding correct?

Rakesh Jain: We have not done any trading specifically. As I said, whatever contracts we did in past in terms of swaps and all those are continuing, and we have not done any specific cargo trading in Q1.

Probal Sen: Right. One housekeeping question, sir. Can we -- you spoke about the capex that has been done in 1Q of around INR2400 crores. I just wanted to get a sense of what FY '24 capex guidance is for the overall year?

Rakesh Jain: We intend to expand around INR9,000 crores to INR10,000 crores as a capex during current financial year.

Probal Sen: Sir, would it be possible to break it down on segments. Is there any change from the presentation what was made?

Rakesh Jain: I'm coming to the specific figures. We intend to invest around INR5,000 crores on pipelines, INR1,400 crores in petrochemicals and operational capex in the same range then equity around INR1,000 crores and E&P around INR300 crores and city-gas distribution around INR200 crores. This is around INR9,100 crores we are estimating as of now.

Probal Sen: Understood.

Rakesh Jain: Let me correct you. There is a -- let me give a revised figures. Let me come back again. So, what I said about pipeline around INR4,000 crores and petrochemical around INR3,000 crores.

In anecdotal I told you the figure of 22-23. So, pipeline INR 4,000 crores, petrochemical around INR3,000 or to be specific INR3,200 crores, and we also intend to incur operational capex INR700 crores and then CGD INR200 crores, and then the equity contribution -- substantial equity contribution is there during this year around INR3,500 crores. As you know that we have acquired JBF-Petrochemicals already, we have paid INR2,100 crores as equity contributions. So, this is what we plan for the 23-24.

Probal Sen: All right sir. I'll come back if I

have more questions. Thank you so much for your time.

Rakesh Jain: Thank you.

Moderator: Thank you sir. We take the next question from the line of Mr. Abhishek Megam from B&K Securities. Please go ahead, sir.

Abhishek Megam: Yes. Thank you so much for the opportunity. So, first question is on the petrochemical loss. So, my understanding is, I mean, if I look at your volumes, you are now operating almost close

to 80% or so utilization. The loss has reduced on a Q-on-Q basis, but it still remains. So, if you could just give us some clarity on what is happening there? So that's my first question.

Rakesh Jain: Unfortunately, the petrochemical prices in international market has come down significantly. Even if you compare with the Q4 last year, it has come down by INR8,000, and if you compare with the whole year, it has further come down. That's what is hurting us though still we are able to reduce the loss. We are not only able to recover variable costs, but also to some extent, the fixed cost part of it.

And as we produce both because Q1, we did not produce to be capacity, we will further able to recover our fixed cost. And second, the -- this is the history. But future, what we expect that this is -- there has been a significant drop in the LNG prices. We are capable of sourcing the better gas at a better price. So, therefore, the -- this significant improvement as we close the year, but it is actually difficult to give me a precise figure will be better off than Q1 '24.

Abhishek Nigam: Fair enough. So that's very helpful. And the second question from me is on the tariff revision. So, as you mentioned that in Gail we allowed a lower tariff, and they took into consideration lower fuel costs, and we were trying to tell them to come up with a more realistic tariff number. Sir, is it possible for you to sort of give us a sense of the timing when this further revision could come through? I know this is tough because it's really the PNGRB, but any clarity would be very helpful?

Rakesh Jain: Actually, the moment the tariff order was issued within the timeline, we've made our submissions to PNGRB. They heard us once and then now put the date for hearing us again in November. Of course, they have given a very delayed date. So, we have action in hand, we'll go to them and expedite that date to be earlier date because the sooner they do, it will be helpful

from the customer's point of view because you know the tariff is calculated on DCF basis, the delay will mean Gail will get its share, but customer will get loaded because of the net present value of the money.

So, we are concerned also from a customer point of view. We will get the money maybe by November. But if not by November, certainly, we should get by the end of this financial year. But as you already said, it's difficult because if the regulator's job when they take up it, our job is only to expedite and which we are doing.

Abhishek Nigam: Sure. Sir, that's very helpful. Thank you so much. That's it from me for now.

Moderator: Thank you, sir. We take the next question from the line of Maulik Patel from Equirus Securities. Please go ahead, sir,

Maulik Patel: Thanks for the opportunity. Sir a couple of questions. One is on the volume side. This 116 MMSCMD volume has been one of the highest. Can you just give some kind of guidance or the colors and where we can see this volume because there is a couple of auctions happened in the domestic side, particularly MGL, where the volume is still ramping up, and what do you

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expect this by the end of this financial year, the volume can be for the classified segment?

That's the question number one, sir.

Rakesh Jain: So, as I said in my opening remarks, currently, we are transmitting 116, and by the end of the year, I said

and your question is, we will expect to reach by 123 MMSCMD.

Maulik Patel: This growth is coming from this segment?

Rakesh Jain: Yes. So, growth will come because, as you know, that we were not running Pata plant to its full capacity, we expect 1.5 MMSCMD to come from there, and when I said 116, it does not include the volumes. So, HURL Barauni and Sindri, which they were in shutdown for past 1 week. So, they take 4 MMSCMD. RCF Thal was drawing almost 1 MMSCMD less and restoration of Dadri-Panipat pipeline. As you must have gone through the papers, news that there is a disruption in supply through Dadri-Panipat line. So, almost 4 million volume has gone there and increase in offtake by CGD.

As you know, that CGD is ever-growing business -- so these are the areas we expect the volume will come, but there will be one negative. Currently, NTPC is taking almost 5 MMSCMD of volume because of the seasonal demand of power. So, that will go down. If you net of all these things, we will reach more than 123.

Maulik Patel: Got it, sir. Got it. Second question is on Dabhol. The breakwater facilities were supposed to be completed. So, do we expect it to be completed by this year and the next year, you may not require to use Dahej or Dabhol will be available throughout the monsoon?

Rakesh Jain: Yes. That's what we are expecting this weather should be the last weather where we are not having breakwater not able to run at full capacity. And from next year onwards, after this monsoon, we'll be able to run at full capacity.

Maulik Patel: Approximately how many cargos you shift from monsoon from Dabhol to Dahej?

Rakesh Jain: Can you tell?

Management: On an average 4 cargos per month.

Maulik Patel: That will be the most around 12 cargos to 16 cargos in that monsoon period?

Management: During this monsoon period.

Maulik Patel: Okay. Thank you. Thank you very much and wish you all the best.

Moderator: Thank you sir. We take the next question from the line of Sabri Hazarika from Emkay Global.

Please go ahead.

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Sabri Hazarika: I have -- I mean, I have two questions. The first one is in your petrochemical, I think, again, the gas cost or the fixed or the fixed costs, something, I mean, that is the run rate is quite high.

So, was there this costly cargo being like put in petrochemical also or is it just the normal line of business? What could be the average LNG price for the petchem segment in Q1?

Rakesh Jain: Average LNG price, which we have consumed...

Sabri Hazarika: Yes.

Rakesh Jain: Yes. So, we have used LNG or gas at an average price of USD13 per MMBtu.

Sabri Hazarika: Okay. So that is for the pet-chem?

Rakesh Jain: Yes.

Sabri Hazarika: Okay, and you expect this to go down going ahead?

Rakesh Jain: Certainly, market has gone down, why we will be putting higher cost gas to petrochemical...

Sabri Hazarika: Right, sir, and sir, second question is a conceptual question regarding the hydrogen blending that you are doing. So, this blending of hydrogen that happens in CGD network. So, this is again expected somewhere, or it is consumed in the PNG connections directly?

Rakesh Jain: First, we are injecting this hydrogen, the gray hydrogen, not the green hydrogen. So, our one of the CGD's pipeline Aavantika Gas Indore. We experimented by 2% reduction by volume and increased it to 5%, and it is in PNG, which is largely being used.

Sabri Hazarika: Right. But it is burned as fuel only. It's nothing like not a transportation as such of hydrogen?

Rakesh Jain: No. Actually, there is a challenge to use hydrogen beyond a certain point in CNG.

Sabri Hazarika: Okay sir. Got it. Thank you so much.

Moderator: Thank you. The next question is from the line of Mr. Sanat Kumar Value Research. Please go ahead.

Sanat Kumar: Can you hear me?

Moderator: Yes, sir please go ahead with your question.

Sanat Kumar: Thank you for providing this opportunity. I have two small questions. One is currently Gail is getting revenue from 5 of their blocks. What is your projection of adding...

Rakesh Jain: Actually, I am not able to hear you. Can you come loudly?

Sanat Kumar: Just a minute. Can you hear me now?

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Rakesh Jain: Yes, very well.

Sanat Kumar: Okay. So, I have two small questions. Thank you for providing me the opportunity. Question number one is related to your exploration and production business. So, currently, you are getting revenue from 5 blocks. So, what is the projection for an addition of revenues from E&P going forward? That's one question. The other question is related to the cost escalation in your petrochemical project, which is somewhere around approximately increase of INR4,000 crores. So, what is the reason for such an escalation. So, these are my two questions?

Rakesh Jain: Yes. First question, the E&P revenues, we expect largely to remain in the same range, which we are today.

Sanat Kumar: Okay. So, you're not expecting any additional blocks coming on line for production and sales?

Rakesh Jain: No. And with respect to cost escalation, the -- most of the orders for the PDH-PP, process during the Ukraine war, and there -- at that point of time, there was a lot of hike in steel prices, in particular, that is one reason, and second reason is after selection of license, we did detailed engineering. And then detailed engineering suggested some more items or some more quantity which we are required to procure, and these are the major reasons, which actually resulted into estimated increase in capex, that's all.

Sanat Kumar: Okay. So, there is an additional cost, which will be incurred on some external equipment that is coming because of the detailed feasibility report?

Rakesh Jain: There are some.

Sanat Kumar: Okay. Thank you so much.

Moderator: The next question is from the line of Mr. Yogesh Patil from Do lat Capital. Please go ahead.

Yogesh Patil: Thanks for taking my question... Sir, you say USD13 per MMBtu was the gas cost for the petrochemical unit, and you also mentioned that the gas cost will come down. Then at what gas cost do you expect the petrochemical you need to come back to the EBITDA level profit? And what is the current utilization rates of petrochemical unit in the July month? And have you planned any maintenance shutdown for the better position going forward?

Rakesh Jain: So, your first question at what level we will be at EBIT level in profit. Can you give me the price, which price will be prevailing throughout the year because it all depends on the price of polymer. So, at current prices, if you ask me specific around USD10 plus is the breakeven price for petrochemical. And below that, we will be having profit and second, the July onward, certainly, we are -- we have ramped up our plant, and we will be at normal capacity.

Yogesh Patil: Okay. No maintenance shutdown plans for the next few months?

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Rakesh Jain: No, we don't envisage any because we had a lot of opportunity when we were not using our plants. So, we could carry out all those maintenance during that...

Yogesh Patil: Okay. My second question is, sir, the commissioning of the Dhamra LNG terminal. So, is that the correct understanding your gas requirement for the compressor of the transmission pipeline has come down because Dhamra LNG terminal has commissioned?

Rakesh Jain: Actually, our gas -- the gas compression requirement remains almost in the same range. There

was a time we consume a little bit more, but it is not going to go down. It will remain in the same range.

Yogesh Patil: And what is the current share of APM gas in that total gas requirement for the compressor?

Rakesh Jain

n: Currently allocation is 0.4.

Yogesh Patil: Okay. So, it has come down from 0.6% to 0.4%. And do you expect that will continue 0.4 amicably?

Rakesh Jain: It will further go down.

Yogesh Patil: Thanks sir for that clarification.

Moderator: Thank you, sir. The next question is from the line of Mr. Raj Gandhi from SBI Mutual Fund. Please go ahead, sir.

Raj Gandhi: Hi thanks a lot for the opportunity. Sir here, there was a fair bit of difference between your integrated tariff and the unified tariff, which came up and the review some 10%, 12% differential there. So, how should we read through on this differential?

Rakesh Jain: Their differential was on quarter one of this financial year and which we have also disclosed in our accounts. Now PNGRB has revised the unified tariff upward. So, that differential is we have started recovering. And by the end of this financial year, there should not be any outstanding. If I understood your question correctly, this is the answer.

Raj Gandhi: But the integrated tariff, which PNGRB passed the order, then subsequently that unified tariff came in 12% higher and then it's been further revised upwards. So, I'm just wondering on the bridge between the integrated tariffs and the unified tariffs because that zonal volume distribution is fairly different. So, the aggregate average tariff, the unified tariff comes much higher than the integrated tariff, and ideally, it is supposed to be similar to integrated tariff, right? I presume, so I'm just trying to understand the bridge between the two?

Rakesh Jain: Ideally, what we are telling maybe ideal only because regulation provides for distribution of revenue entitlement into zonal with based on formula and risk factor change in volumes remains with the transporter -- sometimes that may be helpful to or allow to recover a bit higher for some time, it may be same or sometimes it may be near to get a little lower. So, ideally, yes,

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but ideally, volume does not flow in the same way the zonal distribution is done because that is done on estimation basis.

Raj Gandhi: Sure, sure, sure. And is there a true of the same, whether you over recover, under recover on discounts, is there...

Rakesh Jain: Like I said that risk of zonal distribution remains with the transporter.

Raj Gandhi: Okay. Sure, sure. Thanks a lot.

Moderator: Thank you, sir. The next question is from the line of Mr. Aditya Suresh from Macquarie Group. Please go ahead.

Aditya Suresh: First on your capex plan. Now in terms of the petrochemical business as loss making over the past several quarters now, what sort of return on capital employed targets are you looking at, while you're allocating a very large part of your capex towards petrochemicals. I guess the concern really is that you're spending so much on speciality chemicals, but this is going to further dilute your group strength. So, maybe some thoughts on that first?

Rakesh Jain: New plant, new investment, we are doing petrochemical probably whatever we have incurred. I think that should not be -- we are not in a position to discuss that, but whatever new capex we are incurring on PDH-PP, we are having -- we are meeting our hurdle rate and even beyond that. So, we are hopeful that we'll be able to earn that.

Aditya Suresh: Any specific targets you can share, sir, like in terms of any specific return targets or under what margin assumptions you may be able to meet those numbers?

Rakesh Jain: I think it's specific let us not discuss, but we can -- I can at the moment say that we are able to meet our hurdle rate based on our analysis, even with the revised cost.

Aditya Suresh: And then the second question was on gas transmission. So, there are clearly quite a few moving parts here on your tariffs and your opex I was wondering if you can give any guidance on EBITDA per SCM. Is that

possible at all for you?

Rakesh Jain: Maybe he is asking EBITDA per not be revenue per SCM. We will come back actually. This data will certainly be able to give you, but let me give one statement. You should be encouraged by the performance of this transmission segment, and this segment is going to give a significant part of revenue and profit going forward, right from now.

Aditya Suresh: Thank you sir.

Moderator: The next question is from the line of Somaiah V from Avendus S park. Please go ahead.

Vishnu: Sir, if I heard you right, sir, you mentioned 135 MMSCMD to 140 MMSCMD in the next few

real demand that is coming from certain sectors. If you could just help us understand, where do you see this growth coming from?

Rakesh Jain: So, let us start from under 116, which we are transmitting today. I said that by the end of this year, we'll reach 123 and also, I provided a breakup, but for the benefit of everybody, let me reiterate once again. Currently, we are consuming almost 1.5 MMSCMD less at our petrochemical plants. So, once we are on full stream, which we are today, we'll increase 1.5 MMSCMD. Currently, HURL Barauni and Sindri which takes 4 MMSCMD volume not going that will be added, RCF Thal 1 MMSCMD, restoration of Dadri-Panipat pipeline, the incident which happened very recently, will be added to this 116 MMSCMD and CGD, as you know, our ever-growing business, at least 1 MMSCMD will come from the re.

There will be 1 minus NTPC because of seasonal demand currently drawing say 5 MMSCMD will come down. So, this will make more than 123 and what do we expect in coming 2 years to 3 years, at least 3 MMSCMD to 4 MMSCMD will come from CGD business again because CGD will have continuous increase of demand. IGGL 2 MMSCMD will come, of course, it will come progressively maybe by 2035, but it will start from 25-26. Refinery NRL, which will take around 2 MMSCMD will start from 1 will reach to 2, and then major chunk will come from IOCL refineries Paradip 3.8, Haldia 1.2, Barauni 1.5, Guwahati say 0.5 million and Bongaigaon by 0.7. So, these are the areas which will provide us another at least 15 MMSCMD volumes and will take us through 138 to 140.

Vishnu: So, this you've seen by FY -- calendar year 25, we'll get there or...

Rakesh Jain: So, I told you 23-24, we will be ending up by 123 and in another 1 years to 2 years from there, we'll reach 140.

Vishnu: Understood, sir. Sir, on the gas transmission business, if you could just give us the volume that you're currently utilizing, I mean, in terms of gas utilization which is using for the transmission, is it 1.27, 1.3, what is the number now?

Rakesh Jain: If you ask me, the average consumption in fuel is around 1.35% to 1.4%.

Vishnu: 1.35 to 1.4, of which 0.4 is domestic, rest is price at USD14 this quarter?

Rakesh Jain: Not 14, the domestic basically around USD12 because we have -- we can source from domestic sources as well as the ability to have around LNG around that price.

Vishnu: Okay. Got it. Thank you.

Moderator: Thank you. The next question is from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead, sir.

Kirtan Mehta: Thank you, sir, for giving this opportunity. On the -- we are envisaging 135 MMSCMD to 140 MMSCMD volume in the next 2 years to 3 years. So, what would be the pipeline utilization at

that point? We are currently at 56%, how would the pipeline utilization change in anticipation of the new pipeline, which are coming through? And second related question was in terms of what is the current ROC that we can earn based on the tariff formula at 56% utilization and how would that change in next 2 years to 3 years' time frame?

me?

Rakesh Jain: I think let us not be specific, you can work out what ROC we are earning because capital employed and all the profitability level. But with respect to your question on capacity utilization, actually from here on, we will have two more pipelines, which will be commissioned, one in Mumbai-Nagpur and another is Srikakulam-Angul which will add to our capacity of 20 MMSCMD. And I am telling that we will be reaching around 140. So, on estimated basis will be around 60% capacity utilization.

Kirtan Mehta: Thank you sir. One more question was about the Bangalore-Kochi pipeline. Could you give us the latest update in terms of the last mile that is remaining to be completed when is now it's targeted to be completed?

Rakesh Jain: Target date, do you have target date. We actually -- let me find out the target date I think it is next year of November -- October or November next year, but I will give you the exact timeline, which we have given to ourselves, and the work is in progress. We actually -- the issue was RoU. We are aligning some of the portion of that pipeline along the roads and some through fields. So, we are using the hybrid approach to come over the situation of RoU. Exact timeline I will give, but certainly before the end of next calendar year, maybe around October, November I will find out, and you can check offline.

Kirtan Mehta: Thank you, sir.

Moderator: Thank you, sir. We take the next question from the line of Mr. Vikas Jain from CLSA. Please go ahead, sir.

Vikas Jain: Hi, Rakesh ji. Thanks for taking my question. So, I specifically wanted to drill a little bit deeper on cost or gas costs within the gas transmission business. If you can -- there's something which I just wanted to understand a bit better, if you could explain, last year, the average pricing of gas because it is not changed by the quarter allocation was taken away, etcetera. So, the average dollar per MMBtu price that we paid for the gas consumed within the gas transmission business, and for the 1.4 MMSCMD.

You said that there is about 0.4, which we are still getting from domestic, obviously, there is a risk that, that will also be taken away in the coming quarters. The remaining one, how much flexibility do we have to shift between spot, long term as well as the domestic HPHT gas. So, those are the two parts of the question. One is the average cost of the gas that we consumed through the year last fiscal and what did we do for this particular quarter to get an understanding of how much change would be on a Y-o-Y basis for FY'23 versus FY'24?

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Rakesh Jain: Vikas, thank you so much. But first -- answer to first question, let me try to give you, if possible, right now or as we go offline, but yes. Satish has just worked out. No, no, last year.

Last year, not Q1. Last year worked out...

Vikas Jain: Definitely we will have it?

Rakesh Jain: We will give you just hold on. We'll give you offline. But regarding our second question ability to have the switch over from the LNG to domestic -- but if you know the tariff order, you have seen the tariff order. Tariff order provides that the ceiling prices HPHT will try to source the gas from -- mostly from domestic source to meet the requirement of fueling compression. That's what is our challenge and target and which we are continuously trying to do, and I will give you answer to your first question maybe today or maybe offline, right now or offline.

Vikas Jain: Okay. And you said that -- did you mentioned that for this particular quarter, the blended cost for that 1.4 MMSCMD or so that you are using, how much sir is that for this particular quarter?

Rakesh Jain: This I can give you. This quarter I think we have used more than USD16 USD16.6 around.

Vikas Jain: Yes, because my kind of possible guess is that your blended average cost for last year would

not be so much lower -- so much higher as the one or two quarters of high gas for part of the volume kind of suggest because there was still allocation for domestic gas for the large part of the year, okay? So that is why versus 16, if we look at the current run rate versus the full average of last year, it would not be very different, that is what my guess is, but of course I have to wait and understand that clearly?

Rakesh Jain: We'll work out and actually compare your guess may be correct. So, this year, the cost quarter is only 16.6%, but a large part of this quarter, April and why we used the carryover gas from last year. But it will go significantly down from Q2 onwards, but it certainly will not be less than USD12, USD13 average basis.

Vikas Jain: Okay. Okay. So basically, whatever is the gas cost part of that within the overall opex that might fall from 16.16 to 17 or so, which is about a 20% fall just on the gas cost, right? The other parts would be largely stable unless and until your 0.4 MMSCMD allocation is also taken away when gas costs will again possibly go up?

Rakesh Jain: That is likely to go away.

Vikas Jain: So, that is actually one concern within the overall opex part in the overall profitability?

Rakesh Jain: Vikas the average will not go up because even 0.4 the price, we don't expect to go above 12. Rather, it will bring down on an average basis below 16 because HPHT price is going to go down, so it will go down, not go up.

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Vikas Jain: Yes. So, for this quarter, I understand, but whatever will be the 2Q number on that base it will obviously go up, right because this quarter, there is that USD40 gas the legacy of last year which you are suffering from, but on an overall basis, the gas cost will definitely go up by 2Q levels.

Rakesh Jain: Last year maybe because I don't have data. But from Q1 24, it will go down because it cannot be 16 on an average basis.

Vikas Jain: Sure, that's obvious and sir on Petchem this in the current...

Rakesh Jain: Vikas hold on you were asking about last year. So, on a ballpark basis, we last year had average of 12-plus.

Vikas Jain: Okay. So, the last year, full year average is about USD12 to USD13. So, from that perspective the overall segment opex for this particular year because of a very bloated up 1Q would actually -- could end up being flat to slightly higher versus last year, right?

Rakesh Jain: Maybe. But, last year, significant 1 cargo at USD40 is a significant, weighted average was -- but this year, either 12 or less than 12 remaining quarters. So, it should -- the average should be around 12 to 13 meaning same as last year.

Vikas Jain: Yes. So flattish versus last year. So, there's not likely to be any opex savings versus last year in terms of the gas transmission segment opex rise?

Rakesh Jain: Yes. If price remains around 12 to 13 and last year it was 12-plus. So, certainly, what you are telling is correct.

Vikas Jain: And if that 0.4 MMSCMD goes away, then it would actually be higher than 13.

Rakesh Jain: No, no, it will not be enough because that will sort at 12 or less than 12 average will not go up because the gas price will be 12 only...

Vikas Jain: But sir in that case your current averages should be lower than 12 because there is 0.4 of 1.4, which is a good 30% coming at 6.5 and the remaining 70% you are saying is 12, 13 right. So, the blended should be...

Rakesh Jain: Maybe Vikas we will give you detail, but actually that last year carryover gas has increased the price significantly, but we'll share...

Vikas Jain: I'm not talking about 1Q. I'm saying in 2Q onwards when you do not have that carryover problem the 1 MMSCMD out of 1.4 is obviously is about USD12 or lower, right and the 0.4 is at 6.5, so the average cannot be higher than 12, it has to be lower?

Rakesh Jain: It will be just -- it will lower than 12 until

the full gas allocation is taken out.

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Vikas Jain: Okay. Okay, sir. And petchems as license plan right now, both for polymers and for the LNG that you're using, would all of that be giving you some kind of hope of breakeven in Q2 or we are close touch and go or even 2Q is difficult or EBIT level...

Rakesh Jain: Vikas, you are talking on a full-year basis or Q2.

Vikas Jain: No, see full-year prices prediction will be very difficult. But obviously, as current thing from an excel sheet perspective, we have to build and extrapolate the current situation are we near EBIT or EBITDA breakeven in petchem if this situation continues?

Rakesh Jain: In Q2, unless prices goes up, we don't expect to be breakeven. We may near to be breakeven, but unlikely to assume breakeven actually a difference of USD2 to USD3. So, we will be near to breakeven, but I cannot give you confirmation that will be breakeven.

Vikas Jain: So full year petchem profitability unless prices move significantly favorably is unlikely to be in the green?

Rakesh Jain: Or input price goes down...

Vikas Jain: Whichever prices move favorably either input or output?

Rakesh Jain: Yes. So, we -- actually, what happened in Q1, we didn't produce also because we were having inventory. So, now that issue is not there. We are producing so some contribution towards fixed cost now is positive because we are producing at full level. So, that issue is not there, remaining year also we are likely to produce at full level and the prices have softened. So, the Q1, we used the higher price gas, we'll use the lower-priced gas, at least these are the certainties, and therefore, we will be better off than Q1 and Q2, Q3 onwards, we see more margins to our fixed costs or maybe towards profit, but as you also said, it is difficult because unless we know the price certainty.

Vikas Jain: Thank you so much Rakesh ji. Thanks for answering my questions.

Rakesh Jain: Thank you.

Moderator: Thank you, sir. We take the last question from the line of Maulik Patel from Equirus Securities. Please go ahead.

Maulik Patel: Sir, for the LPG segment, are we getting the full domestic gas and what kind of a gas consumption can be there for the LPG currently?

Rakesh Jain: For LPG, we are getting full domestic gas and the allocation is around 1.75.

Maulik Patel: 1.75 and we are getting this full number, right?

Rakesh Jain: Yes.

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Maulik Patel: And sir, in the petchem, you mentioned that currently at a price of around USD10 per MMBtu of spot LNG, you may be breakeven, right, for the petchem?

Rakesh Jain: I have not told that USD10 was LNG, I'm telling USD10 to USD11 maybe deliver. So, LNG have to be lower than 10.

Maulik Patel: Yes. So USD10 to USD11 lower gas, you can be breakeven in the petchem side. Thank you.

Moderator: Thank you sir. I now hand the conference over to the management for closing comments.

Rakesh Jain: Thank you. Dear investors and a lot of questions. We received hopefully we were able to answer most of the questions. I know one questions or two questions we could not answer, and we'll be giving those answers offline. And thank you again for taking interest in Gail. Thank you very much.

Moderator: Thank you, sir. On behalf of Ambit Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"GAIL India Limited
Q2 FY2024 Earnings Conference Call"

October 31, 2023

ANALYST: M R. HARSHAVARDHAN DOLE – IIFL SECURITIES
LIMITED

MANAGEMENT : SHRI RAKESH KUMAR JAIN - DIRECTOR FINANCE -
GAIL INDIA LIMITED
GAIL India Limited
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Page 2 of 17 Moderator: Ladies and gentlemen, good day and welcome to the GAIL India Limited Q2 FY2024 earnings conference call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Harshavardhan Dole from IIFL Securities Limited.

Harshavardhan Dole : Greetings everyone. On behalf of IIFL Securities I welcome you all for GAIL 2Q FY2024 earnings call to discuss the results in detail and share the performance outlook. Today we have the management team of GAIL led by Shri Rakesh Kumar Jain, Director Finance and other senior executives. I request Director Finance GAIL to make opening remark subsequent to which the floor will be opened for Q&A. Over to you Sir?

R. K. Jain : Thank you Mr. Harsha from IIFL Securities. My colleague's, dear friends from investors and analyst community a very good afternoon to all of you and welcome to this earning call for Q2 FY2024. At the outset, I thank you all for attending this earning call. I would briefly touch upon the major highlights for this quarter and then we can have an open session for your questions.

GAIL results for quarter ended 30th September 2023 have been declared today. Gross turnover for the quarter stood at Rs.31728 Crores. Profit before tax stood at Rs.3130 Crores and there is an increase of 66% over this previous quarter and if you talk of profit after tax, profit after tax stood at Rs.2405 Crores and here also an increase of 70% over previous quarter. If we talk on consolidated basis, GAIL clocked a turnover of Rs.32952 Crores in Q2 FY2024 as against Rs.32755 Crores in previous quarter hence a marginal lap up by 1%. Profit before tax is up by 37% to Rs.3138 Crores as against 2283 Crores and profit after tax is up by 36% to Rs.2444 Crores as against 1792 Crores. The capital expenditure for Q2 FY2024 is Rs.2462 Crores and this capital expenditure is mainly on pipelines, petrochemical, city gas distribution project, operational capex, Others, and equity contribution. Now I would like to share performance highlights of Q2 FY2024. GAIL gross turnover stood at Rs.31728 Crores in Q2 FY2024 as against Rs.32138 Crores in Q1 FY2024, there is a marginal increase 1% and basically there is a mix of issues. There is a decrease in gas volume and decrease in natural gas price and LPG price these are the reason for a minor decrease. The profit before tax during the quarter increased to Rs.3130 Crores

as against Rs.1899 Crores in Q1. As I told you there is an upside of 66% and this upside is mainly on account of better gas trading margins, increasing natural gas transmission volume, decrease in fuel cost and natural gas compression. If you remember last quarter we
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Page 3 of 17 said there is a one off because we were caring the inventory of last year, the higher cost purchase inventory which we booked in Q1 as well.

For that there is a dividend income in this quarter Rs.270 Crores. Normally we do not receive dividend in Q1 and it starts coming from Q2. The profit after tax during the quarter increased to 2405 Crores as 1412 Crores and here also increase of 70%. Physical performance for the current quarter as against previous quarter, total gas marketing volume was 96.96 MMSCMD almost 97 MMSCMD in Q2 as against 98.84 MMSCMD in Q1
FY

2024. As decrease in volume, almost 2 million volume has gone down due to decrease in overseas volume now what is happening there is a increase demand in domestic market so the international trade which we used to do has gone down by almost 5 MMSCMD and there is increase in demand in domestic market so that was around 3 MMSCMD so there is a net of impact of 2 MMSCMD but good sign is that there is a demand increase in domestic market. Natural gas transmission volume increased by 4 MMSCMD to 120.31 MMSCMD in Q2 as against 116.33 MMSCMD in Q1. If you talk of average pipeline capacity utilization, the pipeline capacity utilization was 58% in the Q2 FY2024 and the reason are same, there is increase in demand in domestic market therefore pipeline utilization has also gone up. Polymer production is almost flat 160 TMT in Q2 as against 164 TMT in Q1 and our capacity utilization was approximate 79%. Liquid hydrocarbon production was also almost flat 238 TMT as against 243 TMT in previous quarter and capacity utilization was 67%. LPG transmission was 1114 TMT as against 1073 TMT in previous quarter and here capacity utilization was 97%. Now consolidated financial number, the consolidated turnover in current quarter stood at Rs.32952 Crores versus Rs.32755 Crores in Q1. Profit before tax in current quarter is 3138 Crores as against 2283 Crores in Q1. PAT is Rs.2444 Crores versus 1792 Crores in Q1.

Now I will share GAIL CGD performance. As you know that GAIL is having six geographical areas directly with GAIL so in these six geographical areas we have infrastructure of 157 CNG stations 274,000 domestic PNG connections. During the current quarter, three new CNG stations and 5500 number of new DPNG connections were added. Physical volume was 0.3 MMSCMD and in terms of our future plan for CGD we target to add in GAIL, I am repeating in GAIL six geographical area 100 new CNG stations and almost 2 lakh new DPNG connection I will also take you through the GAIL gas performance. Gross turnover stood at Rs.2745 Crores as against 2192 Crores in Q1 FY2024 increase of 25% mainly on account of increase in bulk trading quantity by 47% and CNG quantity by 7%. PBT has gone down. I will explain the reason. PBT has gone down to Rs.57 Crores as against Rs.102 Crores and there is one off. Actually all the employees from GAIL are on deputation to GAIL gas and in terms of recent Supreme Court decision GST is required to be levied for the service provided by GAIL in terms of manpower supply to
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Page 4 of 17 GAIL gas so we booked Rs.76 Crores of GST implication till 31st March 2023 and for Q1 Rs.4 Crores so this is one of which has happened during this quarter. Profit after tax stood at Rs.42 Crores as against Rs.76 Crores and there is a decrease of 45% and the reason are same. Physical volume increases to 6.55 MMSCMD in Q2 FY2024 increase of 25% mainly on account of as I said bulk trading quantity 47% increase in bulk trading and CNG quantity by 7%. During current quarter 18,799 new DPNG connections were added and six new CNG stations were also added. GAIL gas along with its JV, subsidiaries has infrastructure of almost 8.9 lakh DPNG connections and 462 CNG stations. We have another subsidiary Bengal Gas, as on 30th September 2023 Bengal Gas is having 12 CNG stations approximate 215 km of pipeline and 8000 number of domestic CNG connections.

I will take you through the project performance. Mumbai Nagpur Jharsuguda pipeline, this pipeline is of 1755 km long pipeline, activities are in full swing and first section Mumbai Nagpur Jharsuguda of this pipeline which is of almost 698 km we expect it to be completed by June 2024. Regarding Jagdishpur-Haldia Bokaro-Dhamra pipeline, this pipeline length is of 3289 km out of the same 2922 km of pipeline have already been commissioned and remaining part is expected to be completed progressively by June 2024. Srikakulam to Angul mainlin

e length is 420 km and likely to be completed by the end of this calendar year. Gurdaspur Jammu natural gas pipeline having a length of 160 km likely to be completed by July 2026. As you know this pipeline has recently been authorized to GAIL so pre-project activities and the project related activities have started. Dhamra Haldia pipeline Orissa portion of length of 150 km is expected to be completed by the end of this calendar year. The other projects PDH-PP Usar as you know the capacity of this project is 500 ktpa, project cost is 11,256 and we expect this project to be completed by April 2025, 60 ktpa PP Pata projects have started. Project cost is almost Rs.1300 Crores. We expect this project to be completed by July 2024. IPA at Usar capacity is 50 ktpa project cost is 530 Crores completion we expect by December 2025. As you also that GAIL has acquired JBF petrochemicals now it is known as GAIL Mangalore Petrochemicals Limited capacity is 1250 ktpa project cost is 4200 Crores. The activities related to the commissioning of project completion date are on and completion date is by March 2025.

Now I would like to also share our future outlook for gas marketing, gas transmission, so from gas marketing business as you know is showing robust performance. This is quite visible from the volume ramp up and margins in the marketing activities. This gives us confidence as informed earlier there is various calls, meetings with investors and analysts whatever happens we said in analyst call also during this year annual analyst call in at Bombay whatever happens we will be able to earn at least Rs.3500 Crores. of gas marketing margin and now it is evident from the H1 2024 results by H1 we have already earned Rs.2700 Crores so we will be meeting this target and not only we will be surpassing

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Page 5 of 17 this target. In terms of the future outlook of gas marketing let me share with you, we expect at least to earn Rs.4000 Crores as a marketing margin next financial year, as we said regarding 2023-2024 now we have estimated that next year we will earn at least Rs.4000 Crores. Gas transmission volume for 2023-2024 is expected to be 120 MMSCMD, we have been telling you and sharing in various earning calls, various analyst meets interactions that last year volume was 107. We will end up this financial year with an average volume of 120 and we also expect to exit at the rate of 123 to 124. This year we are expecting an increase of almost 13 million on an average basis and when we add by almost 16 million exit will be higher by 16 million. Polymer production as I shared stood at 160 TMT as against 164 TMT in last quarter. This quarter, I am talking of Q2, we have been able to reduce losses in petrochemical segment by optimizing / minimizing the cost of input gas for petrochemical plant. In H2 of FY2023-2024 we plan to further optimize our sourcing and aimed to close the year if not break even nearer to breakeven level. Further starting next financial year we have to normalize our petrochemical operations with a positive bottom line. Liquid hydrocarbon production stood at 481 TMT in H1 FY2024 and during the year production is estimated at the same previous year production level of almost 930 to 950, also to protect the margin segment as we shared in various earning calls we also started taking positions in financial market and we are doing maybe in a smaller way hedging of LPG prices. I think I have tried to cover up Q2 financial and H1 financial results and also the reasons for various increase, decrease, and changes in profitability and also future outlook from my side. Now I will hand over back to you Harsha for opening the session.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Probal Sen. Please go ahead.

Probal Sen : Thank you for the opportunity Sir. Congratulations on strong s

et of numbers I have a couple of questions, one with respect to the LPG and petrochemical prices which have been subdued over the last couple of quarters now we have obviously seen Asia propane prices starting to recover from the last few months just wanted to understand that when should we expect to see the impact of the slightly better LPG prices or propane prices in our numbers does Q3 so far look much stronger compared to Q2 and similarly in terms of petrochemicals there is an element of oversupply in the near term that is developing because of additional commissioning of HMELs plant and other capacities coming on stream as well so how are we looking at the pricing scenario given that we are also making significant investments in adding to our petrochemical capacities in the next three to four years just these two questions and the last question was with respect to the trading run rate I know you have often said this before that predicting a run rate is very difficult but what sort of EBITDA run rate should we work with for the second half given that the number this quarter has definitely beaten the expectations.

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Page 6 of 17 R. K. Jain : Thank you. I think your question largely on the LPG and petrochemical prices. Yes, the LPG prices in Q2 are really abnormally low. I must say it is a rare occasion that it was low

for Q2 which we have also not witnessed in past, but it has started moving up and we expect significantly better performance during remaining part of the financial year. With respect to questions of petrochemical yes the prices of petrochemicals are under tremendous pressure. We are also witnessing those pressures but this is beyond our control. The market price will be what market is nobody can control on the market but when we have an ability to source the gas at the cheapest and best optimal price for petrochemical plant which we have been doing and the result for Q2 is the testimony of that that we have been able to reduce our losses to a great extent. What we expect in coming quarter or remaining part of the financial year that we will be able to source gas or provide gas to our petrochemical plant at a price which gives significant change to the financials for petrochemical plant, thank you.

Probal Sen : I was asking Sir if a follow up in terms of petrochemical volumes then can we expect a gradual pickup in terms of volume run rate for the next few quarters.

R. K. Jain : Yes if you see that this quarter of course we were almost at the same level at what we were at Q1 if you see anyway is better because it is a festive season and during this particular quarter anyway demand picks up so that will be one positive point and second positive point is that since we are able to source now a reasonably good price gas so we have an ability to produce more and sell more and maybe in terms of pricing we may be competitive because we will have more leverage to do that so I think we will try to pick up and enhance our production in remaining half of the financial year.

Probal Sen : Understood Sir thank you that is all for me. I will come back in the queue. Thank you for your time.

Moderator : Thank you. The next question is from the line of Nitin Tiwari from Philip Capital. Please go ahead.

Nitin Tiwari : Good evening Sir, thanks for the opportunity. Sir my questions also relates to the petrochemical segment just wanted to understand that why we have not been able to wrap up our production after the decline we saw last year because of high gas prices so gas prices are more or less normalized, the LPG prices are not as high but our utilization levels continue to be low on the petrochemical side and secondly if you can help us with the breakup of the cash cost in terms of what percentage would be the cost of gas and what percentage would be the operating cost so just wanted to understand that.

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Page 7 of 17 R. K. Jain : You are right that the input gas prices have significantly cut down if you compare with the last financial year but if you see in terms of petrochemical prices, the average price has gone down by at least Rs.20,000 per metric tonne if you compare with last financial year which is a matter of concern for us, but beyond control so as I was answering for the questions for the participant before you that the controllable thing to some extent we have is we have ability being one of the largest gas player in the country to source significantly good priced gas to petrochemical plant and that is what we have been doing. Q2 is the testament that we have been able to reduce the losses and in second half we will continue to do that and in terms of capacity utilization we will be ramping up our production in remaining half of the financial year and in first half why we could not do because there was lot of pressure on prices and inventory hold up was there. Market wise actually depressed market in Q1 and also to some extent in Q2 so market was also not picking up, inventory holding up was there. Now at least to a large extent that situation is over it is not fully over so we hope that this current financial second half will be better off as compared to first half.

Nitin Tiwari : Sure Sir and a breakup of the operating cash cost in terms of what percentage would be the cost of gas and what percentage will be operating cost.

R. K. Jain : It will be worked out from the financials but we will be able to give you offline I do not have that data available readily we will be sharing to the extent we can.

Nitin Tiwari : Are we also holding up any inventories. I mean is there a difficulty in pushing the product in the market as far as petrochemicals are concerned or we do not have any inventories at our end.

R. K. Jain : We have inventory. Good amount of inventory we have but we do not have inventory like we had in Q1. Some inventory you have to maintain but this time we have inventory of 45 to 50,000 metric tonne, but this inventory has significantly come down which was higher in Q1 and even in some part of Q2 so inventory holding is reducing slow by slow, market is picking up, prices suddenly are pressured but demand market is picking up.

Nitin Tiwari : Sure Sir thank you so much. I will get back in the queue. Thanks for all the answers.

Moderator : Thank you. The next question is from the line of Amit from UBS. Please go ahead.

Amit: Sir good afternoon. My question relates to the city gas distribution businesses which we have so we have three formats where we have few city gas licenses under GAIL. We have few joint ventures and then we have listed investments like IGL and Mahanagar Gas, sir do

Page 8 of 17 we have any plan for any value creation in these businesses by integration, reverse merger or any other modes going forward in the next one or two years from here.

R. K. Jain : Yes Amit actually we are regularly discussing at various levels about your question whether to reverse merger or whether to shift the geographical area which we have in GAIL gas and then we list GAIL gas certainly this in our mind. We are discussing on a regular basis but it is difficult to give a timeline but certainly I can say at that point of time we are discussing and once we take this call we will come back to you but this is in our radar.

Amit: Okay Sir and do we have any other view on merging this JBF plant with us so that we have better integration with the existing petrochemical facilities and do you see any economic sense of cost or other benefits for merger of these entities which are currently separately into other entities.

R. K. Jain : We have this issues in our hand not only JBF we are also thinking about KLL. We are regularly discussing this. We have a certain timeline in our mind, we are taking the action in this regard that should

we merge this JBF and also at some point of time KLL to GAIL.

Amit: Okay and Sir last one just on the dividend or the buyback so we have come back very strongly with a very strong profit numbers and as you mentioned second half is also looking promising and next year is also looking promising so any plans for any buyback or a good dividend payout for the shareholders.

R. K. Jain : This is a board call. It is very difficult for me to give anything but you can historically see us what is our payout ratio. We have been giving dividend of 45% payout ratio is 45 to 50% and that is our track record and you can vouch for yourself and I think GAIL as a company is rewarding to its shareholders and as management thought will continue to do so any number for me giving the number will not be fair and I cannot give because it is a board call. Regarding buyback we have done buyback for almost consecutive two financial years. At the moment nothing is in our mind but anyway because again it is a board call we will come back to you once board decides to do something.

Amit: Sure Sir thank you and wish you all the best and a happy Diwali to the entire team.

Moderator : Thank you. The next question is from the line of Ramesh from Nirmal Bang Equities please go ahead.

Ramesh: So if you are looking at your core gas business both transmission and marketing how do you explain the kind of strong margins in gas marketing because about Rs.1.8 per cubic meter if

Page 9 of 17 you do calculation and what is the kind of visibility you have in terms of the unit margin so assuming a certain marketing volume what is the kind of predictability we can assess for the marketing segment.

R. K. Jain : See if I understood you, you asked two questions one is the historical what are the reason how we have been able to earn so much and what is the predictability right.

Ramesh: Yes.

R. K. Jain : So with respect to your question how we have been able to do that and one more dimension I will add that we have been now predicting also what kind of marketing margin we will earn in coming years. We have portfolio of 14 MMTPA of energy in our pool and major part of this portfolio we have sold on back to back, when I say back to back, back to back index not the margin part of it and some part of it we have kept open for ourselves, second thing which I will tell you we have now FOB contract which is a significant portion of our portfolio almost you can say 5.8 billion tonne and when we have FOB based contract with us we have ability to reduce transportation charges through various mechanisms. One of the mechanism is destination swap wherein we swap our cargos which are available at United States with the cargo which are required to bring to India and in this particular quarter let me give you data, we have been able to reduce our cost of gas by a dollar which straight away goes to my profit as compared to Q1. Second whatever portfolio we have kept open we have ability to financially have those which we have been sharing with you and we have continuously taking positions in financial market and are able to not only maintain our profits but are able to take advantage of the market situation and increase our marketing margin. While we want to remain competitive in the gas marketing segment, but these various measures have been able to provide good dividend to us and that is how we have been able to perform better that is one thing. Regarding future I said in answer to questions by one of the participants and let me give with the historical data. Now for last two years we have been predicting our marketing margin. We said last year 2023 whatever situation happens we will earn at least Rs.3000 Crores. Last year's analyst in May we said this year whatever situation happens we earn at least Rs.3500 Crores and we have demonstrated that

even in the worst kind of situation of Ukraine war last year and

d I also said in the answer to

the question by one of the participant that next year we expect that at least we should earn marketing margin of Rs.4000 Crores and whatever we have been saying you can vouch for yourself. We are able to not only achieve but do better in our performance that is the future visibility about marketing gas.

Ramesh: Okay as a followup question in terms of the gas transmission volume particularly in the JHBDPL pipeline where are we in terms of the completion of the entire JHBDPL pipeline

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Page 10 of 17 and when do you see that ramp up to the full capacity utilization say in the next two to three years.

R. K. Jain : So in terms of completion I said in opening remark that this pipeline we expect to be commissioned by 2024 fully progressively last leg will be completed by June 2024. In terms of capacity utilization this pipeline is one of the significantly highest utilized pipeline because we expect at least 7 to 10 million volumes from refineries along the pipeline, the city gas distribution in addition and this pipeline is also cater to northeast including NRL Refinery. We are in discussion with various consumers to take the gas along this pipeline so whatever portion we have commissioned it is getting largely utilized and we expect this pipeline to be utilized. This is one of the highest utilized pipeline at this point I can say so.

Ramesh: You made a reference to the cost in the gas used in the gas compressors for your transmission business what would be the savings you would have achieved in the second quarter and first half and is that something one can expect to sustain in future.

R. K. Jain : It is not saving actually there was one off in Q1 because we were carrying the costly gas inventory in our portfolio which we purchased last year. It was more than Rs.200 Crores of extra cost we booked during Q1 which is not there in Q2 because now we know for sure that our allocation has been reduced so we have been sourcing this gas from domestic market which is significantly cheaper as compared to the last year's price which were hit by Ukraine war so if again to summarize to answer your question last quarter we booked more than Rs.200 Crores extra cost to fuel which is not there in this quarter.

Ramesh: If I may just ask a last question, in terms of your discussion with the regulator you were talking about getting back some of the cost you incurred last year in terms of additional cost for the imported LNG for your compressor how is that progressing is there any visibility in the getting that refund from the regulator this year or next year.

R. K. Jain : So before giving answer to your question first let me just get you a recap. The regulator has allowed us gas price of \$3.61 per MMBTU for consumption in compression fuel which is non-existence price because this is not even APM price. Last year in this situation when all of sudden the allocation was cut we used significantly higher price even during this year the domestic price is almost \$10, \$11 depending on the time so this deficit we have demanded from the regulator through tariff increase for which we filed the petition immediately after issuance of tariff order. This review petition has been listed for hearing in November. We expect that regulator will take a call on immediate basis because we also during discussions to them we said that if you delay it has an impact on NPV basis, our tariff will further increase so in the larger interest of everybody this should be taken up on priority basis so

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Page 11 of 17 that we get our desired return and get back the money which incurred and it does not impact the interest of consumer as well.

Ramesh: Thank you very much Sir and wish you all the best.

Moderator : Thank you. The next question is from the line of Kirtan Mehta from BOB Capital Markets, please go ahead.

Kirtan Mehta:

Thank you Sir for this opportunity. Would you be able to share light on how do you see your gas transmission and marketing value ramp up into FY2025 would you be able to give some colour on this.

R. K. Jain : Sure, we expect our marketing volume to go up by at least 6 to 7% next year and transmission volume which I said that we will end up by 120 on an average basis this year is likely to increase by 12 MMSCMD in FY2025 that means we will be having an average transmission volume of 120-130.

Kirtan Mehta: Could you also sort of give a bit more colour in terms of where do we see this volume growth coming from?

R. K. Jain : So this volume largely you see the consumption of gas in domestic market is increasing. We have an infrastructure which caters to 70% of the countries gas requirement so first volume

which is very, very visible to everybody comes from city gas distribution which has a double digit increase of almost 12%, 4 to 5 million volume increase is there even if on crude basis you take 70% 3 million comes to our transportation perspective. As I said in another answer to another question that there are refineries along Jagdishpur Haldia pipeline. Dhamra terminal has already commissioned. There are various off takers at Dhamra terminal. They have booked the capacity wherever they take the volume the pipeline belongs to GAIL 7 to 10 billion volumes likely to come from there. There are various steel plants. There are various other refineries and there is another upcoming pipeline which GAIL is constructing going to be commissioned so all these likely to bring these volumes to our fold and that is how we will reach 130.

Kirtan Mehta: Thanks for this colour. One followup question on the gas marketing margin where we are sort of continuously increasing our predictability from 3000 Crores to 3500 to 4000 Crores is this primarily sort of improvement coming from our ability to reduce the cost of gas from the destinations or are there any other levers that are at play because volume per se has remained more or less same so where are we actually seeing this increase coming from.

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Page 12 of 17 R. K. Jain : Actually on optics basis volume has remained same but I said that we used to market this gas in international market in view of less demand in domestic market, now almost all the volumes which we used to sell in international market is to domestic market and we when we market in domestic market there is a more ability to earn margin because international market we were selling under some kind of situation where we source and there were no demand so that is one second we are also in the market to source at least 1 MMTP of LNG every year for coming five to six years that is another addition which is going to happen and even if on average basis you add the margin that will come. Third, and I also shared in one of the questions that we have ability to optimize the cost because when you bring the cargos from United States there is certain cost of tariff say 2.5 just I am using a number and even if you are able to reduce \$1 that is another addition to our margin without impacting the customer. Actually it is also increasing our competitiveness and we are able to earn more margin. We have charter ships through which we are able to do one more transaction that is DSDS which means through those ships we sell the cargos in international market to the destination in Europe and we purchase through those shifts for bringing the molecule to India. All those actions we have taken and we have demonstrated in last few years since the United States volume started flowing to India in 2018. In five years we have developed lot many solutions to reduce the cost, to increase the marketing margin either to market in international market or through increase in sales in domestic market and also as our chairman made this statement a few months back we are in the inter

national market for

sourcing of energy which will also add to our portfolio and increase the profitability.

Kirtan Mehta: Thanks for this colour. Are we able to drive the MMTPA volume for this year so would our portfolio be increasing by 1 million tonne extra this year.

R. K. Jain : So we are in discussion with various suppliers so when we conclude we will come back to you but we are we are discussing with various suppliers and I can say that we will be in a position to say so very soon to you.

Kirtan Mehta: Thank you.

Moderator : Thank you so much. The next question is from the line of Varatharajan from Antique Limited, please go ahead.

Varatharajan : So 2Q what I understand is that there has been a significant contribution in terms of volumes from the power sector due to the peak power demand so this is a number which may not be sustained over the next few quarters so what is your guidance on that.

R. K. Jain : My guidance I already shared with you.

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Page 13 of 17 Varatharajan : So that includes the volume going away or you are confident that volume will also stay.

R. K. Jain : Actually this is not unique situation in this quarter that power sector has demanded some volume and therefore our marketing volume has increased, it is an annual phenomena which happens and this year is one of them and we will continue to market the volume which we are marketing in quarters and we expect not only to maintain because anyway pipelines are getting commissioned, molecules are reaching to the farther end of the hinterland so new demands are also coming CGDs are getting commissioned so it is not the power sector, yes power sector has taken some volume in Q2 but even Q3 they have taken.

Varatharajan : Secondly on the Gazprom volumes would have normalized by now regarding the volumes which you have not delivered has there been any kind of a progress or proceeding how you are going to resolve that issue.

R. K. Jain : So we have taken up this issue of volume not delivered through legal route and we are engaged for resolution of that that issue for the volume we have not got.

Varatharajan : Is there a possibility that they will deliver those volumes now.

R. K. Jain : Because you cannot say what will happen to those things so we expect everything to be what we wish but let us see how it happens. We will only gain, we will not loss.

Varatharajan : Fair enough Sir and lastly on GAIL gas what is the CNG and domestic PNG volume out of the 6.5 million.

R. K. Jain : We will give you. We do not have break up of that.

Varatharajan : Not a problem Sir. I will catch that later.

Moderator : Thank you. The next question is from the line of Shashi Ranjan. Please go ahead.

Shashi Ranjan : Thank you Sir. Thank you for the opportunity. Can you just throw some colour on the Vijapur plant in MP for 10 megawatt of electrolysis plant that was set up how is the progress going on.

R. K. Jain : Yes the construction activities are going on and we expect that plant to be commissioned by the end of this financial year.

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Page 14 of 17 Shashi Ranjan : That is great Sir it is on time and can just help me at what price hydrogen is being produced in view of the mandatory use of the green hydrogen for fertilizer cum refineries is that price at which we are producing acceptable for these refineries and fertilizer companies.

R. K. Jain : Actually yes we expect that but the purpose of this plant is what? This is almost you can say we want to do a pilot project, why we want to do, energy transition is taking place. We are in a gas business. We know the gas has a longer life than other fossil fuels but can we be complacent in order to make ourselves future ready we are putting this plant. There are customers for this hydrogen. They are approaching us; price may be an issue but if regulation comes that may also not be issued but in order to take care of

future readiness we

are going ahead with the pilot project is 10-megawatt PEM technology-based plant we see this accordingly.

Shashi Ranjan : Thank you Sir last question in the last financial year we had seen one off around 320 Crores last quarter, first quarter this financial year we have seen one off of around 334 Crores and this quarter also it is around 80 Crores so being an investor being a trusted investor of Gas Authority of India Limited it takes me lot of courage to hold the shares when one offs are those high and so frequent so what are the measures being taken so these one off does not come up and even if it comes up it is very negligible that is my last question.

R. K. Jain : Which one off you are referring when you are raising this number can you share.

Shashi Ranjan : I do not have the breakup of the one off that that has happened but in the last investor meet 1200 Crores of one off was there and in last quarter there was one off around 1333 Crores.

R. K. Jain : Got it. Last year on 16th August 2022 I am giving a specific date, actually we had allocation of 1.55 MMSCMD of gas for use in our compressors in order to meet the increased demand of CGD, Government of India started deallocating that gas that is one statement, second when this deallocation started happening you know where was market. The market of LNG was at one point of time around \$100 in that bad market we were to source the gas at \$40 per MMBTU of our compressor station so that one off actually one off in a lifetime, it cannot be a one off or a routine one off second even if that one off has happened you as an investor know that in terms of regulatory provisions this is allowed , third it is delayed but on net present value basis total 1200 Crores will be available through revision of tariffs not be concerned we have already filed the petition with PNGRB. We are regularly following up. There is hearing in November. We expect some positive things to happen.

Shashi Ranjan : Thank you Sir. Thank you and wish you all the best for that to come and if you may allow can I go for the last question. The product that we have in the petrochemical side these are

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Page 15 of 17 easily available being provided by the other players so do we have that much as a market where all the players can sell their product. In the petro chemical segment we have the private players also so is that market that huge that we all can have a piece of cake that is available.

R. K. Jain : It does not happen in free market. Okay it is not that everybody will decide and say let us sale for same price and particular market, it is a free market one more supplier exists in other than the domestic is the overseas supply which are significant to this country even if you for a time being assume that that is a big, big chunk which is coming and that will take place.

Shashi Ranjan : Thank you Sir. That was my last question that I had. Thank you so much wish you all the best.

Moderator : Thank you. Ladies and gentlemen for the paucity of time we take the next question as the last question. The next question is from the line of Amit Murarka from Axis Capital, please go ahead.

Amit Murarka : Hi this is Amit Murarka. On that issue of the internal feed stock gas cost or the internal system used gas for transmission while you say that you are kind of in discussion with PNGRB for review of the gas cost but is there any precedent when a single factor has been taken up for review before the 5-year review period or will this be an exception if this is done by PNGRB.

R. K. Jain : It is nothing extraordinary, first let us go to the law of the land. The regulatory provisions provides that if there significant change in the tariff computation parameter either initiation of entity or regulator on its own can look into the revision of tariff and change of gas price they consider \$3.61 per MMBTU. We consumed \$40 per MMBT

U where continuing to use

\$12 almost the gas price. They also recognize in the tariff order that will be compensated. They mentioned the HPHT gas price so it is available in terms of law of land and this tariff regulation is not a very old regulation, 2008 first time tariff regulation came. They started putting the tariff orders and final tariff order started coming only 2015-2016 so it is not very old that this precedence will be available. There is no need of any precedence PNGRB has accepted our review petition, they are seized with that and we expect that in November they will some kind of review it and we also gave them flavor if you do not take these actions what will happen on NPA basis for increase in tariff.

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Page 16 of 17 Amit Murarka : But Sir on the other hand like what is it integrated tariff you are anyways realizing a higher tariff if I am not wrong because of the zonal distribution so any ways you are realizing higher tariff.

R. K. Jain : You are actually wrong because there is a revenue and which is realized on unified tariff basis and there is also a amount which we require to settle among ourselves when you calculated average tariff you take the revenue part of it and you do not take the amount which we are required to pay to the other transporters so if I have to give some kind of estimate even this quarter we have to pay Rs.200 Crores to other transporter, if you knock off that the numbers will not look that higher yes it may be higher or lower to some extent it will not be higher and to some extent it is income for regulatory provision because risk of zonal volume change rest with transporter so the confusion is that we are realizing very high is absolutely wrong confusion. We are we are actually realizing what is due to us.

Amit Murarka : Sure got that and for the first half could you give the number of how much you have paid back like 200 Crores you said is for Q2.

R. K. Jain : We are actually regularly settling it is a continuous process. Let me give one minute to this question because tariff is levied to customer unified basis, my entitlement is integrated since I bill based on unified basis in revenue that appears whatever difference is there it is settlement between me and other transporter that remains in payable okay but on particular day I can give you this what is pending for settlement but on a continuous basis this is happening it will not be correct but almost 200 Crores we have to settle this happens sometime we realize more, sometime they realize more, we used to settle it.

Amit Murarka : Got it. Thanks very much for the clarification.

Moderator : Thank you. Ladies and gentlemen I hand the conference over to Mr. Harshavardhan Dole for the closing comments.

Harshavardhan : Behalf of IIFL Securities I thank you GAIL management for giving us an opportunity to host the call. I also thank the participants for logging in and asking questions. I realize for paucity of time few questions have remained unanswered. I request you to send an email either to us or to GAIL investor relation team and they will do the needful. Sir any closing remarks you would like to make.

R. K. Jain : You have covered what I wanted to say that if any questions to the participants we could not answer even those can be referred back to us and certainly participants who could not ask the question we welcome them and we will be able happy to answer them. Thank you

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Page 17 of 17 very much again for taking interest in GAIL and we will be happy to meet you, connect you and give you answers to whatever questions you have.

Moderator: On behalf of IIFL Securities Limited that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2024

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"Gail India Limited
Q3 FY2024 Earnings Conference Call"

January 29, 2024

ANALYST: M R. PROBAL SEN – ICICI SECURITIES

MANAGEMENT : SRI. RAKESH KUMAR JAIN – CHIEF FINANCIAL
OFFICER – GAIL INDIA LIMITED
SRI. KAVIRAJ – HEADING LNG GROUP – GAIL
INDIA LIMITED
Gail India Limited
January 29, 2024

Page 2 of 19 Moderator : Ladies and gentlemen, good day and welcome to Q3 FY2024 Earnings Conference Call of GAIL India Limited hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Probal Sen from ICICI Securities. Thank you and over to you Sir!

Probal Sen : Thank you Adhitya. Thanks everyone for taking the time out for back-to-back calls to attend the GAIL's post Q3 FY2024 result call. We have with us from the management, Sri Rakesh Kumar Jain, the CFO of the company along with other members of the senior management of GAIL so without further ado, I will hand over to the management for their opening remarks and then we can get into the Q&A. Sir, over to you.

Rakesh Kumar Jain: Thank you Probal and a very good afternoon to all of you. I have with me my colleagues from various departments who are heading critical departments like sourcing, marketing and colleagues from finance. Once again good afternoon and warm welcome to GAIL's earning call for Q3 FY2024. At the outset, I thank you all for attending this earning call. GAIL's results for quarter ended December 31, 2023 have been declared today. I will touch briefly on the major highlight for quarter and then we can open the question and answer session.

GAIL's gross turnover increased by 8% to Rs.34,168 Crores in Q3 FY2024 as against Rs.31,728 Crores in Q2 financial year FY2024. The major reasons for the increase are the robust physical performance by all the major business segments of GAIL. This quarter witnessed increase in natural gas prices and better realization in liquid hydrocarbon segments. Profit before tax during the quarter increased to Rs.3694 Crores as against Rs.3130 Crores in Q2 FY2024 and this is up by 18%. This is mainly due to increase in LHC price realization, higher petrochemical sales, improved gas marketing margins and

reduction in input gas costs for petrochemical segment. Further, during this quarter, we received higher dividends as compared to Q2. We received Rs.403 Crores as against Rs.270 Crores in Q2 FY2024. Profit after tax during the quarter increased to Rs.2843 Crores as against Rs.2405 Crores in Q2 of FY2024, that is up by again 18% and the reasons are same as I enumerated for profit before tax. If you talk of nine month basis, GAIL clocked the turnover of Rs.98,034 Crores as against Rs.1,11,292 Crores in corresponding period of the last year and there is a decrease of 12% and this decrease is mainly due to decrease in gas prices as compared to last nine months of last financial year. However, this is partly offset by an increase in transmission tariff, volumes in natural gas marketing, natural gas

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Page 3 of 19 transmission and petrochemicals. There is increase in profit before tax by 45% to Rs.8713 Crores as against Rs.5993 Crores and PAT by 42% to Rs.6660 Crores as against Rs.4698 Crores.

Physical performance if I have to share with you total gas marketing volume was 98.14 MMSCMD in Q3 as against 96.96 MMSCMD in Q2 FY2024 and this increase is mainly due to increase in overseas volume. Natural gas transmission volume was 121.54 MMSCMD in Q3 as against 120.31 MMSCMD in Q2. The average capacity utilization was 58% approximately the increa

se in transmission volume is attributed to increase in shippers volume by approximate 1.26 MMSCMD. Polymer production increased by 45 TMT to 205 TMT in Q3 FY2024 as against 160 TMT in Q2. Capacity utilization in last quarter that is Q3 was 101%. Liquid hydrocarbon production was 249 TMT as against 238 TMT in previous quarter. The capacity utilization was 69%. LPG transmission was almost flat that is 1095 TMT as against 1114 TMT in previous quarter and capacity utilization was 95%. The consolidated financials for Q3 as against Q2, the consolidated turnover in the current quarter stood at Rs.34,678 Crores versus Rs.32,952 Crores up by 5%. PBT in the current quarter is Rs.4075 Crores versus Rs.3138 Crores in Q2 up by 30%. Profit after tax is Rs.3195 Crores versus Rs.2444 Crores in Q2 that is up by 31%. For nine month basis consolidated financials, the consolidated turnover for nine months in FY2024 stood at Rs.1,00,385 Crores versus Rs.1,12,445 Crores in the corresponding period in previous year. The profit before tax for the nine months in FY2024 up by 45% to Rs.9496 Crores as against Rs.6567 Crores in corresponding period of previous year. Profit after tax is up by 49% to Rs.7431 Crores for nine months in FY2024 versus Rs.4982 Crores in corresponding period for the previous year.

Now I will share the performance of GAIL CGD. GAIL is having infrastructure of 165 CNG stations and ~2,90,000 DPNG connections in the 6 GA allotted to GAIL. During the current quarter, eight new CNG stations and approximate 16,000 DPNG connections were added. The physical volume is 0.3 MMSCMD during the quarter. In the next two years, GAIL targets to add over 100 new CNG stations and approximate 2,00,000 new DPNG connections. I will share now the performance of GAIL gas. During the current quarter Q3 FY2023–24 turnover stood at Rs.3145 Crores as against Rs.2745 Crores in Q2 FY2024. There is increase of 15% mainly on account of increase in bulk trading quantity by 12%, and CNG quantity by 11%. Profit before tax stood at Rs.153 Crores as against Rs.57 Crores in Q2 FY2024. There is increase of 168%. Profit after taxes stood at Rs.113 Crores as against Rs.42 Crores in Q2 FY2024 increased by 169% for reasons as explained above. The physical volume increased to 7.18 MMSCMD in Q3 FY2024, an increase of 10% mainly on account of increase in bulk trading quantity by 12% and CNG quantity by 11%. During the

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Page 4 of 19 current quarter, GAIL Gas along with JV subsidiaries has added 17,731 new DPNG connections and 29 CNG stations and having infrastructure of 9,06,000 DPNG connections GAIL Gas as a group company. If I have to talk about Gail Gas, GAIL Gas has almost 5,00,000 of DPNG connections. Bengal Gas Company Limited as on December 31, 2023, BGCL is having 13 CNG stations, 237 kilometer pipeline and 8000 numbers of domestic PNG collection infrastructure is made available. During the current quarter one new CNG station and 22 kilometers pipeline were added.

Project performance. Mumbai-Nagpur-Jharsuguda pipeline activities are moving in full swing and the pipeline is anticipated to be completed by October 2024. Jagdishpur-Haldia-Bokaro-Dhamra pipeline out of 3289 kilometer, 2951 kilometer pipeline have been commissioned and the remaining part is expected to be completed progressively by June 2024. Srikakulam to Angul main pipeline project there is a 420 kilometer. Work is under progress and likely to be completed by June 2024. The spurlines are anticipated to be completed by September 2024. Gurdaspur-Jammu Natural Gas Pipeline, this pipeline is

having a length of 160 kilometer and is likely to be completed by July 26. Dhamra-Haldia Pipeline length is 253 kilometer. The work is under progress and expected to be completed by June 2024. PDH-PP at Usar, as you know, capacity of this plant is 500 ktpa is expected to be completed by April 25, PP at Pata, capacity 60,000 ktpa was

expected to be completed

by July 2024, IPA at Usar 50 ktpa expected to be completed by December 2025, GAIL Mangalore Petrochemicals Limited capacity 1250 ktpa completion date by March 2025. Capex for Q3 FY2024 is Rs.1730 Crores mainly on pipelines, petrochemicals, CGD projects, operational capex and others.

Now I would like to share some segmental outlook for short to medium term. So far in the financial year, our gas marketing business has exhibited robust performance. In earlier conference call, we had given a guidance that no matter what GAIL, will be able to earn at least to Rs.3500 Crores as a marketing margin from gas marketing segment during FY2023-FY2024. In nine months period ending December 31, 2023 due to better arbitrage, various optimization measures like time swaps, destination swaps and shipping optimization, we have already earned gas marketing margin of Rs.4300 Crores. We just surpassed our earlier guidance. With these revised numbers, our gas marketing margin is expected to exceed Rs.5500 Crores mark by the end of this financial year. In the similar way, we believe that the gas marketing spread for 2024-2025 will be around Rs.4000 Crores and for financial year 2025-2026 will be around Rs.4500 Crores and that will be minimum we expect to earn. Gas transmission volume for FY2023-24, it is expected to be 120 MMSCMD on an average basis. I am talking of yearly average and we also expect when we close this financial year, we will be having exit rate of at least 123 to 124. In this regard, I would also like to inform to my investors community that in Q3 FY2024 average transmission volume stood at

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Page 5 of 19 121.54 MMSCMD that is up from 120.31 MMSCMD Q2 FY2024. In next quarter we expect to transmit slightly higher volumes so as to reach an average of 120 MMSCMD for full financial year. For that during next two to three years there will be increase in transmission volume by 12 to 15 MMSCMD. Polymer production stood at 205 TMT as against 160 TMT in last quarter. In this quarter we were able to post a PBT of Rs.62 Crores as against loss of Rs.160 Crores as we have been mentioning to our investor/analyst community that we expect when we end this financial year, we will be around at breakeven level on yearly basis for petrochemical plant. This has happened due to optimization of cost, input graph cost, and improved operational efficiency because we are able to run the Pata plant at more than 100% capacity. For the Q4 of FY2023-24, we plan to optimize further our gas sourcing and as I said likely to close at breakeven level. For next financial year not only normalize petrochemical operations but we expect to earn a reasonable profit from Pata Petrochemicals. Liquid hydrocarbon production stood at 730 TMT during nine months of FY2024 and during Q3, we were able to post a PBT of Rs.257 Crores as against loss of Rs.17 Crores in Q2 due to better price realization. In FY2024, production level is estimated to be slightly higher as compared to previous years. Also, to protect our margins in this segment, GAIL has effectively involved in taking hedging for LPG products. I think that is all from my side regarding the overview performance of project status now I invite you to have any clarification or questions on the results for Q3 and nine months ending December 31, 2023. Thank you. Over to you Probal.

Moderator : Thank you sir. We will now begin with the question and answer session. Our first question is from the line of Puneet Gulati from HSBC. Please go ahead Sir.

Puneet Gulati: Thank you so much and congratulations on great numbers. My first question is on your guidance for FY2025? Why betting for lower marketing margins for FY2025 versus FY2024 or are you just being conservative?

Rakesh Kumar Jain: Puneet we have shared the minimum marketing margin which we are likely to earn. For this year if I have to share, we said that we will

earn at least Rs.3500 Crores So we are saying

this will be minimum which we expect to earn and then based on the market situations, the arbitrage available and the optimization we are able to do, we may be better off than this, but for guidance purposes, we are considering a number of Rs.4000 Crores.

Puneet Gulati: So it is fair to assume that there is a 100% probability of Rs.4000 Crores marketing margin?

Rakesh Kumar Jain: That is what we expect.

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Page 6 of 19 Puneet Gulati: Secondly, you can also talk a bit about what is driving the improvement on the petrochemical side? If it was decent improvement? What is the optimization that you are

doing that you talked about in your opening statement?

Rakesh Kumar Jain: Actually first when we were we were running the plant before this quarter it was suboptimal production capacity we were running. So in last quarter we were able to operate the plant at 101%. Once you operate the plant at full capacity or more than the full capacity, lot of positive things happens and one of the positive things is that specific energy consumption in terms of per MMBTU consumption for one metric tonne has gone down significantly. Second the fixed cost allocation is to a higher quantity. Third, through our portfolio because in our portfolio we have options to make available the gases which suits the Pata petrochemical project production and the viability we are able to do that. So all these factors have enabled the profitability in Q3 for Pata petrochemicals.

Puneet Gulati: Lastly, if I may, if you can also talk about the opportunities on increasing your volume for marketing business? Are you sourcing new gas? What kind of gas contracts and gas pricing are you are experiencing there? What is the new volume tie up that you expect to do over there?

Rakesh Kumar Jain: So our Chairman has already said on various occasions that we intend to source 7 to 8 MMTPA of additional gas for our portfolio and maybe one to two MMTPA on yearly basis. In this regard already there was an announcement that we have signed a contract for one MMTPA which is going to be available to us from calendar year 2026. We are also in advanced stage of discussions with various suppliers and very soon we may be able to inform you when we conclude these deals. So we are on the job to source the gas, so as to have broader portfolio and do more marketing.

Puneet Gulati: Okay excellent. That is very helpful. Thank you so much and all the best.

Moderator : Thank you. Our next question is from line of Sabri Hazarika from Emkay Global. Please go ahead.

Sabri Hazarika: Good afternoon Sir and congratulations on good set of numbers. So I have two questions. The first one is relating to marketing so from what we understand generally the marketing margin in APM gases something like Rs.200/MSCM which is like around \$0.1 per MMBTU and in LNG it ranges somewhere around 20 cents per MMBTU, so if we do a rough cut calculation we can end up at around Rs.2000 Crores to Rs.2500 Crores kind of marketing EBITA for the year so I am just wondering that when you are like sighting Rs.4000 Crores so does it mean that any of this arbitrage opportunity. They are like more

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Page 7 of 19 recurring in nature or do you think has there been any like material increase in gas marketing margin or anything of that sort that has happened?

Rakesh Kumar Jain: Actually you are arriving at these numbers based on the sales price which includes certain fixed or some fixed kind of marketing margin. That is one part of it, but our portfolio does not include the APM gas and RLNG which we market at fixed margins. Our significant portfolio also includes wherein we have an option and opportunity where we are able to market the gas on a midterm to long term basis on a higher marketing margin than what you have estimated that is one thing, but apart from

the marketing side, it is also sourcing side. I

also narrated during my brief that we are able to do lot of things through which we are able to reduce our cost of gas sold like time swaps, destination swaps, a ship to ship transfers, a lot of things which we do and all these things and then taking this position in financial markets. The paper positions because we have a lot of portfolio available to us. So all these things enables us to have at least a number of Rs.4000 Crores which we have seen in last two to three years because every year when we are giving guidance we are working out these numbers like before we said Rs.3000 Crores we surpassed even the worst kind of situation. This year we said Rs.3500 Crores. We again went back to our calculation and we achieved it and then we have done it. So similarly for next years, we see that the gas marketing volumes are growing. Growth is there in the business and also we are able to take the benefit of lot of options which we are exercising because we have a lot of flexible gas at least from United States.

Sabri Hazarika: Right in marketing volumes will also grow by around 5% to 6% or it will be even more than that?

Rakesh Kumar Jain: We expect getting volume to grow at least by 5% to 6%.

Sabri Hazarika: Okay and second question is relating to your transmission business so the KG basin tariff order just came sometime back and they have like increased the gas cost, gas pricing assumption in the quarter? I think they have taken some long term average of HPHT and also? This is the final or do you think there could be further upside to the gas cost assumption?

Rakesh Kumar Jain: I understand you are talking of KG basin tariff, is that right.

Sabri Hazarika: Yes that is right. I mean that is why they have taken that assumption but does it mean that even for unified tariff and integrated tariff also that assumption may be taken?

Page 8 of 19 Rakesh Kumar Jain: I think you go back to the tariff order. There is no implication of any gas assumption in KG basin tariff because there is no compressor station. There is no fuel consumption in KG basin tariff so that has no link with the tariff of HBJ which is part of the unified tariff where compressor fuel is being used. That is a separate issue.

Sabri Hazarika: I am talking about the gas price?

Rakesh Kumar Jain: Gas price, how will it impact in tariff unless it is used as a compressor fuel or transmission loss. Only these two things happen.

Sabri Hazarika: Okay got it. Got it, Sir. Thank you so much. So it is under review only and will come separately for you?

Rakesh Kumar Jain: Right.

Sabri Hazarika: Thank you so much and all the best.

Moderator : Thank you. Our next question is from line of Maulik Patel from Equirus. Please go ahead.

Maulik Patel: Thanks for the opportunity. Sir a few questions. Sir now you do not have any of this APM gas for your gas transmission business so is this on normalized cost on transmission segment?

Rakesh Kumar Jain: If I understood you, you are telling there is no gas allocation and at what cost we are booking is that right.

Maulik Patel: Yes?

Rakesh Kumar Jain: So since there is no gas allocation we are sourcing the gas for our compressor fuel. We are trying to source the gas from domestic sources to the extent it is available or else we use the RNLG for our compressor fuels which is at prevalent market size.

Maulik Patel: You are using around 1.7 MMSCMD of gas for the compressor business right approximately?

Rakesh Kumar Jain: Right.

Maulik Patel: Now in this quarter onwards it will be in market prices? There is HPHT or it will be in export LNG?

Page 9 of 19 Rakesh Kumar Jain: Right. Export LNG or the gas available out of our portfolio.

Maulik Patel: Okay and Sir when do you expect that order to come now because earlier the assumption was that within

a year the regulator will revisit the assumption what they made into this integrated tariff happened at ~\$3.5 when do you expect that to have it again?

Rakesh Kumar Jain: Actually we are following with PNGRB and we expect them to take a decision soon, but we understand that there is issue of member legal there. Probably that is delaying that process.

Maulik Patel: Got it. Sir last questions, this is on the on the petchem side? Now you have turned into that again profitability and this quarter the spot LNG prices are again lower than the previous quarter? Is this fair to assume that your profitability will substantially improve in this quarter and Sir any update on that the acquisitions what we have done a couple of quarters back that Rs.2000 Crores which we are supposed to spend when do we plan to start operation in that?

Rakesh Kumar Jain: Yes. So it is fair to assume that profitability for petrochemical project or plant where Pata with certainly improve as compared to Q3 and we expect it to be the level of PBT or rather we will be at breakeven level for Pata petrochemicals on yearly basis. Second question is with respect to the plant which we have recently acquired that is erstwhile JBF Petrochemicals. We expect that plant to be commissioned by March 2025.

Maulik Patel: Okay and so will this be around about Rs.2000 Crores in that right?

Rakesh Kumar Jain: We have acquired that through NCLT process at approximate Rs.2100 Crores and then we are expected to incur around Rs.2000 Crores to bring it to the commissioning level.

Maulik Patel: Sir the PDH plant will also commission around that time only next year?

Rakesh Kumar Jain: Yes PDH will be commissioned mechanically by April FY2025.

Maulik Patel: FY2025 so commercial will be take another six more months to complete it?

Rakesh Kumar Jain: Maybe three months.

Maulik Patel: Okay great Sir. Thank you. Thank you very much.

Moderator : Thank you. Our next question is from line of Vikas Jain from CLSA. Please go ahead.

Page 10 of 19 Vikas Jain: Thanks for taking my question Sir. So couple of questions firstly on your volumes? Now this 121 volume that we are seeing, could you just remind us how much of this is outside the main pipeline which is the, the unified pipeline how much of this is outside that like the Kochi, Mangaluru and I think?

Rakesh Kumar Jain: Maybe 10% of the volume is out of the unified network. KKMBPL and KG Basin is the large volume. Rest are very, very minimal. So KG Basin maybe around four to five again this four to five is KG Basin, so 9 to 10 million volume. 8 to 9 and then another Agartala region which are small networks which are not part of this unified tariffs.

Vikas Jain: No because what I am asking is that if the kind of growth that we are talking about, if we are at about 110 or so, we get another 8 to 9 MMSCMD of growth, then we would be already at 75% utilization right for the main network so in that case incremental volume increase could also lead to tariff adjustments or how does that work?

Rakesh Kumar Jain: Vikas you know the tariff regulation. At least we do not expect for few years that incremental volume will lead to reduction in our revenues because regulations are such that any under recovery of past years, we have a right to recover from any over transmission in coming years. So there will be years when we have under recovery. In past we had years so those under recovery will be first offsetting from over supplies if whenever it happens so there is no question even if we reach 75% level that we need to pass on.

Vikas Jain: Okay that is useful clarification and the other thing was this opex that we see for this for gas transmission segment that has gone up significantly so this is because all of this quarter the complete allocation has gone or there was part of it that was around?

Rakesh Kumar Jain: This quarter Vikas the allocation has to

tally gone now in two stages. One I think in October

1st and second is December 16th. So with effect from December 16, we do not have any allocation of APM gas for use in compression fuel.

Vikas Jain: So that is December 16th so next quarter if anything opex will be even higher because why I am asking that Sir is we are right now, I mean last year there was this thing about the opex being one off because there was much higher price for LNG \$40 spot LNG that you had to use and all of that but even now that I see most likely next quarter opex from gas transmission will be at a much higher level because you said that December 16 when it the full effect will be in January to March, is that?

Rakesh Kumar Jain: It will be higher because the quantity reduces only 0.2. Yes it will get higher level, not at much higher.

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Page 11 of 19 Vikas Jain: So 0.2 of a base of 1.7, right?

Rakesh Kumar Jain: Right.

Vikas Jain: So 1.5 say 1.7 so that is what that just so about 10% to 15% kind of an adjustment.

Rakesh Kumar Jain: Yes.

Vikas Jain: And any reason why LPG realizations look a little low? Any reason you can think of that you can because this appears to be a little bit of a discount to what I thought was the market price?

Rakesh Kumar Jain: Can you come back again Vikas?

Vikas Jain: LPG segment realization any reason why they appear to be a bit low or you do not have any specific reason you can think of?

Rakesh Kumar Jain: No we do not have because it is all market driven, import parity price and we do not have any control over it. So there is no specific reason international prices are in that range.

Vikas Jain: Okay and finally where do you see, so when you say this 12 MMSCMD growth that in your opinion is more you are talking because I think you said over the next three years average of 10 to 12 MMSCMD growth is what you see so that is more like we should be thinking of more from a perspective of CAGR rather than specifically next year 10 to 12 MMSCMD coming is that how you think about it?

Rakesh Kumar Jain: Yes let me tell you. Currently there is a disruption in supplies from one of pipeline Dadri to Panipat supply, right. So we expect that three MMSCMD volume at least to come back. Increase in offtake. Every year there is a growth in CGD by 12% to 13% even if you take roughly 70% of our market share three MMSCMD will come from there. IOCL Barauni we expect to come 0.5 and the general increase. So we have the bigger data from where this 10 to 12 will be available. I have given only two to three to you.

Vikas Jain: Why I say that Sir, because 10% increase when you are increasing 10%, Indian gas demand is also rising effectively close to that. That is something that we have not seen for many, many years and there have been?

Rakesh Kumar Jain: You are right. We have not seen. For many, many years the position in our country remained stagnated but this year if you have seen there is a good amount of growth.

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Page 12 of 19 Vikas Jain: Which is of a low base? A lot of those prices sensitive?

Rakesh Kumar Jain: I agree with you.

Vikas Jain: Sir the very high prices of last year due to the spot LNG prices being?

Rakesh Kumar Jain: Right but we expect that is possible.

Vikas Jain: Thank you so much Sir. Thanks a lot.

Moderator : Thank you. Our next question is from line of Vivekanand Subbaraman from Ambit Pvt Limited. Please go ahead.

Vivekanand S: Thank you for the opportunity. I have two questions. The first one is on Petchem business?

Sir, are you able to share the price of gas, the input gas that you sourced in 3Q and what is the assumption that you have made for FY2025 as far as the guidance on full year profitability is concerned? The second thing, could you help us understand the status of the volumes that were under dispute, the shortfall that you had from the Gazprom trading entity

and is there any compensation you received there and resolution plan there? Thank you.

Rakesh Kumar Jain: We expect that firstly, it is not the input gas based on which we can assume that Pata will be profitable on yearly basis. It is a function of both the sales price and also the input gas cost.

So if you were to ask me at based on current level of pricing \$8 to \$9 is a very good price input gas cost for Pata Petrochemical and we are able to source and supply at that level to Pata Petrochemicals. Second assumption is that the pricing levels of petrochemical were low even in this quarter as compared to Q2. Even if you maintain the price level of Q2, which were higher by Rs.8000 per metric tonne, we will be at a good profitable level in Q4 and also the next financial year.

Vivekanand S: Okay so just to clarify at \$8 per...

Rakesh Kumar Jain: Not \$8, it is \$8 to \$9 because it is always varying.

Vivekanand S: At current spreads \$8 to \$9 will be the breakeven point in FY2025 is that?

Rakesh Kumar Jain: Breakeven level is higher than nine. We are able to source and supply 8 to 9 that is what I told.

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Page 13 of 19 Vivekanand S: Sorry I am unable to understand. You said that your petchem business will break even in FY2025? My question was at what input gas price that you are assuming for this break here?

Rakesh Kumar Jain: I never said that our FY2025 we will break even. I said we will be in profit in next financial year first thing. I said that in order to have the profitability we need a function of two things. One is the selling price and second is the input gas cost. We are able to source and supply to Pata Petrochemicals around \$8 to \$9, sometime \$9 to \$9.5 and sometime 8.5 and what I also said that during this quarter our petrochemical prices were low. Even if you compare by Q2 by Rs.8000 per metric tonne, so even if we maintain those prices of Q2 level, we expect those prices to be available and if we are able to supply at \$8 to \$9, we will be not breakeven, we will be in a reasonable profitability for Pata Petrochemical.

Vivekanand S: Understood very clear. My other question is unanswered.

Rakesh Kumar Jain: What is that?

Vivekanand S: That is on the on the gas what is the legal resolution there till now and also on the marketing side?

Rakesh Kumar Jain: Compensation sorry I missed that. So that case is sub judice I cannot say anything on that.

Vivekanand S: Okay and is there any assumption that you have made with respect to any resolution in the guidance given for FY2025 on the marketing side?

Rakesh Kumar Jain: Any?

Vivekanand S: Any resolution and what about the cargoes are we getting it now?

Rakesh Kumar Jain: Anything which are contingent we have not considered.

Vivekanand S: Okay and lastly, are you getting cargoes now from the new entity?

Rakesh Kumar Jain: Yes.

Vivekanand S: Okay but no shortfall is being met, right? The cargoes that were not available?

Rakesh Kumar Jain: Shortfall is not yet supplied by them.

Vivekanand S: Okay all the best.

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Page 14 of 19 Moderator : Thank you. Our next question is from line of Mayank from Morgan Stanley. Please go ahead.

Mayank: Sir this is Mayank. A couple of questions. On the capex side first, can you just talk us through in terms of your full year capex for FY2025 and how much of that will be incrementally now spent on the petchem front and secondly, if you can just talk about a bit around the long term sourcing contracts, obviously you signed one but how does that kind of impact the overall spreads that you were talking about on the marketing side? Thank you.

Rakesh Kumar Jain: The new contracts you are talking about how it will impact.

Mayank: Yes, so when does that impact kick in, in terms of earnings for you I think FY2026 or onwards or does it?

Rakesh Kumar Jain: The supplies are to start from 2026 onwards, so there

fore those impact will only come from 2026 onwards.

Mayank: But Sir will there be back-to-back contracts as well or you think there will be kind of like we have seen over the last five to seven years some of that could be?

Rakesh Kumar Jain: Actually the back-to-back era is over. Though it is always good for you to have a sustainable kind of thing and we also wish to have that. We will try to do that but nowadays you have a lot of opportunities available. It depends what kind of prices you are sourced and what kind of market it is there. There are a lot of markets here so we expect because we have a good price under that contract, we expect to have not back-to-back. We expect to have more than what marketing margin we are earning today.

Mayank: So Sir just out of curiosity in terms of the volumes that you are thinking on a portfolio basis now like in five years time or so, what percentage could look like on back-to-back and what percentage you will take exposure on your balance sheet?

Rakesh Kumar Jain: So it is difficult as on date because of the supplies are to start from 2026. I can share about current portfolios but since it is too far from today, we will start marketing for those contracts now because we have recently signed the contract. So now we will go to the market. We want those contracts to be signed on back-to-back basis with a good margin. Now when we go to the market then only we will be able to know what kind exposure we will be carrying but there will not be any exposure because that is at a very good price we have entered into those contracts.

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Page 15 of 19 Mayank: Got it.

Rakesh Kumar Jain: With respect to your question on capex FY2024-FY2025, we target to incur Rs.17,000 Crores of capex.

Mayank: Yes so Sir, can you just help us give us a bit of a that break up because the numbers are a bit high?

Rakesh Kumar Jain: Around Rs.3000 Crores on pipeline projects, Rs.4400 Crores of petrochemicals and around Rs.3000 Crores we target to incur on net zero, around Rs.750 Crores on operational capex and around Rs.5000 Crores equity contributions to JVs and subsidiaries.

Mayank: And Sir this Petchem capex will be largely driven on the PDH plants as well as the PTA plant? There are no shutdowns or anything for the Pata plant for fiscal year?

Rakesh Kumar Jain: Largely on Usar, whatever capex we will incur for PTA we will be forming part of equity contribution to JV subsidiaries.

Mayank: Okay clear and Sir no major shutdowns or anything planned for FY2025 on Pata correct?

Rakesh Kumar Jain: Now we are not expecting anything like major shutdown. Any routine shutdown may happen but not as of now we have not envisaged.

Mayank: Got it. Thank you.

Moderator : Thank you. Our next question is from line of Manikantha Garre from Franklin Templeton India. Please go ahead.

Manikantha Garre: Thank you providing me the opportunity Sir. I have a couple of questions. One is on the 1 million tonne LNG contract which you have with Vitol recently? Vitol is a commodity trader and this deal is probably different from other deals, any other or any LNG of take in India including you has taken so far? Is there any difference in dealing with the commodity trader versus dealing directly with the ENP Company in terms of probably slow path, destination, flexibility or any other terms because of which you are dealing with the commodity trader now? That is my first question.

Kaviraj: Yes, good afternoon. This is Kaviraj. I am heading LNG Group. To come to your question.

We do not see there will be any difference between an offtake tie up done with directly a producer and the trader or for that matter portfolio okay but different players come with

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Page 16 of 19 different plus and minus okay. In this case, we got a couple of good flexibilities which we thought would be very much useful in our LNG portfol

io. So we went ahead. Nothing significant different from other suppliers.

Manikantha Garre: So can we expect that the slope here also would be more or less in line with what we are doing directly with the producers or there would be any difference there?

Kaviraj: I do not want to say anything on this, but definitely the slope is very competitive. I do not want to give a judgmental qualification saying that it is better than producer or vice versa.

All I can say is it will be very competitive.

Manikantha Garre: Got it. My second question is more of a follow up to what Sabri was asking earlier on gas

marketing side? Sir has mentioned that time swaps and destinations swaps and ship to ship transfers were probably the key reasons for the raise in guidance in gas marketing business and continuous outperformance than what we were expecting but if I have to go back maybe four or five years back also we were doing all of this then also, right? So what is the key change that has happened in these swaps or ship to ship transfers, that has happened over this period if you can throw a bit more color on that and also if you can along with that provide how much percentage or how much of marketing volumes were on swaps on quarterly run rate basis in FY2024 for example versus let us say three years back in FY2020?

Rakesh Kumar Jain: Actually one significant difference what you are asking five years back and today is that largely we were marketing our volume in overseas market because the demand was not to the current level. Now the demand in the domestic market is there and we are able to consume all our sourcing from international market in domestic market. So, when we were doing those swaps largely to mitigate our volume risks not to optimize the cost. That was one factor which is different. Five years back the demand as compared to today was less is that Kaviraj.

Kaviraj: Yes just to add, as our Director (Finance) rightly said in the past, we did swap for a different objective okay but currently we are doing swap as part of our LNG portfolio operations meaning thereby the swap which you do is on a case to case basis. Earlier we used to do a swap for let us say one year or two years, something like that. But today perhaps almost every alternate cargo we try to create value by doing a swap and that is the reason there is a spike in this value. Am I able to answer this?

Manikantha Garre: Yes Sir just an extension to that? Sir has started off with saying that we have transferred more volumes to India versus selling more of them earlier in international market, right so

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Page 17 of 19 do we have to take it that we are able to earn more margins on this India sold volumes relatively than what we were getting earlier when we were selling them on international markets?

Kaviraj: Yes obviously.

Rakesh Kumar Jain: I said during my speech that the marketing margin is not only a function of what price you are marketing. It is also function of what gas cost, cost of gas sold you are able to arrive at. So when we did optimization, we were able to reduce our cost of gas sold significantly. So when one of the analysts were asking that you have fixed kind of marketing margin, we are not able to arrive at so they are working out from top line. I am telling we are able to reduce our cost. So both things have played role not only the gas price at which we market it and at what cost of gas sold, we are able to have our costings so those two things are working and that is how we are able to have good marketing margin and we will continue to do so.

Manikantha Garre: Understand, Sir. If I can just squeeze in one last question related to this only, how many trading hubs have you created currently globally from the gas marketing division?

Kaviraj: We have only one in Singapore.

Manikantha Garre: Okay so apart from India, there is only one in Singapore? Nothing in the US o

r European
markets?

Kaviraj: No US they handle the operation of the LNG contracts. That involves trading of gas, upstream gas whenever we face some operational difficulties. So in true sense it is not a trading hub.

Manikantha Garre: Understand. Thank you so much for answering my questions.

Moderator : Thank you. Our next question is from line of Amarnath from Ministry Of Finance Of Oman. Please go ahead.

Amarnath: My first question was with respect to this value unlocking activities which the management and the board was thinking whether with respect to CGD or with respect to merger or reverse merger with your petrochemical side any update you can give on this regard at the moment?

Rakesh Kumar Jain: Actually we have not come out with any such kind of value creations through disinvestment of CGD or petrochemical. Yes, we are internally evaluating and we will take this call at an

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Page 18 of 19 appropriate time. But till now we have not concluded what we will do about these investments in CGD and there is no thought about petrochemicals.

Amarnath: One thing I am just trying to understand now every year the capital expenditure towards this petro chem side is keep on increasing while the uncertainty relating to that business compared to our main business of gas transmission and marketing is quite high? As you correctly said, the output price is not in our control? The only thing we can do something

with respect to our input price so what is the rationale behind so much of expansion towards the picking side of the business and increasing the overall uncertainty business again?

Rakesh Kumar Jain: The first thing is that Indian demand of petrochemical side is lowest if we compare with the world average per capita consumption and even if we compare with the developed countries like China significantly lower. So let us talk first, there is a demand. Second with respect to uncertainty in terms of realization, the current investment which we are doing in Usar is on PDH PP, the input for which is propane and the output polypropylene is directly having correlation with propane price. So we expect to earn a certain delta of margins between input and output price. So our investment is quite conscious based on long term analysis of input and output price and like we currently have some time uncertainty about the Pata petrochemical and we will have consistent profit in the new investment which we are making for PDH PP.

Amarnath: Sir just to interrupt see making the profit is not all the thing. It is the allocation of the capital and the return on capital employed? Now you can help us to understand compared to the capital allocation towards your main business and compared to that to the petrochemical business, how much return on capital do you earn from that business of the Petchem so far on an average?

Rakesh Kumar Jain: Actually we are there to invest and currently we have been able to win all the authorizations of pipeline which PNGRB we comes out, we are not in a position to decide and lay the pipeline. We certainly can look for any opportunity for investment in pipeline projects but at least that should be available. Currently there is no opportunity available and we are the only entity in last few years who have through PNGRB won all the authorizations. We were rather sometimes single entity to bid and got the authorization. So we are there to invest in our core business that is laying, building, and operating the natural gas pipeline but at the same time, if you find there are opportunities for investment in other business segments which we continue to do because ultimately we have to find growth and if we find that growth in some of the businesses is sustainable so that is how we decide and allocate our capital.

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Page 19 of 19 Amarnath: Yes, I understood but that capital allocation towards your

Petchem which apparently has much lower ROCE is taking your entire companies ROCE quite drastically down? That is the point I just wanted to say?

Rakesh Kumar Jain: Your experience is part of Pata petrochemicals that is how based on the availability of project at Usar which is on a different field. So in order to not to have the uncertainty, we have gone for propane dehydrogenation not gas based plant.

Amarnath: Any idea about this hydrogen plant related investment where we are and also what is your reason with respect to the expansion to that side of the business? Though it is at the very infancy stage relating to hydrogen, but last call I have understood from you that you guys are thinking kind of in diversifications towards this non gas?

Rakesh Kumar Jain: So regarding your question of hydrogen, we are only putting up a pilot project at one of the unit and then you ask why because energy transition is taking place and whether we like it or not the energy transition will happen. So in order to be future ready, so we are as a pilot project we are putting one of the hydrogen plant at one of the units.

Amarnath: Yes okay thank you Sir.

Moderator : Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to Mr. Probal Sen for closing comments.

Probal Sen: Thank you very much. I would like to thank everyone for sparing their valuable time to attend the call and thank you so much to the management for taking the time to give such detailed answers to all of the queries that have been put. Appreciate that. We can end the call now. Have a very nice day. Thank you.

Moderator : Thank you. On behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

1 GAIL Investors' & Analysts' Meet 2024 - Mumbai
17th May 2024

– Mr. Harshvardhan Dole - Vice President, IIFL Securities:

- I am Harsh Dole, I work at IIFL securities. It's my pleasure to host GAIL Senior Management. The GAIL, of course, needs no introduction, India's premier company in the energy value chain. Today, to discuss the Q4 FY 24 as well as FY 24 performance, we have the senior management team of GAIL. During the discussion, they will not only share the performance highlights of the year gone by, but also share some insights into how FY 25, 26, etc. are looking. And of course, subsequent to that, the floor will be open for Q&A.

- The management is represented by Shri Rakesh Kumar Jain, Director of Finance. Shri Jain is a cost management accountant by profession. He has rich and varied experience of around 32 years working in oil and gas sector and as a regulator. Prior to his appointment as Director Finance, he has held position of ED F&A, HOD in GAIL. He also holds position of Chairman in Indraprastha Gas, GAIL Global (USA) amongst other companies. Besides serving a long tenure at GAIL, he was on deputation to PNGRB as a sector regulator. During his stint at PNGRB he was actively engaged in review of tariff regulations, the most critical thing, conceptualization of unified tariff, authorization of CGDs in 9th and 10th round of bidding.

- Next, we have Shri Sanjay Kumar, Director (Marketing). Shri Kumar is a graduate in Mechanical Engineering from IIT KGP. He also holds an MBA. He joined GAIL in 1988 and subsequently has grown up the ranks, working in various functions such as gas marketing, CGD business, LNG sourcing, shipping, business development, transmission and so on and so forth. This cross functional experience has enabled him to gain deep insights into all aspects of GAIL and the entire value chain. Before assuming the charge of Director Marketing, he was Managing Director of IGL, one of the largest city gas distribution companies in India. Presently, apart from being a member of board of GAIL, he is also chairman of GAIL Global (Singapore), Konkan LNG terminal, Bengal Gas Company amongst other companies. Please welcome. (Applause)

- We also have Shri Sashi Menon ED finance. He joined GAIL in the year of 1992. He possesses enriched experience of over three decades in oil and gas sector. He is Head of Finance and Accounts at GAIL. Please welcome Mr. Sashi Menon. (Applause)

- And last but not the least, Shri Praveer Kumar Agrawal. He is B.Tech in Electronics and Communication from IIT Kanpur and also holds an MBA degree in Marketing Management. He joined GAIL in the year 1989 and carries over 30 years of experience in marketing CGD, joint venture functions and so on and so forth. Currently, he holds the 2 position of Director in Central U.P. Gas Limited, while occupying the post of ED Marketing in GAIL, please welcome Mr. Agrawal. (Applause)

- I request Shri Rakesh Kumar Jain to make opening remarks and begin the proceedings. Over to you, sir.

- Mr. Rakesh Kumar Jain – Director Finance, GAIL India Limited:

- Thank you. Harsh. A warm good afternoon to everybody and heartening to see you in such a large gathering. As always, wonderful to meet you all. Yesterday, GAIL has announced its annual results for '23, '24 and Q4 FY 24. Just to give brief highlights of those results. Of course, you must have gone through our results through website and also SEBI website, but just to take you through those results.

- On a yearly basis, GAIL clocked the turnover of ■ 1,30,284 crores against ■ 1,43,976 crores in FY 23, a decrease of 10%. And this decrease is mainly on account of softening of natural gas prices. However, this decrease has been partly offset by an increase in our volume in marketing, transmission, petrochemicals, etc.. The PBT increased by 75% to ■ 11,555 crores as against ■ 6584 crores and PAT by 67% to ■

8836 crores against ■ 5302 crores

last year. The robust performance during FY 24 is primarily driven by better physical performance across all major segments. On a yearly basis, consolidated turnover in FY 24 stood at ■ 1,33,130 crores as against ■ 1,45,531 crores in last year. The consolidated PBT

up by 74% in current financial year to ₹ 12,595 crores as against ₹ 7256 crores in FY 23. The PAT increased by 76% to ₹ 9899 crores as against ₹ 5616 crores in last financial year. During the year, the company has paid a total dividend of ₹5.50 per share amounting to ₹ 3616 crores.

- Now I will take you through the quarterly performance highlights for Q4 24. The gross turnover stood at ₹ 32,250 crores in the Q4, as against ₹ 34,168 crores in Q3 FY 24 and there is a decrease of 6%, mainly due to decrease in price of our LNG in Natural Gas marketing segment. The PBT for the quarter stood at ₹ 2842 crores as against ₹ 3694 crores in Q3 FY 24, mainly due to lower trading margins in gas marketing segment, lower dividend income and increase in depreciation cost due to additional capitalization and revision in residual value of underground pipelines. The PAT during the quarter stood at ₹ 2177 crores as against ₹ 2843 crores in the Q3 of FY 24 for the regions in the indicated.

- Consolidated financials for Q4 as compared to Q3 FY 24, the consolidated turnover in the current quarter stood at ₹ 32,744 crores versus ₹ 34,678 crores in the previous quarter, down by 6%. The PBT in the current quarter is ₹ 3099 crores versus ₹ 4075 crores in Q3 FY 24, down by 24%. The PAT is ₹ 2469 crores versus ₹ 3195 crores in Q3 FY 24, down by 23%.

- Before I take you through the physical performance, I would like to inform you that GAIL Board has approved laying of C2C3 liquid pipeline from Vijaipur to Auraiya, having 3 estimated project cost of ₹ 1792 crores and with a commissioning period of 32 months. This project will enhance the feedstock availability at Pata Petrochemical plants, which in turn augment capacity to almost a million tons of polymer and also reduces energy consumption and carbon footprint. Now I will take you through the physical performance.

- The physical performance on yearly basis, gas marketing volume stood at 98.45 MMSCMD in the current year as against 94.91 MMSCMD in FY 23. Natural gas transmission volume stood at 120.46 MMSCMD in the current financial year as against 107.28 MMSCMD in FY 23. Polymer production stood at 777 TMT as against 442 TMT in Financial Year 23. LHC production stood at 996 TMT as against 934 TMT. LPG transmission stood at 4396 TMT as against 4335 TMT. In terms of quarterly physical performance, gas marketing volume stood at 99.99 MMSCMD in current quarter as against 98.14 MMSCMD previous quarter. Natural gas transmission volume stood at 123.65 MMSCMD in quarter four as against 121.54 MMSCMD in previous quarter, that is Q3. The capacity utilization was 59%. Polymer production stood at 248 TMT as against 205 TMT last quarter. LHC production is stood at 265 TMT against 249 TMT in previous quarter. LPG transmission stood at 1114 TMT as against 1095 TMT in previous quarter. As you know, GAIL has also six CGD directly in its fold. Now, I will take you through the infrastructure and the performance of those CGD's. GAIL is having infrastructure of 189 CNG stations and 3,42,948 DPNG connections as on 31st March, 24 and 6G is allotted to GAIL. During the current quarter that is Q4, 24 new CNG stations and 52,897 new DPNG connections were added. The physical volume for Q4 for these 6 CGDs were 0.33 MMSCMD. In next two years, GAIL targets to add over 80 new CNG stations in six geographical area just I shared with you and 1,50,000 new DPNG connections.

- Now, I will take you through the performance highlights of our own 100% subsidiary, that is GAIL Gas Limited. During financial year 23 -24, turnover of GAIL Gas stood at 10,944 crore

as against ₹ 10,530 crores in financial year 23. There is increase of almost 4% in turnover and this increase is mainly on account of increase in volume CGD segment and CNG and PNG by 16%, and increase in bulk trading volume by 19%. PBT for GAIL Gas increased to ₹434 crores as against 400 crores in financial year 22 -23 and increase of 9%. PAT increased to ₹323 crores as against 297 crores in Financial Year 22 -23. The physical volume during financial year 23 -24 increased to 6.46 MMSCMD from 5.69 MMSCMD in Financial Year 22 -23.

- Now, I will take you through the highlights for quarter four for GAIL Gas. Gross turnover stood at ₹2,853 crores as against ₹3,154 crores in Q3 Financial year 24, decrease of 10% and this decrease is mainly on account of decrease in bulk trading volume by 9% and industrial by 4%. Profit before tax stood at ₹121 crores as against ₹154 crores in Q3 Financial year 24. PAT stood at ₹92 crores as against ₹113 crores in Q3 financial year 24 down by 19%. The physical volume decreased to 6.88 MMSCMD in Q4 financial year 24, decrease of 4% mainly on account of decrease in bulk trading volume by 9% and industrial volume by 4%. During financial year 24, 94 new CNG stations and 68,695 new DPNG connections were added. During financial year 24, 114 new CNG stations and 1,10,103 4 new DPNG connections were added by GAIL Gas. During Q4 financial year 23 -24, GAIL

Gas along with its joint ventures and Subsidiaries added 63,164 new DPNG connections and 79 CNG stations having infrastructure of 9,76,000 GAIL Gas and its group companies DPNG connections and 570 CNG stations. There is another subsidiary of GAIL, which is Bengal Gas Limited. As on 31st March, 2024 Bengal Gas Limited has installed 20 CNG stations, laid 267 kilometer of pipeline, added 5124 DPNG connections.

- During the quarter 4, 7 CNG stations were added and 30 -kilometer pipeline was also installed.

- Now, I will also take you through the project performance. The projects which are taken up by GAIL, Mumbai -Nagpur -Jharsuguda pipeline. As you know this pipeline is of 1,755 kilometer. Activity for laying this pipeline are in full swing and this pipeline in totality is expected to be completed by October 24 and Mumbai, Nagpur section of this pipeline is likely to be completed by June 24, that is next month. Regarding Jagdishpur -Haldia -Bokaro -Dhamra pipeline, this pipeline is of 3289 -kilometer, out of that 2986 kilometer of pipeline have been commissioned and remaining part that is Durgapur, Haldia pipeline is expected to be completed by next month, that is June 24.

- Srikakulam Angul Pipeline, this pipeline is of 420 -kilometer. Work is under progress and likely to be completed by next month, again June 24. Spur lines are anticipated to be completed by September 24. Gurdaspur, Jammu natural gas pipeline, this pipeline is having length of 160 kilometer and likely to be completed by July 26. Dhamra Haldia pipeline, this pipeline is of 253 kilometers of length and this is Odisha section have been completed and remaining part is expected to be completed progressively by again next month June 24.

- Now, I will take you through the other projects which GAIL is taking up. PDHPP at Usar, the capacity of this plant is 500 KTPA, project cost is 11,256 crores, completion date April 25 next year. PPF Pata, the capacity of this plant is 60 KTPA, project cost is 1299 crores, completion date by December 2024.

- IPA at Usar, capacity of this plant is 50 KTPA, project cost is 530 crore, completion date by December 2025.

- GAIL Mangalore Petrochemicals Limited, as you know, this plant we have acquired through NCLT process erstwhile JBF Petrochemicals, capacity of this plant is 1250 KTPA. Project costs 4200 crore and plant again is expected to be completed by March 2025. Total CapEx for financial year 24 is ₹11,425 crore and mainly on pipelines, petrol camps, CGD projects,

operational CapEx, equity contributions etc.

- Now, I will take you through this segmental outlook for short -to-medium term. Natural gas transmission, as you know that and I shared with you just now, average transmission volume for 23 -24 has been 120.46 MMSCMD and this is in line with the guidance which we have been giving like 119-120 MMSCMD, which is actually exceeded those to 120.46. Now, we expect that in coming two years that is this current financial year 24 -25 and 25 -26, our volumes are likely to increase by 10 to 12 MMSCMD on per annum basis that's how we are expecting that this year we may end up with average volume of 130, MMSCMD to 132 and then 25 -26 we may be achieving around 140 to 142 MMSCMD.

- Gas marketing volume, gas marketing businesses exhibited robust performance due to better arbitrage and various optimization measures like destination swap, shipping optimization, time swaps, GAIL clock gas marketing profits of almost 6000 crore - to be precise 5966 crores including one time custom duty receivers of ₹155 crore during financial year 24 and which is in line with our guidance which we revised in during results of Q3 in Earning Call to 5500 crore. Now, we have actually achieved 5966 crores. In terms of next year's guidance, we expect that we will earn marketing margin in the range of 4000 to 4500 crores at least.

- For the gas marketing volume, we expect the gas marketing volume to increase from current level of 98.45 MMSCMD to 105 MMSCMD during financial year 24 -25. Polymer production as you know that petrochemical plant has done significantly better as compared to last year and we have been giving through our various guidances that this financial year we will end up almost at breakeven level and through financials you must have known that we are almost at breakeven level.

- In terms of performance, production stood at 777 TMT as against 442 TMT last year. During the year, we also had gross margin of that is EBITDA level 421 crore as against negative gross margin of 508 crores in financial year 23. Petrochemical segment mainly due to optimization of inputs, improvement of operational efficiency. These results have happened. Further during next financial year, we expect that petrochemical plant will run at a normal level that is around 8,10,000 tons, which will be more than this year and we are likely to earn normal or reasonable amount of profits during 24 -25.

- LHC production stood at 996 TMT as against 934 TMT in financial year 23 and posted a PBT of ₹769 crore during financial year 24. GAIL is also effectively involved in LPG hedging to protect our margins. Basically, we time -to-time see how the futures of propane and

butanes are trading and we lock our margins so as to give a reasonable stability to our profitability.

- Renewable energy, GAIL has a very modest presence in renewable energy. Currently, we have 134.7 MW of alternative energy out of which 118 MW is wind energy projects and 16.7 MW are solar energy projects including smaller units. Company has set a target for itself for setting up 1 -3 GW of renewable energy by 2030, that is additional 1 GW by 2025 and another 2 GW by 2030.

- This is all from my side and thank you very much once again for joining us here taking interest in GAIL. Thank you.

- Mr. Harshvardhan Dole - Vice President, IIFL Securities:

6 - I would request the officials of GAIL to take ahead the proceedings through presentation. Anjana Ma'am, please.

- Ms. Anjana Sanjeeva -- General Manager Finance, GAIL India Limited:

- Good Afternoon. On behalf of GAIL, I welcome all the investors and analysts to this Meet for results of FY23-24. So, this is the Safe Harbor statement. Moving ahead, mission of the company is enhancing quality of life through clean energy and beyond and be the leader in natural gas value chain and beyond with global presence creating value with global - creati

ng value for stakeholders with environmental responsibility. So, this is our company's vision. This is the broad outline of the presentation. We'll start with company overview, take you through the performance highlights, then we'll have a look at the industry outlook and strategy.

- Company Overview. Major business portfolios. So, GAIL is having 16,240 kilometers of NG pipeline network and the long-term portfolio of 15.5 MMTPA of natural gas. In petrochemicals, we have a capacity of 8,10,000 tons at Pata and 280 tons at BCPL. In the LPG and liquid hydrocarbons, we have 5 processing plants with a total capacity of 1.4 MMTPA and 4.58 MMTPA of LPG transmission capacity. In the E&P, we have participation in 13 blocks and presence in US and Myanmar.

- Renewables, we have a total renewable share of 135 MW, including wind and solar.

- GAIL is present in 72 GAs out of total 307 GAs through its own and with associates and JVs. So, this is our global presence and we are present in Russia, US, Egypt, Singapore, Myanmar, and China. This is the shareholding pattern of GAIL as on 31st March, 24. Out of total paid up equity share capital of ₹ 6575.1 crores, 51.52% is held by Government of India, President of India, 14% is by FPIs, and rest is by banks, mutual funds, oil PSUs, LIC and others. The market cap of the company as on 31st March, 24, stood at ₹ 1,19,108 crores. GAIL's Market Cap crossed 1 trillion mark for the first time and share price touched all time high of ₹ 196.35 on BSE during 23 -24. During 23 -24, GAIL paid a dividend at the rate of 55% total ₹ 3616 crores that is ₹ 5.50 paise per share.

- Moving on to performance analysis. Major highlights of the FY23 -24. GAIL secured an excellent MOU rating for FY22 -23 from DPE. GAIL's asset and market cap surpassed 1 trillion mark. GAIL paid a dividend of 55% of the paid-up capital for FY24. We received nil comments from CAG for the accounts of 22 -23 that is 14th in a year in a row. GAIL achieved highest ever annual gas transmission volume of 120.46 MMSCMD. GAIL has entered into long-term agreement with M/s Vital Asia and ADNOC LNG for an aggregate volume of approximately 1.53 MMTPA of volumes starting 2026. We achieved highest ever total annual LPG transmission volume of 4.395 MMTPA in FY23 -24. GAIL Vijapur secured first position with National Award for Excellence in Cost Management from the ICM in manufacturing sector.

7 - GAIL signed an agreement with BPCL for 15-year supply of propane for upcoming petrochemical plant at Usar. GAIL was conferred with authorized economic operator AEO Tier 3 status, which is the highest level of accreditation. Qatar Energy LNG and Petronet LNG Limited signed an LNG SPA of 7.5 MMTPA in February 2024 out of which 4.5 MMTPA is for GAIL. GAIL's credit rating, domestic AAA with stable outlook, International Baa3 with Stable outlook (Moody's) and triple BBB negative with stable outlook Fitch that is capped to Sovereign Rating of India. Moving on to physical performance. We sold a total volume of 98 MMSCMD as against 95 MMSCMD in FY23 and we transmitted a total volume of approximately 120 MMSCMD in FY24. Petrochemical sales stood at 787, which is back to normal levels.

- Liquid hydrocarbon sale stood at 998000 tons. LPG transmission was 4396000 tons, which is showing a rising trend, and the gas marketing mix, 38% is my APM. Then, we have RLNG spot midterm and overseas sales, which we are making. Similar is the gas transmission mix, which includes my domestic gas and RLNG. In the natural gas sector wise supply, 44% is my domestic gas and in FY23 there was a mix of 44% domestic and 44% RLNG and 13% was my overseas sales out of which major chunk was consumed by fertilizer 38%, power 10%, and CGD 25%. The mix has changed to 51% is RLNG, 41% is domestic, and my overseas sales has gone down to a number of 8%. Overseas sale is shifted to domestic

market due to

o increased demand by fertilizer, power, and CGD sectors. The fertilizer demand has increased, so is the power and CGD demand.

- Over to financial performance. My turnover is down from ₹ 1,43,976 to ₹ 1,30,284. However, my EBITDA margin is up by 66%, PBT is up by 75% and PAT is up by 67% to ₹ 8836 crores. These are some of the - one of transactions for FY23 -24. In the Gas Marketing segment, there is positive one-off totaling to ₹234 crores of some indirect tax refunds. In my gas transmission segment, there is a negative one-off of ₹346 crores on account of we booked a higher price gas and some provisioning we made in some cases. In petrochemical segment, there is a positive one-off of ₹178 crores and other segment, there's a negative one-off of Rs. 110 crores. This is how my balance sheet looks like as on 31st March, 2024. The total assets stood at ₹1,09,528 crores. Non-current assets worth Rs. 91,000 crores and current assets totaling ₹18,528 crores. Capital employed stood at ₹85,446 crores. My net worth stood at ₹56,131 crores and long-term loans outstanding were ₹13,513 crores.

- Moving on to key financial ratios. My PAT to Net Worth jumped from 10% to 16%. Return on capital employed rose from 10% to 14%. Debt to equity ratios to that 0.29 times. My share price was at 181 as on 31st March, 2024. Earnings per share increased from ₹8 to ₹13 per share and my market capitalization was 1,19,108.

- My financial performance. Overall financial performance, consolidated basis. My turnover stood at ₹1,33,130 crores as against ₹ 1,45,531 crores. My gross margin increased from ₹10,323 crores to ₹16,986 crores and my PBT increased from ₹7,256 crores to ₹12,595 crores, an increase of 74% and my PAT increased from ₹5,616 Crores to ₹9,899 crores, an increase of 76%. This is the revenue reconciliation on consolidated basis. This includes GAIL and other associates' revenue, which after elimination it is ₹1,33,500 crores and similar is the PAT reconciliation with our JVs and associates. After fine adjustment consolidated PAT is ₹9,899 crores.

- This is my capital expenditure profile. In FY23 -24, there was a total CapEx of ₹11,426 crores out of which around 30% is on pipelines, 30% is on petrochemicals, and another 29% -30% is on operational CapEx, equity contribution, and others. My projection for next year is around ₹11,500 crores out of which ₹2,650 crores on pipelines, ₹5,200 crores on petrochemicals, and ₹2,100 crores on equity contribution, operational CapEx, and others. This is my ongoing projects, major projects, which are ongoing. Some are commissioned, some are ongoing.

- So, there are main 5 pipelines we are expecting to be commissioned in this financial year. Durgapur -Haldia pipeline, Dhamra -Haldia pipeline, KKMBPL 2, Srikakulam -Angul pipeline, Mumbai -Nagpur -Jharsuguda pipeline, and another 610 KTA petrochemicals project at Usar and Pata. They are under various stages of project execution and total approved CapEx on this account is ₹13,000 crores for ongoing projects.

- GAIL is included in F TSE Good Index 4 series for the sixth time in a row. Affirming the company's strong commitments towards environmental, social, and governance practice in oil and gas sector. We have target to be net 0 by 2040 and we are actively taking steps towards ESG. These are our CSR initiatives. We have GAIL Unnati, Saksham for differently abled. We have Arogya for health and sanitation. We have Ujjwal for education. We have Harit for environmental. Then we have Kaushal for skill development and Sashakt, this is towards women empowerment. We spent a total of 175.71 crores under CSR initiatives for FY23 -24, which amounts to 2.4% of our last three years average profits. Our major CSR highlights are; 210 meritorious and marginalized students received residential coaching at GAIL Utkarsh Centers at Kanpur, Varanasi, and Haldwani. GAIL Ka

ushal, 760

candidates trained at GAIL Institute of Skill at Rajahmundry and Guna. 229 candidates were trained in plastic product manufacturing. GAIL provided support to 536 candidates at Skill Development Institute, Raebareli. 40 mobile medical units operated across 22 districts in 11 states of India. Further GAIL is supporting the hospital extension at Badrinath Dham. In FY23 -24, GAILs CSR has supported and impacted more than 10 lakh lives through CSR initiatives.

- Now, we'll take you through the industry outlook and I'll request Mr. Praveer to take you through the industry outlook.

- Mr. Praveer Agrawal – Executive Director Marketing, GAIL India Limited:

- Good afternoon. I welcome all of you to this Investors and Analyst Meet. On behalf of GAIL, a warm welcome to you. I'll take you through the industry outlook of natural gas segment. We find that the global energy system is evolving continuously across the world. New energy policies are you know, every country is thinking of new policies. The transition to 0 carbon technology is going on, energy security concerns are there because of various geopolitical concerns also, and of course there is an economic and population

growth which is also going to drive the - it is going to result in further you know evolution of global energy balance. Some tensions in energy markets have receded recently, but, however, numerous risks still remain and the current relative calm may not last.

Continuing fighting in Ukraine and risk of protected conflict in Middle East and also periods of extreme weather major hazard. They're all major hazard for energy security. The pattern of investments in recent years, they are towards more electrified, renewable rich energy systems. Energy transitions do not bring an end to traditional risks and so global oil and gas trade is increasingly focused on flows between Middle East and Asia and find that there are risks in this region in transportation of LNG.

- We find that energy security is a vital element for fuel importing countries and similarly, the Industrial strategies and clean economy vision are equally important. Natural gas is a key bridge fuel for renewable energy mix transition and will continue to play a crucial role in energy security. If we look at the gas demand, we find that the buyers pursue long - term supply for energy security and there was upswing in contracting. If we look at the graph, we find that in last two or three years they were more long -term contracts and shows the industries commitment to LNG. Milder winter, high gas storage levels, modest economic recovery in China, and lower demand in Europe they all help balance the global gas market during 2023. Lower spot prices, increased buying in more price sensitive markets throughout Asia. So, whenever the spot prices go down, there is increase in price sensitive markets and there is limited new supply, which has kept the prices high. So, so there is a delicate balance between these two. Starting 2025, we find that there will be good surge in new LNG projects and it is set to tip the balance of the markets and concerns about the natural gas supply and it is expected that almost 250 BCMs of new projects will be added. The liquefaction capacity will be added by 2030 and out of these more than half of new projects are either in USA or Qatar. We also find that there is going to be declining domestic gas in some of the Asian countries and also, they'll be growing power demand. So, basically the gas consumption in South and Southeast Asia will be increasing with time. So, the global energy market will continue going into 2040s and maybe later than that and mostly driven by industrial decarbonization and in strengthening demand in Asian countries.

- The primary energy mix if we look at that, we find that the gas is ~54 MMSCMD. It is about 6.45% and it is around 54 MTOE and it is slated to increase in future and as we

expect that it might grow up to 15% in future. So, the Indian energy scenario, if you look at it, the decarbonization target is 2070. 500 GW non fossil fuel based power generation capacity is there and energy self-reliance by 2047, that is what we are targeting at. So energy demand in India is growing rapidly and primary energy consumption is expected to more than double by 2050. As we find that as the country grows and as people get more disposable income, the energy demand continuously grows and that, if the basket of energy will grow and if within that, the part of natural gas will further grow, so it will bring lot of growth to natural gas sector. Energy demand in India is growing rapidly and primary energy consumption is expected to more than double by 2050.

- India's role in global oil market is expected to expand substantially towards 2030 with significant implications for its oil trade balance, climate ambitions and energy security goals. So there will be healthy economic expansions and dynamic population, urbanization and industrialization growth. As industries grow, the demand for gas will also grow. India's growth critically depends on energy security. India's expenditure on energy imports is present at 20% of the annual budget and our growth to world transitions its energy ecosystems, so basically what is happening is that the cost is laying very close to the growth of gas.

- The government has made considerable headway with energy reforms and continues to focus on greater energy security, infrastructure development and market liberalization. This is about the historical scenario of gas. There has been sort of muted growth. Last year FY24, we saw almost 187MMSCMD of gas consumption across India and we can see almost 50% of it was imported gas and 50% was net domestic production which included the recent addition of HPHT (high pressure high temperature) gas from KG Basin & if you look at the sectoral break-up of this, we find that fertilizers are the major consumers and then apart from that, there are other sectors like power, CGDs and others. And we find that the CGD sector is the main growth driver and it is expected that the growth in that sector will be around 20% or more, depending on the policy interventions.

- If we look at natural gas consumption in India, India is the 4th largest LNG market and will be one of the biggest drivers for future LNG demand growth although we are almost 15th in total gas consumption in the world. But in LNG market, we are 4th largest in the world

and Indian buyers announced almost 11.65MMTPA of sales purchase agreements since 2023. Part of it was mentioned in the last presentation and that was around, that was about 7.5 MMTPA contract which was signed by PLL. So recent signings have narrowed the gap between contractual supply and demand, increasing demand and peaking domestic gas production and there is a need for more term deals to reduce exposure to the spot market. So as and when, we find that growth is there, we will go for more deals. There is a requirement for more long-term deals to reduce the exposure to spot market.

- India's current policies focus on fuel switching through promotion of natural gas. Government is making all efforts to improve affordability of natural gas. You might have heard about Unified tariff. So Unified Tariff is there in the pipeline transportation. So what happens is, if the distance is beyond a certain limit, if it is more than 1200kms, the cost of transportation remains the same. So there are 3 zones upto 300 kms, there is a particular rate. From 300kms to 1200kms, there is another rate. From 1200kms onwards, the rate is same. So that.....so all those regions which are very far away, the tariff will remain same, if they are beyond 1200 kms. So apart from that, the natural gas pricing was linked with the crude oil prices for the domestic

gas and that there is significant decrease in prices of PNG for households and CNG for transportation. Also government mandated HPHT Gas, 11 they gave certain set of guidelines wherein they prioritize the CGD sector and their bids for their own CNGT and PNGD consumptions and then the 2nd priority was to fertilizer plants and then LPG producers and power plants. And also they capped trader's margins to restrict hefty margin being charged to downstream customers. So all these things and several other things are being done by government to improve affordability of natural gas for Indian customers. Domestic gas production is witnessing a rising trend. So the HPHT gas, we find that further growth is anticipated with more fields expected to come online and increase availability of domestic gas. It will improve, it will reduce basically the import quantities and also we find that lot of gas is available North East which we expect to come, to be used, more of usage for that gas will be there in the near future.

- We find that India, One Nation - One Grid concept is increasingly being brought to reality. We find that with the green lines, when they are actually laid, so almost all of India will be covered through various criss cross pipelines and there will be a more robust grid. Already there is a grid kind of thing wherein the gas supply is done through various sources and one kind of gas can travel to other parts of the grid. But going forward, the connectivities are going to increase and which will result in better reliability of gas across India.

- If we move to the next part, we find that in city gas distribution, a very good ecosystem has been made. In the entire India, we look at the green part, it was almost 300 geographical areas were awarded to various entities and then in the 12th round, remaining 7 GAs were.....almost 99-100% land of India has been, various geographical areas have been made and they have been awarded to various entities across India and each of those entities are working for their segments, basically 4 segments - PNG Domestic, CNG Transportation and C&I Commercial and Industrial Sectors. So they are all working on those sectors. CNG stations, almost 6000 CNG stations are there which are selected to grow to 18000 till 2030 and DPNG connections, almost 1.25cr. connections are there which are, which may increase upto, even 10 times of that in the next 5-6yrs. So with increased focus of governmental CGD sector, it is expected that the growth will be there as I said, maybe more than 12% of that and we will be beneficiary of that because we are also sort of wholesaler to them. we supply the gas to most of these CGD entities and also we are having almost 72 GAs through our own companies, subsidiaries and joint ventures

- Now coming to petrochemical business outlook, India's per capita consumption of plastics is just 14kg versus China's per capita consumption of 83kgs. You can see how much potential is there. World average per capita consumption is also 39kgs while US consumes as high as 93kgs per capita. So we are at 14 and world average is at 39 and China is at 83, USA is 93. So lot of growth potential is there in petrochemical business. India's per capita consumption is at the lowest in Asia. Future polymer demand growth in India is estimated at 8-9% per annum. Indian polypropylene PP market grew at 18% and 8.5 % respectively in 2023-24. We sold almost 1000 KTA of polymers, out of which around 800 KTA of GAIL 12 and 250 KTA of BCPL, we market that quantity. The polymer capacity enhancement is under progress and the details have been given by the management.

- And also, we will be doing lot of diversification in PTA etc. So growth drivers are there for

petrochemical business. Because of per capita consumption being low as well as lot of capacity addition which is being done, so it is expected that there will be good growth in top line as well as bottom line for GAIL.

- Now coming to next part, we find that in bio gas, GAIL is doing quite well. We have already given 403 Letters of Intent to various companies and also we are market leader in bio gas through our innovative CBD -CGD Synchronization scheme. You might have heard about this, through this scheme we buy gas. Anybody process bio gas in India, GAIL has a scheme wherein we buy that gas and sell it to local city distribution companies. So more than 80 tripartite agreements we have signed with city gas companies and in last 1yr., the volume of biogas has grown almost by 7 -8 times, although the numbers are low, the base is small but still we are the market leaders in bio gas marketing. Apart from that, we have the target to setup almost 26 plants within few years and we have also formed a JV with one of the companies.

- We come to hydrogen. We have already tested hydrogen blending in one of the JVs and the best thing about gas is that, it is.....in case in future any company wants to switch over to renewables like bio LNG or biogas or hydrogen or green ammonia or syngas, whatever options they want to choose, the natural gas pipeline will be very useful to them. So that is one of the reasons why many industries which are planning to become future ready. They find that it is better to switch to gas now so that in future they are, they will be able to switch to any of these fuels including of course natural gas whenever it is the technology is such that the cost effectiveness is there. and also we are setting up one 10 megawatt electrolyser for production of hydrogen in Vijaipur. So that is there.

- Apart from this, in renewable energy, we have total installed RE capacity is 118 megawatt in wind and 14 megawatt in solar power. And apart from that, we have a target of almost 1 GW by 2025 and 3 GW renewable energy installed capacity by 2030. There are ongoing 2.64 megawatt rooftop solar plant at Pata and 1.8 megawatt ground mounted solar plant at Vijaipur. 3 megawatt capacity solar rooftop plants are also being installed at various stations.

- Now coming to the next part, which is small scale LNG, we have been pioneer of that in India. We have already installed 2 small scale LNG plants in Vijaipur. We have also signed an MOU with Galileo for manufacturing of skids in India. The truck loading facility at Dabhol, so there are 2 truck loading bays etc. Apart from this, for small scale LNG, we are also planning a pilot project very soon for biogas. So all those places where the distance is more than 75kms and if the volume is more than a certain amount, then we are planning to start a pilot project so that is also, we have requested MOPNG to give permission for that. The LNG and CNG transportation promotion of gas in heavy transport, mining etc., 13 pilot project has been executed on dual fuel LNG in mining. LNG, CNG, dispensing stations at Nasik, Savrolli, Ajmer, Mandideep, Bhubhaneshwar, Cuttack. So basically the ecosystem for LNG, in LNG is being made and CNG infra in Varanasi is also very special because we use, we converted a lot of boats to CNG, almost 738 boats are running on CNG.

- Then I also wanted to tell you all that about the energy security that we have recently secured some volumes from across the world. From VITOL, we have signed 1 MMTPA agreement from 2026 onwards till 2036. We also signed an agreement for 0.53 MMTPA volume ADNOC Gas UAE till the year 2036. Again and as I said that, the Qatar Energy and PLL agreement renewal has already been done and we have chartered a long term vessel, GAIL Urja which is scheduled to be delivered soon. So these are various activities GAIL has done for ensuring the energy security. So that's all from us. These are the touch points for our communication with you all.

- Mr. Harshvardhan Dole - Vice President, IIFL Securities:

- Thank you, thank you for taking us through the key

highlights as well as the key initiative

that GAIL intends to take. Ladies and gentlemen, the floor is open for Q&A. My one request, as you ask the question, I would request you to pronounce your name and the organization that you represent while asking the question. Over to you.

- Mr. Nitin – INOQUEST Advisors Pvt. Ltd.:

- Ya, my name is Nitin from Inoquest Advisors. Can you share whatever last initiatives you have shared about 1000cr., where we are putting money in the next 3 -5yrs. and what are thebecause majority of the revenues will start flowing in after 26. So when do we see the revenue flowing in number? What are the expected numbers from beyond 26? Majority will be electrolyzers and green hydrogen related initiative, Qatar and other things.

- Mr. Rakesh Kumar Jain – Director Finance, GAIL India Limited:

- You want to know where we are incurring capex in the coming 3yrs.?

- Mr. Nitin – INOQUEST Advisors Pvt. Ltd.:

- Ya, coming 3 yrs. for 25 -26-27, where we are spending for the new initiatives.

- Mr. Rakesh Kumar Jain – Director Finance, GAIL India Limited:

- Ok, new initiatives.

14 - Mr. Nitin – INOQUEST Advisors Pvt. Ltd.:

- Ya.

- Mr. Rakesh Kumar Jain – Director Finance, GAIL India Limited:

- So currently, as my colleague has informed that new initiative includes one of the initiatives, hydrogen. So as on date, we are putting only the pilot plant. There is 10MW PAM based technology, 4.3 metric tonnes of hydrogen production every day. So since we are putting this as a pilot plant and then we will see what are the economics and where from demands are. So then we will take it forward. So as on date, there is no definitive capex plan for this initiative. Renewable energy he said but we will not say renewable energy as initiative, this is our stated statement that we have planned to invest from in renewable energy upto 3 GWs by 2030 and we plan to invest for 1 GW by 2025. We have been taking lot of initiative in this regard. We are looking for opportunities for acquisitions of already existing assets. We are evaluating, where we feel that it meets our stated statement and also the commercials are viable. We are also looking for putting up green field project on our own. Small scale LNG, he has said, it's not a kind of new energy. It is actually, we are putting in 2 plants to take the gas or take the gas from where pipeline is not accessible, gas are not transportable. There we have an intent to invest more. What we have done, we have commissioned these two and now based on the assessment of requirement, where gas is available, as I said, the isolated fields so that we will see that those gas can be monetized and how and at what price available. Because those gas we are not able to take it. secondly, where we can take those gases, where pipelines are not accessible. So we have planned certainly to invest. Those are not very heavy investments considering the size of GAIL because in 2 plants, we have invested almost 150cr., 75cr. rupees each. So we will certainly look forward for an opportunity in this area and do that. I think these are the 2 new initiatives you said and anything else you want to add?

- Mr. Nitin – INOQUEST Advisors Pvt. Ltd.:

- Something on Qatar ADNOC, if you can share something more?

- Mr. Rakesh Kumar Jain – Director Finance, GAIL India Limited:

- I think my colleague director, Director Marketing will be a better person to share on this.

- Mr. Sanjay Kumar – Director Marketing, GAIL India Limited:

- These are not new initiatives. New initiatives, we are also like people who are putting their foot in this business area and like many others, we don't know how hydrogen will pan out. Nobody knows in fact. Renewables are a necessity as my Director Finance told, we will definitely invest in that. Qatar and ADNOC are new LNG sourcing. We have added 15 about 10mn cubic metres of gas to our

portfolio, about 8mn cubic metres of gas I think which will start in the next 4yrs. Definitely in 4yrs., maybe in 3yrs. also. This is basically

for our cash cow, the gas business. So there directly, the revenue will increase, the profitability will increase because the volumes that we are planning to add some more LNG sourcing in our portfolio so that the gas volume grows and we maintain our market share or even exceed it, both in marketing as well as in transmission.

- Mr. Andrey Purshottam – Cogito Advisors LLP:

- My name is Andrey Purshottam. We are part of Cogito Advisors, which is a family office which my wife Sangita and I, invest in equity in the Indian market. I have 2 questions. One is relating to elaboration of your global outlook on natural gas. My limited understanding of this business is that the demand in India is very price elastic. So it is both elastic to the price of gas and relative to other liquidated hydrocarbons. Now if the supply demand situation in the global scenario is such that America, maybe Qatar possibly is going to increase supply of gas, there are going to be more export terminals etc., will this lead to substantial decrease in the price of gas in terms of the next 12 months? And therefore in that context, would your volume increase about 10 % or so that you have planned for next year, appear a little conservative? So my question is really, could you and how will the global scenario change if for any reason there is a resolution on the Ukraine Russia conflict? How does the dynamics of the situation change?

- Mr. Sanjay Kumar – Director Marketing, GAIL India Limited:

- I think we may be conservative if all these things sort out. The 10% may become much more, the growth maybe more pronounced than that. We also understand that if based on the volumes of US and Qatar which is likely to come in the market in the next 3 -4yrs., the market would remain, the LNG prices would remain within a range, you know below \$10. Whenever the prices have been stable, \$8 or \$9 or \$10, the market in India has grown like anything. we also have a lot of business outside India. So we maintain that we should grow by more than 10% in the next few years if the prices are within range. All the geo politics is pointing towards that.

- Your other question was about, what if the Ukraine crisis was sorted out? It has already become a non -event now, non -issue now. It is no more an issue. Europeans have managed their supply without Russian supplies now. 140 BCM has now I think gone down to 30 BCM this year and it is not impacting the total LNG market. Time has sorted out that problem and the good efforts of the Europeans.

- Mr. Andrey Purshottam – Cogito Advisors LLP:

- Europe is not likely to resume its gas purchase from Russia is what the understanding on the political stances. So if that gas, if the Russian gas gets diverted to countries like India, it would further increase supply. Right? And therefore reduce prices.

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- Mr. Sanjay Kumar – Director Marketing, GAIL India Limited:

- Very unlikely that we get Russian gas through pipeline and GAIL is a very active player in LNG market. So LNG market is.....I am not referring to any political statement about sanction and this and that but the total LNG market is impacted by any over -supply or any under supply. Even when one plant goes into maintenance, unscheduled maintenance, the prices shoot up \$1 or \$2 because LNG is basically a very, not a very wide market, not a very deep market. One cargo is 3.5 TBT or something like that. It's a lumpy volume but the numbers are very low. As compared to crude oil, the gas trading is not so pronounced yet in the world. So any over supply will bring down the LNG prices which will go towards \$7 or something like that but don't forget that LNG market is a highly cyclic market. It actually behaves in a curve. Since the oversupply is going to come from Qatar and

and from

US, the market is already discounting that. The prices that you see today, 2 yrs. ago, the prices at this time were about \$20, you know, 40,50,60\$, \$70. Today the prices are at \$10. The markets are already discounting that kind of scenario that there is an oversupply and that is why, there was one problem and the prices went up by 2.5\$ in the last one month.

- Mr. Andrey Purshottam – Cogito Advisors LLP:

- Sir, my 2nd question was on the renewables. Now you talked about a 3 GW ambition by 2030. And if you set the seconds, the fact that India's demand in 2030 is slated to about 900 GWs. My question really relates us to , are your efforts really material in this market

and why not focus on your core business of gas? What does your emphasis on renewables bring to the party apart from efforts towards a cleaner environment etc. and softer goals? Why are you in this business?

- Mr. Sanjay Kumar – Director Marketing, GAIL India Limited:

- Main reply will be given by Director Finance but we never said that we are leaving our core business of gas or we are reducing our focus on that. It will continue to be our main business. If tomorrow we are moving towards Viksit Bharat, in 2047, we foresee ourselves as a very big company. I would not go into the figures because there might be implications on that and the volumes are also multiplying like that.

- Mr. Andrey Purshottam – Cogito Advisors LLP:

- That is not my implication. My implication is, why are you in this business at all when such a large business.....?

- Mr. Sanjay Kumar – Director Marketing, GAIL India Limited:

- 3 GWs, you said it is against 900, 3 GW is not a big share. Is it worthwhile to be there?
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- Mr. Rakesh Kumar Jain – Director Finance, GAIL India Limited:

- You are right. If you see 3 GWs, if we actually reach to that level, we are saying that we have is not material. But you see, we are conscious of 2-3 facts. One that, currently we are in the core business, that is gas and we know that gas has a longer life than any other fossil fuel. Even if we go by various studies, gas has a life even beyond 2050. Till that, it will at least go on increasing. But we as a responsible organization want to go into the alternative energy so that we can at least start with, begin with, have experience with this small investment, that's why we are also going in hydrogen and we make ourselves future ready when this requirement increases so much. So if you think that you are in a business which is core business going to last for so many years and then you start after 50yrs. or 30yrs., then you all of a sudden find that you are nowhere. So we as a responsible organization wants to have those capabilities develop with us and when it so requires, we switch over full on.

- Mr. Andrey Purshottam – Cogito Advisors LLP:

- Thank you Sir.

- Mr. Sanjay Kumar – Director Marketing, GAIL India Limited:

- See, one point my Director Finance missed, this is also required for our net zero ambition. See, by 2035, we want to make our scope 1 and 2 zero (100% reduction) and scope 3 by 35% reduction. This is an important step towards that. That figure is basically linked to that, 3 GWs.

- Mr. Yogesh – Dolat Capital:

- Sir, Yogesh here from Dolat Capital.

- Mr. Praveer Agrawal – Executive Director Marketing, GAIL India Limited:

- I just want to add to that. See, there are renewable electrons which is electricity and renewable molecules. So in renewable molecules, there are 2 kinds of things – either liquid or gas. So liquid already, people are working on liquids, ethanol is there. But in renewable gas, CBG will be there, green hydrogen will be there, green ammonia will be there and then of course there may be, at least these 3 things will be there, in future some other things may also be there. So one of the main components will be renewable biogas. In that we have, apart from investing

ourselves and making or producing biogas, we have come up with a scheme where we don't have, we have not done a lot of investment but basically we have made a software, we have made a portal wherein various, all the producers, any producer of biogas in India can sell gas to GAIL and we do a lot of value addition in that and then that gas is sold to local CGT entity and we are already market leader in that. We have more than 50%, more than 60-70% of the market share in that. So

biogas for hydrogen, already as Sir said that we have already made our plant, one plant we have made for testing. We have already in the pipeline, we have tested upto 5% and 5% of 180mn is also a huge amount. So in future, whenever hydrogen comes, from wherever across the world, we are able to procure hydrogen or in India if green hydrogen is made, we will be making our pipelines ready for hydrogen and whenever ammonia comes or whatever. So in renewable, gaseous molecules, we are and we would like to remain market leader. So that's it from my side.

- Mr. Yogesh – Dolat Capital:

- Ya Sir, Yogesh here from Dolat Capital. So the questions are related to the regulatory side. So recently we have seen PNGRB board member has made a statement that the GAIL's gas pipeline capacities are revised and the new integrated tariff pipelines will be finalized soon. That's the one thing. So can you throw some light on that side? That's one question. 2nd question is again, last year only the PNGRB has finalized the integrated pipeline tariff, Rs.58 per MMB TU and we are realizing little bit higher, close to Rs.66 per MMB TU. So will it get affected in the new revision? So what will be the impact? So can you throw some light on both these questions?

- Mr. Rakesh Kumar Jain – Director Finance, GAIL India Limited:

– So our tariff was announced in March 2022 and applicable from 1st April 2023. In terms of regulatory provisions, tariffs to be revised in three years, and it can be revised prior to that if there are major changes in the parameters based on which tariff was revised. This can be done either on our initiation or PNGRB can take suo motu call.

– So when our tariff was revised, I am talking in terms of capacity, the capacity considered by PNGRB was on higher side as compared to the capacity determined by PNGRB now. I think PNGRB must have web hosted the revised capacity for integrated pipeline. The revised capacity determined by PNGRB is on lower side as compared to the capacity considered by PNGRB in tariff revision. So if tariff revision on account of capacity is done, then we have positive on that side.

– Second, our tariff, when it was notified in March 2022 and applicable from 1st April, soon after the announcement of tariff, we submitted our grievances, our submissions that PNGRB has moderated on certain parameters, but which we are not agreeing with. And one of the significant parameter is consideration of fuel gas price which PNGRB considered \$3.61 per MMB TU. And as you know that even APM price is not \$3.61 per MMB TU. And currently, GAIL has no allocation of APM gas price.

– Third, order itself says that HPHT price can be considered for the fuel consumption and HPHT price is around \$10. Therefore, that revision is actually available to us. So we soon after filed an appeal. That appeal is under consideration by PNGRB. We understand in the absence of member legal, that is not processed. Meanwhile, PNGRB has issued GSPL tariff order which considered the higher price than the price given to us. So that delta is available to us. That single factor, I am not talking of all other moderations... that single factor itself gives, on NPV basis, at least 7 to 8 rupees per MMB TU. I am not even talking of capacity consideration by PNGRB. Therefore, there is a positive available to us in terms of tariff revision. That is one thing.

– Second, the question that we are realizing Rs. 66,

I think that figure is not correct. Our

tariff announced by PNGRB is 58 rupees 60 paise. We might be earning around Rs. 60 or Rs. 59 or Rs. 61 depending on quarter-to-quarter it changes. Sometime it can be lower also. And regulatory provision are very clear that any risk or reward with respect to the zonal distribution of tariff remains with the entity. And this difference is coming because sometime the volume flow or gas flow is more in the later zones, i.e. Zone 2, Zone 3 where tariff is higher. Sometimes it is lower in those areas. For example, now Dhamra has come. So, Dhamra... the customers on eastern side were earlier being supplied from say Dahej, now being supplied from Dhamra terminal. So, the tariff we used to get at, say Zone 3 or Zone 4 now has gone to Zone 1. So, these changes will continue to happen and our tariff will, to that extent, vary.

– But to specifically answer to your question, this is as per regulatory regime, it is non-adjustable. Even if it goes up, we cannot go and say you give us.

– Mr. Yogesh – Dolat Capital:

– Okay. And second question is again related to gas transmission volume and gas trading volume. So, in last one year, gas transmission volume has gone up by close to 1230 MMSCMD. However, the gas trading volume has inched up by hardly 3 to 4 MMSCMD. So, why is the gap increasing between them? So, are you not able to convert the whole transmission volume, incremental transmission volume to the trading side?

– Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:
 – It is not like that. Actually, you know there are some government orders, some kind of priorities which have been given by Government of India, Ministry of Petroleum and Natural Gas or Department of Fertilizer to some sort of domestic gas, some categories of domestic gas, some categories of consumers. So, this question is... we are addressing this question. We are answering this question rather. But these are... like for instance, if there is an order that HP/HT gas in the next bidding, CGD entities will get priority. So, they book all the volume. Whatever volume comes, it replaces the earlier RLNG or there might be some incremental demand also. So, those volumes are bid by somebody else and instead of sales, they become transmission volume. But we are hopeful that these volumes have reached their demand, the peak of their demand, so the future growth in our marketing would also continue.

20 – To sum up, to answer your question, although the transmission figures would have increased, have increased in last one year, but it is a result of certain kind of priorities given by different ministries to domestic volumes, which has resulted in shifting of volume from our sales to our transmission.

– Mr. Yogesh – Dolat Capital:

– Even for the future guidance, you are giving us guidance of 130 to 132 MMSCMD. So, do we expect the same kind of a gas trading?

– Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:

– No, transmission has not gone down. Our guidance of transmission is 130 to 132 million and 140 in the year after that. See, this natural gas is... once a customer is connected, he would continue to get gas from our pipeline. Who is selling gas is very important. We are the premium marketer also in the country. We are the leader in that. But if there is an order that so and so RLNG segment customer would be replaced by say HT/HP customer, then they get the priority. In the bidding we cannot compete. If there is 4 million cubic meter of gas on bid, all of that is booked by CGD customers. So, they become the owner of that gas, they would transmit that gas through our pipeline instead of buying it from us. That is the kind of shift which has happened.

– But the domestic gas increment in last 4 -5 years of 30 -35 million has almost reached its peak. So, we hope the growth now would be based on RLNG, or even if on domestic, we are ready to compete if there are no pri

orities or so -called reservations given to a kind of category of customers.

– Mr. Yogesh – Dolat Capital:

– Thanks a lot, sir.

– Mr. Gagan Dixit – Elara Capital:

– Hi, sir. This is Gagan Dixit from Elara Capital. Two questions. First, your 50% of your CapEx goes on this petrochemical side, I can see. So, can you share your outlook on the propane supply, something similar to that you have shown on the LNG? That is my first question .

– Second question is about, you mentioned that there is lots of Northeast gas is coming. That is why also you are building the infrastructure, pipeline infrastructure. So, what is your view on the, this Guwahati -Barauni pipeline? First about the status of it. And also what is your utilization you expect in future, support from the Northeast on the supply side? That is my second question, sir.

– Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:

– I will answer the second question. The pipeline is now commissioned up to Guwahati. We expect the utilization to be significant in the coming years because there is a refinery in 21 that and there are many CGD entities in that pipeline. There are two refineries. One refinery is already functioning. The Noonmati refinery is also being connected in next few months. So, next financial year, it should have good utilization. The capacity of that pipeline assumed is about 2.5 million cubic meter only. About the CapEx, you can answer.

– Mr. Rakesh Kumar Jain - Director Finance, GAIL India Limited:

– No, he was asking about BPC...

– Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:

– No, no. BGPL I have answered. He was asking about...

– Mr. Rakesh Kumar Jain - Director Finance, GAIL India Limited:

– So, you are asking about the propane supplies tie-up of...

– Mr. Gagan Dixit – Elara Capital:

– Yeah, yeah. So, outlook on the propane side. Something like you had mentioned about the LNG, that around ~230-250 BCM LNG is coming. So, any view on the propane side, how that supply environment is looking for the next five years?

– Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:

– We don't have the data presently with us. We will send it to Elara Capital.

– Mr. Gagan Dixit – Elara Capital:

– Yeah. And so, my final question is about the status of the Dabhol terminal.

– Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:

– Dabhol terminal breakwater job is in progress. We have commissioned the truck loading facility, two bays are functioning. So, two immediate projects that we are currently working on is ambient heater system in Dabhol, so that when the power plant is not running, then also it can operate at 5 or 6 million ton per annum. And the second one is adding two more truck loading bay in the longer run. Longer run means after one year or two years, we will be working on making the capacity of this terminal at 13.5 million tons i.e. more than 10 million tons; doubling it.

– Mr. Gagan Dixit – Elara Capital:

– Thank you.

– Mr. Ramesh – Nirmal Bang Securities:

– Hi, this is Ramesh from Nirmal Bang. Thanks a lot for the presentation. Sir, when you are talking about this uncertainty on the gas marketing segment, where you say that the 22 allocation of HT/HP gas is limiting your potential for growth. So, how do you risk that and how do you expect to grow that business? So, beyond FY25, you have shown a growth of around 7 million cubic meters a day. So, if you take the next three years, assuming that... because you are dependent on the growth in LNG demand in the country for gas trading. So, how do you rate that in terms of your achievable volume growth in gas marketing? Because if you take Reliance or ONGC, they would like to grow their business in the KG Basin, right? So, if that keeps growing, isn't there a risk to your marketing volume? So, how do you address that issue? Because that is one of the key businesses for you.

– Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:

– Sorry, actually, your voice was not very clear through the microphone.

– Mr. Ramesh – Nirmal Bang Securities:

– I have a bad throat. What I am asking is...

– Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:

– What I understand what you are asking is, how do you expect your growth to be there if the LNG market is so uncertain? Is it like that?

– Mr. Ramesh – Nirmal Bang Securities:

– Yeah. So, basically, you are saying that you have a constraint in growing the marketing volume because of the allocation of HT/HP gas, where you are losing out on the opportunity to market that, right?

– Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:

– No, if there is a government decision that so-and-so volume of this particular sector, for instance, fertilizer, would be filled up by HT/HP gas, we can't help it. You know, it's a government order. They...

– Mr. Ramesh – Nirmal Bang Securities:

– Sir, I understand that. What are you going to do for the investors? How do you grow the business?

– Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:

– That is what I am telling. The LNG market is going to be very subdued in next 3 -4 years because we are expecting about 100 million tons per annum, which is about 400 million cubic meter per day of gas coming in the market in the next 4 years. And if the LNG market is subdued, the growth will come. That is the experience that we have.

– Mr. Ramesh – Nirmal Bang Securities:

23 – So, beyond '26, can you assume the same kind of addition in marketing volume, so 98 to 105, that 7% growth is possible over '26?

– Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:

– So, also the other important aspect is the kind of customers that we are connecting. We would like to inform you that in the... out of 308 geographical areas in the country, our pipelines are near about 250... I think 250 or 230 geographical areas are as are near to our pipelines. So, all these hookups... we call them hookups, means they are the points where we sell gas to these districts where the demand would come.

– Now, you would have seen in our presentation that there is a target to connect 12.5 crore domestic houses. Even if it goes to 7 crores or 8 crores, this requires 30, 40, 50 million cubic meter per day of gas. Similar is the growth that is there in CNG. These demand, they very much... even if the prices are slightly higher, this demand would come. That is our experience in the past.

– And not to forget about the peaking volume of gas. So, our main plank of volume growth for GAIL is CGD and peaking power. Peaking power plays very important role in our gas, and the steel and other industries, in that priority.

– Mr. Ramesh – Nirmal Bang Securities:

– Okay. That explains it. The next question is on the housekeeping and accounting. Now, you have seen an increase in depreciation and there is a capitalization of interest of around 400 crores. So, in terms of your own reading of the movement in debt and the

benefit from the assets capitalized, how do you see the transmission earnings going up to offset the impact of the depreciation at the EBIT level, say over the next FY25? And how are you going to recover the additional interest you will have to charge in P&L because it will move from the capitalized interest to your revenue account? So, if you can address these two thoughts, I will be grateful.

– Mr. Rakesh Kumar Jain - Director Finance, GAIL India Limited:

– Thank you. Actually, additional depreciation is arising out of primarily two reasons. One, as you touched upon, that we are capitalizing additional pipelines. And second, that is specific for this year, we have actually reviewed the residual value of our pipeline assets. We used to keep 5% value as a residual or salvage value, because when we abandon our pipeline, we will take it out and 5% will be value. So, this year we reviewed that taking

out

the pipeline, the buried pipeline will be costlier as compared to the salvage value.

Therefore, we have decided that we will not keep 5% value and we will charge it. So, because of that accounting, there is an additional impact.

– Now, coming back to again your question, that we are capitalizing the new pipelines, there is a depreciation when these pipelines will start actually giving revenues, so we have capitalized a portion of the Jagdishpur -Haldia pipeline this year and that is a significant 24 capital expenditure done and we have capitalized. The next year, we have given our guidance that we will be actually increasing our volume from 120 to 130 to 132. That is significant increase of 10 to 12 MMSCMD. Largely, that increase will come from these pipelines only. Because Eastern sector, as marketing was telling in respect of Barauni - Guwahati pipeline, and similarly the other leg which have been capitalized, we are having anchor customer on those lines. So, you will see that at least 4 to 5 million volume, if 10 million or 12 million volume increases will come from those pipelines and that will be a significant revenue, and there will be benefit to top line and bottom line both.

– Mr. Ramesh – Nirmal Bang Securities:

– So how about the interest capitalization at the PBT level, because that will also impact your increase in interest next year.

– Mr. Rakesh Kumar Jain - Director Finance, GAIL India Limited:

– Interest, yes, interest cost will be there, no doubt. But if you are interested in amount, I do not have for those pipelines. But yes there will be impact, but that impact is not significant because largely we are funding through our internal generation. As you see, that our borrowings are not increasing to that extent, the kind of capital expenditure we are doing. There is an impact, but not to that extent which can be cause of concern.

– Mr. Ramesh – Nirmal Bang Securities:

– Sir, one last thought in terms of your initiatives on biogas. So, you are buying that at a fixed price and you are also having a JV with TruAlt. So in terms of your economics of sourcing the gas and placing it, because there are so many sources of gas, what is the kind of economics for the biogas? And how much of that will be in your balance sheet, and what are the terms for this TruAlt, if you can explain?

– Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:

– We cannot divulge the terms of our joint venture currently because something is going on there with TruAlt. But there are two ways through which we purchase gas. First one is our own plants. So, in Ranchi we are making our own plant. And whatever happens in TruAlt, also will be coming to... it can be sold in two ways - directly as a CBG station wherein this replaces the CNG, and through our synchronization which Mr. Agrawal was referring to, in which we buy CBG (compressed biogas) from any producer. And we supply that to the nearby or that location in C2 CGD entity. So, there we buy it at something like Rs.1,280 or Rs.1,300... or how much is it now? Rs.1,290. And, through Ministry of Petroleum and Natural Gas' approval, we are able to socialize that cost on the APM, non - APM volume of about 21 million cubic meter per day. That is the mechanism.

– But it is actually... the CGD entity gets it at the APM, almost the APM price only. That is the mechanism currently going on. This is done in order to promote biogas. And we believe this scheme is really benefiting that biogas segment.

25 – Mr. Ramesh – Nirmal Bang Securities:

– So you will earn some marketing margin on that?

– Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:

– We are getting our normal marketing margin.

– Mr. Ramesh – Nirmal Bang Securities:

– Okay, thank you very much.

– Mr. Shubham Shukla – Voyager Capital:

– Good evening everyone. This is Shubham Shukla from Voyager Capital. I have few questions around our pipeline tariffs. So

first, when are we expecting our tariff revision to come?

– And second, I just want to understand the vision of PNGRB when it comes to our pipeline tariff. Is it something like windfall or something? Basically, I want to understand how the board sees it, like for trader and as well as end consumer.

– Mr. Rakesh Kumar Jain - Director Finance, GAIL India Limited:

– First one I understood, but second I am not able to. What is second question?

– Mr. Shubham Shukla – Vogayer Capital:

– I want to understand how the board sees it, like for the trader and as well as for the end consumer? Like, the overall profit sharing, the tariff hikes. I understand the difference comes from the assumption of differences in two entities based on their CapEx, OpEx and volumes.

– Mr. Rakesh Kumar Jain - Director Finance, GAIL India Limited:

– First question is, when we are expecting tariff revision? There are two ways we are expecting our tariff revision. First, we have filed an appeal with PNGRB subsequent to the revision of tariff, and that PNGRB sees with that matter. We understand that because the member legal is not available, I was answering... giving the answer to a similar question. So, it is very difficult for us to give any timeline, but we expect at least in 6-9 months that should happen.

– Second way of tariff revision is that we approach PNGRB because there are changes in the parameter, like capacity and also the gas price. So we understand PNGRB will ask submissions from us because it is not only for our pipeline, other pipelines' capacity might have been revised. So all the pipelines tariff we will be submitting. And I was also telling that in case of integrated pipeline, there is some reduction in our capacities, so positives 26 are expected. So maybe this year we will submit our application. We are expecting that that communication will come. So that will take care.

– Regarding second question, if I understood you, sharing of profit and all that. So, PNGRB is nowhere entrusted with that, to come into the pricing part of it. So that's not an issue.

– Mr. Shubham Shukla – Vogayer Capital:

– Okay, thank you.

– Mr. Kirtan Mehta – BOB Capital Markets:

– Good evening, sir. This is Kirtan Mehta from BOB Capital Markets. One question on gas marketing. Out of the 6,000 crore profit nearly that we have made in FY24, could you give us a bifurcation in terms of what was from the back-to-back contract with the customers where the profit was logged in the agreement, and what proportion of that profit was attributable to benefiting from the market opportunities?

– Mr. Rakesh Kumar Jain - Director Finance, GAIL India Limited:

– So we will not be able to give you the break-up from where we earned and why. But I can give you in terms of contract or quantities. So, we have 14 MMTPA of contract, and around 12 MMTPA of contract we have signed with our downstream customers which are all back-to-back basis. When I say back-to-back, like we have sold crude basis. We have marketed on downstream to crude basis. If you have source on Henry Hub link gas, we have also marketed on Henry Hub. So remaining 2 MMTPA or around 2 MMTPA which we have not actually sold on back-to-back index; we have marketed every gas whatever we have sold. We actually log those margins also through paper trading. We look for the opportunities in the market and take index swaps. In case we have marketed Henry Hub at Brent, then we buy Brent and sell crude, and this way we are doing that. So we have largely marketed almost 12 MMTPA of contract on back-to-back basis and 2 MMTPA we are actually locking our margins through trading. That's how the break-up I can give to you.

– Mr. Kirtan Mehta – BOB Capital Markets:

– Right sir. In terms of FY25 when we are guiding for 4,000 crore of profit, what proportion of that is already sort of locked in at this point of time?

– Mr. Rakesh Kumar Jain - Director Finance,

GAIL India Limited:

– So when we are giving you guidance... rather now we are giving a bit upward guidance. We expect at least, I am using the word at least, 4,000 to 4,000 crore rupees of profit from marketing during this year. And when we give you guidance, we look back to our contracts. What are the back-to-back contracts? How much marketing margin is available to us? What kind of APM gas we are selling? What kind of marketing margin assurance? And thirdly, when we have not sold the same index, how much marketing margin we have locked? So our guidance is based on those certainties only. And you can assume that when guidance we are giving is based on certainty, not any speculations.

– Mr. Kirtan Mehta – BOB Capital Markets:

– Thank you sir. One more question was about the gas consumption demand across India. So when we are guiding for 10 to 12 MMSCMD growth for our volumes, what's your forecast for the India consumption growth for FY25 and FY26 for natural gas?

- Mr. Rakesh Kumar Jain - Director Finance, GAIL India Limited:
- No, no. We have given transmission volume will increase during this year 10 to 12.
- Mr. Kirtan Mehta – BOB Capital Markets:
- Correct sir.
- Mr. Rakesh Kumar Jain - Director Finance, GAIL India Limited:
- So, country level volume, if you have to see in a ballpark basis, we hold 70% infrastructure in the country. If we are able to increase through our network 10 to 12, you can just work it out, maybe 15 million should increase. My director of marketing will correct me.
- Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:
- During this year, we will cross 200 M MSCMD of annual daily consumption in the country. If that answers your question.
- Mr. Rakesh Kumar Jain - Director Finance, GAIL India Limited:
- So that means around again 15 MMSCMD, around 180 -185 MMSCMD.
- Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:
- Yeah, 185 was last year.
- Mr. Rakesh Kumar Jain - Director Finance, GAIL India Limited:
- So again I said 15 MMSCMD.
- Mr. Kirtan Mehta – BOB Capital Markets:
- Just to get bit more granularity in terms of how do you expect... basically part of it will come from the ONGC's field growth in kg. So, what proportion of the LNG growth you are assuming in this forecast?
- Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:
- 28 – See LNG has already grown. It is likely to be about 25 -26 million tons i.e ~95 -100 million cubic meter of LNG will be there. That is the point.
- Mr. Kirtan Mehta – BOB Capital Markets:
- Thank you, sir.
- Mr. Somaiya - Participant:
- Hi, sir.
- Mr. Harshvardhan Dole - Vice President, IIFL Securities:
- In the interest of time, let's take that as the last question.
- Mr. Somaiya - Participant: Avendus Spark
- Yeah. Sir, one, when we are saying that next couple of years 20 MMSCMD of volume, I am Somaiya from Avendus Spark. So when we are saying 20 MMSCMD of volume growth next couple of years, which are the sectors? Has fertilizers, Sindri, Barauni, Gorakhpur, has it fully ramped up? And what is the volume expectation from CGDs? If you could just break up this 20 MMSCMD into this end market, that would be helpful.
- Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:
- 20 million cubic meter per day. The fertilizer plants that you have referred are just about, you know, ending their teething period. So some of that demand would come from them. The average demand, if you calculate the full volume consumption divided by 365 days, so 3 -4 million cubic meter would come from that. The remaining would be from other sectors, mainly from CGD entities.
- Mr. Somaiya - Participant:
- Any particular industrial pocket we see as a big opportunity within this 20 MMSCMD ?
- Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:
- See, that is the analysis of CGD entities. A very important question was raised about how do you foresee this demand to be there? So, I had answered that we are near 250

geographical areas. And we are very quickly connecting them also. Most of them are already working on getting their gas through pipeline. If a geographical area gets gas through pipeline, it is like a boon for them. Because when they get gas through cascade or through LNG mode, the costs are higher by rupees 10 per meter cube. That's a challenge that they are facing. And that is why realizing that we have been progressively connecting most geographical areas... In fact, to tell you, some of the geographical areas are approaching us for second connectivity, and we are working very expeditiously to connect, to give them second... this thing also. Because if there is a customer, if there is a 29 connectivity, it would add to our transmission volume and it would also increase the scope of my marketing volume. That is the point.

- Mr. Somaiya - Participant:
- Sir, one last question from my side? So in terms of CapEx, so this year we are more on Petchem. So from pipeline standpoint, we are almost done. Should we kind of expect pipeline CapEx going forward to be relatively low? That's one.
- And second, in terms of transmission tariff, what would be the impact of the newer pipelines on transmission tariff? Thank you.
- Mr. Rakesh Kumar Jain - Director Finance, GAIL India Limited:
- Currently, we are still executing the KKMBPL pipeline. Some leg of Jagdishpur -Haldia

pipeline. Mumbai -Nagpur -Jharsuguda pipeline, I said so, and Shirkakulam -Angul. Then we got the Gurdaspur pipeline. And then board has yesterday only sanctioned 1,792 crore rupees of CapEx for a nother pipeline, C2 -C3 pipeline. So we have fairly good amount of CapEx available to be incurred on pipeline. It's not going that like that there is no CapEx available. Yes, for coming one year, we have good amount of CapEx on petrochemicals. So we will be incurring CapEx on petrochemicals. So it will be kind of a balanced situation for at least coming two years.

- This year, we have incurred almost 30 -33% on both pipeline and petrochemicals, and remaining on operational CapEx and CGD. Next year also, the si tuation is likely to remain in similar range.

- Mr. Somaiya - Participant:

- The last question was on transmission tariffs. So the newer pipelines that are coming, the Shirkakulam -Angul, Mumbai -Nagpur -Jharsuguda. So what are the impact on transmission tariff going forward at a company level?

- Mr. Rakesh Kumar Jain - Director Finance, GAIL India Limited:

- First, the transmission tariff has been notified or approved through a bidding route. The kind of volume we are abl e to get because this pipeline is still under execution, we are now working on the customer side or locking these volumes. I think our Director of Marketing will be able to tell. So, once the pipelines are nearing completion, we will also be tying up the c ustomers for transporting the gas. Maybe fairly idea can be given by Director of Marketing.

- Mr. Sanjay Kumar - Director Marketing, GAIL India Limited:

- See, although Director of Finance referred this to me in a different sense, but I would like to say, we h ave bid for these pipelines, and they are going to add to our tariff revenue. We have properly analysed these tariffs and got this approved through our different 30 committees and put this up to our board. And then board authorised us to do this bidding. And the tariff may be in the public domain also. It will add to our revenue. As far as this pipeline is concerned, there are many steel customers and some of them have signed transmission agreement. We are also now trying to conclude sales agreement with some customers in the Srikakulam -Angul or the remaining part of Jagdishpur -Dhamra -Haldia pipeline.

- Mr. Somaiya - Participant:

- Thank you.

- Mr. Harshvardhan Dole - Vice President, IIFL Securities:

- Ladies and gentlemen, thanks. On behalf of IIFL Securities, I w

ould like to thank GAIL

Management for giving us an opportunity to host this event. I would also like to thank you, the investors and analysts, for attending this meeting and the active partici pation. If any of your questions have remained unanswered, feel free to write me or the Investor Relationship cell of GAIL and I am sure they will revert ASAP. On behalf of management, I would like to invite you to join us for the high tea, and we can cont inue the discussion offline. Thank you and have a great evening.

END OF TRANSCRIPT

Call: Aug 2024

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"GAIL (India) Limited Q1 FY25 Earnings Conference Call"

July 31, 2024

MANAGEMENT : SHRI. R. K. JAIN – DIRECTOR (FINANCE) , GAIL INDIA LIMITED
MODERATOR : MR. ABHISHEK NIGAM – MOTILAL OSWAL FINANCIAL SERVICES

GAIL (India) Limited
July 31, 2024

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Moderator: Ladies and gentlemen, good day and welcome to the GAIL Limited Q1 FY25 Earnings Conference Call.

As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhishek Nigam. Thank you, and over to you, sir.

Abhishek Nigam: Thank you, Shejal. Thank you everyone for taking your time for GAIL's 1st Quarter FY25 Results call. We have with us from the Management, Shri R K Jain – Director (Finance) of the Company, along with other members of the Senior Management of GAIL.

And now without any further delay, I will hand over the management for opening remarks. Over to you, sir.

Rakesh Kumar Jain: Thank you, Abhishek. A very good morning to you. My colleagues present here. Dear friends from the Investors and Analyst Community, once again good morning and very warm welcome to GAIL's earnings call for Q1 '25. At the outset, I thank you all of you for attending this Earnings Call. It gives me immense pleasure to share with you that GAIL received nil comments from CAG for financial statement for the Financial Year '2023-24 and this is 15th year in row.

GAIL has advanced its Net Zero Carbon Emission target for scope one and scope two emissions to 2035 from an earlier stated target of 2040. GAIL's Result for Quarter ended 30th June 2024 has been declared yesterday. I would briefly touch upon the major highlights for the quarter and then certainly we can open the session for question and answer.

Financial highlights :

Gas turnover increased by 4% to Rs. 33,627 crore in Q1 FY25 as against Rs. 32,250 crore in Q4 FY24. And this is mainly due to robust physical performance in gas transmission segment, increased natural gas marketing volume in domestic market and higher natural gas prices. Profit before tax increased to Rs. 3,642 crore as against Rs. 2,842 crore in Q4 Financial Year '24 and this is up by 28% and is mainly due to increased transmission volume and better gas trading margins. The profit after tax during the quarter increased to Rs. 2,724 crore as against Rs. 2,177 crore in Q4 FY24. Again there is increase of 25%.

On comparative quarter basis, GAIL clocked turnover of Rs. 33,626 crore as against Rs. 32,138 crore in corresponding period of the last year, an increase of 5% mainly on account of increase in gas transmission volume and natural gas prices. Both PBT and PAT increased by 93% to Rs. 3,642 crore and Rs. 2,724 crore as against Rs. 1,889 crore and Rs. 1,412 crore respectively and reasons are same.

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Physical performance during the Q1 Financial Year '25 as against Q4 Financial Year '24:

Gas marketing volume during the quarter was 99.47 MMSCMD. It is almost flat if you compare with the previous quarter, it was 99.90 MMSCMD. Overall volume as I said is flat, however, there was an increase of 5 MMSCMD of volume in domestic market and this growth is mainly driven by power. Natural gas transmission volume was 131.79 MMSCMD in Q1 FY25 as against 123.65 MMSCMD in Q4 FY24. The average capacity utilization was 63%. Polymer production was down by 86 TMT to 162 TMT in Q1 FY25 as against 248 TMT in previous quarter due to annual turnaround which is a normal phenomenon in our case we normally take annual turnaround during the period of April every year. LHC production was 216 TMT as against 265 TMT in previous quarter. The decrease is also due to an annual turnaround activity at Patia, C2C3 Vijaipur and Gandhar units. LPG transmission was 1065 TMT as against 1114 TMT in previous quarter. The capacity utilization was 93

% during the quarter.

Consolidated Financials for Q1 FY25 as compared to Q4 FY24:

The consolidated turnover in Q1 FY25 stood at Rs. 34,822 crores as against Rs. 32,833 crores in Q4 FY24 which is up by 6%. The profit before tax in Q1 FY25 stood at Rs. 4114 crore as against Rs. 3099 crore in Q4 FY24. This is again up by 33%. The profit after tax is Rs. 3183 crore versus Rs. 2469 crore in Q4 FY24, up by 29%. As you know, GAIL also has 6 CGDs along its Jagdishpur-Haldia pipeline. We have an infrastructure of under those CGDs, 189 CNG stations and 3.4 lakh DPNG connections. During Q1 FY25, 700 new DPNG connections were added. The physical volume is 0.3 MMSCMD during the quarter. In the next two years, GAIL targets to add around 80 new CNG stations and around 1,20,000 new DPNG connections. As you know, we have GAIL Gas as our 100% subsidiary. Now I will take you through the GAIL Gas financial highlights for Q1 and also their plan for next two years. Gross turnover stood at Rs. 2987 crores as against Rs. 2853 crores in Q4 FY24, an increase of 5% and this is mainly on account of increase in revenue from CNG segment by 4% and bulk trading segment by 7%. Profit before tax stood at Rs. 149 crore as against Rs. 121 crore in Q4 FY24 and there is an increase of 23%. Profit after tax stood at Rs. 110 crore as against Rs. 92 crore in Q4 FY24, increased by 20%. The physical volume increased to 7.11 MMSCMD in Q1 FY25, increase of 3% from Q4 FY24 which is mainly on account of increase in CNG sales by 14% and bulk trading by 4%.

During Q1 FY25, GAIL Gas along with JV subsidiaries had added 27,467 new DPNG connections and 2 CNG stations having infrastructure of 10,03,000 DPNG connections. In the next two years, GAIL Gas targets to add 170 new CNG stations and around 5,00,000 new DPNG connections.

Now I will take you through the project performance :

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As you know, the Mumbai-Nagpur-Jharsuguda pipeline we are laying is a length of 1755 km. Activities for laying this pipeline are in full swing and we expect this pipeline to be completed during current financial year. Regarding Jagdishpur-Haldia-Bokara-Dhamra Pipeline, 2986 km has already been laid out of 3289 km and the remaining part is expected to be completed progressively by March '25. Srikakulam-Angul main pipeline, this is 421 km pipeline, work is under progress for mainline and spur line and 320 km is already completed and rest of the pipeline is expected to be completed during current financial year. Gurdaspur-Jammu Natural Gas Pipeline, this pipeline is having a length of 160 km likely to be completed by July 26. Other projects PDH-PP at Usar, capacity is 500 KTPA. Project cost is Rs. 11,256 crore. Mechanical completion is expected by April 25 and we expect commercial production by October 25. Till date progress is 69.5%. Polypropylene plant at Patia, capacity is 60 KTPA, project cost is Rs. 1299 crore and expected to be completed during current financial year. And project progress is 87.4%. IPA at Usar, capacity is 50 KTPA, project cost is Rs. 530 crore. Completion date is 24 months after licensor selection. Currently we are in the process of selecting the licensor. We have acquired JBF Petrochemicals. Now we call it as GAIL Mangalore Petrochemicals. Capacity of this plant is 1250 KTPA. Project cost is Rs. 4200 crore. We expect it to be completed by June 25. With respect to CAPEX during Q1 FY25, we have incurred CAPEX of Rs. 1,659 crore and this CAPEX is mainly on pipeline around Rs. 500 crore, Petrochem again around Rs. 500 crore, CGD projects Rs. 30 crore and operational CAPEX on others is around Rs. 400 crore. Estimated future CAPEX for Financial Year '2024-25 is Rs. 11,450 crore including the equity contributions and 2025-26 is Rs. 10,129 crore again including the equity contributions. Now I will take you through the

segmental outlook :

As you know that we have marketed almost 100 MMS CMD of volume in the Q1 FY25 and we have been giving guidance to you that this year we expect to grow by approximately 5% , we are on that course. We have also given you the guidance regarding the marketing margin for the full financial year. We have said that whatever situation comes , we are expected to earn around Rs. 4,000 to Rs. 4,500 crore of marketing margin. We have given the kind of range to you this time. And we are on the course of achieving those targets. In Q1 FY25, we have already earned almost Rs. 1,994 crore of marketing margin from this segment. And we expect to surpass the current target given to you Rs. 4,000 to Rs. 4,500 crore. And for guidance purpose, you may consider now Rs. 4500 crore as a minimum target for this financial year.

Gas transmission volume , we have been giving guidance for almost 3 years and we are on course. The guidance we have given for this financial year that we will transmit gas marketing around 130 to 132 MMSCMD volume. You can see from the physical performance of Q1 we have transported almost 132 MMSCMD, to be precise 131.79 MMSCMD .

With respect to outlook for '25-26 and '26-27, maybe coming two to three years, we expect to grow our transmission volume by 10 to 12 MMS CMD. Polymer production stood at 162 TMT

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as against 248 TMT in previous quarter. And as I explained to you, this is mainly due to normal plant shutdown, which we take normally in April, and this year also we took in April. We are expecting an upside in this segment here on. As you know, the price are almost stabilized. The natural gas prices are also softened. We expect to earn, when we close this financial year, a reasonable amount of profit from this segment during FY25. Liquid hydrocarbon production stood at 216 TMT in Q1, and we have posted a PBT of Rs. 229 crore. The production is lower side in comparison to 265 TMT in Q4 FY25. Again this is primarily due to turnaround activity in Patna. The production level has been regularized since May 24 and we are on course of achieving our capacities as we did in last year and maybe more than that both for petrochemicals and LHC. That's all from my side regarding the overview of performance and projects. The management of the company is available now with you.

We would be glad to clarify any questions that you may have. Now I hand over to you, Abhishek.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Puneet from HSBC. Please go ahead.

Puneet: Yes, thank you so much, and congratulations on great numbers. My first question is on the gas transmission volume. We've already touched 132 MMSCMD now. Are you expecting some bit of reduction in the current quarter given that the power demand from the gas station might slow down a bit, or are you still seeing the same number flow through and in which case is there an upside to your 132 million cubic meters guidance for Fiscal '25 ?

Rakesh Kumar Jain: There is no upside as of now we are communicating. We maintained our guidance of 130 to 132 MMSCMD on whole year basis.

Puneet: And currently it is still running at 132 or has it come down?

Rakesh Kumar Jain: As on date you are talking to me, we are on average 131 for four months.

Puneet: For four months. Okay, that's very helpful. Secondly, on the marketing side, you're almost halfway through the guidance and now you're guiding for 4,500 to be lower end. What should one assume the higher end of the guidance given the current hedging that you would have done so far?

Rakesh Kumar Jain: As you know, we have been giving guidance for minimum. And there is a reason for that because in order to maintain that, we take a lot of positions in the market. We also do a lot of optimization activities in terms of swaps, sh

ipping swaps. And whatever we have been able to lock as of now, the guidance is based on that. That's why we say it's a minimum guidance. And I can always say at this point of time, we are going to achieve the minimum guidance and we will revise our guidance based on the results of Q2, during Q2 results earning call.

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Puneet: Okay, that's very helpful. And lastly, on your marketing volume increase that you're guiding for 5 MMSCMD , can you talk about what customers are you looking at?

Rakesh Kumar Jain: One is a normal growth in the country which you have been witnessing, everybody is witnessing that gas market growth is there. A normal growth which comes from city gas distribution, almost 4-5 MMSCMD volume is growing. We expect that at least 2 MMSCMD which is our market share, I am not giving any upside on that, though we have ability to even surpass that. So, we expect at least 2 MMSCMD may come from there. Second, there is a sea change in the power demand. Last year, we saw there was a demand from power, but this year significantly it has come up. And we expect the demand to continue, at least to meet the peaking demand, there is

a change. So, that's another thing. Third, as we are laying the pipeline, commissioning the pipeline, the customers along those pipelines, maybe city gas distribution customers, maybe small consumers are coming up. That is third thing. Fourth, the fertilizer plants which were commissioned during last year did not take the volume on an average basis to the extent they could have taken. That will come up. So, we expect overall there should be a demand. I am talking on domestic market, at least that will grow and we continue to play in international market as we have been doing for various regions.

Moderator: Thank you. The next question is from the line of Probal Sen from ICI CI Securities. Please go ahead.

Probal Sen: This was with respect to the polymer shutdown. Can I get a sense of how many days the shutdown was for and what is the current run rate of petrochemicals that we are seeing in Q2 so far?

Rakesh Kumar Jain: Shutdown was almost for a period of one month, 30 days, 28 to 30 days, to be precise. And if you talk of a current rate on a proportionate basis is 105%.

Probal Sen: I'm sorry, sir, what does that mean, proportionate bases?

Rakesh Kumar Jain: Means if we delete the month of April, and then we work out the proportion for three months on pro rata basis, we are running at a rate of 105%. It means we are going to achieve our capacity of 810 KTA. Rather, we target to surpass that.

Probal Sen: Okay, so despite the shutdown and one month not being there in terms of production, we still expect to somehow get to that 800,000 to 810,000.

Rakesh Kumar Jain: This is a part of the design of plant, right? So, it's not a unique activity we are carrying out, so that is already factored in. So, we expect to not only touch our capacity, but we expect to surpass that.

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Probal Sen: Understood sir. So, the other thing is the guidance that was given in your briefing when you mentioned transmission volumes of 10 to 12 MMSCMD. That was for basically every year we expect to add that or the collective addition by FY26 on FY24 base?

Rakesh Kumar Jain: '24-25, we have given 130 to 132. '25-26, we have already given 140 to 142. Now we have ability to give you even '26-27, we expect that again to increase around by 10 MMSCMD.

Probal Sen: Understood. One last small question if I may with respect to Dabhol's breakwater facility in your project update, apologies if I did not get that, any update on the timelines and progress on that part?

Rakesh Kumar Jain: Actually Dabhol as we said during last earning calls should have been commissioned for all weather terminal before this monsoon. But because of some issue

, there we could not complete before this monsoon. But now activities are on course, we have sorted out the issue as there was issue of way to take brick movers through the site and now we have resolved that issue. So, after this monsoon, we will be able to complete and this year after this monsoon it will be an all-weather terminal.

Probal Sen: Next year we should not expect the stoppage that happens for four months.

Rakesh Kumar Jain: Actually, this was unanticipated, there was some issue with local people so that has been sorted out now.

Moderator: Thank you. The next question is from the line of Yogesh Patil from Dolat Capital. Please go ahead.

Yogesh Patil: Sir, gas transmission volume has increased close to 8 MMSCMD on quarter-on-quarter. Can you give us idea how much of this was from the gas power plant? As per our knowledge, you are directly supplying a gas to the gas power plant. So, you will have a better idea on that side?

Rakesh Kumar Jain: Around 4 to 5 MMSCMD for quarter.

Yogesh Patil: And that is still sustaining in the month of July?

Rakesh Kumar Jain: Gas power plant is one thing which has come up, but there are fertilizer plants which were under shutdown during quarter one. Had those plants been running, we would have even crossed 132.

So, we are still maintaining a 131-run rate that I said in answer to one of the questions raised by another participant.

Yogesh Patil: Yes, I have second question. In the last call you mentioned that there is no APM gas allocation to the gas transmission segment and despite that your gas cost has declined sequentially, I mean quarter-on-quarter. Any thoughts on this side sir?

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Rakesh Kumar Jain: This was supposed to be decline. We also said during those earning calls that the allocation for APM gas was reduced all of sudden in gradual manner from 16th August 2022, if I remember correctly and then gradually it was reduced by the end of March '23, the allocation was totally

stopped, is that right? So, it was totally stopped. So, since it was done all of sudden, so we were around that period was geopolitical situations were not favorable for gas price. So, during that period, we were required to purchase a high price gas in order to operate and maintain our pipeline. And slowly gas prices have started softening. So, certainly quarter-on-quarter that impact which we faced during '22-23 started coming down and now we are almost at a normal level of gas prices for the purpose of consumption in compressors.

Yogesh Patil: Sir, recently the PNGRB has revised upward the LPG pipeline tariffs. Just wanted to understand the impact on the LPG business on the game and if you could also share rupees per ton increase in LPG transmission tariffs would be helpful?

Rakesh Kumar Jain: The impact on GAIL is around Rs. 120 to Rs. 140 crore on profit of GAIL, the profit before tax. Yogesh Patil: 120 crore?

Rakesh Kumar Jain: Rs. 120 to Rs. 140 crore on annual basis. Since this is being implemented on 1st August, this will be proportionate for this year and on annual basis I have given the figure around Rs. 120 crore you can take. Regarding your question how much it will increase, it will increase by 3.4%. The amount of tariff increase by PNGRB, we believe that it will increase the cost per ton by 3.4%.

Yogesh Patil: Okay, and the last question from my side on the petrochemicals. Could you please share the cost of a gas used for the petrochemicals and outlook for the petrochemical business in FY 25-26 on the utilization level mostly?

Rakesh Kumar Jain: Actually cost of gas sharing is a very difficult one because it's not that we give a particular gas to the petrochemical plant. We have ability to source various gases at various point of time. Whatever cheapest gas available will try to source and give to petrochemical plant. So, it's

not a

thing which is very kind of always that prices will be there. But regarding your question of profitability, I will not be able to give you a number but I can give you one confidence that this year we are going to earn a reasonably good profit from petrochemical business. And Q1 results are showing that in spite of being, we were not operating for one month. We are almost breakeven. We have a loss of Rs. 42 crore, almost breakeven. So, we will be now here on, we will be picking up, and at the end of the year, we have reasonably good profit.

Moderator: Thank you. The next question is from the line of Nitin Tiwari from Phillip Capital. Please go ahead.

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Nitin Tiwari: So, my question is related to your gas trading segment. So, while we did see an increase in the gas transmission side, our gas trading volumes are rather flat and the operating profit increases largely driven by margin. So, my question basically had two parts to this. How should we look at the gas trading volume number going forward? Like, while you're guiding for a 5 MMSCMD increase, it has to happen in this quarter and what would be contributing that increase going ahead and also in the years to come. And secondly, like on the gas trading margin side, how do we see this gas trading margin number because I suppose there are a few contracts which have fixed margins, but few contracts have open margins. So, what is a broad range where we can probably look at this margin if we have to look at it in per unit terms? So, that would be my first question, sir.

Rakesh Kumar Jain: So, our overall number remained flat as compared to Q4 '24 and Q1 '25. We are almost flat. But one thing I actually shared last time, but let me give once again. Those numbers of Q4 includes 10 MMSCMD of volumes we marketed in international market. In view of increased demand in the domestic market, we brought those volumes to India. Now in fact in the domestic market where we have more delta available in terms of margin, volume already has increased to 95. And I also said during the answer to one of the questions that we continue to be there in the international market to do various optimization and from there that volume increase will come. So, 4 to 5 MMSCMD or 5 MMSCMD increase which I said is available already and the further increase if you have to see is coming from power as explained, is coming from city gas distribution, the fertilizer plants which did not take the volumes full volume last year, they have their sales contract with us, purchase and sales contract with us and the normal growth which is coming up along the pipeline which are being commissioned. So, we expect 5 MMSCMD of volume should be achievable and let us see we are on the course as on date and in terms of marketing margin, I have already given the guidance that in last analyst meet, we said Rs. 4000 to Rs. 4500 crore. We are given band. Now we are saying minimum Rs. 4500 crore we will earn during this year. And we will revise our guidance based on the progress in another three months during Q2 Financial Year '25.

Nitin Tiwari: So, sir, if I understood this right, I mean, your gas trading mix is changing with more overseas sales, now turning towards India, so you're selling that volume within India and that is also leading you to earn better margins. That's what it is. So, is that the right interpretation?

Rakesh Kumar Jain: Yes. You are right.

Nitin Tiwari: What I was actually asking in per unit terms was that if we calculate your gas trading margin on per unit of gas sales, it comes to about 70 cents per MMBTU. So, that is what I was asking that how do we look at this number? I mean like, you know, is it like going to be at this?

Rakesh Kumar Jain: Actually, you should not calculate this 70 cents. Leave it on us. Because we have the ability to change 70 cents to \$2. We

have ability to make it \$2.5. Last month's closing price for Henry Hub was \$1.90 per MMBTU. The Henry Hub price sometime reaches \$3. We do the paper
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trading. We take the benefit of arbitrage. If you maintain 70 cents on average side, it looks good, but let us do that and we'll give you the result.

Nitin Tiwari: Sure, sir. And so my second question is related to your Petchem segment. So, like the way you've given a guidance for gas trading, would it be possible for you to share some guidance in terms of what kind of profitability we can expect from this segment in this year and next year when your other capacities would also get commissioned? Maybe if you can give us some color over there?

Rakesh Kumar Jain: Actually I said in answer to earlier participant question, we may not be able to give any number. At this point, I will be sharing that we will be earning a reasonably good profit because Q1 result if you compare with the corresponding year of last year, you can work out. It is far better where we lost significantly last year's Q1 and primarily reason was the gas price. The polymer price remained at this level only if you compare last year versus this year, but we are able to source cheaper gas, as I said, in answer to one of the questions, your question only with respect to gas marketing margin. We have ability to provide the cheaper gas through various sources, including the paper trading we are doing even for petrochemicals. We continue to maintain our guidance that this year will end with a reasonably good market.

Nitin Tiwari: Understood sir. Just that, like you know, I wanted to understand if the current situation continues, that then if you will be able to help us with some number, but it is fine. I mean if you're not interested for the number currently. That would be all from my end.

Moderator: Thank you. The next question is from the line of Sabri Hazarika from Emkay Global. Please go ahead.

Sabri Hazarika: Yes, so, sir, I have a couple of questions. Firstly on the marketing side, we are almost at Rs. 8,000 crore kind of run rate versus Rs. 4,500 crores that you have locked in. So, I was just wondering, was there any inventory gain impact also, which was there in Q1?

Rakesh Kumar Jain: No inventory gain.

Sabri Hazarika: No inventory gain? And secondly, on the pipeline, it was previously taken up by another participant also. So, you said that gas cost is like continuing to decline due to which the pipeline.

Rakesh Kumar Jain: I have not said. I said it has now stabilized almost it will be range bound. I said it declined because of the reasons of geopolitical situations, all of sudden reduction of APM gas and finally it was totally stopped. So, it continued to decline. Now we feel that it will be in this range only.

Sabri Hazarika: I mean in terms of anything specific to the domestic market like there's been some news of Andhra Pradesh cutting VAT and other things, anything that also contributed to the lower OPEX for the pipeline business?

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Rakesh Kumar Jain: Actually it helps because gas is just a commodity. We are suffering from this variations of taxes, certainly it is helping. And it particularly helps not only to the gas marketer like us, but city gas distribution companies are benefited most by it and when they get benefited, we certainly get benefited. Because city gas distribution companies were paying higher input cost, higher taxes and therefore their competition with the alternative fuel was becoming difficult. So, now they have started progressing well because of this VAT cut and then if they benefit, we also benefit because ultimately we are the flagship company in gas marketing.

Sabri Hazarika: Right sir, got it. And sir, secondly regarding this new Petchem project in Madhya Pradesh, so

any details you would want to give on that?

Rakesh Kumar Jain: I don't have any detail. I only saw, we gave clarification to SEBI based on some paper news that as a commercial organization, we continue to look for various opportunities where we should invest our money. And this can be one of the areas, but no decision yet has been taken on putting petrochemical at Madhya Pradesh or any other Pradesh.

Moderator: Thank you. The next question is from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.

Kirtan Mehta: Coming back to the gas transmission OPEX, basically, against the volume growth of 6% -7%

during the quarter -on-quarter, we are seeing the gross margin increase of 23%. Would you be able to highlight the specific driver which has helped increase in gross margin?

Rakesh Kumar Jain: You are talking of gas transmission?

Kirtan Mehta: Gas transmission business, yes.

Rakesh Kumar Jain: 7% you yourself said a volume increase. Second, what happens when there is a change in genres that also helps because weighted average tariff changes. Third, during Quarter 4 we accounted for additional depreciation. Because of that, we took a decision based on the opinion of ICICI that we were keeping 5% of accounts. Then we now took a call that we will not keep any value. That decision was taken last financial year, last quarter we had accounted for more depreciation that is now normalized from this quarter onwards. And one more the gas price for internal consumption which is one of the participants asked that is continued to decline, now it is stabilized. So, that is also factoring into all these factors are helping for increased profit. There is a decrease of depreciation Rs. 100 crore, fuel expenses Rs. 86 crore and some provisions were made in last financial year Q4, Rs. 36 crore, all these factors have helped us.

Kirtan Mehta: The second question was about the 10 to 12 MMSCMD in the group that we are guiding for FY26 and 27 in the transmission volume. What is the market share that we are assuming?

Rakesh Kumar Jain: 70%, pipeline business you cannot assume any market share, our existence is for 70% infrastructure and because this is a monopoly. Pipeline transmission is a monopoly, wherever
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you adjust, you continue to have those market shares. So, we have almost 70% infrastructure share, so we continue to maintain those shares.

Kirtan Mehta: The country demand would grow by 15 -16 MMSCMD and we will get 70% of that as a transmission model. That's the assumption?

Rakesh Kumar Jain: Yes, maybe more than that. More pipelines will come. If they come, either we put or some other, I'm giving this based on current infrastructure, what we have or what we are laying.

Kirtan Mehta: In terms of the project update, would you also be able to share on Ban galore Kochi pipeline, the last leg that is remaining? What's the target date?

Rakesh Kumar Jain: We are on course, and we expect to complete it by this financial year.

Kirtan Mehta: Sure sir, one more question in terms of APM gas availability, what we hear is around 69% so how do we see the availability of the APM gas changing? Do you have any inputs on that?

Rakesh Kumar Jain: APM gas for what? CGD. It will continue to decline because the market is growing, CGD is one of the growing sectors. It is the only sector which is growing with a double digit after one of the major consumer of gas after fertilizers. So, if CGDs are growing, certainly it will continue to decline. 69% may further come down.

Kirtan Mehta: From the supply side, we are not seeing issues. So, it's only basically because of the demand increase, the proportionate allocation will come down. Is that the way to look at it?

Rakesh Kumar Jain: Demand will continue to increase. The APM allocation may come down. When demand increases, availability

is limited. Certainly it is likely to come down.

Moderator: Thank you. The next question is from the line of Ajay Jain from Makarand Investments. Please go ahead.

Ajay Jain: So, my query is basically on segment gas marketing. You have thrown some light on it. But if we compare quarter -to-quarter, we are not able to foresee what would be your profitability in that. Can you give us some guidance on how to calculate going ahead about your purchases in this gas marketing? Is it long -term basis or is it spot which you import or is it linked with the international prices when you purchase it and how is it done, sir? If you could give us a little idea so that we can calculate because what we see..

Rakesh Kumar Jain: I have given more than a little idea that we will earn more than 45, at least Rs. 4500 crores.

Ajay Jain: Yes, that you have already given sir. Just let me continue on this sir. So, there is so much variation. So, is the international prices linked to what you import gas from US and other places?

Is it on a long term basis that you have a contract and how is the price determined sir? The reason

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behind it is I'm an investor. I just want to understand the business of how it is done, what is the profitability that comes because every time a quarter result comes, the figures are so variant. I can give you examples like quarter one and quarter two, I mean Quarter 4, you had Rs. 1600 crores profit reflecting in that. And in quarter 1, we are having Rs. 2285 crores profit reflecting in this. Now, how is this worked out, sir? Because we are not able to see it through. Even if you compare it year -on-year, we are not able to see through. How is this calculated? I mean, at least some idea if we get, how is the company performing? Before you give out the results, if we could be able to do that, it would do well, sir. Because the company is good. You're doing a very

nice job. But we are not able to understand the business exactly how this is done. So, if you could throw some color on it to really help us .

Rakesh Kumar Jain: Let me take you back three years back. We never used to give guidance on this marketing business, because this was the one mission which you are forcing people who are not able to understand. So, we started giving guidance way back in May '22. We gave that for '22-23, Rs. 3000 crores; '23-24 we said Rs. 3500 crore and now we have said Rs. 4500 crore , today I have said minimum Rs. 4500 crore and where from this guidance is coming and then I will come back to your question we have almost 14 MMT PA of contract currently operating . Out of those , Almost 4.8 MMTP A of contract we have from Middle East which is back -to-back we have certain margin. APM , we have back -to-back certain margins. Then almost 3 MMTP A of contract we have from SMTS which is crude linked contract. We have sourced on crude linked, marketed on crude linked. So, you can assume that a most fixed margin which we get. Then 5.8 MMT PA of contract we have from United States. There , we have marketed some of the gas at back -to-back index and we have good margin and that is predictable we work out based on that , remaining what we do we continue to remain in the market and we take positions like Henry Hub has gone down to 1.9. In recent past, it was 3. We continue to watch the market take positions to take the benefit of arbitrage . That is one thing which changes. Second, we do destination swaps. When molecule has to travel from United States to India, almost \$2-\$2.5 is a tariff. But we continue to optimize through swaps. Cargo es going from Middle East to United States. We are bringing from United States country. So, we try to swaps and optimize. It's a win - win situation for both the sellers or optimizers that we do . We also market the volume in international markets . So, when we give you guidance , we work

out what we have formed up

when we are giving guidance and we know that this is likely to be achieved . We do not have any doubt , but we continue to do optimization and that's how it increases . So, this is whole game if you expect that we will be able to give you guidance beyond that I can give but that market may or may not support , market may give different situations. So, we give guidance, and we continue to come back to you and revise our guidance based on those situations.

Ajay Jain: Thank you so much sir , so neatly and nicely explained sir. So, can we understand it that way that in Quarter 4 if the international price was \$1.9 and in quarter one it is \$2.4 , that means in gas marketing you would do a good profit in it ?

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Rakesh Kumar Jain: Not for whole volume, for some of the volume, not for whole volume. We also market at that volume on same index, we do not have ability to earn more but where are we, we have not marketed on same index, we can take positions based on future that we continue to because it's not a subject which I can explain in a few minutes, but I have tried to give a fair idea to your questions to you, but you are not able to understand, that is why we give minimum guidance.

Ajay Jain: Can I put it on mail also if there is any further query to this regard?

Rakesh Kumar Jain: You can contact anytime.

Moderator: Thank you. The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh: So, in terms of the conversations with the regulator, P NGR B, do you have any sense in terms of when you will get the compensation for the cost of LNG which you used last year, which you were saying that the regulator was considering? And do you see any risk of the regulator revisiting your integrated tariff in the foreseeable future?

Rakesh Kumar Jain: What you said? Our integrated tariff?

S. Ramesh : So, I'm just saying to understand if there is any risk of the regulator revisiting your integrated tariff and reducing it?

Rakesh Kumar Jain: Revisiting on what basis? There is a defined regulation, tariff is being worked out based on those regulations. Just because we are able to transport more volume, we are getting more revenues, can it reduce it? Because there is a defined regulatory returns which are available to us and we cannot earn more than that . We are on the course of earning that so unless the regulator says for everybody we want to reduce the return IRR that possibility if exists , then certainly it can happen otherwise no.

S. Ramesh : And on the compensation for the higher cost LNG have used in compressors last year?

Rakesh Kumar Jain: Yes, actually, we immediately after announcement of the tariff, we approached the regulator. And if we calculate based on NPV basis, Rs. 8 to Rs. 9 of reduction, because there was a reduction of around Rs. 6, but if you can calculate the NPV basis, Rs. 8 to Rs. 9 is available to us in terms of gas price, we filed an appeal. But unfortunately, lack of member legal of our appeal , I think that's what I understand could not be heard. Meanwhile, we are in the course of filing the revised transmission tariff for integrated pipeline. Our higher prices can be considered because recently other transporter 's tariff was announced where they considered higher price than what we were allowed. We were allowed 3.61. Other company's tariff when they processed

that the regulator has given higher price, certainly that is available to us and we hope that this will be done maybe in six months' time and if not earlier than either by the end of this financial year.

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year or maybe beginning of next financial year those are available to us on that present value basis.

S. Ramesh: If I may squeeze in one more question on the ONGC's KG gas production ramp

up, do you have

any sense in terms of what is the kind of volume you can expect and how much of that will you be targeting to tap?

Sumit Kishore: I think ONGC has been projecting certain volumes from KG Basin, but we have been hearing from them, maybe 1 or 2 MMSCMDs in this financial year, we can expect larger volume in the next financial year, that is '25-26, maybe in the range of 5-6 MMSCMDs. But these projections have been coming from them, but they are getting delayed. That's what we have been observing.

Moderator: Thank you. The next question is from the line of Mayank Maheshwari from Morgan Stanley. Please go ahead.

Mayank Maheshwari: Just one question from my end in terms of gas sourcing now. Obviously you have kind of talked about reasonably well on how you think about demand. How are you seeing the sourcing strategy now going forward as you are in the market? How much could we expect crude linked contracts and we have link contracts now going forward? Is there a mix you want to kind of get to over the next 4 to 5 years?

Rakesh Kumar Jain: Actually, our intent will have mix portfolio. We have experience that helps us not only as a gas marketing company but also as a country because whenever there is a change in one basis, the other basis helps us. So, we have recently sourced 1.53 MMTPA from two suppliers that's on crude linked index and we are in the market, and we certainly will continue to maintain in our mix, but bottom line is that we look for cheapest source. While we try to have mix, bottom line is first we look which will be the cheapest and certainly the cheapest should also give us a mixed kind of portfolio. That helps.

Moderator: Thank you. The next question is from the line of Vishnu Kumar from Avendus Spark. Please go ahead.

Vishnu Kumar: On the Qatar contract, is there any change in the transfer of ownership from say Dahej to directly at Qatar to reduce some costs? And if so, is there any cost savings for us and the industry?

Rakesh Kumar Jain: We are still negotiating GSP A, detailed contracts.

Vishnu Kumar: I mean, I'm asking for the existing contract itself, sir.

Rakesh Kumar Jain: I am not privy to any such discussion.

Vishnu Kumar: Got it, sir. And just one question on the volume growth that you are highlighting from 132 to 152. We've been able to achieve to whatever you highlighted earlier, but from here what are the

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sectors that you are foreseeing when we go from 132 to 152? Any rough idea if you can help us understand?

Sumit Kishore: Most of this is going to come from the natural CGD growth which is at least 12% or even higher CAGR. Next comes the refineries along the eastern pipeline. The Jagdishpur-Haldia pipeline, already Barauni and this Paradip pipelines are getting supplies. They will ramp up and Haldia will get connected soon. After that, the two refineries along the Guwahati section of the pipeline. These refineries will be major contributors as far as transmission is concerned. Then there will be newer customers getting connected along these pipelines, which are mainly in the steel sector and the aluminium sector, the metal companies which will also be these set of customers will also be along the Sri kakulam-Angul pipeline which will be getting commissioned and also some of them on the Jagdishpur-Haldia pipeline. So, these are the major set of customers otherwise there is going to be the natural growth also coming from some of the existing legacy customers.

Vishnu Kumar: On your CGD and refinery alone, what will be the absolute that you are considering sir from 132 to 152?

Sumit Kishore: The refinery segment will contribute around 8 to 10 MMSCMD out of that. And CGD will contribute another maybe 5 to 6 MMSCMD. And remaining all will be new set of customers and natural growth.

Moderator: Thank you. The last

question is from the line of Sumeet Rohra from Smartsun Capital Private Limited. Please go ahead.

Sumeet Rohra: Thank you very much for a detailed presentation and congratulations on excellent results. Sir, my question is more to ask you from an investor perspective, which clearly emphasizes on as

gas going ahead in the proportion of the country's growth. So, how do you see basically GAIL over a two-to-three year perspective in terms of volumes one, and secondly sir, more on profitability because that will give us investors better perspective on how we are shaping up for the next 3 to 5 years sir ?

Rakesh Kumar Jain: I think for gas marketing, I have said we are likely to grow by 5% to 7%, 5% I have given for this year. Gas transmission, we have said for coming two to three years we may grow by 10 to 12 MMS CMD. So, from the perspective of growth, I have already said how we are likely to grow.

Sumeet Rohra: Yes, sir. I mean, you have, but if you can throw some perspective on financial numbers as well, it will be helpful.

Rakesh Kumar Jain: So, marketing margin, I have already given you guidance for this year, Rs. 4500 crore minimum, and next year you can assume maybe in similar range, Rs. 4500 crore to Rs. 5000 crore in same range.

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Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.

Rakesh Kumar Jain : Thank you very much and it was a pleasure talking to you. Hopefully, we have tried to give answers to your questions the way you expected. In case there was some more clarification or input is required, our team in management and Investors Relations Cell is available. They will be able to answer your questions and I once again thank to you for taking interest and participating. Thank you very much.

Moderator: On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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November 06, 2024

MANAGEMENT : MR. RAKESH KUMAR JAIN – DIRECTOR FINANCE –
GAIL (INDIA) LIMITED

MODERATOR : MR. NITIN TIWARI – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to GAIL (India) Limited Q2 FY '25 Earnings Conference Call hosted by PhillipCapital (India) Private Limited. As a reminder, all participants line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, you may please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Tiwari from PhillipCapital (India) Private Limited. Thank you and over to you, sir.

Nitin Tiwari: Thank you, Shifa. Good day, ladies and gentlemen. On behalf of PhillipCapital (India) Limited, I welcome everyone to GAIL (India) Limited's second quarter FY '25 earnings call. Today we have the pleasure of having with us the senior management team of GAIL led by Director of Finance, Sri. RK Jain.

I will now hand over the floor to the management for their opening remarks which shall be followed by a question -and-answer session. Over to you, sir.

Rakesh Jain: Nitin. Thank you very much. My dear friends from investors and analysts community good morning to and warm welcome to you for this earning call for Q2 financial year '25. At the outset I thank you all for attending this earning call and would briefly touch upon the major highlights.

And I'm happy to inform you that GAIL has registered highest ever PBT and PAT of ₹ 7,095 crore and ₹ 5,396 crore for first half in financial year '25. And this is mainly driven by strong marketing margins, increase in transmission volumes and better pet-chem performance. On a stand-alone basis in Q2 financial year '25 GAIL has reported gross turnover of ₹ 32,814 crores, PBT of ₹ 3,453 crore and PAT of ₹ 2,672 crores.

On a consolidated basis in Q2 financial year '25 GAIL clocked a turnover of ₹ 33,861 crores, PBT of ₹ 3,470 crores and PAT of ₹ 2,694 crores. GAIL 's gross turnover stood at ₹ 32,814 crores in Q2 financial year '25 as against ₹ 33,627 crore in Q1 financial year '25. The PBT during this quarter stood at ₹ 3,453 crores as against ₹ 3,642 crores in Q1 financial year '25. PAT during the quarter stood at ₹ 2,672 crores as against ₹ 2,724 crores in Q1 financial year '25.

Consolidated turnover in Q2 financial year '25 stood at ₹ 33,861 crores versus ₹ 34,753 crores in Q1 financial year '25. PBT in Q2 financial year '25 stood at ₹ 3,470 crores as against ₹ 4,114 crores in Q1 financial year '25. PAT in Q2 financial year '25 stood at ₹ 2,694 crores as against ₹ 3,183 crores in Q1 financial year '25.

The gas marketing volume sold during Q2 financial year '25 was 96.60 MMSCMD as against 99.47 MMSCMD in Q1 financial year '25. The decrease is mainly on account of reduced gas consumption by power sector due to prolonged monsoon and reduced average temperature. Natural gas transmission volume was almost flat at 130.63 MMSCMD in Q2 as against 131.79 MMSCMD in Q1 financial year '25. The average capacity utilization stood at 62%.

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Polymer production was 234 TMT as against 162 TMT in Q1. Capacity utilization for the quarter was 116%. LHC production was 252 TMT as against 216 TMT in previous quarter. The capacity utilization stood at 71%. LPG transmission throughput stood at 1,124 TMT as against 1,065 TMT in previous quarter. The capacity utilization was 98% during the quarter. GAIL CGD, GAIL is having the infrastructure of 194 CNG stations and 3,48,000 DPNG connections in the six geographical areas authorized to GAIL. During the quarter 3,765 new DPNG connections were added. The physical volume remained at 0.38 MMSCMD during the quarter. The share of APM and RLNG in the physical volume is around 0.23 MMSCMD and 0.15 MMSCMD respectively.

ctively.

In the next two years GAIL targets to add around 80 new CNG stations and around 1,20,000 new DPNG connections.

GAIL Gas Limited. Turnover was up by 5% at ₹ 3,150 crores as against ₹ 2,987 crore in Q1 financial year '25. The increase is mainly on account of 8% increase in sales volume from CNG segment, 15% from industrial segment and bulk trading segment by 5%. PBT stood at ₹167 crore as against ₹ 149 crore in Q1 financial year '25, an increase of 12%. PAT stood at ₹124 crore as against ₹ 110 crore in Q1 financial year '25, up by 13%.

During Q2 financial year '25 GAIL Gas along with its JV added 26,795 new DPNG connections and 8 new CNG stations and is having infrastructure of ~10,30,000 DPNG connections and 580 CNG stations.

I will take you through project performance. Mumbai -Nagpur -Jharsuguda pipeline work is under progress and the entire pipeline is anticipated to be completed progressively by June '25. Jagdishpur -Haldia -Bokaro -Dhamra pipeline, this pipeline is having length of 3,289 kilometers, 2,896 kilometers has been commissioned and remaining part is expected to be completed progressively by March '25. Kochi -Kootanad -Bangalore -Mangalore pipeline, this pipeline is 901 kilometer pipeline. 579 kilometer has been commissioned and remaining part is expected to be completed progressively by March '25. Srikakulam -Angul pipeline, work is under progress and this pipeline is of 421 kilometer. Work is under progress and likely to be completed by June '25. Gurdaspur -Jammu pipeline, this pipeline is 160 kilometer. Work is under progress and is expected to be completed by July '26.

Dhamra -Haldia pipeline, this pipeline is of 253 kilometer, 154 kilometer has been completed and remaining part, this is basically West Bengal section, is expected to be completed progressively by March '25.

Petrochemical projects, PDH -PP at Usar, capacity of this plant is 500 KTPA, project cost is ₹11,256 crore. Mechanical completion is scheduled by April '25 and project is expected to be commissioned by October 2025. Currently the progress of project is 75%. PP at Pata having capacity of 60 KTPA. Project cost is ₹ 1,299 crore having target mechanical completion date of December 2024 and current progress of project is 91%.

GMPL, that is Gail Mangalore Petrochemicals Ltd, having licensed capacity of 1,250 KTPA and approximate project cost is ₹ 4,200 crore having scheduled completion date of June '25.

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Capex incurred during Q2 FY'25 is ₹ 1,885 crore and this is mainly on pipeline, CGD projects, net zero renewables, operational capex and others.

Now I will take you through the segment-wise outlook for short to medium term. Gas Marketing business continues to demonstrate enduring performance and as informed in our earlier earning calls and investors meet, GAIL will be able to earn at least ₹ 4,500 crore of marketing margin from this segment in financial year '24-'25. Out of this, we have already earned Gas Marketing margin of ₹ 3,287 crore in first half of financial year 2025, which is approximately 73% of this year's annual Gas Marketing margin guidance. The same will be again reviewed for further guidance and revised during the result of Q3 financial year 2025. Gas transmission volume for FY 24-'25 is expected to be 130 MMSCMD. Average gas transmission volume for H1 stood at 131.21 MMSCMD, which is in line with the guidance given to you. Further, during next two to three years, transmission volume is expected to increase by around approximately 10 to 12 MMSCMD on year-on-year basis.

Polymer production stood at 396 TMT in first half financial year '25. This segment has returned to profitability in first half '25 with a PBT of ₹ 116 crore against a loss of ₹ 461 crore in first half of financial year '24. We expect to make reasonable profit before tax from this segment in financial '24-'25.

We further plan to optimize our sourcing to increase the bottom line of petrochemical business.

LHC production stood at 46.8 TMT in first half '25. During the year, production is estimated to be at the same level as was in financial year '24. Also to protect the margin in LHC segment, GAIL is time to time hedging its LPG prices, that is, propane and butane. I think this is all from my side regarding the overview of performance and projects. The management of the company is available and would be able to clarify on any questions that you have.

I now hand over to you, Nitin. Thank you.

Moderator: Thank you so much, sir. We will begin the question-and-answer session. The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: Thank you for the opportunity, sir. The first question was a little bit of a clarification. You mentioned in your opening briefing that trading volumes decline is due to the reduced gas consumption by power sector. However, if we look at the transmission volumes, they have remained broadly flat.

I just wanted to understand, sir, on a very basic level, how should we basically then look at the mix between transmission and trading volumes, which seems to be sort of reducing, if I look at the last few quarter trend? So, in terms of building in numbers, even if transmission is at 130, trading volumes can actually fluctuate between 96 to 98, depending on which segments we are supplying to, sir?

Rakesh Jain: Thank you, Probal. Actually, our marketing volume share has gone down by 3 million, whereas the transmission volume remains almost flat, though it is down by almost 1 million if we compare quarter-to-quarter and there are two factors why the transmission volume almost

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remained flat, maybe 1 million down and marketing volume has gone down. The fact is that in Q1, power sector consumes significant amount of gas because of the weather conditions and in Q2 because of monsoon, it has gone down. That is the major reason and why transmission volume remains almost same and marketing volume came down because of this reason. And second, that in Q2 we did not supply to power, whereas our plant at Pata was on the stream, which was not there in Q1.

Probal Sen: Okay, so, basically, sir, the transmission volume remaining flat meant that 2 MMSCMD or 3 MMSCMD went to either internal consumption or sectors where we don't actually get any marketing margin.

Rakesh Jain: The marketers have because we were short of volume and we could not get the EPMC bid, which comes regularly because we were not having volume. So, we though participated during those bidding process, but based on our prices, which, if we were to source, we could not wear those volumes. So, that is the reason that marketing volume was not available to us has gone to others. That is another reason.

Probal Sen: Got it. Okay. And sir, the second question I had was with respect to the petrochemicals, obviously we have seen a good recovery in terms of volumes. Just wanted to understand that what kind of run rate should we be looking at for the second half. Are we confident we can maintain basically this 220 and 230 TMT on a quarterly basis, sir for the next couple of quarters?

Rakesh Jain: Yes. We have in our guidance also shared that and now I continue to maintain that this year we will be producing at net-weight capacity of Pata, which is 810, we will be reaching around that level, so the run rate will continue to be maintained.

Probal Sen: Right. Last question, sir, if I may. The overall capex guidance you mentioned, ₹ 1,885 crores done in Q2, can we get a sense of overall capex done in H1 and H2 guidance?

Rakesh Jain: Capex, you are talking?

Probal Sen: Yes, sir.

Rakesh Jain: Capex, we have planned to incur around ₹ 8,000 crore to ₹ 9,000 crore of capital expenditure

during this year. So, we will be maintaining the current rate of capex, maybe bit higher than current rate because in second half always the capex will be more than first half, which is great. So, we will be end up around ₹ 8,000 crore to ₹ 9,000 crore when we end this financial year.

Probal Sen: Got it, sir. I'll come back if I have more questions. Thank you so much for your time.

Moderator: Thank you so much. We have next question. From the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Yes. Hi. Thanks for the opportunity. So, first question is on Gas Marketing segment. So, I know that you've guided for a full year of about ₹ 4,500 crores?

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Rakesh Jain: Bit louder, Amit. A bit louder. I'm facing problem of getting your question.

Amit Murarka: Yes, sure. So, I was saying first question, is the Gas Trading segment, so wanted to understand like what's the reason for the drop in the contribution EBITDA and EBIT contribution from the segment in Q2 versus Q1?

Rakesh Jain: Actually, Q2 is a normative return. Q1 was bit higher. I will put it differently. We have given guidance for ₹ 4,500 crore on a yearly basis. If you see Q2, it was around ₹ 1,200 crores. So, Q1 was higher than normative guidance and why it was higher because we marketed, there are two, three reasons if you want to know specifically. Once we marketed almost 3 million volume more than that is one.

Second, the arbitrage available between the upstream contract, that is the Henry Hub and downstream contract, that is crude-linked contract. If you see crude prices during quarter one was higher as compared to quarter two, Henry Hub price were lower as compared to quarter two. So therefore, those arbitrage which were available in Q1 has introduced to some extent. These are the two primary reasons for our marketing margin reduction as compared to Q1, but we continue to maintain our guidance of ₹ 4,500 crore.

Amit Murarka: Sure. Is that the only reason? The lower spread between, let's say, the crude-linked LNG and Henry Hub LNG? Is there some other factor in Q1 as well. Is there any other factor beyond this? Because the fall is about almost 30%, 35% on a Q-o-Q basis. So, is that the only reason that the spread reduced between Henry Hub and crude?

Rakesh Jain: There are two more reasons if you want to know that. Third is, as I said during questions by another participant that in Q1 we were having volumes for marketing. Q2, we sourced the volume to fulfill our commitment. There was some shortage of volume and those volumes did not give those margins which were available in Q1. We sourced the spot cargoes. And fourth reason is a reason that our one of the upstream contract has got nine months average and downstream contract has got three months average. So three months average gives us less return as sourcing will be paid higher but over a period of time it gets settled.

Amit Murarka: Sure. Got it. On capex I thought like in the last call I think the guidance was for about ₹ 11,500 crores for FY '25. So are you guiding it lower now? I mean ...

Rakesh Jain: No, no it is not lower. I was a bit conservative when I was explaining ₹ 9,000 crore. It may even touch ₹ 10,000 crore plus. So we will be touching that.

Amit Murarka: Okay. And also any update on the transmission tariff revision that you said that PNGRB would soon decide upon?

Rakesh Jain: We have submitted our tariff petitions to the regulator and it's almost more than one and a half month when we submitted. We expect the regulator to process our tariff petition because there is a process of analyzing, analysis by them then making a public consultation document, having public comment and then analyzing and then making the tariff order. We hope that this tariff will be available as an approved tariff by March 31st and expected to be applied from 1st April. That's

our current estimate.

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Amit Murarka: Got it. Thanks a lot. Yes.

Moderator: Thank you so much, sir. We have next question from the line of Sachin Mehta from Dymon Asia. Please go ahead.

Sachin Mehta: Sir, I basically wanted to get your guidance on the pet chem project that we are expanding on the capex side and the rationale behind doing this to justify the kind of ROC because I think even if you look at the mean margins that you would be making there would be a significant dilution on the ROC. So if you can guide something on this.

Rakesh Jain: Which petrochemical project you are talking about?

Sachin Mehta: The pet chem expansion.

Rakesh Jain: Sorry.

Sachin Mehta: The pet chem expansion project.

Rakesh Jain: So if you are talking about the PDH-PP at Usar, so this project we conceived way back in '18, '19 and I explained that this is likely to be commissioned mechanically by April and also the commercial production by October. Actually there are various reasons. We do not have PP in our slate. We currently produce PE. We want to also have PP.

Second, this is not natural gas-based production. This will be based on propane. So I have been continuously giving this information that there is an excellent correlation, good correlation between propane as a feedstock and polypropylene as an output. When we analyze this, and it continues to remain same even today, we are getting -- and we are getting more than our hurdle rate. And that's the reason.

Third reason is that you know that our country is growing maybe at the rate of around 7%. and the polymer demand is also going in similar range. Therefore, the demand side there is no problem. The cracked margin side also there is no issue because it is propane versus polypropylene.

And third, it will help us in marketing because we do not have polypropylene in our basket .

Sachin Mehta: But we are also looking to expand our Pata capacity as well, right?

Rakesh Jain: No, we are not expanding Pata capacity. What we are doing, two things we are doing. A small capacity addition in terms of polypropylene that is 60 KTA we are putting. And the reason for the same is that we have polypropylene available from Pata. Currently we are marketing that.

In order to utilize and make better use of polypropylene, we envisage the PP plant at Pata which is a very small capacity plant, 60 KTA at a capex of ₹ 1,299 crore. That's the reason we are putting.

Second, expansion is not an expansion. What we have said, we are laying a line. The pipeline from Vijaipur to Pata plant for carrying C2/C3. What is currently happening ? We are extracting C2/C3 at Vijaipur, mixing in natural gas, again we are extracting at Pata. This

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actually results in 10% loss. In order to capture that loss, we are putting that line and that is rather efficiency and improvement. And those capex would give us better return than the current capital expenditure. These two things we are doing at Pata. There is no third thing.

Sachin Mehta: Okay. Sure. Sure.

Moderator: Thank you so much, sir. We have next question from the line of Puneet from HSBC. Please go ahead.

Puneet: Yes. Thank you so much and congratulations. My first question is are there any new pipeline projects that you envisage? Because I think other than Gurdaspur -Jammu, you'll be pretty much done with the projects by June to October 2025. Anything new in the pipeline yet?

Rakesh Jain: Yes. We are working on that. Rather we have been expecting that regulator either will authorize directly or through bidding process we do not know. But the pipelines which are authorized to other entities and having cancelled by the regulator, we expect that those pipelines either will be authorized directly or maybe through bidding route. Those pipelines may come up in

future, very soon we expect. And those are the pipelines we expect to be in our fold.

Puneet: Understood. And is it possible to get a breakup of the other income for this quarter?

Rakesh Jain: Other income.

Puneet: Yes.

Rakesh Jain: Hold on. Other other income includes the interest income of ₹ 241 crores . The sale of steam which we are producing at Gandhar, around ₹ 52 crore. BCPL, the product which we are marketing, those commissions, sale of scrap. That's how the other income includes. Dividend income of ₹ 364 crore.

Puneet: Yes. Okay.

Rakesh Jain: Right? And the interest from customers on delayed payment , interest on loans which we have given to our joint venture subsidiaries which is ₹ 163 crore and customers delayed payment is ₹ 51 crore. These are broad things I have explained to you.

Puneet: That's very helpful. Thank you so much. And lastly if you can just update on what is still stopping you from updating your marketing business guidance? You're already 73% plus there -- nearly there, ₹ 3,700 crore plus. So why not increase it this quarter?

Rakesh Jain: Yes. As I said that we are on course of meeting the guidance of ₹ 4,500 crore. As you already know that almost 73% we achieved. And we only have completed two quarters. So right now I will say that we are on the course of meeting our guidance. In respect of revision in guidance, as we did in last year, we will come to you in third quarter.

Puneet: Third quarter. Okay, fine. That's all for me. Thank you so much and all the best.

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Moderator: Thank you so much. We have next question from the line of Maulik Patel from Equirus. Please go ahead.

Maulik Patel: Yes. So thanks for the opportunity. Just a couple of things. One, on this recent government notification where they reduced allocation APM allocations to the CGD sector. Your thoughts on that? What kind of outlook one could have for the GAIL Gas which is your subsidiary? And second is that where do you see the gas consumption in the country in next one year or so?

Rakesh Jain: Because there is some issue of clarity of voice, if I understood you, the impact of the reduction in gas allocation, the impact on subsidiary and also if you are on GAIL.

Maulik Patel: Yes.

Rakesh Jain: So GAIL Gas, we expect the impact of ₹ 16 crore per month. Right. And for GAIL around ₹ 6 crore. But GAIL as a company has an opportunity. Sorry, I have been corrected. ₹ 16 crore per quarter for GAIL Gas and ₹ 6 crore per quarter for GAIL. GAIL, as a company has an opportunity now to source and market more and more volume in terms of LNG to meet those demands which have come up because of de-allocation. So, we are very, very positive in terms of GAIL and company.

Maulik Patel: And do you think that in the future, there will be less and less gas which will divert from the CNG sector from within the CGD and will go to the other sectors? From a policy perspective, because what we understand that there was already a 3 MM SCMD reduction in the last one year or so to the CNG sector and this additional 4 MM CMD has come. So what's your thought? Will the government make CNG a much more a market-driven business compared to where they get a significant cheaper gas to the APM allocation?

Rakesh Jain: So, this is very difficult for me to answer what will happen in the future. History suggests that in view of increased consumption by city gas distribution, expansion of geographic areas, certainly, history suggests that this allocation may come down.

Maulik Patel: And you have raised the prices in your GAIL Gas, the CNG prices or the price revision is yet to be taken?

Rakesh Jain: So, this call will be taken by GAIL Gas. They are analyzing it. Certainly, there is an impact, but during the course they will certainly review their prices. And considering the customers demand how it will be going to

impact, they will take action. But as on date, the price revision has to take place.

Maulik Patel: And just last question. What's the outlook on the spot LNG, given that there are like this spot LNG. It's been very steady at \$13 per MMBTU for the last couple of months and the inventory levels in Europe are at a relatively higher level, but the price is not coming down. What's your thought overall on the spot LNG price, which you expect in 2025?

Rakesh Jain: Actually, this is abnormal situation. Normally, you find that spot prices except the Ukraine war situation or geopolitical situation remains lower. Currently, the spot prices are a bit higher than normally it used to be. We expect these spot prices to come down. But all this is in future.

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Maulik Patel: Okay, thanks.

Moderator: Thank you so much. We will proceed with the next question, which is from the line of Sabri Hazarika from Emkay Global. Please go ahead.

Sabri Hazarika: Good morning, sir. Few questions. Firstly, on the opex side, it shows that there is some increasing transmission opex. So, was there any particular sector during the quarter?

Rakesh Jain: The opex in transmission has increased because of increase in fuel consumption during this quarter.

Sabri Hazarika: And this was because of?

Rakesh Jain: Increase in fuel consumption in compression.

Sabri Hazarika: Okay. And this is going to remain like this or they can be declined?

Rakesh Jain: Actually, more or less when volume increases, certainly the levels of what we have seen recently will likely to be maintained, whereby bit plus minus. But that's not an area of concern because in terms of regulatory provisions, we are going to get back.

Sabri Hazarika: Okay. Fine. Second is, you mentioned that there were some shortfall in gas sourcing, due to which you have to rely on spot gas and gas marketing volumes are also down. So, any particular long-term LNG contract where this shortfall happened or is it the mix of everything?

Rakesh Jain: Actually, scheduling of cargo sometime happens in such a way that you feel that you don't get particular cargo in particular quarter, one or two cargo short, but this is largely not from long term contract. As I explained basically, we regularly source from spot market, almost you see our 10% to 15% volume of LNG is from spot market. We continue to source and we participate in various bidding, which come particularly for fertilizer sector that is larger one.

As I said earlier also because the spot prices were higher, we did not source or when we source, we wanted to source, it was not actually meeting our marketing margin or kind of arbitrage were not available. So, this particular situation has happened in Q2. And we continue to, of course, take the sourcing from spot market. So, this Q2, there are two reasons. One, the allocation of cargo based on scheduling and secondly, we did not source the spot because the prices were higher.

Sabri Hazarika: Right, sir, I got it. Two more questions.

Moderator: Sorry for interrupting, sir. I would request you to rejoin the queue for more questions.

Sabri Hazarika: Okay. Thank you.

Moderator: Thank you so much. We will proceed with the next question which is from the line of Mayank Maheshwari from Morgan Stanley. Please go ahead.

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Mayank Maheshwari: Sir, thank you for doing the call. Just a question in terms of your capex spending around the pet chem expansion on the PET side. Can you just give us an update of how much has that been completed? What's left in spending on that?

Rakesh Jain: Okay. So, as I said in opening remarks, actually our major petrochemical projects is PDH -PP Usar and we have project cost of ₹ 11,256 crores. The project currently progress is 75%. So, you can assume that around 25%, that is around

₹ 3,000 crore is spending to be incurred on capex for petrochemicals.

Mayank Maheshwari: Okay.

Moderator: Thank you so much, sir. The next question is from the line of Saurabh Handa from Citigroup. Please go ahead, sir.

Saurabh Handa: Yes. Thank you for the opportunity. I had two questions. Firstly, on the tariff filing, is this a part of your regular tariff filing? And when can we expect the public consultation process to begin?

Rakesh Jain: It's part of regular tariff filing. Actually, it's very difficult for me to comment on the regulator's working when they will come up. But based on our past experiences, we can expect that maybe by December they can come up for public consultation.

Saurabh Handa: Okay, sir. And just my second question. On your City Gas investments, whether they are at the standalone entity or in GAIL Gas? Is there any thought process to look at restructuring these streamline these investments?

Rakesh Jain: As a company about GAIL Gas has not yet taken any call for restructuring of GAIL Gas. This is in our mind, but nothing concrete I can share with you right now.

Saurabh Handa: Okay. Nothing at the parent level or the various JVs as well?

Rakesh Jain: So also, we are looking for listing one or two JVs, which we are in the process and once we move forward and we take a call, we'll come back to you, but that we are certainly working and we are in a good stage.

Saurabh Handa: Okay, so when can we expect an update on this, please?

Rakesh Jain: Q3.

Saurabh Handa: Okay. Thank you so much.

Moderator: Thank you so much, sir. We have next question from the line of Vikash Jain from CLSA. Please go ahead.

Vikash Jain: Thanks for taking my questions. Just firstly on depreciation, what has made it come down so much Q-o-Q suddenly from there?

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Rakesh Jain: Yes. Vikash, depreciation, actually, there are, in Q1, we had one-time depreciation. Like, as you know that Pata Petrochemical was under shutdown for annual plant maintenance. So, whatever expenditure we do on plant maintenance and we actually have to book in terms of the accounting standard along with the plant lives. The plant life has for Pata one had already been completed or almost completed, so we have to book one go, those expenditure.

Second, similar expenditure has happened for pipeline maintenance. That is around ₹ 99 crore - ₹ 100 crore. And thirdly, one of the ships we leased, completed its leasing period and that also goes to depreciation. So these all three factors have led to reduction in depreciation. So, if you are interested in figures, Pata ₹ 41 crore, over-hauling at Hazira ₹ 99 crore, ship off-hire ₹ 69 crore. So, these three elements totals up to ₹ 234 crore, which were one time in Q1.

Vikash Jain: So, ongoing, this should be the rate other than the capitalizations which are pending? So, I mean for FY '25, what is the kind of depreciation number that we are looking at, given the pending capitalizations that we are talking about?

Rakesh Jain: Around ₹ 3,600 crore.

Vikash Jain: Around ₹ 3,600 crores, which is going to be lower than FY '25, you mean?

Rakesh Jain: No.

Vikash Jain: Okay. Sorry, sir. No, sorry. It was even lower. That was correct. You said ₹ 6 crore was the impact due to this gas allocation change for GAIL, that is coming from where? If I may understand that.

Rakesh Jain: I said ₹ 6 crore per quarter for GAIL. What is your question in this regard?

Vikash Jain: That is coming from where, sir?

Rakesh Jain: Six CGDs.

Vikash Jain: Okay. The ones which are sitting in GAIL?

Rakesh Jain: Yes.

Vikash Jain: Okay. And just similarly, like depreciation, the capitalization of interest, what level is it currently and what will that be expensing increase that we see as some of these pipelines get capitalized? The increase in interest expenses.

Rakesh Jain: Vikash, we i

mmediately do not have that figure, and certainly, we'll communicate you offline.

Vikash Jain: Okay, thank you so much, sir.

Moderator: Thank you so much. We have next question from the line of Yogesh Patil from Dolat Capital. Please go ahead.

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Yogesh Patil: Thanks for taking my questions and congratulations for the good set of numbers, sir. I have two questions. Sir, my question is related to recent LNG purchase contracts of close to 2 MMTPA. Majority of them will start in January 2026. We wanted to understand the pricing part of the LNG. Is it a Brent link or any other index link? And if it is Brent link, is it cheaper than the Qatar LNG? And considering these new LNG suppliers, do you want to give us the EBITDA guidance for the FY '26-'27 period? That would be helpful.

Rakesh Jain: So first, there is a correction. We have sourced 1.53 MMTPA from two sources, which would have also informed for public domain, one from VITOL and second from ADNOC. And second, these are crude link contracts. Third, certainly, you can take it this contract is cheaper than the current contracts. Right. And regarding the EBITDA guidance for '26-'27, we come back, we have not worked out.

Yogesh Patil: Okay. And the last, related to petrochemical. Majority of these petrochemical expansions will be mechanically ready in the next one year, but on the practical terms, commissioning, stabilization, and the actual profit from these incremental petrochemical capacity when one can expect the profitability out of these new incremental capacities and any in-house estimates if you have, you can share about the profitability of these new petrochemical plants.

Rakesh Jain: So, PDH-PP is the only big project, let us not talk of PP, which is very small. PDH-PP is expected to be commissioned in '25, that is, FY '26. The profitability from this project will start from '26-'27. We do not expect any profit in the year one, right? And the level of profitability, we will come back.

Yogesh Patil: Okay. And on the JBF side, sir, which we acquired and now renovating the projects on that side?

Rakesh Jain: JBF, as I said, that it is likely to be commissioned in June '25. So again, first year we should not expect much things to happen. Next year onwards we'll be having profit and again we'll come back because let us discuss about as we reach closure to the commissioning, because considering the market situations at that point of time, it is better to give any guidance when we are having some kind of maturity about it.

Yogesh Patil: So, the major profitability can be expected post second half of FY '27 only. Is that a correct understanding?

Rakesh Jain: Yes, because there will be a lot of things happen in '26-'27. Not only we will be commissioning our one of the biggest plants of 500 KTPA that is one, the GMPL is second and third, already we have sourced 1.53 MMTPA. The marketing will increase. Fourth, we have already given guidance that our transmission volume will increase from 10 million, almost. Fourth this will happen.

And fifth, we are in the midst of looking for additional sourcing, which we have already said in various communications that we have target to source 7 MMTPA of LNG, at least by 2030.

And already we have sourced 1.53 MMTPA and in phases we'll continue to add up to our existing volume. All these will certainly help us or add to our bottom line.

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Yogesh Patil: Thanks a lot, sir.

Moderator: Thank you so much. We have next question from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.

Kirtan Mehta: Hello. Thank you for this opportunity, sir. One clarification on the petrochemical business. What was our gas sourcing cost for the petrochemical during Q1 and Q2?

Rakesh Jain: Okay. Just hold, we will tell you. So, Q1 and Q2. Q1

around 8.5 , approximate 8.5 and Q2,
around 9.

Kirtan Mehta: Right, sir. And one more question was on the marketing division. Over past six months, if we look at the global market, we have seen spot LNG prices tightening, whereas we have seen the oil price expectation coming down for FY '26. So, what sort of impact would it have on our marketing business for FY '26? The change in this external environment?

Rakesh Jain: Actually, our marketing margin as we are moving forward are getting stabilized. Whatever long-term sourcing we had done, we have marketed now. On same index, back to back, mostly. So, the marketing margin is going to get stabilized. So therefore, any change in spot price does not impact or not likely to impact our marketing margins. The marketing margin will actually will go up for two reasons.

One, our actual portfolio will increase. The demand in country is increasing. Second, the spot prices at current level are not likely to remain. You can vouch for yourself. Historically, the spot prices do not remain for a longer period at this level and we almost market 10% our portfolio on spot. So, that I will provide arbitrage or we'll be able to take care of the opportunities available in spot market.

So now to sum up, our marketing margin has more stabilized will move forward with more and more sourcing. The spot prices, which are currently not helping, will help when the spot price is normalized.

Kirtan Mehta: Thank you, sir. Just one more follow up on the same. So, out of the ₹ 4,500 crore guidance for this year, how much percentage of the profit is attributable to the back to back contract?

Rakesh Jain: So, this detail we can share with you, but it's not right now available. But you can assume that now we almost have contracted back to back. Maybe I'm giving only a ballpark number. Maybe 80% - 85% almost we have done back to back. 75% - 80%.

Kirtan Mehta: That is on the volume front. But out of the profit guidance of INR 4,500 crore, how much upside is attributable to the non-back-to-back contract? Where we had sort of a lower HH versus the arbitrage profits that have come from the tighter crude oil prices or other way around, the way we explained earlier in Q1.

Rakesh Jain: Remaining 20%. I said, 75% - 80% is back-to-back. The remaining is actually giving us those arbitrage based on market situations.

Kirtan Mehta: Fine, sir. Thanks for this color.

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Moderator: Thank you so much. We have next question from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh: Good morning, and thank you very much and wish you the best of season's greetings. So, dwelling again on Gas Marketing segment. So, is it fair to understand that now that you have placed all the gas you have sourced, how is the gas sourcing and the bidding balance for this quarter? Are you back to normal? Balance between what you're sourcing and able to place. And in terms of the volume, what is the kind of number we should assume for the second half compared to what you have done in the first half in terms of MMSCMD. And when do you think we'll see some growth, because last year you had mentioned that you expect about 5 million cubic meters per day of growth in gas marketing. So what is the kind of growth we could assume, say, in FY '26 and '27 in gas marketing?

Rakesh Jain: Actually marketing margin guidance, we have given on annualized basis and we have reached 73% of that. For two quarters, we expect to continue to earn a reasonably good margin. But if you want to have guidance, we will give in Q3, not right now, which I have been maintaining. But we expect that our guidance of ₹ 4,500 crore is likely to exceed. We do not want to give any number right now.

S. Ramesh: I'm not asking about the margin specifically. Since you mentioned that the reason for the lower margin second

quarter was because there was an imbalance between what you could source and place. I'm just -- I am trying to understand whether you are back to normal sourcing and placement on a back-to-back basis this quarter. And secondly, what is the kind of growth one can expect in marketing volumes in the second half and, say, over FY '26, '27.

Rakesh Jain: Actually. This guidance also we have given, we expect that this year we should get 5 million volume growth this year and we continue to have similar growth in coming one to two years.

S. Ramesh: Okay. And second thing is, if you look at your --

Moderator: Sir, I would request you to rejoin the queue and have more participants on line.

S. Ramesh: Just one last one. On the debt, if you look at the current debt, where do you see the debt getting finalized once all the projects are capitalized? And what is the average interest rate on the debt?

Rakesh Jain: So debts are likely to remain around same range, maybe ₹ 1,000 crore to ₹ 2,000 crore more from current level. The interest rate, if you want to know, around 7.5% to 7.6%.

S. Ramesh: Thank you very much and wish you all the best.

Rakesh Jain: Thank you.

Moderator: Thank you. Next question we have is from the line of Tarang Agrawal from Old Bridge. Please go ahead.

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Tarang Agrawal: Okay. Sir, just referring to the previous participant's question on your gas sourcing from ADNOC and Vitol, you said that your new contracts are crude linked and they are cheaper. Sir, would the cost be cheaper in terms of the slope or would there be any other factors which would be determining the better procurement of the gas? And number two, how cheaper would these contracts be in context of your current contracts?

Rakesh Jain: Actually, I will not be able to answer you this specifically. I can only say these contracts are cheaper and I can give you a rough number maybe \$0.50 to \$1 or maybe more if we see both the contracts. But specific may not be desirable or I should not.

Tarang Agrawal: Okay, sir, maybe not specific, but just wanted to get the cost differential predominantly emanates from the slope, right, the agreed upon slope? Or there could be other factors also which could drive the differential cost?

Rakesh Jain: When you source crude linked contract certainly slopes comes into picture.

Tarang Agrawal: Okay. And the number when you speak about \$0.5 or \$1 or whatever that number is --

Rakesh Jain: This is for our satisfaction because you're asking, it may be around \$1 or \$0.50. Let us not discuss because it goes up to formula which we will not be able to share.

Tarang Agrawal: Sure. Okay. Thank you, sir.

Moderator: Thank you so much. The next question is from the line of Kishan Mundhra from DAM Capital. Please go ahead.

Kishan Mundhra: Hi, sir. Two questions from my end. So, firstly you were exploring setting up a 1.5 million tonne cracker in Madhya Pradesh. So is there any development on that front? Have you finalized anything?

Rakesh Jain: Sorry. You come back again, please.

Kishan Mundhra : Sir, there were news articles --

Rakesh Jain: Okay. Okay. I got you. Got your point. So I have been answering this question in last earning call also, sir, that we as a commercial organization evaluate all the possibility of investment, which commercially suits to us. Currently we are evaluating lot of opportunities, including the ethane cracker. Regarding decision, we have not yet taken any decision.

Kishan Mundhra : Okay, understood. Sir, second question is, on the Dabhol breakwater, what is the progress on that front? When do we expect it to be completed? And once completed, sir, what is the expected utilization that we can expect?

Rakesh Jain: So Dabhol terminal, we will be full weather terminal next monsoon. The job is going on. There was some issues in between. Now the job has started and we expect to be completed by

February. Right? And as far as utilization is concerned, we will be able to utilize fully because

currently we are sourcing cargoes and bringing to other terminals. So when we have our terminal, we'll certainly be able to utilize to its capacity.

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Kishan Mundhra : Okay. Understood. Thank you, sir.

Moderator: Thank you so much. Ladies and gentlemen, due to time constraints, that was the last question. I now hand the conference over to management for closing comments.

Rakesh Jain: Thank you very much. And we thank to participants from our investors and analyst community for their wholehearted support to GAIL and participating in such a number, asking lot of questions. I know there was a time constraint. Some of the participants could not have asked or did not get the opportunity to ask questions. But we, as GAIL are always available to answer you all the pending questions or some of the queries we could not answer offline. Thank you very much.

Moderator: On behalf of PhillipCapital India Private Limited, that concludes this conference. Participants may disconnect your lines. Thank you for joining us.

Call: Jan 2025

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"GAIL (India) Limited Q3 FY25 Earnings Conference Call"

January 30, 2025

MANAGEMENT : MR. RAKESH KUMAR JAIN – DIRECTOR (FINANCE),
GAIL (INDIA) LIMITED & OTHER SENIOR EXECUT IVES
MODERATOR : GAGAN DIXIT – ELARA SECURITIES INDIA PRIVATE
LIMITED

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Moderator : Ladies and gentlemen , good day and welcome to GAIL (India) Limited Q 3 and FY '25 Earnings Conference Call hosted by Elara Securities India Private Limited.

As a reminder, all participant line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gagan Dixit from Elara Securities. Thank you , and over to you, sir.

Gagan Dixit: Yes, thank you. A warm welcome to everyone to discuss GAIL (India) Limited Q3 FY '2 5 result. It is our pleasure to be able to bring to you the management of GAIL (India) Limited led by Sri. R. K. Jain, who is Director Finance and other senior executives of the company.

So, with these words, I would now hand over the conference to the GAIL (India) Limited management. Over to you, sir.

Rakesh Kumar Jain: Yes, thank you, Gagan . My dear friends from investors and analysts ' community , a very good afternoon to all of you to this Earning Call for result of Q3 Financial Year '2 5.

At the outset, I thank you all for attending the earning call and would briefly touch upon the major highlights. I feel proud to share that GAIL has registered highest ever quarterly and 9 months PBT and PAT. In comparison to the corresponding period of 9 months, PBT and P AT registered a stellar growth of 39% , stood at Rs 12,123 crores and Rs. 9,263 crores respectively. This is on account of robust physical performance by almost all major segments and an excep tional income of US\$285 million , which amounts to Rs . 2,440 crore as compared to the similar period last year.

I feel happy to inform our investors that company has declared an interim dividend at the rate of 65% of face value of shares for the Financial Year '2 4-'25 that is Rs . 6.5 per share.

On a standalone basis, GAIL has registered a gross turnover of Rs. 34,912 crore , profit before tax of Rs . 5,029 crore and PAT of Rs . 3,867 crore in Q3 Financial Year 2 025.

On a consolidated basis during Q3 Financial Year '2 5, the turnover, PBT and PAT stood at Rs . 36,887 crore and Rs. 5,272 crore and Rs. 4,082 crore respectively.

I will take you through the major financial highlights.

GAIL's gross turnover registered a growth of 6% and stood at Rs. 34,912 crore in Q3 Financial Year '2 5 as against 32,814 crore in Q2 Financial Year '2 5. The PBT and PAT during the quarter

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rose substantially by 46% and 45% respectively to Rs . 5,029 crore and Rs 3, 867 crores as against Rs. 3,453 crore and Rs . 2,672 crore in Q2 Financial Year '2 5 respectively. This includes a receipt of an exceptional income of Rs . 2,440 crore from SAFE Marketing and Trading Singapore as settlement towards withdrawal of arbitration p roceedings.

On consolidated basis, the turnover registered a growth of 9% and stood at Rs. 36,887 crore in Q3 Financial Year '2 5 as against Rs. 33,861 crore in Q2 Financial Year '2 5. The PBT made a growth of 52% and was at 5 ,272 crore in Q3 Financial Year '2 5 as against 3 ,470 crore in Q2 Financial Year '2 5. PAT also followed the trend and registered a growth of 52% and stood at Rs. 4,082 crore in Q3 Financial Year '2 5 as against 2 ,694 crore in Q2 Financial Year '2 5.

I will take you through now through physical performance of Q3 as compared to Q2 Financial Year 2 025.

The gas marketing volume during Q3 Financial Year '2 5 was 103.46 MMSCMD as against 96.60 MMSCMD in Q2 Financial Year '2 5. During the quarter, 37 LNG cargoes were imported, making it a total of 107 cargoes during 9 months as against 101 during April to December in '23-'24.

Natural gas transmission volume decreased by 4% to 1 25.93 MMSCMD in Q3 as against 130.63 MMSCMD in Q2 Financial Year '2 5. The decrease is due to reduced offtake by power segment almost 3 MMSCMD and shipper 's volume 1 MMSCMD . The average capacity utilization stood at 60%, approximate 60%.

Polymer production was 216 TMT as against 234 TMT in Q2. Capacity utilization for the quarter stood at 106% of its name plate capacity. LHC production was 283 TMT as against 252 TMT in the previous quarter. Capacity utilization stood at 79 %. The LPG transmission throughput stood at 1,157 TMT as against 1 ,124 TMT in the previous quarter . The capacity utilization was 100% during the quarter.

About CGD, GAIL is having direct authorization of 6 GAs and has an infrastructure of 195 CNG stations and 3, 53,000 DPNG connections. During the quarter, approximately 5,000 new DP NG connections were added. The physical volume remained at 0.36 MMSCMD during the quarter. In the next two years, GAIL targets to add around 80 new CNG stations and around 1,20,000 new DP NG connections.

Now I will take you through GAIL Gas Limited , which is a 100% subsidiary of GAIL . The performance of GAIL Gas Limited , during the current quarter , turnover was down by 3% and stood at Rs . 3,043 crores as against 3,150 crore in Q2 Financial Year '2 5. PBT decreased by 7% and stood at Rs. 155 crore as against 167 crore in Q2 Financial Year '25, following cut in APM gas allocation. PAT was down by 8% and stood at Rs . 114 crore as against 124 crore in Q2 Financial Year '2 5.

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During Q3 Financial Year '2 5, GAIL Gas along with J Vs added 25,000 new DPNG connections and 5 CNG stations and is having an infrastructure of 10,50,000 DPNG connections and 585 CNG stations. In the next 2 years, GAIL Gas targets to add around 170 new CNG stations and around 5 lakh new DPNG connections.

I will now take you through the status of ongoing projects. Pipeline projects, majority of the pipeline projects viz. Mumbai -Nagpur-Jharsuguda pipeline , Jagdishpur -Haldia -Bokaro -Dhamra pipeline , Kochi -Kootanad -Bangalore -Mangalore pipeline and Srikakulam -Angul pipeline are scheduled to be completed in coming financial year that is '25-'26, whereas Gurdaspur -Jammu pipeline is scheduled to be completed in financial year '26-'27.

Petrochemical projects , majority of the petrochemical projects viz. 60 KTA Polypropylene at Pata and 500 K TA polypropylene at Usar , 1,250 K TA PTA at GMPL are scheduled to be commissioned in coming financial year.

Indradhanush Gas Grid Limited , IGGL's first phase schedule to be completed in Financial Year '25-'26, whereas Phase 2 and Phase 3 are scheduled to be completed in Financial Year '2 6-'27.

Brief about CAPEX . The CAPEX for Q3 Financial Year '2 5 is approximate Rs. 2,122 crores , and this CAPEX is mainly on pipeline around 400 crores , petrochemicals around 750 crores, CGD project around 40 crores, operational CAPEX and other projects 770 crores, equity contribution around 130 crores.

Now I will take you through the segmental outlook for short -to-medium term. In gas marketing , in 9 months ended December 31st, 2024 , GAIL has achieved a physical volume of 99.84 MMSCMD and has earned marketing margin of 6 ,128 crores from this segment . This 6,128 crores includes 2 ,440 crores that is one -off, as I shared , with respect to settlement of arbitration case with SEFE.

We maintain the guidance of earning Rs. 4,500 of gas marketing margin in current financial year excluding the exceptional income of 2 ,440 crores . We expect this total number to be around

7,000 crore including the exceptional income in Financial Year '24-'25.

I further wish to inform our friends from analyst community that as part of a group of three Indian oil and gas PSUs, GAIL has entered into a non-binding MoU with

Argentina State-owned

oil and gas company, YPF. The MoU covers the collaboration in exploration and production of hydrocarbon and critical minerals. Argentina is home to the world's second largest shale gas reserve and carries potential of development, which may become a significant source of LNG for India in future.

Gas transmission volume for '24-'25 is expected to be in the range of 129 to 130 MMSCMD.

Average gas transmission volume for 9 months stood at 129.44 MMSCMD. Further, during next

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2 to 3 years, transmission volume is expected to increase by 10 MMSCMD on year-on-year basis.

Polymer production stood at 612 TMT in 9 months for Financial Year '25. The segment has remained profitable in 9 months for Financial Year '25 with a PBT of 121 crores as against loss of 399 crores in the corresponding period during last financial year. Plant is currently running at more than 100% capacity and we are targeting measures to enhance operational efficiency for sustainability.

LHC production stood at 751 TMT in 9 months financial year as against 730 TMT in 9 months for Financial Year '24. Vide order dated 31st December 2024, MOPNG has ordered a cut in APM gas allocation to GAIL for LPG production. Due to this cut, we expect a drop of approximate 75 TMT in LPG production in Q4 Financial Year '25.

That's all from my side regarding the overview of the performance and projects. The management of the company is available, and we would be glad to clarify on any questions that you may have. Over to you, Gagan.

Moderator: Thank you very much, sir. We will now begin the question and answer session. Anyone who wish to ask a question may press star and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Participants are requested to limit their questions to two per participants and can come back in the queue if they have more further questions. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We have our first question from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: Thank you for the opportunity, sir. Good evening. First was on the trading business, sir. This quarter, in terms of volumes, it seems the relative correlation between trading and transmission is a bit different where transmission has reduced but trading volumes have actually increased quite sharply. So, how should we actually look at this correlation going forward, you know, for, let's say, the year next year? You know, if we look at, let's say, 140 odd MMSCMD around average for FY '26 for transmission, what would you build in for trading? Just wanted to get your sense of that.

Rakesh Kumar Jain: Actually, trading volume in this quarter has significantly increased because of the international sale. Almost 9 MMSCMD has come from there. So, there is no significant deviation as in transmission and marketing. It is going in a similar way. I think that is the disconnect which I should have explained that is creating confusion. So, 9 MMSCMD has come from international sales.

Probal Sen: Got it. Okay. So, then the second question was, if we take out the one-time income of the settlement, which I presume is sitting obviously as you mentioned in the trading EBIT, then the GAIL (India) Limited

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trading EBIT for this quarter seems to have dropped very sharply on a Q-o-Q level or on a Y-o-Y level. Can you just take us through what has happened in terms of margins in this quarter?

Rakesh Kumar Jain: Yes, very right. This quarter we had earned 400 plus crore, to be precise, 417 crore out of this trading business. The major reasons are two, three. One reason is that during this

quarter, the

prices of crude started falling. And what has happened because of that, we have a contract which has a nine months' average on sourcing side and on sales side, three months' average.

So, it is immediately impacting because the recovery is on three months basis and payment for sourcing is on nine months basis. So, going forward, we will start getting the plus on account of an average changes because overall it sets up, but immediately it has impacted. That is one reason it is around Rs. 200 crore plus that has given an impact.

Second, during this quarter, the HH prices were a bit higher as compared to the previous quarter.

So, our margin between the sales side, which is on crude and HH, which is unhedged. Normally we are hedging to a great extent and the volumes which were unhedged has also impacted.

Third, we have marketed volume more than the volume which we have sourced. Normally, we do in order to take care of, to avoid the risk of take or pay because normally in an international contract is 100% take or pay, whereas in downstream contract, it is 80, 90% take or pay level. So, we normally sign contract more than the source volume. So, this quarter what has happened, the most of the customers were drawing and in order to fulfill those demands, we sourced spot cargo, which were higher than the marketing price, which one-off situations sometimes happen and sometimes we gain out of this also because when the spot prices are lower, we tend to gain. So, this has happened during this quarter and these two, three reasons have reduced our marketing margin in the last quarter, that is Q3. And this is also, you can say, not a normal situation (17:30). That's how it has come down.

Probal Sen: So, if I were to quantify this, sir, you mentioned 200 odd crores for the first reason, which was basically the mismatch in contract terms. For the other two reasons also, it would be somewhere in 200, 300 crore each. So, that's caused the 800 crores to 900 crore drop.

Rakesh Kumar Jain: More than that. For other two reasons, it is more than that, around 600 crore.

Probal Sen: 600 crore each for each reason, is it?

Rakesh Kumar Jain: No, 200 crore for first reason, that is nine months' average versus three months' average and the HH volume around 150 crore because of increase in price and then fulfilled our commitment by sourcing because in this year, we have short of volume. '26 onwards we have lot of volume. So, we have fulfilled our commitment in downstream by sourcing spot being unfortunately was

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higher during this quarter, which led to 600 crore. So, all these reasons have led to more than Rs. 900 crore of drop.

Probal Sen: Understood. Right, sir. That was my first. If I can take in one last question, how should we then look at, you have given guidance of 4,500 crore which is obviously going to be net this year, net of one-off. For next year also should we work with somewhere around this number or can it improve once these changes are mobilized?

Rakesh Kumar Jain: No, we have been maintaining next year's number. Rather we have in earlier Earning Calls given that the marketing margin will remain in this range only for next year as well.

Probal Sen: So, around 4,500 minimum base case we should build in is what you are saying.

Rakesh Kumar Jain: Let us not put the word minimum at this stage, but we will be around 4,500 crore.

Probal Sen: Got it. All right, sir. Thank you so much. I will come back if I have more questions. Thank you for your time.

Moderator: Thank you. We have our next question from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: Yes, thank you so much for the opportunity. My first is if you can also talk about any long-term PPAs that you are looking to tie up at this stage to reduce this kind of market

ting volatility?

Rakesh Kumar Jain: Already we have tied up actually, you know, as international market is tied during 2025. So, in order to meet those shortage of volume, we have signed 0.75 MMTPA that is one cargo per month from April onwards at a very good rate. So, that is one contract we have signed. So, we have mitigated those shortage on immediate basis. It means April onwards we have one cargo extra available during every month. Second, '26 onwards we have signed contract for 1.53 MMTPA amounting to 1.5 cargo per month. So, if you add both, in '26, we have 2.5 cargo additional, and this year we have from April onwards one cargo per month.

Puneet Gulati: Okay. So, the loss that you incurred was 450 crore because of a shortage of volume. That should go away from next year onwards.

Rakesh Kumar Jain: That is what I explained and not 450. We have lost 600 crore because of this because we as a responsible organization continue to fulfill our commitment. We could have put the cuts, but we did not do that because we know that this is a temporary phenomena one-off case. Lot of time we gained out of it also because sometimes spots are significantly lower than the contracted price. That time we gain, but this time unfortunate situation, the prices are higher. So, this is one-off kind of situation.

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Puneet Gulati: So, just to conclude on this from my perspective, do you think volatility in marketing will pay or because of your hedging policies it should reduce from here on?

Rakesh Kumar Jain: It is already reduced. You see last 3 years, we have been continuously giving you guidance and we are overshooting the guidance. We gave the guidance for '22-'23 for 3,000 crore. We met in spite of geopolitical situations. We gave guidance of initially 4,000 and 4,500 crores and ended

up with 6,000 crore last financial year. This financial year, we gave the guidance of 4,000 to 4,500 crore until Quarter 2 . In Quarter 2 , we said that we will be earning 4,500 crore. I am maintaining that.

Puneet Gulati: Understood. That's helpful. And secondly, you know, there has been this trend of rising spot prices. Do you foresee a risk of your transmission volume on account of that? The growth that you are predicting of 10 million cubic meters for FY '26?

Rakesh Kumar Jain: No, we do not see any risk of transmission volume because nobody puts their plant on a spot price basis. Spot is only to mitigate the immediate need or one-off kind of situations or sometimes power plant consumes. So, normally the transmission volume does not get impacted because plant contracts for which plants which are coming along new pipelines. For a longer period, they continue to take volumes. So, therefore, we do not see any risk in terms of capacity utilization. We have been saying and last time we said that our volume will increase around 10, which are nearing to 10. And again, we have given guidance for 10 MMSCMD for the coming two years. We are hopeful that that will happen.

Puneet Gulati: Okay. And lastly on this SEFE, while you recovered 2,440 crores, how much, in your view, did you lose by them not supplying or have you been able to recover the entire loss that you made in during those quarters?

Rakesh Kumar Jain: Settlement is like a marriage. You don't lose or gain. So, we have done what we thought is best in interest of our organization, both the organizations.

Puneet Gulati: Understood. That's helpful. Thank you so much. All the best.

Moderator: Thank you. We have our next question from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Yes, hi, good evening. So, just wanted to understand, like, from which customers did you see a fall in transmission volume in third quarter?

Rakesh Kumar Jain: Power, mainly power, 3 MMSCMD.

Amit Murarka: Okay, and other, any

one else as well? Because I think it's a drop of almost six, almost.

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Rakesh Kumar Jain: No, the reduction is almost 4 million. 3 million has come from power. And one more unfortunate event has happened. One of the pipeline which was laid by GSP, not GSPL, the GSPL group, GIGL pipeline to IOCL, that has been authorized by PNGRB. That has taken away some of our volumes.

Amit Murarka: So that would then be a permanent shift, right, I believe?

Rakesh Kumar Jain: Yes, I will not be able to say at this stage because we have challenged that.

Amit Murarka: Okay. And so, generally, what is the outlook you give, like, segment-wise outlook as well? So, what is the outlook for Q4 and for '26, if you can provide?

Rakesh Kumar Jain: Q4, which outlook you are asking the marketing?

Amit Murarka: And the customer wise outlook. No, transmission customer-wise outlook you gave, right, power, fertilizer. So, if you could just provide what is the outlook for those segments?

Rakesh Kumar Jain: So, we expect that we will continue to transport around 129 or to 130 MMSCMD, which will make the yearly average also around that level, which I said in my opening remarks that we expect on a yearly basis 129 to 130 and which actually nine months average is 129.45 around that level. So, we continue to expect that we will be doing this in this quarter around that level.

Amit Murarka: Sure. Also, is there any progress on the discussion with the PNGRB on the transmission tariff revision?

Rakesh Kumar Jain: Actually, PNGRB is doing a lot many things. One, our tariff petition, they are processing but bit slow. Anyway, that benefit is available to us and the more they are delaying, the more tariff increase will happen on net present value basis. PNGRB has also set up a committee, industry committee to review the tariff mechanism to address the issues raised by various transporters which will also benefit to this transmission company. Recently they have held the committee with industry. So, all these things will give a lot of positives, and we are expecting that to happen in next financial year.

Amit Murarka: Okay. Next financial year, but by H1, H2, what will be the expectation now?

Rakesh Kumar Jain: H1, H2, next financial year?

Amit Murarka: No, I mean, by when next financial year, you mean towards the end of next financial year or would you think that come earlier?

Rakesh Kumar Jain: I give based on the understanding for PNGRB. So, I gave the date last con call around 1st April. So, it is becoming difficult for me to, because I am also taking guidance from them or I am

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taking the information from them. So, currently I maintain the first quarter they should come out

with the tariff order.

Amit Murarka: Okay . Understood . Sure. And lastly, what was the input gas cost for petrochemicals?

Rakesh Kumar Jain: You can say around \$10.

Amit Murarka: Okay, sure. I will come back in the queue.

Moderator: Thank you. We have our next question from the line of Sabri Hazarika from Emkay Global Financial Services. Please go ahead.

Sabri Hazarika: Yes, so, firstly on this LPG APM allocation cut, so you would be cutting volumes, right, rather than running the plant in LNG?

Rakesh Kumar Jain: No, LNG doesn't make sense for us to run the plant. So , whatever APM allocation currently we are running the plant based on the current allocation. But being a portfolio player, we have the ability to source time -to-time LNG which is affordable to LPG plants. So , immediately it is not available. We are hopeful that we will be able to source the LNG which is actually making sense for us to run the plant at the level which has been designed or which we are running. So , not immediate basis, but certainly beyond that we will be looking for th

e LNG at that affordable price.

Sabri Hazarika: Okay, and what could be your targeted EBITDA? For this segment, I mean, do you have a target EBITDA or target earnings run rate based on which you would be taking a call on the LNG prices prevailing?

Rakesh Kumar Jain: LNG, I will come back specifically may be offline to this question. I am not ready with the answer.

Sabri Hazarika: Okay, sir. Secondly, on the petrochemical front, how do you see FY '26 in terms of like, would you be like at a breakeven level or at a profitability level? How d o you see FY '26 and specially on the back of the new plants also coming up?

Rakesh Kumar Jain: Yes, so firstly about Pata. Pata, we expect that these prices are at the rock-bottom level. Currently prices are around Rs. 88,000 per metric ton and these prices are at this level for quite some time.

So, we believe that this is the price level which is at least going to be maintained and there can be upside. So, the issue is that how cheap gas we are able to give to Pata plant .

Recently , HH price were being higher , so we could not earn the profit what we would have thought a quarter back. So , whatever we have earned in 9 months, we feel that next financial year we will be better off because prices we do not believe that it will go down . It may go up,

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but HH prices and the gas prices will soften . Therefore , this will increase good profit margin for Pata Petrochemicals, and we expect it will do better than this year.

With respect to the PDH /PP plant, which is coming up, it is not a n LNG or gas -based plant . It is a propane -based plant. So , we have already tied up propane for long -term contract for 15 years . And propane and PDH/PP we have said that polypropylene has got a good correlation , and we expect that we will earn a good margin on sustainable level at PDH /PP.

Sabri Hazarika: Okay, sir. Fair enough. And just one small question about IGGL . You mentioned that Phase -1 would be ready in FY '2 6. So, by Phase -1, what do you mean by , I mean, it could be like all the three different routes on the Phase -1. I mean, what kind of volume, especially for lines like Barauni -Guwahati and all you were expecting from this?

Rakesh Kumar Jain: Do you have any formation? So, we will come back. You can just post this question. We will provide the details.

Sabri Hazarika: Sure, sir. Thank you so much , and all the best.

Moderator: Thank you . We have our next question from the line of Varatharajan from Antique Limited . Please go ahead.

Varatharajan: Thank you for the opportunity. So, on this LPG front so far whatever we are getting in terms of APM was completely stopped or are we still getting a new volume?

Rakesh Kumar Jain: No, we are getting , only 0.63 MMSCMD has been reduced. So, it is not complete stoppage.

Varatharajan: So, totally how much are we getting?

Rakesh Kumar Jain: We were getting 1.75 . Out of that , 0.62 has been reduced. So, 1.13 is available.

Varatharajan: And was there a this thing, like this is only half of the order which was actually put out in January, so the second half also could be cut? Is that how this?

Rakesh Kumar Jain: I am not getting very clearly to you.

Varatharajan: No, the 0.63 was half of what they originally posted. They said, like, you know, in phases t hey will do a particular volume. So, this 0.63 is half of it or like, you know, it is 100% .

Rakesh Kumar Jain: One-third.

Varatharajan: One-third , okay. And secondly, can you explain that 9 months versus 3 months thing which you mentioned on the trading side on the volume side, where we ha d to make that 9 months payment and how does it work on an ongoing basis?

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Rakesh Kumar Jain: Actually, I am not getting very clearly to you. Can you please either audio, you have to be very

near to, I don't know why I am not getting you clearly.

Varatharajan: Sure. Just a second. Is this better?

Rakesh Kumar Jain: Yes.

Varatharajan: So, this, like, you know, nine months, what you are referring to in terms of the payment, if you can explain how that mechanism works and like, is it an ongoing arrangement that we will continue to have a nine month versus just a 3-month discrepancy?

Rakesh Kumar Jain: Actually, we have an upstream contract where crude price is based on nine months, nine months' average. Right? And downstream this market is on three months' average. So, when the crude price falls, so immediate three months' average, which we bill to customer is lower. So, our realization goes down, but our purchase price is on nine months, that is higher. But it actually sets up over a period of time because the price is on rolling basis. We are able to recover whatever we are losing currently. So, that's how it works.

Varatharajan: Yes, we understand that, sir. Would it be possible to give us like, you know, what volume is in this particular bracket under this contract?

Rakesh Kumar Jain: So, you can assume that around 10 million.

Varatharajan: 10 million cubic meters per day.

Rakesh Kumar Jain: 10 MMSCMD, yes. 10 to 11.

Varatharajan: Thanks a lot, sir. I will come back on the queue.

Moderator: Thank you. We have our next question from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh: Good evening, and thank you very much. Just the thoughts on gas marketing, when you talk about this crude-linked sourcing and sale price and the Henry Hub-based contracts, given the volatility in crude price, now if you were to assume crude prices will decline, how will that impact your delta in the BRENT-linked contracts? Because if your three-month average is going to continue to fall, will that not be negative for the margins on this 10 million cubic meters per day? And similarly, if Henry Hub prices keep going up, wouldn't that also be a challenge in terms of being able to pass it on on the unhedged portion? What are your thoughts on that?

Rakesh Kumar Jain: Actually, largely Henry Hub contracts, we have tied up on back-to-back basis. Even if Henry Hub prices increases, we will be able to pass on to customers. So, that does not impact us

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significantly. Even in my detailed analysis, which I explained to one of our friend, who asked the question, it was only 74 crore, 70-80 crore, which impacted us. So, it does not impact us. Secondly, we do not expect Henry Hub price to be such a level continuously. Henry Hub was also \$1.65, \$2, \$1.9 for quite some time, but all of sudden recently it has increased and now it has started showing different trend. So, even in the worst of time, it was impacting for the very, very minimum volume, which we have not signed on back-to-back basis.

S. Ramesh: And what about the crude prices? If they were to decline, how would that impact this, you know, lag between nine months sourcing and three-month average price?

Rakesh Kumar Jain: It doesn't impact us on yearly basis. Almost we get a square off, because on rolling basis, our sourcing start cheaper because initially if three months we build at a lower rate, and sourcing is higher later, that higher prices goes out from the nine months and we also start getting at cheaper rate. So, therefore, we are able to recover. So, on a rolling basis, it doesn't impact us.

S. Ramesh: Okay. Any inventory loss in the gas marketing segment in this quarter? And similarly, any inventory loss in petrochemicals?

Rakesh Kumar Jain: No, no.

S. Ramesh: Okay. Finally, on the CGD gas allocation and the new well gas, we understand that the APM gas is going to see a natural 7% decline that will be replaced by new well gas. So, what is the kind

of line of sight or visibility that the industry has in terms of the volume of new well gas that will be available for City Gas Distribution to break up for the 7% decline?

Rakesh Kumar Jain: Hello.

S. Ramesh: Hello.

Rakesh Kumar Jain: Can you come back specifically? I am not able to understand.

S. Ramesh: Yes. So, basically, we understand from Mahanagar gas that there is a proposal to reduce the APM gas allocation further by 7% every year based on the natural decline of the APM gas production, and that is likely to be replaced by the new well gas from ONGC. So, now the question is to what extent will the new well gas production go up to replace this 7% decline as expected in the APM gas?

Rakesh Kumar Jain: I think this is better that you ask ONGC because how much production will increase , I am not in a position to answer you.

S. Ramesh: Okay. Right , sir. I will come back in the queue . Thank you very much.

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Moderator: Thank you. We have our next question from the line of Mayank Maheshwari from Morgan Stanley. Please go ahead.

Mayank Maheshwari: Good evening, sir. My first question was related to the marketing side of the business. In terms of volumes for next year considering the deallocation of gas for City Gas , do you think GAIL will be able to kind of take market share in terms of marketing next year considering the requirements for City Gas on even LNG now?

Rakesh Kumar Jain: Yes, actually you said the right question. We have been able to guide up for five years contract for a significant amount in the last two months , and going forward if gas is cut for CGD, we will continue to tap that market.

Mayank Maheshwari: So, sir, a follow -up on that consid ering the requirements are reasonably big over the next three to five years , correct, I am not talking about this next year. How are you kind of thinking about tying it up in terms of sourcing of volumes as well? Does that mean that you will have to kind of now be a bit more aggressive next year in tying up another 5 -10 year volumes?

Rakesh Kumar Jain: Yes, we are already scouting for additional volume . As I explained to another question that just a month back we tied up around 0.75 MMTPA. We have already tied up almost a year back for 1.53 MMTPA from different , different sources , and we are already in the market to scout for more volume to meet the increasing demand not only from City Gas Distribution , from other sectors which are comi ng along our pipelines.

Mayank Maheshwari: And s ir, on the basis of what your conversations are, are people more inclined to use Henry Hub contracts back -to-back or oil -linked contracts or do you want to mix half -half kind of a thing with that kind of lon g-term sourcing?

Rakesh Kumar Jain: Actually, we have mixed kind of demands. When Henry Hub was around \$2 to \$3, lot of demand was on Henry Hub basis and when Henry Hub starts going down, people again start thinking about crude. So , it's a period in which you sign the contract.

People have very , very short vision. When Henry Hub is down, lot of demand comes from Henry Hub. When Henry Hub starts increasing , they look for crude . It depends on which time you are signing the contract.

I remember 5 years back nobody used to talk about Henry Hub and now 3 months back a lot of people were demanding Henry Hub . And in fact, we have tied up, as I said, all the volumes of Henry Hub . We do not have any extra volume. So , it depends basically at which point of time people are coming to source the gas from us.

Mayank Maheshwari: Fair enough , sir. And s ir, last question was on Dabhol . Any update and progress on Dabhol ?

Rakesh Kumar Jain: Dabhol will be completed by March 25.

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Mayank Maheshwari: So, the test cargoes are in or coming up now?

Rakesh Kumar Jain: Sorry

?

Mayank Maheshwari: So for the capacity, are you start ed kind of testing, commissioning in terms of the breakwater etcetera ?

Rakesh Kumar Jain: No, that's what I am telling. The breakwater work will be completed by March 25. We have already prepared ourselves to take the approvals from Marin e and we expect that after March, by May, we will have the approvals from the authorities to bring the ship during Mon soon and until April, May, we are anyway able to bring cargoes at Dabhol . So, what we believe that here onwards the Dabhol is a full weather terminal.

Mayank Maheshwari: Got it , sir. Very clear. Thank you.

Moderator: Thank you. We have our next question from the line of Kirtan Mehta from Baroda B NP Paribas. Please go ahead. The next question is from the line of Kirtan Mehta from B NP Paribas. Please go ahead.

Kirtan Mehta: Am I audible , sir?

Moderator: Yes, sir. Please go ahead.

Rakesh Kumar Jain: Yes.

Kirtan Me hta: Yes. First question was about marketing. How much of the volume in the marketing segment which we are sourcing on HH basis but selling on crude basis ? Would there be certain volume on that basis?

Rakesh Kumar Jain: So, nowadays we are almost buying on HH and selling on HH. There is no specific, most of the volume barring some volume which is very , very small volume which we have ourselves kept it

open. Otherwise, we have signed on back-to-back index.

Kirtan Mehta: Right, sir. Second question was about the APM gas allocation for the City Gas Distribution factor. We believe in January around 2 MMSCMD allocation was offered higher on the APM gas business to City Gas Distribution factor. Against this, around 1.3 MMSCMD volume was reduced for both GAIL and ONGC. Could you explain us where was the difference of 0.7 MMSCMD which was made available to the City Gas Distribution factor?

Rakesh Kumar Jain: I am not aware from where 0.7 came. Any of you know? No. I don't have any update or clue about it.

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Kirtan Mehta: And when would the next allocation be revised? Would it be in February, middle of February that the next revision will take place?

Rakesh Kumar Jain: It is quarterly revised I understand from my colleagues.

Kirtan Mehta: Right, sir. The last question was about, you mentioned about the GIGL pipeline volume taking over some of the IOCL volume. Would you be able to indicate the quantum that has flown there and what would be grounds for challenging this?

Rakesh Kumar Jain: Actually, we already had a pipeline which was connected and this pipeline (GIGL) as per PNGRB order I am telling you was laid unauthorizedly. However, PNGRB has authorized this by putting some penalty. So, the challenge is that the infrastructure, which was already there, contracted volumes were there, so if you allow that other pipeline to be laid, having the existing pipeline, that is not correct. That is what our view is.

Kirtan Mehta: And how much of the volume is being challenged here? What would be the volume which will have an impact because of this?

Rakesh Kumar Jain: So, I can tell you the volume may be more or less capacity of pipeline is around 9.5 to 10 million. Currently, the volume flow was very less, 3 to 4 to 5 billion. So, the capacity was more. So, impact immediate has come from 4 to 5 million. Sorry, I have corrected, 1.5.

Kirtan Mehta: Sure, sir. Thanks for this clarification and all the best.

Moderator: Thank you. A reminder to all participants to please restrict yourself to two questions per participant. May you have follow-up questions, we request you to rejoin the queue. The next question is from the line of Mehul Panjwani from 40 Cent s. Please go ahead.

Mehul Panjwani: Hello, sir. Good evening.

Rakesh Kumar Jain: Good evening.

Mehul Panjwani: Thank you so much for the elaborate explanation on the performance of GAIL. I have one

question.

You have mentioned that there is an impact which is going to be squared off by the fourth quarter. Is that for the entire 900 crores which you mentioned, or it is for a partial amount?

I mean, if you can elaborate, explain that.

Rakesh Kumar Jain: First, I have never said that it is going to be squared off in next quarter. I said over a period of almost a year, it gets squared off because a contract which is sourcing contract, upstream contract on 9-month average and downstream is 3-month average. So, it can never be squared off in a quarter, but it starts going from this quarter onwards.

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Mehul Panjwani: Okay. So, can I say that it will start happening from Q4 of FY '25 and it will end somewhere in Q3 of FY '25?

Rakesh Kumar Jain: Yes, whatever we have not been able to recover during last quarter, we will be able to recover at least next year. It will start going down from this quarter and will recover next year.

Mehul Panjwani: And sir, is it impacting the entire 900 crores is because of this impact or?

Rakesh Kumar Jain: No, no, this entire 900 crore is not on that account. I specified three parts. One is the 200 crores is on this account.

Mehul Panjwani: Okay. And what are the, sorry, if you can elaborate a little bit on the other.

Rakesh Kumar Jain: Other we fulfilled our commitment in downstream by sourcing some spot cargoes because normally we oversold the volume than the source volume in order to take care of the issues of take or pay 100% take or pay in upstream versus downstream 90%. And whenever shortfall happens, we actually source through spot. Sometimes spot prices goes lower, sometime higher. This time, unfortunately, higher. Normally we are able to source around that price or lower than that price. So, that was the reason.

Mehul Panjwani: Okay, sir. So, now this you are saying that you sold more than what you could source, or I mean, I am not yet gather what is exactly that, but is it because of government regulations or is it just a business proposition?

Rakesh Kumar Jain: No, you will be guided. Don't worry about it. What I am telling, the upstream contract are 100% take or pay, right? Downstream are either 80% or 90%. It means downstream customer has a

contractual obligation to take lesser than the upstream contract.

Suppose in a situation the downstream contract take lesser, where we sell the 10% or 15% volume ? In order to mitigate those obligations, we actually tie up for those 10, 15% more.

Sometimes the situation happens that customer takes 100%, more than 100%. It means around the tie up quantity, 110%. And we fulfill those requirements through spot sourcing. So that doesn't happen every time. That is first statement. Second, the spot prices have largely given us benefit always that we were able to source cheaper gas to fulfill those increased obligations. For this time, in Q2, Q3, spot prices are a bit higher.

Mehul Panjwani: Okay. Yes, sir, one more question is on tariff revision. You mentioned that somewhere in next financial year, we can expect tariff revision, right? So, what is the current tariff? And what was the tariff revision? When was the last tariff revision which happened? And how much was the tariff revision ?

Rakesh Kumar Jain: Tariff revision happened with effect from 1st April 2023, right?

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Mehul Panjwani: Okay.

Rakesh Kumar Jain: And next question is what?

Mehul Panjwani: Yes. And how much was the tariff revision?

Rakesh Kumar Jain: Current tariff is Rs. 59 per MMBTU , between Rs. 58.60 to be precise.

Mehul Panjwani: Okay. And what is the logic? I mean, is there logic which is used for revising the tariff or what is determined , or it's completely depending on the Board , the PNGRB ?

Rakesh Kumar Jain: Sorry.

Mehul Panjwani:

Does the tariff revision happen based on some rationale or it is just compared? It depends on the PNGRB.

Rakesh Kumar Jain: No, it happens on rationale. PNGRB had asked us from tariff petition. We filed in August 24. They are reviewing. Now they have to do public consultation and issue the tariff order , right?

And the tariff order last time made, they moderated around more than Rs. 10 from the tariff applications we submitted and largely on account of gas price, Rs. 7 per MMBTU approximate. They considered the gas price of \$3.61 for internal consumption in compressor which is not even an APM price. But tariff order itself is, you will be getting at least HPHT price. So, there is a significant amount of under-recovery available. We have submitted our tariff based on the price which was indicated in the tariff order and the tariff order processing normally is done in 6 months , but this has been delayed. But we expect in the next quarter, the first quarter of next financial year should come.

Mehul Panjwani: So, sir, what was the price which we have quoted in the documents?

Moderator: Sorry to interrupt, sir. May we please request you to rejoin the queue?

Mehul Panjwani: Sorry, sir, this is a follow-up question. I am asking the question in more detail. Sir, if you can please clarify , how much is the tariff you have quoted for revision?

Rakesh Kumar Jain: So, we have submitted Rs. 78 per MMBTU as against current tariff of Rs. 58.60.

Mehul Panjwani: Okay , sir, last question. When is the record date for dividend?

Rakesh Kumar Jain: I think 7th of next month.

Mehul Panjwani: Okay , sir. Thank you so much. I will join the queue again. Thank you.

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Moderator: Thank you. We have our next question from the line of Santanu Saikia from Indian Petrol . Please go ahead.

Santanu Saikia: Hello, hi. I was just wondering that instead of the production of LPG, didn't the government offer you a subsidy like with the petroleum companies, a subsidy which can be paid to you if you continue your production at LNG prices?

Rakesh Kumar Jain: There is no proposal or there is no information to us.

Santanu Saikia: So, I mean , if you are informed that you will be subsidized to the amount, would you continue your production?

Rakesh Kumar Jain: This is all hypothesis. This is all hypothesis . We will do it when it comes.

Santanu Saikia: Thank you.

Moderator: Thank you. We have our next question from the line of Somaiya V from Avendus Spark . Please go ahead.

Somaiya V: Sir, thanks for the opportunity. I hope I am audible. Sir, the first question is downstream . You said there is a mismatch or a higher demand this time around. If you can just quantify the volumes there, it will be helpful.

Rakesh Kumar Jain: Sorry.

Somaiya V: Sir, you said in the downstream there is a higher demand, so where you had to source spot

cargoes . So, what would have been that volume in MMSCMD , if you can just give that number , the mismatch number?

Rakesh Kumar Jain: Last quarter?

Somaiya V: Yes, sir, Q3.

Rakesh Kumar Jain: Just hold on. Around 2 MMSCMD for the last quarter.

Somaiya V: So, basically 2 MMSCMD, we had to procure from spot to meet that extra demand that came from downstream?

Rakesh Kumar Jain: Yes.

Somaiya V: Got it , sir. And also , these were mostly sold on Henry Hub or BRENT , whatever we sourced on spot?

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Rakesh Kumar Jain: No, we have not linked to customer when sourcing because we have marketed in all the indexes wherever the sources .

Somaiya V: No, I am looking for what the customer ended up paying for the source . They ended up paying on Henry Hub or they ended up paying based on BRENT -linked contracts?

Rakesh Kumar Jain: That's what I am telling. Both type of customer s were there. We supplied spot cargo

es wherever

the shortage was there. It is for both kind of contract.

Somaiya V: Okay , sir. Sir, also we used to earlier say, you know, wherever there is basis risk between oil and gas or gas and oil in terms of sourcing to the point that we sell, we used to hedge. What is the quantum of hedging that we probably have given that we are giving a, you know, outlook for next year in terms of what we can expect in terms of EBITDA ? What is the quantum of hedging that we have and for how long we have hedged and what kind of spreads if you can give, that would help.

Rakesh Kumar Jain: Yes. So, spread, I have already said it is around Rs. 4,500 crore for next financial year. Regarding hedging, I already said that we have tied up most of the volume on back -to-back basis. Therefore, the requirement of hedging for covering the basis risk has gone down.

Somaiya V: Understood , sir. So, any minimal number that if you can give around hedging, that also will be helpful. And also, in Q3, any quantum that you can give on hedging gains?

Rakesh Kumar Jain: Sorry.

Somaiya V: In Q3, was there any hedging gains, any quantum that you can give?

Rakesh Kumar Jain: So, we will give you. Right now, I do not have that information. We will give you . Just come offline . We will give you.

Somaiya V: Okay, sir. Thanks .

Moderator: Thank you. We have our next question from the line of Yogesh Patil from Dolat Capital . Please go ahead.

Yogesh Patil: Thanks for taking my question, sir. Sir, you are guiding us 10 MMSCMD volume growth i n a gas transmission segment for a period of FY '2 6 over FY '25. So, from where this gas will come, if you could provide some clarity or breakup on which sectors will be the gas consumers on your pipeline network?

Rakesh Kumar Jain: Certainly. So, CGD off -take, we expect 2 to 3 MMSCMD will increase because CGD is growing at the rate of around 12% . Even if 4 million volume increases in CGD sector, we have almost 70% pipeline infrastructure in the country. So, CGD, we expect 3 MMSCMD volume will come

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from CGD. 1 million volume with progressive ramp -up will come from NRL. The pipeline, the refinery which is along IG GL and source is our Jagdishpur -Haldia -Dhamra pipeline . The incremental increase in refinery of IOCL around 12 MMSCMD in total, Paradip 3.75, Haldia 2.8, Barauni 2.6, Guwahati 0.6, Bongaigaon 2.2. Further, we are also putting our pipeline like Mumbai -Nagpur-Jharsuguda and Srikakulam -Angul , which are going to be commissioned . Their volume will also come.

Yogesh Patil: Thanks a lot, sir.

Moderator: Thank you. We have our next question from the line of Vikash Jain from CLSA. Please go ahead.

Vikash Jain: Thanks for taking my question. Rakesh ji, if you could explain of your current volumes, what is the share which comes from refinery and pet chem? Beca use these are very price -sensitive customers . What is the percentage share of the current transmission volumes which comes from there, please?

Rakesh Kumar Jain: Transmission volume , just hold on , if we have . Vikash ji, we will give you. Actually, I have only marketing slide about break -up but not the transmission slide.

Vikash Jain: If you could give the marketing share as well, sir.

Rakesh Kumar Jain: Yes, certainly. Meanwhile, my colleague ha d given me the transmission volume break -up, which

you were asking for. Let me give total break -up. Fertilizer around 41% share, CGD around 25% share, power 7%, oil and refineries 9%, and then internal consumption is around 6%, steel 2%, and others 11%.

Vikash Jain: Thank you, sir.

Moderator: Thank you. Ladies and gentlemen, that would be the last question for today . And I now hand the conference over to Mr. Gagan Dixit from Elara Securities for closing remarks. Over to you, sir.

Gagan Dixit: Yes, t hanks to all the participants. Special thanks to t

he GAIL (India) Management for sharing

their views on the company's Quarter 3 performance. We take this opportunity to thank Sri . R.

K. Jain and his team once again. Would you like to make any closing comments, sir?

Rakesh Kumar Jain: Yes, thank you very much, and hopefully we have been able to respond to your most of the questions . I remember one or two questions we could not answer immediately. And the participants can ask us offline. We will be able to respond. And if you have any mo re questions, which you could not ask, please come back . We will be able to respond to you. Thank you very much.

Moderator: Thank you.

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Anjana Sanjeeva : You can mail your questions to irc@gail.co.in

Moderator: Thank you. On behalf of GAIL (India) Limited and Elara Securities India Private Limited, that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

Call: May 2025

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GAIL (India) Limited
Annual Investor and Analyst Meet 2025

May 14, 2025

MANAGEMENT : SHRI SANDEEP KUMAR GUPTA – CHAIRMAN AND
MANAGING DIRECTOR , GAIL (INDIA) LIMITED
SHRI RAKESH KUMAR JAIN – DIRECTOR FINANCE , GAIL
(INDIA) LIMITED
SHRI SANJAY KUMAR – DIRECTOR MARKETING , GAIL
(INDIA) LIMITED
MODERATOR : MR. ABHISHEK – MOTILAL OSWAL FINANCIAL SERVICES

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Abhishek: Good morning, everyone, and thank you for joining GAIL's Annual Investor and Analyst Meet 2025 , being organized via web conference. My name is Abhishek and I cover the oil and gas sector at Motilal Oswal Financial Services.

Before we begin this call, a request to all the participants to please keep your video on while you are asking a question so as to display your organization 's name during the call . This Analyst Meet was earlier to be held as a physical meet in Mumbai, but due to unavoidable reasons had to be converted into a virtual conference.

And we are joined today by senior management from GAIL . We have with us , Shri Sandeep Kumar Gupta , who is the Chairman and Managing Director for GAIL India Limited. S hri Gupta is a fellow of the Institute of Chartered Accountants of India , and also a distinguished Fellow of th e Institute of Directors. He has wide experience of over 36 years in the oil and gas industry. Before joining GAIL in October 2022, S hri Gupta held the position of Director Finance since August 2019 on the board of I OCL. As Director Finance, he was in charge of F &A, treasury , pricing , international trade, corporate affairs and enterprise risk management. Sh ri Gupta is also Chairman of various other companies such as Mahanagar Gas, Brahmaputra Cracker and Polymer Limited , GAIL Gas Limited , and Director on the board of Petronet LNG Limited.

We are also joined by S hri Rakesh Kumar Jain, who is Director Finance. He's a cost and management accountant by profession and joined GAIL in 1992. Prior to his appointment as Director Finance, Shri Jain held the position of Executive Director, Finance and accounts in GAIL . Additionally, Shri Jain holds the position of Director in GAIL Gas, GAIL Global USA and GAIL Global USA LNG. As E D Finance and Accounts, he headed corporate finance and treasury , and took investment decisions in large infrastructure projects. He was also actively involved in investor relations and interactions with analyst fraternity . Besides serving a long tenure at GAIL , he was on deputation to PN GRB as Joint Advisor Commercial and Finance.

And lastly, we are joined by S hri Sanjay Kumar, Director Marketing. He's a graduate in mechanical engineering from IIT Kharagpur and also holds a Master of Business Administration degree. He joined GAIL in 1988 and has worked across domains , including gas marketing, CGD , LNG sourcing, trading, shipping and business development . This cross functional and multi -carrier experience has enabled him to gain deep insight on all aspects of the gas and LNG value chain. Shri Kumar has played an important role in developing GAIL's overseas LNG trading business. He was Managing Director of Indraprastha Gas Limited, the largest CNG distribution company in

India, before assuming charge of Director Marketing , GAIL.

And now without further delay , I will hand over to the management for opening comments.

Sandeep Kumar Gupta: Thank you very much , Abhishek. Good morning to all my friends from research and analyst community. At the outset, my apologies for not being present physically, but you can appreciate what was the situation . So because of that, we had to call off this meeting and hold it on virtual mode.

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I welcome you all to the Analyst Meet of GAIL India Limited for Financial Year '24-'25. We truly appreciate your taking the time to be with us.

Throughout our FY '25 , we showcased resilience and growth driven by our diverse portfolio.

Despite challenges in global economy, our company had a landmark year, reaching unprecedented financial milestones and achieving the highest ever EBITDA, PBT and profit after tax in GAIL's history . Further , improved operational performance was witnessed across all segments , barring the LHC segment, owing to

deallocation of EPM gas .

Before going to the financials for FY '25, I would like to focus your attention to certain key business highlights. First, successful completion of the long -awaited breakwater project has been achieved at KLL Dabhol. This marks a significant milestone in KLL's journey towards becoming an all -weather port , which has increased GAIL's flexibility to efficiently respond to market dynamics. We are awaiting the final confirmation , final permission which should be available in about a week's time, after which this will operate during monsoon periods.

GAIL has incorporated its wholly owned subsidiary, GAIL Global IFC Limited at GIFT City in Gandhinagar, Gujarat, which will focus on undertaking global and regional corporate treasury center activities to further expand our business portfolio and enhance financial capabilities. Furthermore, we intend to capitalize on strategic advantages in the future by expanding into ship leasing operations through this entity.

As you are aware, GAIL , along with its joint venture companies and subsidiaries, is authorized to develop city gas distribution networks in 72 geographical areas across the country. Among these, GAIL directly operates in six geographical areas, namely Varanasi, Patna, Ranchi, Jamshedpur, Bhubaneswar and Cuttack , which are currently in their early stages of development . In the Financial Year 24-25, these six GAs have shown impressive growth with volumes increasing by approximately 25%. We are constantly reviewing these CGDs to optimize costs and enhance efficiencies .

In order to have a single entity for development of GAIL's CGD business and for bringing business synergy, efficiency and retail focused business approach, the Board has recommended to transfer six geographical areas of GAIL to its wholly owned subsidiary, GAIL Gas Limited. This was approved in the Board Meeting yesterday. This is subject to approval of CCEA since these six GAs were authorized to GAIL by CCEA.

PNGRB has recently proposed important reforms to the natural gas pipeline tariff structure, focusing on simplifying the tariff zones, capping tariff for CNG and domestic PNG consumers at the level of Zone 1 tariff, and facilitating commercial viability of isolated networks through tariff rationalization . These initiatives aim to boost investment , enhance infrastructure, and make natural gas more accessible across India. Further, PNGRB has started the tariff review process of our integrated pipeline network and had hosted a PCD in this regard. We expect the revised tariff to be announced by end of current quarter. This will have a considerable positive impact on GAIL's

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transmission segment revenues , as was also detailed during my interviews in the last week of March.

Now , proceeding with financials :

The results for the quarter and year ended 31st March , '25, have been declared yesterday on 13th May 2025 . For FY '25 , on a standalone basis , GAIL achieved gross turnover of Rs. 1,36,960 crores . PBT stood at Rs. 14,825 crores , an increase of 28% over previous year . And PAT stood at Rs. 11,312 crores, an increase of 28% over previous year . This strong performance of FY '25 is fueled by enhanced operational performance with natural gas transmission seeing a 6% increase, natural gas marketing growing by 3%, petrochemicals achieving a 6% growth in production , despite LHC production declining by 5% due to the reduction in APM gas allocation in Q4.

On a consolidated basis , GAIL clocked a turnover of Rs. 1,41,949 crores in FY 2025 versus Rs. 1,33,130 crores in previous financial year, up by 7%. PBT in FY '25 stood at Rs. 16,096 crores

and PAT stood at Rs. 12,450 crores , up by 26 %. The Board of Directors has recommended a final dividend of Rs. 1 per equity share for the Financial Year '24-'25, subject to shareholder approval

at

the upcoming Annual General Meeting. This is in addition to the interim dividend of Rs. 6.50 per share declared previously. Consequently, the dividend payout ratio for the Financial Year '24-'25 stands at 43.59%.

Now , I would like to share the performance highlights of FY '25 :

First , standalone :

GAIL clocked the turnover of Rs. 1,36,960 crores in FY '25 as against Rs. 1,30,284 crores in FY '24, an increase of 5% , mainly on account of increase in gas marketing volume, increased transmission and petchem volumes and better price realization in liquid hydrocarbons segment. The PBT increased by 28% to Rs. 14,825 crores as against Rs. 11,555 crores , and PAT by 28% to Rs. 11,312 crores as against Rs. 8,836 crores in the previous year. There was an exceptional income of Rs. 2,440 crores on account of arbitration settlement with SMTS, which was accounted in Q3 of the current year .

On quarterly basis, Q4 versus Q3 of this year, the gross turnover stood at Rs. 35,607 crores in the current quarter as against Rs. 34,912 crores in Q3 FY '25 . The increase of 2% mainly is due to increase in sales of natural gas and petrochemicals. The PBT and PAT during the quarter stood at Rs. 2,701 crores and Rs. 2,049 crores , as against Rs. 5,029 crores and Rs. 3,867 crores in Q3 FY '25. That decrease , as you are aware , is mainly due to an exceptional income of Rs. 2,440 crores accounted in Q3 FY '25 towards arbitration settlement with M/s SEFE Marketing Singapore.

Moving to consolidated financials :

On a yearly basis, the consolidated turnover stood at Rs. 1,41,949 crores versus Rs. 1,33,130 crores in the previous financial year , which is an increase of 7%. The PBT in FY '25 stood at Rs. 16,096 crores. GAIL India Limited
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crores versus Rs. 12,595 crores in FY '24 , which is an increase of 28% . And the PAT stood at Rs. 12,450 crores in FY '25 versus Rs. 9,899 crores in FY '24 , which is an increase of 26 %.

On a quarterly basis, Q4 versus Q3 of this year . The consolidated turnover in the current quarter stood at Rs. 36,448 crores versus Rs. 36,887 crores in the previous quarter. The PBT in the current quarter is Rs. 3,240 crores versus Rs. 5,272 crores in Q3 of FY '25. And the PAT is Rs. 2,492 crores versus Rs. 4,082 in Q3 of FY '25.

I would now like to share segment -wise physical performance and the outlook for the short to medium term :

Gas marketing volume stood at 101.49 MMS CMD in FY '25, an increase of 3% , as against 98.45 MMS CMD in previous year. The increase is mainly due to increase in demand in domestic market and overseas sales. During FY ' 24-'25, our gas marketing segment has exhibited robust performance by clocking a PBT of approximately Rs. 7,273 crores, including the exceptional income of Rs. 2,440 crores. The gas marketing segment PBT for FY '25 has exceeded our guidance of Rs. 4,500 crores.

India's natural gas market is set for strong growth , fueled by significant infrastructure development , regulatory support , and increased global supply . As per recent report by PN GRB on India's natural gas projection for 2030, the natural gas consumption in the country is expected to reach 297 MMS CMD by 2030 , assuming moderate growth . Being the dominant player in the natural gas sector, GAIL is expected to capitalize on the growing demand . And to cater this demand , GAIL intends to source another 5 to 6 MMTPA of LNG from different geographies by 2030.

We are confident that in the current financial year, our gas marketing segment will generate a minimum of Rs. 4,500 crores in profit before tax. Additionally, we are actively pursuing short to medium term tie up with customers which will further enhance our profitability. Moreover, we will implement all possible measures to optimize and improve efficiency within our gas marketing portfolio . Now, Rs. 4,000 crores when I am saying , I maintain the band

of Rs. 4,000 crores to Rs.

4,500 crores , which band we had given to you in the earlier meetings .

Coming to natural gas transmission :

Volume for FY '25 stood at 127.32 MMS CMD as against 120.46 MMS CMD in previous financial year. The capacity utilization was approximately 61% in our natural gas pipelines. The increase in transmission volume is attributed to increased domestic consumption. We expect that gas transmission volume will be approximately 138 to 139 MMS CMD during FY '25-'26. As already informed , the tariff review for GAIL's Integrated network is in progress, which is expected to be implemented in FY '25 -'26. And this is expected to have significant positive impact on GAIL's transmission revenue.

Coming to polymers :

Overall production of 827 TMT was achieved in FY '24-'25, which is 102% of the capacity utilization. In petrochemicals, we closed FY '24-'25 almost at breakeven levels despite increased input cost and stress on petrochem prices. During FY '25-'26, GAIL will continue to take various optimization measures to optimize and improve efficiency in petrochemicals, and run the petrochemical plant at full capacity. It is expected that GAIL will make reasonable profits in PC segment during FY '25-'26, provided the prices are favorable, both of the input as well as output. Coming to LHC:

Production was down by 5% as compared to previous year and stood at 947 TMT as against 996 TMT in the previous year. The capacity utilization was approximately 66%. The decrease is attributed to deallocation of APM gas for LPG production with effect from 16th January, 2025. In addition to various optimization measures taken to protect the margins, the matter was taken up with MOPNG for restoration of allocation of APM gas. And vide order dated 18th April, 2025, and MOPNG has allocated new well gas of approximately 0.32 MMS CMD to GAIL for LPG production. This has restored the reduction in APM allocation by approximately 50%. We expect good margins and improved production from this segment in FY '26. LPG transmission volume increased to 4,478 TMT as against 4,396 TMT in previous quarter, and this was highest ever LPG transmission by GAIL.

CGD :

According to a recent report published by PNB RB, the CGD sector is anticipated to be the key driver of growth, with consumption expected to increase 2.5 times to 3.5 times by 2030 and 6 times to 7 times by 2040 from the baseline of approximately 37 MMS CMD in FY '24, reflecting a CAGR of around 15% and 12%, respectively.

Further, GAIL Gas Limited, a wholly owned subsidiary of GAIL, which was incorporated in May 2008 for developing city gas distribution business as its focus area, GGL currently owns and operates 16 GAs across India and have nine others as their JVs. During the current financial year, that is FY '25, GAIL Gas Limited's turnover stood at Rs. 12,231 crores as against Rs. 10,944 crores in FY '24. PBT increased by 42% and stood at Rs. 615 crores as against Rs. 434 crores in FY '24. And PAT was up by 40% and stood at Rs. 451 crores as against Rs. 323 crores in FY '24.

During the current quarter, that is Q4 FY '25, GAIL Gas Limited's turnover stood at Rs. 3,051 crores as against Rs. 3,043 crores in Q3 FY '25. PBT decreased by 7% and stood at Rs. 144 crores as against Rs. 155 crores in Q3 FY '25. And PAT was down by 8% and stood at Rs. 102 crores as against Rs. 114 crores in Q3 FY '25. In the next two years, GAIL Gas targets to add around 255 new CNG stations and approximately 3.09 lakhs new DPNG connections.

As regards Bengal Gas Company Limited, I just wanted to inform you that the pipeline has been completed and gasified by GAIL till tap-off point for Kolkata connectivity. GAIL has got the PESO approval on 26th November '24, for the stretch Durgapur to IP8 and CGS Kolkata. Further, GAIL India

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PESO approval from GAIL Terminal at IPA to Bengal Gas CGS is received on 28 February, 2025, and it will take about one to two months for BGCL to complete the construction work on its part before it starts taking gas for Kolkata.

The status of some of the ongoing projects :

First pipeline projects :

I am glad to inform you that majority of the pipeline projects, namely Mumbai -Nagpur -Jharsuguda -Jabalpur pipeline, Jagdishpur -Haldia -Bokaro -Dhamra pipeline, Kochi -Kootanad -Mangalore -Bangalore pipeline, and Srikakulam -Angul pipeline are scheduled to be completed in current financial year, that is '25-'26, whereas Gurdaspur -Jammu pipeline is scheduled for completion in FY '26-'27. Dhamra -Haldia and Durgapur -Haldia pipeline section of JHB DPL are pending for commissioning and expected to be commissioned by 31st December, '25.

In petrochemical projects :

Again, I am glad to inform that all the three running petrochemical projects that is 60 KTA polypropylene plant per project at Pata, 500 KTA PDH polypropylene at USAR, and 1.25 MTPA PTA project at GMPL Mangalore are scheduled to commission in the current financial year. In fact, Pata PP should happen very soon.

Coming to CAPEX for FY '25 :

During the year, CAPEX of Rs. 10,512 crores was incurred, out of which Rs. 2,200 crores approximately is on pipelines, approximately Rs. 2,700 crores is on petrochemicals, approximately

Rs. 3,000 crores is on leasehold assets, operational CAPEX is of around Rs. 1,600 crores , and the balance is towards Net Zero, renewables, CG D, E&P , equity contribution, etc.

That's all from my side regarding the overview of the performance and projects . The management of the company is available and we would be glad to clarify on any questions that you may have.

Over to you, Abhishek . Thank you very much.

Abhishek: Great. Thank you so much , sir, for the opening comments. Very insightful. We will now start the Q&A session. We have the first question coming in from Puneet Gulati. Puneet if you can unmute and ask the question please.

Puneet Gulati: Yes. Thank you so much. Yes, congratulations on good numbers. My first question is on your gas marketing business. The first part is , when I look at the consolidated piece for this quarter, there is a Rs. 1,500 crores income versus standalone of Rs. 1,200 crores . What is that Rs. 300 crores attributable to? And secondly, your guidance of about Rs. 4,500 crores , do you see any sort of risk to that given what's happening with crude and Henry Hub? Or do you think this is a locked in number for the full year ? Thank you.

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Rakesh Kumar Jain : So it's GAIL Gas which we have incorporated line by line , that's the difference.

Puneet Gulati: And that's not captured in the CGD business there ?

Rakesh Kumar Jain : Actually, this year we have regrouped marketing and CGD business of GAIL Gas . Earlier it was getting depicted in CGD , so we have regrouped , and bulk sale we have considered in marketing.

Puneet Gulati: Understood. That's very helpful. The second on your guidance , for Rs. 4,500 crores of marketing, I mean, is there any risk ? And how should one think about the volatility in Brent and Henry Hub impacting the business? Or have you logged it with this number for the full year?

Sandeep Kumar Gupta: So, while risk were there and the risks were there in the current year also and even the previous years, but we are confident that with our portfolio, which is well diversified, both oil linked as well as HH-linked I think we are very pretty sure that we will be maintaining as per our guidance of Rs. 4,000 crores to Rs. 4,500 crores in the coming years also.

Puneet Gulati: Understood. And lastly, if you can talk about where is the additional volume growth coming for your transmission business?

Rakesh Kumar Jain : Chairman sir has, during his opening remarks, stated that we are expected to transmit on an average basis 138 to 139 MMS CMD , and we expect the natural growth of CGD businesses which we expect around 5 million increase will happen , on country level it will be more . But since our share is around 70%, so we expect naturally that volume will come from there . IOCL Barauni 1.38 MMS CMD , then IOCL Paradip 2.35 MMS CMD , IOCL Haldia 0.5 MMS CMD, IOCL Bongaigaon 0.2 MMS CMD , IOCL Guwahati 0.2 MMS CMD , IOCL Panipat requirement of 1.79 MMS CMD during '25-'26. Earlier there was a requirement 3.62 MMS CMD, we have decreased it to 1.79 MMS CMD . So these are the areas from where we expect that these volumes will come , apart from the commissioning of new pipeline that Chairman stated , Mumbai -Nagpur -Jharsuguda , Srikakulam -Angul, there certainly we will be having more customers.

Puneet Gulati: Understood. That's very helpful. Thank you so much.

Abhishek: Thanks, Puneet . We have the next question from Nitin from PhilipCapital. Nitin, please ask your question.

Nitin: Hi, good morning. Thanks for the opportunity. Sir, my question is related to your transmission segment. In this quarter, we had a drop of about 5 MMS CMD versus the previous quarter , so if you can help us understand why that decline in volume was there? And then when we see the guidance for basically FY '26, you are talking about almost like an 18 MMS CMD increases where we have exited the Q4. So I mean in the backdrop of the volume decline that we have seen in this quarter, does our guidance stand ? And then basically in addition to that, how is the first quarter going for us , as far as transmission volume is concerned?

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Rakesh Kumar Jain : Actually, I understand you are asking regarding transmission volume , we have given guidance of 129 to 130 MMS CMD during last earning call , based on our assessment that will be somewhere around 129 to 130 MMS CMD. And on a yearly basis, we are less by 2.5 MMS CMD even if we consider the 130 MMS CMD . And this particular quarter you are talking about, there is certainly a drop of 5 MMS CMD, largely it has come down , 3 million volume of shippers has come down , IOCL 1.5 and BPCL 0.8. And this is coming down because they are shifted to liquid fuel , because this quarter there is a drop in price of liquid fuel so they switched over . And in our marketing volume also there is a drop. K FCL was down during January '25 and also there were unplanned

shut down by HURL Phulpur , RCF, Thal, this all totally led to volume of 4 to 5 MMS CMD if you compare with Q3 of this year. So these are the specific regions , unanticipated shutdowns by fertilizer plant , and shippers volume came down because of the reduction in the crude price.

Nitin: Great sir. That's helpful.

Rakesh Kumar Jain : And sorry, Chairman also just reminded me , the G IGL volume also got shifted because we were supplying to Panipat refinery through our pipeline , and then PNG RB in between authorized GIGL . And from January onwards that volume also got shifted to G IGL pipeline.

Sandeep Kumar Gupta: And our appeal is pending.

Nitin: Yes, sir. So basically just a clarification on that. So , how's our first quarter volume going? That is one. And secondly, when Chairman sir pointed out like our volume guidance, then I think IOCL Panipat was also included in that guidance. So , I mean , given that now they have shifted to G IGL, so I mean does that guidance continue or do we have to like take that out from our volume ?

Rakesh Kumar Jain : No, chairman gave guidance , GIGL volume we have not considered.

Nitin: There was a volume number given out for Panipat refinery, right, which is there in the guidance.

So that is the volume which is getting carried in GIGL I suppose.

Rakesh Kumar Jain : Yes, yes, we have not

considered.

Nitin: Sir, how's the first quarter going? I mean , this quarter ?

Sanjay Kumar: Some plants are presently having planned shut down , and the power demand which was expected , last year it was very heavy power demand in May , that demand is slightly muted . So, presently we are within 120 to 125 to 127 MMS CMD zone . But we hope to pick up on this transmission volume very shortly as soon as the maintenance is over. And we expect some power demand also to come by next week.

Sandeep Kumar Gupta: And as mentioned by our Director (Finance) that certain plants will start taking gas as soon as the connectivity to the m is completed. So perhaps the first quarter itself may not be a sufficient guidance for the full year volumes .

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Sanjay Kumar : So what my CMD is telling , this all is about the pipeline groups in the Eastern India, JHBDPL and the Barauni -Guwahati section going up Guwahati . Many consumers are getting ready there and in a short time frame of one or two months lot of transmission volumes may come up.

Nitin: So we expect like by the end of this quarter , perhaps in June and July, more volumes would pick up, that's the right summary, sir?

Sandeep Kumar Gupta: Yes.

Nitin: Thanks so much for the answers. I will get back in the queue .

Abhishek: Great. Thank you so much. We have the next question from Maulik Patel. Malik, please go ahead.

Maulik Patel: Thanks, Chairman. Thanks, Director - Finance and Marketing for the opportunity. Few questions .

On the CAPEX side, what is the guidance which we are giving for FY '26? And given your couple of large projects, particularly petrochem, we are finishing the CAPEX this year almost around Rs. 18,000 crores to Rs. 20,000 crores by CAPEX which we planned a couple of years back , and previous Mumbai -Nagpur Pipeline and others are getting complete . In the future is the CAPEX is going to shift more towards net zero and renewable side?

Rakesh Kumar Jain : FY '26 we expect to have capital expenditure of around Rs. 10,000 crores and largely it will be on petrochemical and pipeline around Rs. 3,000 crores each. And then net zero , as you also stated, more than Rs. 1,000 crores .. And operational CAPEX we incur every year , Rs. 1,500 crores to Rs. 1,600 crores will be around that. And then city gas distribution and other small like LNG and CBG projects.

Maulik Patel: Sir, any update on that MP CAPEX ? Sorry please.

Sandeep Kumar Gupta: And you are correct that most of our petrochemical projects and pipeline projects are getting completed within this financial that is '25-'26. So , besides the CAPEX which Director (Finance) mentioned on our renewable net zero initiatives, we have sought authorizations of several pipelines which are pending along the East Coast of the country. And several others which were not completed by other entities . And hopefully , we should get those authorizations on nomination basis . And we expect that our CAPEX pipeline will be strong in executing those pipelines in future. You asked about MP thing ?

Maulik Patel: Yes, any update on that MP?

Sandeep Kumar Gupta: Yes. We have not yet decided on that particular project still. We will inform you in due course of time.

Maulik Patel: Sure. Sir the second question is on marketing side of LNG . See, in the country , including you , IOC, GSPC, Arcelor , HP, they have all done some around 6 million - 7 million tons of medium term long contract linked to the HH and oil, which some of them will start in this calendar year ,

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many of them will start. In next calendar year. Now if I look at this combined volume of all these medium term contracts, can be in the range of around 25 to 27 MMS CMD. My question is that will this expand overall kitty which the country currently has? Or lot of this

volume will just

replace the spot in the market which is we import approximately about 7 million, 8 million tons of spot LNG in the market, will that replace lot of spot or it will actually expand the kitty?

Sanjay Kumar: It is a very important aspect of the gas market in the country. We believe market is actually in evolution, and this is the process where we used to have three or four importers up to 10 years ago.

Today we have got about 12 importers who are importing LNG cargoes into the country. Most of these importers are actually working on new projects also, whether it is AMNS, they have already started another project in the eastern side, I think Paradip or some other place. Or Deepak Fertilizer which signed a another medium term contract that you are referring to. Everybody is actually trying to invest in a new facility and for that they are sourcing some niche contracts, there are certain initiatives that they are taking. Whether they will be able to manage those volumes or not, but they have taken that plunge. And this is the way the market develops.

At GAIL, we take pride in the way we have developed the systems here. We are the torch bearer in this field. Whatever we do, others follow in three months, six months, one year, three-year, five year. We did a five year transaction which you referred to. We started receiving supplies last month. Others have now come up with the similar structure. We believe this will expand the market. The consumption of gas in the country will grow on account of these new contracts.

Sandeep Kumar Gupta: And to add to what Sanjay ji has just mentioned, I believe, pointedly on your question, it is both. It is replacement of spot volumes because of the volatility which has been seen in the past. So everybody wants to have a sort of certain price. And it is also to take care of the growth which is expected in the country. So it is both. And the logic perhaps of the medium term contract says that every body is perhaps waiting to see more and more liquification plants coming in US and the global growth, which perhaps will then have some effect on the price levels and the formulas also.

Maulik Patel: Got it. Sir, just last question, this is on the petchem side. Given that the spread has been very weak in the last one, one and a half year. And the price of most of the pet chems are at multi-year low, and our CAPEX is also getting commissioned in this financial year. Do you think that this CAPEX commissioning will probably, at the operational level do you expect to make it a breakeven on these current prices or the current spread? And second question is that how much time you require to ramp up those facilities, particularly in the PDH side which will probably commission in the next two or three quarters?

Rakesh Kumar Jain: There is a difference between the Pata petrochemical and the PDHPP you are referring to. PDHPP is propane based facility. When we took the decision for putting this plant, we did this analysis for past several years and we found that there is a good correlation between the propane as input and PDHPP as output. So the spread we envisaged at the time of envisaging the project, we recently did our analysis and still it holds good. So it is not going to be severe situation which is you are experiencing in Pata when gas price goes up and petrochemical price goes down. And we expect

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those correlation in terms of the propane and PDHPP price will continue to happen. And in terms of our capacity expansion, first year we expect that plant to run after commissioning maybe for 60% - 70% level of capacity. And then second year maybe around the 90%, and then it may be at full capacity. That's the normal trend of any process builds.

Maulik Patel: Thanks for answering my question. Thank you and good luck.

Sanjay Kumar: Specific

ly, you were asking about the ramp up. We believe that the production of PP in the country in this financial year would be about 7.9 million tons and the consumption would be about 8.2 million tons. So there is real scope for the plant to ramp up. Our plant will be commissioned this year. And we hope to achieve full load after the usual teething period of three to six months.

Sandeep Kumar Gupta: And the profitability metrics of our current petrochemical capacity is relevant only for the 60 KT A addition at Pata. 500 KT A at Usar, DF just explained that propane is the input there, and at Mangalore 1.25 MTPA is a new product altogether PT A.

Maulik Patel: Got it, Sir. Thank you very much and wish you good luck sir.

Abhishek: Great. Thank you so much. We have the next question from Vivek. Thanks.

Vivek: Sure. Thanks for the opportunity. Thank you management for the chance. So number one is on the CGD sector. Now, the PNB RB's scenario analysis presents the CGD sector as one of the key drivers of demand growth, and they are very bullish they are projecting 2 times to 3 times demand

from the CGD sector between now and 2030. My question is, how confident is the management of this demand projection, given that there has been some challenge in the increased input costs? And secondly, there's also pressure from authorities, especially in the northern part of the country to push for electrification mandates. In that light, what is your sense of the realistic volume growth rate that CGD can deliver, and therefore drive overall gas demand growth? I will ask the second question after this answer. Thank you.

Sanjay Kumar: The market is so big that EV push that you are referring to, possibly you are referring to Delhi DTC etc., and the new registration draft rules that they have given out. We believe CGD sector is, because of the reach, because of the 307 geographical areas that we have, that PNGRB has authorized, the demand in the country in CGD sector would definitely double or more than double in next seven, eight years. The current consumption in CGD sector is about 42 million cubic meter per day, and it can easily reach 100 million cubic meter per day because the EV would not affect the market. And the market is so big, the need for transportation is there, CGD will play its own role, EVs will play its own role. LNG as a fuel would also, for heavy duty vehicles, would play its own role. So, one or two EV push in one or two would not affect the growth of CGD segment in the country, that's our view.

Rakesh Kumar Jain: Let me supplement our Director Marketing. The pressure will not be on gas based vehicles, pressure will be on the other fossil fuel like petrol and diesel, in particular diesel. So that's not a GAIL India Limited
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concern. And second, in order to give boost to this growth, there have been lot of actions being taken place on ground like Chairman during opening remarks said that the PNGRB is also looking for reducing the tariff for city gas distribution network companies from Jan 2, Jan 3 to Jan 1. That will certainly help in input pricing. And we also expect that as we are moving forward, the gas will also come under GST. These two will certainly take care of their input cost, even if they have to compete with other fossil fuels.

Vivek: Okay. Thank you. That's very helpful. Just one small follow-up. You have been talking about natural gas inclusion under GST, is there any update to share in that regard? And any expectation on what the rate would be and how it would alter the demand scenario?

Rakesh Kumar Jain: So any update on in terms of rate is difficult, but we expect the gas will come very soon in GST, that's what we hear from the policymakers in power corridor.

Sandeep Kumar Gupta: And a couple of years back a consultant had suggested a revenue neutral rate of around 12% for

GST to come for natural gas. And pending GST, you may be aware that several states have reduced the VAT rates on CNG, namely Andhra Pradesh and Assam, which comes to my mind immediately.

Vivek: Right. My last question is on the volume that got shifted to the other pipeline, the GIGL pipeline that got authorized. Would it be possible for you to comment on the volume shortfall that you are facing because of that? And by when do you expect a favorable resolution on that front? And is this number part of your FY '26 guidance?

Sanjay Kumar: This matter is subjudice and in our recent analysis we have taken away this volume from our guidance.

Vivek: And how much is the volume, sir?

Sanjay Kumar: See, it used to be 5 million to 5.5 million cubic meter which we used to transport that to Dadri. That has now reduced to about 2.5 million to 3 million cubic meter per day, it may go down further.

Vivek: Thank you very much and always.

Sanjay Kumar: It's a complex contractual arrangement actually, which cannot be explained. There are some other details also in this regard.

Vivek: All right. Thank you so much for the clarification. All the best.

Abhishek: Great. So we have the next question from Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: Good morning, sir. Thanks for the opportunity. A couple of questions. Firstly on the petrochemical business, you did mention about the pricing weakness that has been one of the drivers of lower profitability. But if I look at the current quarter, pricing at least on a Q-o-Q basis seems to be GAIL India Limited
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flatish. It is more the increase in costs that has led to the decline in profitability, at least in Q4. So just wanted your perspective on how you expect things to change? Even if pricing were to remain let's say flatish, can we expect any positive delta in terms of costs given that we will have a much larger capacity to play with in the next couple of years? And what impact it can have on costs? And whether are there any sourcing cost advantages also because of the additional energy volumes that

we are seeing ? Just your comments on that. That's my first question.

Rakesh Kumar Jain : As you must have followed that during Q4, the Henry Hub price , which is the gas we have allocated for Pata plant , most of the volume Pata plant consumes belongs to Henry Hub category or in that space. So that Henry Hub price has gone down abnormally. If you compare this year, largely it remains around \$3.5 to \$4 per MMBTU , which was almost 50% last year. So we believe that the prices at this level are not going to continue , it's already started softening . So that will certainly help us in reduction or managing the cost for Pata, even if the output price remains the same.

Probal Sen: So right now in terms of the gas that is being allocated or the cost being allocated to petchem is almost entirely benchmarked to Henry Hub, is my understanding correct?

Rakesh Kumar Jain : Not entirely. Most of the volume are Henry Hub linked. And we optimize time to time, but most of the volume we are giving Henry Hub volume.

Sanjay Kumar: It's an operational matter actually . We look at the cargos and the optimum solution is provided for our petrochemical plant.

Probal Sen: Understood. The second question was with respect to the gas trading business. You gave the guidance what you have mentioned of course of 138 to 139 MMS CMD in terms of transmission volumes. So should we infer that gas marketing volume should sort of grow in tandem ? If I take the same sort of correlation with 127 MMSCMD being transmission, we did about 101 MMSC CMD in trading . Is that a similar sort of volume we should look at for FY '26?

Sanjay Kumar : Marketing guidance we have given separately . In transmission, our guidance is 138 million , 148 million, 159 million cubic meter per day in

next three years . In gas marketing, we expect to do volume of 108 million , 114 million, that is 113.7 million and 120.3 million. These are our marketing projections.

Probal Sen: Sir, with this kind of a growth, I understand that you are reluctant to give more specific guidance , but Rs. 4,500 crores, can we just assume that on the line of what has happened in the last couple of years, this is an absolute bear case or a very conservative guidance in terms of profitability from this segment?

Rakesh Kumar Jain : Let me take this question , Prabal . We have been given the guidance what is possible as a minimum . If you have followed last three years guidance , we gave Rs. 3,000 crores , we surpassed that. Then we gave Rs. 4,500 crores , we achieved almost Rs. 6,000 crores . Last year we gave guidance initially Rs. 4,000 crores to Rs. 4,500 crores, and again we surpassed that guidance to Rs. 4,800

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crores . And that's the history and we continue to give you guidance which is possible. So , Chairman in opening remarks at Rs. 4,000 crores to Rs. 4,500 crores and we expect that to be achieved.

Probal Sen: Understood. Sir, last question, if I may squeeze in.

Abhishek: Do you mind coming back , we have a long queue. I am so sorry.

Prabal Sen: Alright. No problem. Thanks.

Abhishek: Yes. Thanks. So next question is from Varatharajan from Antique Securities. Varatharajan , you can go ahead please.

Varatharajan : Yes. Thanks, Abhishek. And thank the management for the opportunity. Sir if you can provide the GAIL Gas and the six GA volumes , and the breakup in terms of CLG and other gas, please.

RK Jain: The Gas volume stood at 7.31 MMSCMD during last year in GAIL Gas. And if you are interested in breakup, the bulk trading was 4.37 MMS CMD , supplies to Taj Trapezium Zone on unified price basis 1.27 MMS CMD, and then PNG and CNG 1.67 MMS CMD put together . These are the three segments PNG -CNG 1.67 MMS CMD, Taj Trapezium Zone 1.27 MMS CMD and 4.37 MMS CMD bulk trading .

Varatharajan: This is for full year or 4Q, sir?

Rakesh Kumar Jain : Full year . If you are interested in Q4, I can give that also.

Varatharajan: Yes. Yes, sir, please.

Rakesh Kumar Jain : So Q4, the PNG and CNG were 1.81 MMS CMD, Taj Trapezium was 1.34 MMS CMD, and bulk trading 4.18 MMS CMD, and total 7.33 MMS CMD. It is almost in the same range.

Varatharajan: And this includes the six GAs as well ?

Rakesh Kumar Jain : This is not including six GAs, six GAs are still with GAIL , so that volume will be added as and when it is actually part of GAIL Gas , today it is not.

Varatharajan: In case you have those numbers , if you can please share that.

Sanjay Kumar: So presently 6 GAs of GAIL , we are marketing about 0.4 to 0.45 MMS CMD of gas there . During Kumbh we had the opportunity of marketing 0.5 million cubic meter also in many days . And our outlook is that these particular geographical areas would grow by about 25% volume every year, these six GAs. In due course , as my CMD announced, these will be merged with GAIL Gas, but the volume projections are like that.

Varatharajan: Right. And out to the 0.4 what would have been the CNG and also PNG?

Sanjay Kumar: CNG is about 0.31 MMS CMD, between 0.3 to 0.35 MMS CMD is CNG.

Varatharajan: That's good enough. My second question was on the trading business, one is that like, the shift to gas linked contract from oil linked contract last time you had highlighted like it is going on, what would be the proportion now and are we really targeting 100% complete shift?

Sanjay Kumar: We have very good balance of different kind of contracts. We are having Brent used to be our main LNG index, presently as Indian crude basket some sort of proxy or Brent is being used in the country also. And about more than 20 million

cubic meter per day of gas that we receive is based on Henry Hub index. We have also done some additional contracts on Henry Hub index. We believe in maintaining balance between HH index and the crude oil index. We do not plan to shift completely to gas based index.

Varatharajan: Fair enough, sir. Sir, would you have the proportion currently, would that be available?

Sandeep Kumar Gupta: Mr. Varatharajan, I fail to understand, do you believe that perhaps we should move away from one particular index and do completely?

Varatharajan: No, no, definitely sir.

Sandeep Kumar Gupta: Because I always felt that perhaps we have a great portfolio of having different linkage gases.

Varatharajan: No sir, just to put that into context, basically we are only concerned about the variability in terms of the Henry Hub price movement direction vis-à-vis the crude price move direction. So if you remember, history suggests that at some point in time you had a problem, basically because the crude prices have fallen very sharply and hence we had losses. Alternately, I think we also made significantly higher profits when we had the crude prices remaining higher. So we just want to understand what is the exposure in terms of that risk and accordingly take our call on that, that is all we wanted to understand. Definitely not advocating one way or the other.

Rakesh Kumar Jain: Varatharajan, this question we have been answering in almost every earnings call. We have portfolio of almost 21 MMS CMD linked to Henry Hub. This had been a concern not today, maybe three years back. Now, almost 19 MMS CMD of volume, either we have marketed on back-to-back basis or allocated to Pata. So that volume does not have any risk with respect to the change in prices with respect to crude. 2 MMS CMD volume certainly we have open available with us, and we have good risk managing capability.

Recently, when the Henry Hub price went up and crude price went down, we took swaps. That's how we locked our margins. So, even for the volumes we market on index different than this, we have an ability to lock the margins. So, largely this volume is marketed on same index. Therefore, you can see that the volatility is not coming. But volatility is coming not because of this, we have one more contract which has a nine months average on sourcing side and three months average on marketing side. And there we face cash flow issues.

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So, we have cash flow in terms of positive cash flow more than \$2 - \$2.5 at some point of time when the prices were moving differently. So that is sometimes bringing the volatility, but that should not concern you because that's a cash flow issue. So if you are not getting this year, certainly you will get next year because average has to come to a same level if you match this. So that is not an issue today. And in terms of the question you asked, what is the percentage, we have almost 43% - 44% based on Henry Hub.

Varatharajan: Well, that's very useful. Thanks a lot.

Abhishek: Great. Thank you Varatharajan. So we have the next question from S. Ramesh from Nirmal Bang Securities.

S. Ramesh: Thank you very much. Sir, if you look at your guidance for marketing segment EBITDA, can you share what is the kind of assumption you are making for Henry Hub, talking about Henry Hub growing past \$4 because of the demand for gas for the LNG liquefaction transit. So what is your underlying assumption for Henry Hub gas price and the Brent crude price?

Rakesh Kumar Jain: I just answered to the question of Varatharajan that Henry Hub price is almost not a part of this computation because we have marketed on same index, only around 2 MMS CMD volume is open.

So whatever Henry Hub price remains, we have sold to the customer on the same index, that's the pass through price.

S. Ramesh: And so

second thought is on the Dabhol LNG terminal, with the breakwater coming in, can you share what will be the ramp up in volumes and the impact on profitability for Konkan LNG?

Rakesh Kumar Jain : Last financial year, about 21 cargoes were regasification there. This year we expect, as my CMD informed you that we are hopeful that the certificate will come within one week. So we expect to do about 34 to 36 cargoes this financial year in this terminal.

S. Ramesh: So, would that help you make profits there? What is the current trend in profitability there?

Rakesh Kumar Jain : Current year we did not have positive profit certainly because we regasification only 21 cargoes . But as we move to 34 to 36 cargos, almost 15 cargoes , if added , then it adds to the bottom line almost Rs. 300 crores . So this year certainly we were not in positive because of the breakwater issue. But going forward , we will have positive bottom line from KLL .

S. Ramesh: Thank you very much.

Abhishek: Great. Next question is from the line of Sabri Hazarika from Emkay Global.

Sabri Hazarika: Hello. Yes. So just one question. So if I look into your tariff outlook, so we have this upcoming tariff hike, but beyond that also there are certain events like probably some of the new pipelines getting connected to the integrated network , and also volumes flowing through the bid out pipelines where I think the tariff levels are much higher. So do you see blended tariff trajectory

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also to continue growing for the next three, four years ? Or do you see it more to be stable in the current scenario?

Rakesh Kumar Jain : You are asking of a unified tariff or integrated tariff ?

Sabri Hazarika: Integrated tariff for GAIL . I think I am not sure if the Barauni -Guwahati line has been like included there . and also Kochi -Bangalore line once it gets commissioned, I think that will also form part of integrated tariffs. So net -net, do we see the blended tariff going up by these events ? And also , some color on the bid -out pipelines, yes. Thanks.

Rakesh Kumar Jain : Barauni -Guwahati is part of integrated tariff, but it does not include the K KMBPL pipeline because it is not yet connected with Bangalore. So once it gets connected, it will form part of integrated tariff . And it will certainly significantly add to the bottom line for GAIL , that is one part . And second, you are asking what are other factors , so our tariff already we have submitted and that is under revision. And once the tariff is revised, we expect the integrated tariff to go up from, say, current level of Rs. 58, we have submitted Rs. 77, even on conservative side we consider Rs. 70 - Rs. 72, that's also another increase which is available .

Third increase is that , and now we are actually moving from utilization of this pipeline from the level around 70%. As we move from 70 % to 75 % , we expect this to be available during Financial Year '25-'26, then we have ability to recoup our lost volume from December '22. Because regulatory provision is that whatever volume we have not , whatever pipeline capacity we have not utilized for last past years from the regulatory change which has happened in December, we will have ability to recover those losses in future years. So as we are growing in transmission, so our ability to have more than regulatory rate of 12% will increase , and that we expect that this will happen from at least financially '26-'27.

Sandeep Kumar Gupta: Does that answer you or you wanted some more information?

Sabri Hazarika: Yes, that answers my question. Thank you so much and all the best, that's all.

Abhishek: Great. Thank you, Sabri. We will take one last question from Gagan Dixit. Please go ahead.

Gagan Dixit: Yes, thanks for taking my question. Sir, I broadly want to know, sir, the reason for the normalization of the marketing EBITDA quarter -on-quarter

ter . Because I recall this December

quarter you said that if I remove the exceptional, so there around Rs. 6 billion is the EBITDA. And you broadly said three, four reasons at that time like higher Henry Hub prices , crude LNG sourcing was nine months average versus the selling price of three months average , and you served more than the contracted amount. So , I think what are the changes that happen that lead to, I mean , you have done some repricing or done more hedging or something changes the customers , something broadly if you can explain the reason for the quarter -on-quarter normalization ?

Rakesh Kumar Jain : We shared that why our marketing margin had gone down and you have covered all those regions that, one, we were overcommitted in the market. Normally we expect the customer not to take at

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100% level, but sometimes we experience that . And last quarter had seen those, we experienced those things , and that led to reduction in marketing margins. Second, you also covered the nine months average versus three months average. And third , we also had some Henry Hub exposure when crude goes down those were also impacting . But this situation reversed during this quarter . The crude prices have recently gone down, but were almost in Q4 that drop was not there. So whatever significant amount we lost in Q3, this was not the case. And the volume which we

actually committed , over committed , those experiences also we did not see in this quarter. Therefore , we arrived at a normative level of marketing margin which is around Rs. 1,000 crores to Rs. 1,200 crores . That's what we have seen in this quarter.

Gagan Dixit: Yes. And sir my second question is that , you have given the marketing guidance of around 7 MMS CMD growth in the FY '26 and then 12 M MSCMD growth over the next two years from '26 to '28. If I do the math , so this is equivalent to this year almost 2 million ton LNG. And then after that for two years it's a 3 million ton LNG . So, can I safely assume that this is something LNG contracts that you are confident that you are able to get? I mean, 2 million tons around this fiscal and then 3 million tons from '26 to '28?

Sanjay Kumar: Part of that volume we have already sourced . And going forward, we continue to work on the market on a weekly basis. And whenever there is an opportunity, we would source those volumes. Our guidances are on, the volume of 108 million that we are expecting this year will materialize and there are R LNG contracts. The LNG contracts is one way of doing it. There may be other ways also.

Gagan Dixit: Yes, that's it from my side. Thanks.

Abhishek: Thank you so much. That will be the last question for today due to time constraints. Sir, any closing comments before we end this call ?

Sandeep Kumar Gupta: Yes. Thank you very much to all the participants. Ultimately, I want to say that transmission remains our biggest bet . And with increased transmission volumes supported by the growth in the country, commissioning of the new pipelines , connection of the new plants with the grid, and revision in the tariffs of our integrated pipelines , as well as the changes in the regulations which will also give us additional support for the isolated networks , this transmission income is the biggest bit. And also , I believe our diversified portfolio in terms of price is very helpful for us to sort of attain the guided numbers on the marketing margin side . And we remain very confident . As far as petrochemical prices are concerned , while we do not see very great upside even if the prices are favorable. At the same time, we do not see a very major downside also in petrochemicals , it may largely be range bound. And that does not , in any case, impact largely on the profits, because that is a minuscule component of our total game. So I am very confident that from th

ese levels,

after attaining this highest -ever profit in the history of GAIL , while this was also supported by a one-time settlement from SMTS as in quarter three, but I am confident that we will be able to maintain this performance in all times in future. Thank you very much.

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Abhishek: Great. Thank you so much, everyone. And you can now disconnect your line. Have a good day. Thanks.

Call: Jul 2025

GAIL (India) Limited
Q1 FY '26 Earnings Conference Call
July 29, 2025

MANAGEMENT : MR. RAKESH KUMAR JAIN – DIRECTOR (FINANCE), GAIL (INDIA) LIMITED AND OTHER SENIOR EXECUTIVES

MODERATOR : MR. BAIJU JOSHI – MACQUARIE CAPITAL

Moderator. Hi, good morning, everyone. Welcome to Q1 FY26 Earnings Call of GAIL India Limited hosted by Macquarie. From the management team we have Mr. Rakesh Kumar Jain, Director Finance and other Senior Executives. So, without any further delay, I would like to invite Mr. R.K. Jain for his opening remarks which will be followed by a Q&A session. Over to you, sir.

Rakesh Kumar Jain. Thank you, Mr. Joshi from Macquarie Capital. Dear friends from investors and analyst community and my colleagues present here, a very good morning and warm welcome to GAIL's earning call for Q1 financial year '26. At the outset, I seek my apologies for being eight to nine minutes late because of unavoidable circumstances. There was a heavy rain in morning and a lot of water logging. So, my apologies for that.

I take pleasure to inform that the Durgapur -Kolkata section of Jagdishpur -Haldia -Bokaro -Dhamra pipeline has been completed and dedicated to the nation by our honourable Prime Minister on July 18, 2025. With the commissioning of this pipeline now Bengal Gas will be connected to natural gas pipeline and they need not take the molecule through cascade, and there is a potential of 0.4 MMSCMD for these CGDs on immediate basis once they start taking. One another development on July 23, 2025, GAIL has got PNGRB's authorization for capacity expansion of GAIL's Jamnagar -Loni LPG pipeline. The current capacity as you know is 3.25 MMTPA. With the authorization of expansion this capacity will increase to 6.5 MMTPA. This pipeline will involve a Capex of INR 5,000 crore. And as per authorization, we must complete this project within three years.

GAIL's result for quarter ended June 30th, 2025, have been declared yesterday, and you must have gone through those results. And now I would briefly touch upon the major highlights for this quarter post which we may open the session for queries. GAIL's gross turnover stood at INR 34,735 crore in Q1 financial year '26 as against INR 35,602 crore in quarter four financial year '25, you can say which is almost at same level. Profit before tax stood at INR 2,533 crore as against INR 2,701 crore in Q4 financial year '25. This is down by 6%. And you know mainly because we do not receive dividend income Q1, and that was around INR 239 crore in Q4, which is not available. So, this may be one of the major reasons for this.

Further, PBT for Q1 financial year '26 also includes one -off item that is INR 133 crore on account of differential settlement of unified tariff. This pertains to previous period. So, this is a one -off item. The profit after tax for the quarter decreased to INR 1,886 crore as against INR 2,049 crore in Q4 financial year '25 and this is down by 8%, and reasons are same. When we compare with the corresponding quarter for last financial year, that is, Q1 financial year '25 as compared to Q1 financial year '26, GAIL achieved turnover of INR 34,735 crore as against INR 33,623 crore. An increase of 3% in PBT. PBT stood at INR 2,533 crore as against INR 3,642 crore. And profit after tax stood at, this quarter I shared, INR 1,886 crore as against INR 2,724 crore in corresponding quarter last year.

Now I will touch upon the physical performance of the company during the quarter as compared to previous quarter. Gas marketing volume during the quarter stood at 105.45 MMSCMD as against 106.53 MMSCMD in Q4 financial year '25 almost a million difference we can say it's a flat volume sale. And natural gas transmission is also almost flat in Q1 '26 as compared to Q4 '25. So, there was a physical volume transmission of 120.62 MMSCMD as compared to 120.83 MMSCMD in Q4 financial year '25. And our capacity utilization we talk on overall basis it is 58%. If you talk of integrated pipeline system which is our major pipeline system, it is 67%. Polymer production is down to 177 TMT in Q1 as against 215 TMT in previous quarter. And this is normal

phenomena. We basically take our annual turnaround shutdown during Q1, and therefore this reduction in production is because of that reason only. LHC production is almost flat, and it stood at 199 TMT as against 196 TMT in previous quarter. LPG transmission was also flat, it was 1,131 TMT as against 1,132 TMT in previous quarter, and the capacity utilization is 99% during this quarter.

Let me take you to consolidated financials of Q1 financial year '26 as compared to Q4 financial year '25. The consolidated turnover in Q1 financial year '26 stood at INR 35,369 crore as against INR 36,443 crore. PBT in Q1 financial year '26 stood at INR 3,029 crore as against INR 3,240 crore in Q4 financial year '25. Profit after tax in Q1 financial year '26 stood at INR 2,369 crore as against INR 2,492 crore in Q4 financial year '25.

I will also take you through the GAIL's CGDs. As you know we have six geographical area authorized under the GAIL's balance sheet. So, GAIL is having direct authorization of six GAs and has an infrastructure of 212 CNG stations and 4.4 lakh DPNG connections. During the quarter, 2,600 new DPNG connections were added and the physical values remained at 0.46 MMSCMD during the quarter with the share of APM gas at 0.169 MMSCMD and RLNG 0.291 MMSCMD. In the next 2 years GAIL targets to add 85 new CNG stations and around 1,50,000 new DPNG connections.

I will also take you through the performance of Q1 financial year '26 with respect to GAIL Gas Limited. As you know this is our 100% subsidiary. In Q1 financial year '26 turnover of GAIL Gas stood at INR 2,927 crore as against INR 3,051 crore in Q4 financial year '25. PBT increased by 1% and stood at INR 146 crore as against INR 144 crore in Q4 financial year '25. PAT was up by 6% and stood at INR 108 crore as against INR 102 crore in Q4 financial year '25. Physical volume stood at 7.03 MMSCMD. During Q1 financial year '26, GAIL Gas, along with its JV /subsidiaries has added 23,593 new DPNG connections and 3 CNG stations. GAIL Gas with its subsidiaries have an infrastructure of 11,30,000 DPNG connections and 664 CNG stations. In next two years GAIL Gas along with its JV /subsidiaries target to add around 260 new CNG stations and around 2,60,000 new DPNG connections.

I will also take you through the status of ongoing projects which GAIL is taking up. Pipeline projects, majority of pipeline projects viz. Mumbai -Nagpur -Jharsuguda pipeline, as you know this is one of the major pipeline projects we are executing currently. Jagdishpur -Haldia -Bokaro -Dhamra Pipeline, Kochi -Kootanad -Bangalore -Mangalore Pipeline, Srikakulam -Angul Pipeline – all these pipelines are scheduled to be completed during current financial year in a progressive manner. We have one more authorization of pipeline Gurdaspur -Jammu Pipeline, and this pipeline is scheduled to be completed in financial year 26-27. In respect of petrochemical projects as regards the petrochemical projects PP Pata 60 KTA project and 1,250 KT A GMPL, these two projects we expect to be commissioned during current financial year. With respect to PDHPP, that is, 500 KTA plant, this is bit delayed and is likely to be completed in next financial year, that is, FY26 -27. Now I'll also take you through the Capex of Q1 financial year '26. During this quarter, a Capex of INR 3,176 crore was incurred, out of which, INR 536 crore incurred on pipelines, INR 542 crore incurred on petrochemicals. There is equity contribution of INR 1,458 crore, operational Capex and some other Capex INR 549 crore in CGD, E&P, renewables etc.

And now, I will take you through the short to medium -term outlook of GAIL's business. We have been giving you regularly guidance about our marketing margin, and this quarter our marketing margin stood at INR 994 crore. And as per our guidance, which we gave during our analyst meet, annual analyst meet in May, we said that during this year

we will earn around INR 4,000 crore to INR 4,500 crore of marketing margin this financial year. As we have already earned INR 994 crore of marketing margin during Q1, we maintain our guidance of INR 4,000 crore to INR 4,500 crore of marketing margins for the financial year '25 -'26.

In gas transmission business, this segment has seen the unexpected decline in volume. We gave our guidance when we met with you in analyst meet, we gave a guidance of 138 MMSCMD to 139 MMSCMD volume, and subsequently, we revised our guidance to 132 MMSCMD, and we also share the reasons with you for the revision in guidance. And let me give briefly provide the reasons again - there was a reduction in refinery shippers' volume around 3 million, power sector volume because of early onset of monsoon, we were apprehending at that point of time, and actually it is becoming early onset of monsoon, it's a good monsoon this year, there is a reduction on annual basis of 1.2 MMSCMD in sales and 0.4 MMSCMD of shippers' volume, in all 1.6 MMSCMD in terms of transmission volume. Fertiliser plants, this quarter we have seen unscheduled shutdown of some of the fertiliser plants, and that has also resulted in 1.4 MMSCMD reduction. One of them is KFCL which is currently not operating. Due to above reasons, we revised our guidance, and as you saw that our transmission volume in Q1 was 120 + MMSCMD. And considering the expected transmission volume in remaining nine months, we want to give the realistic guidance, we are not optimistic of around 132 revised guidance. We expect this year on an average basis will end around 127 MMSCMD to 128 MMSCMD of volume. And this is because of the frequent tripping or unplanned shutdown of fertiliser, and there is a slight reduction in CGD volume w.r.t. what we envisaged last year, power, refinery around 0.5 MMSCMD in each of the sectors. Because of these reasons, we feel that our revised guidance of 127 to 128 MMSCMD is achievable, and therefore we want to revise it. In respect of coming financial year, we believe that our transmission volume will increase to 135 MMSCMD to 136 MMSCMD. And this largely will come from natural growth of CGD which is taking place, and various refineries which are coming up, Barauni, Paradip, Haldia, Bongaigaon, Guwahati and some other customers which will be coming up along our new pipelines.

In respect of polymer, polymer production stood at 177 TMT as I shared with you as against 215 TMT in previous quarter. The Pata Petrochemical complex was also under shutdown in April '25. So, there has been a loss of INR 249 crore. And largely why this is, there is a loss, there is actually a reduction in the polymer prices by around INR 1,000 /MT as compared to Q4 financial year '25. This is leading to the major reason for reduction and in Q1 we see the shutdown impact also comes. We are taking all the measures to keep our Pata plant at a better level than this level. And we also expect that the current prices of the gas may also soften, so we will be able to improve. But as on date, this is a situation that we lost INR 249 crore on petrochemical plant Pata in Q1. LHC production stood at 199 TMT, I shared with you. We have posted PBT of INR 205 crore and there is a drop of 30% PBT from LHC segment as compared to last quarter, which is primarily the reasons we have shared, the deallocation of APM gas and also subsequently allocation of new well gas which is a costlier gas, and prices of LHC has also reduced by INR 2,000 per metric tonne. I think this

is the current quarter the Q1 quarter performance I have shared, and, I have shared our revised outlook and also the outlook of other segments.

And now I hand you over to you, Joshi ji to take us through if any questions our investors and analysts have, we will be happy to answer those questions. I am here and my colleagues from various departments, the Marketing department, the Pr

oject Development department, the Finance and City Gas Distributions are

here. We will be happy to answer your any of the questions you may have. Thank you very much.

Moderator. Thank you, sir. We will now start with the Q&A session. Participants, please use the Raise Hand feature to ask any questions and in the interest of time please limit the number of questions to 2. With that, we'll take the first question from Nitin Tiwari from Phillip Capital. Nitin, please go ahead with your question. Nitin Tiwari. Hi, good morning. I hope I'm audible. So, sir, my question is related to the tariff revision that we had guided for in the earlier quarter that most likely we're going to see that revision by the end of first quarter. So, any renewed guidance over there? That would be my first question, sir.

Rakesh Kumar Jain. Actually, in respect of tariff revision we get guidance, we do not give guidance. We continue to follow up with the regulator, and what I can update you about the process part. The regulator has completed the process of consultation. They are now seized with the finalization of tariff, you know, agenda for approval of their board. And we also are following.

Now any timeline if I give, and I have been giving a lot of timelines. If I say it comes in next month or if I say in maybe in October or September, maybe may not be correct. But what I can tell you it has already been ordinatorily delayed. And we as a company are following. We expect that tariff order to come as soon as possible. And if I say in August and I meet you in August, you will say it has not come because it is beyond my control. But we expect it may come anytime from now.

Nitin Tiwari. Got it sir. And sir, my second question is with respect to the petchem business. So, this quarter, of course, was impacted by the planned shutdown that you've undertaken. But can you give us some colour in terms of how the market is looking in terms of product placement and whether we are finding any challenges with respect to placement of our products in the market in terms of pricing etc. And when can we see a more secular trend in terms of profitability in this segment? Because this segment has been suffering with operating losses for some time now.

Rakesh Kumar Jain. Yeah. In terms of product offtake there is no challenge. There is a good amount of demand available in market. We do not even carry these stocks with us. The challenge is largely on price part. We are going through a cycle, the pricing cycle where there is lot of availability of polymer in international market, that is also pushing the pricing pressure to price towards downward.

And second, unfortunately, which we did not envisage last year. The Henry Hub price which we give to our Pata plant had almost doubled which was average Henry Hub price last year was \$1.88 per MMBtu is on an average basis this quarter was \$3.5 per MMBtu. That means the \$1.7 per MMBtu and consequential taxes, the duties and implications, this is putting lot of pressure. So, though we are taking all the measures, let me tell you we are regularly doing hedging for input gas prices to reduce the prices for Pata Petrochemicals, yesterday also we took the hedging around \$3 per MMBtu. So, we try to take all the measures. But in terms of guidance, we do not feel that we will be a very good in petrochemical business in this year. We may be able to reduce our losses. We may be trying to come nearer to breakeven level. But I will not be able to give you any guidance which say that we will be in black during this year as far as petrochemical business is concerned.

Nitin Tiwari. Understood. Thank you so much for answering my questions. I'll get back in queue for further queries.

Moderator. Thank you. We'll take the next question from Puneet Gulati from HSBC. Puneet, please go ahead with your question.

Puneet Gulati. Thank you so much, for your very candid talk. My first question i

s on your transmission

guidance. While you did reduce your guidance for this year, even for next year's you've brought it down to 135-136. Why would you do that if you can share more light on that?

Rakesh Kumar Jain. Every year we'll not see the monsoon like this. Every year we'll not see the tripping of fertiliser plant like this. That is two major reasons which have brought down.

Puneet Gulati. No, even next year I thought was higher earlier, right? I mean, you were guiding for 140 plus.

Rakesh Kumar Jain. Yeah. We have already factored that in. We have now considered the base of the revised guidance of 127 -128 to give you guidance for next year. It means we have reduced the abnormality for this year and natural growth, the pipeline which are coming next year for the purpose of guidance. We give guidance which is on ground. I could have revised my guidance of FY27 -28 in next quarter. But I feel I should give you guidance which is realistic as on date.

Puneet Gulati. Okay. Secondly, if you can also talk about this differential tariff impact for previous year INR 133 crore. What is the nature of that?

Rakesh Kumar Jain. There is a mechanism in PNGRB that there is a settlement committee which takes the input from the entities with respect to their claim of respective pipeline. Because our claim is based on our pipeline usage. So, there was a differential claim for some parts for previous year. The two previous years are involved FY23 -24 and FY24 -25. Those claims during settlement we did not submit when last committee meeting took place, and then we submitted our claim and PNGRB has accepted, that's what I understand.

That's a claim which do not pertain to this quarter, claimed in this quarter. PNGRB has acknowledged that there was a missing link in terms of our claim. That is that difference, and which continues to happen sometimes it is on higher side, but this time this was a substantial figure. So, therefore, I thought that let us cover in our opening remarks that INR 133 crore is one-off which you should not consider that it is available always.

Puneet Gulati. Understood. That's very helpful. Thank you so much, and all the best.

Moderator. We'll take the next question from Vivekanand S from Ambit Capital. Vivekanand, please go ahead with your question.

Vivekanand S. Thank you for the opportunity. Thanks for the frank and candid guidance on transmission. So, I know you covered some of this in the opening remarks. Could you delve a bit more Mr. Jain on the specifics of the granularity of demand, incremental demand that you expect in FY27 and FY28. FY26 seems to be lost given the first half being very weak compared to last year's base. If you could talk about specific sectors and demand sources that you may have modelled in detail so that we can jot down. Thanks, that's question.

Rakesh Kumar Jain. We have given our revised guidance for 128 MMSCMD. We have been experiencing that CGD is naturally growing at the rate of 12%. There may be some quarter-on-quarter difference. So, even if you consider that demand, almost 5 million on country-level basis the demand comes from CGD Gas distribution. We, being a pipeline infrastructure company, having almost 65% to 70% of pipeline network for GAIL, on a ballpark basis, 3.5 million naturally comes from this sector which has been coming, and this sector is regularly giving.

Second, this quarter we lost a lot of volume. Let me tell you, last year we transported 131 million, this year we transported 120 million, and large part of it was from power sector which was not expected. Today, when I am late, it is because of raining only. So, because of the weather conditions power demand was not there. So, we expect at least 1 million to 2 million on an average basis demand will be there from power sector, which has been there. Then we are commissioning new pipelines like I shared in opening remarks Kolkata section of the

the pipeline, we are commissioning Mumbai -Nagpur - Jharsuguda pipeline, we are commissioning Srikakulam -Angul pipeline, volume will come from there. And the refineries which I shared, the Barauni refinery, Paradip, Haldia, Bongaigaon, Guwahati. One unique thing happened during this quarter, the alternative fuel prices were down. Therefore, refineries volume also reduced. They also switched over to alternative fuel. In fact, the spot demand which used to come regularly, because of higher gas prices it was not available this time. We do not believe that such situations will always be there. We believe in normal business, and therefore all these things will give at least 8 million to 9 million volumes, 5 million to 6 million is anyway available. 2 million to 3 million volumes have gone down this year, and there will be natural growth. So, 8 million volume to 9 million volume we expect will be available next year. And this guidance is on realistic basis.

Vivekanand S. Appreciate the colour. Thank you. That really helps, because otherwise it's difficult for us to understand the path from 121 to 135 MMSCMD. Thanks for that. My second question is on the petrochemical investments; you were planning to undertake an ethane cracker investment in Madhya Pradesh. Is there any further update on that? And secondly, can you just also refresh us on the other petrochemical projects that are currently underway where you've already committed capital and the project progress is somewhere in between.

Rakesh Kumar Jain. So, I shared in opening remarks, 60 KTA project we are putting at PP Pata. And it was because of the feed is available at Pata, and another is PDH -PP project at Usar. These two projects are going to be commissioned. The PP will be commissioned during this financial year. PDH -PP will be commissioned next financial year. Regarding ethane cracker, let me tell you, we being a commercial organization, this I have been telling lot of times. We, being a commercial organization and having the wherewithal to invest in new projects, continue to look for opportunities. The Madhya Pradesh is one of that opportunity, we time-to-time evaluate. But in respect of decision of investment, we have not taken any decision on investment. Any decision on investment will be taken based on viability of project. Whether that project is viable, what kind of incentives are available. If incentives are available, certainly making it more viable, we have our hurdle rates, we will take decisions. We have not yet taken any decisions. We time-to-time evaluate various opportunities. The ethane cracker is one of those, that opportunity we are reviewing and evaluating.

Vivekanand S. Thank you Mr. Jain for the detailed colour. I'll join back the queue.

Moderator. Thank you. We'll take the next question from S. Ramesh Nirmal Bang Equities. Sir, please go ahead.

S Ramesh. Good morning, sir. So, thank you for the opening remarks and the details you have shared so far. So, if you look at the decision to defer the PDH -PP project, can you highlight the reasons for this? Is there any concern in terms of the margins or is there any physical delay in the progress, and does it impact the capital cost for that?

Rakesh Kumar Jain. Actually, there is no margin concern that for we have delayed the product. We want this project to be completed as quickly as possible. One of the civil contracts, which is causing a problem, there are delays on that part. And that becomes a base part of any project. So, we are regularly reviewing that, and that's the only reason, otherwise nothing more than that.

S Ramesh. So, what is the reason for the reduction in the depreciation from more than INR 1,000 crores to INR 800 crores?

Anjana Sanjeeva. We have assets which are fully depreciated, and any major overhauling or repairs is

reflected in depreciation. So, we had carried out overhauling of our compressors which is not there

in this

quarter. And last year, we had full shutdown at Pata. This year we had partial shutdown at Pata. So, even Pata also major overhauling and major spares were capitalized and fully depreciated. So, that is the change in the depreciation this time.

S Ramesh. Okay. If I might squeeze in one last question. In the gas marketing segment EBIT, between standalone and consolidated there is a downside of around INR 400 crores from INR 1,071 crore to INR 660 crore. What is the reason for that decline in the gas marketing segment earnings in the consolidated entity?

Satish Kumar Sinha Under the standalone, we are including CGD. And under the consolidated we are separately showing CGD. So, profit of CGD has been isolated from the consolidated. So, if you see in the consolidated figure, so we have shown CGD separately. There is a regrouping from Marketing to CGD from Standalone to consolidated.

S Ramesh. Okay, but how can it be such a large swing. That INR 400 crores seems to be a large swing. Is there any negative impact on the subsidiaries?

Anjana Sanjeeva. If you see overall there is no change. We have multiple JVs and associates which are operating in CGD segment, one is GAIL Gas, Bengal Gas. So, it is the impact of those CGDs, the subsidiaries which we have taken.

S Ramesh. So, you're saying whatever marketing margins you have booked in standalone is shown under the City Gas in this consolidated segment. Is that the way to understand that?

Satish Kumar Sinha Yes.

Moderator. Thank you. We'll take the next question from Probal Sen from ICICI Securities. Sir, please go ahead.

Probal Sen. Yeah, so just one question, a broad question on the direction of crude prices, and what impact it will have on our business. On the one hand, obviously crude prices go up, term LNG prices and any other LNG linked to crude does go up. But what we have seen this peculiar situation where alternate fuel prices had gone down, because of softness which caused lower demand from downstream. So just wanted your view on what scenario you see if, let's say, crude goes up by maybe another \$5 from here. How do you see the mix of demand as well as the input costs playing out for us? That was my first question.

Sumit Kishore. The crude prices as everybody has been talking, they are largely expected to remain in the range of \$60 to \$70 in next few years. However, we have seen earlier also, and which cannot be ruled out is the geopolitical events which keep on happening very frequently, and which tend to push the crude prices upwards on for few months, largely there -- otherwise they are largely remaining at -- expected to remain in the \$60 to \$70. As far as your question is concerned, some of the alternate fuels like naphtha, furnace oil, they are, while they are correlated with the crude oil prices, they are also linked to the refining complexities, and they are consistently remaining subdued, the alternate fuel prices, especially the propane and the naphtha, which are a matter of concern. And what happened, this year, the summer got whitewashed because the spot prices of natural gas never came down. They were not very high. But the summer phenomena didn't happen in the spot gas prices, which has resulted in lower natural gas demand, which could not compete with the alternate fuels. This is slightly abnormal. Normally the natural gas prices are able to compete even with the alternate fuels. And that is why this year all these factors got combined.

Probal Sen. Right. So just as a follow-up, I mean, how do we then look at it? If I look at the next let's say 12 months to 18 months, particularly you also mentioned, I think for petchem that Henry Hub prices, which is also a major component of our sourcing mix, those also have risen. So, if you look at our input cost scenario basically going forward for the next 12 months to 18 months, what do we really see in terms of our margins and pricing for petchem

for LHC as well as for the trading or marketing part. Just your view on, just a very broad view in terms of how you see that evolve.

Rakesh Kumar Jain. So petchem, we believe that the prices at the current level, the output prices are currently on a lower side, and we believe that this should be up by maybe a few thousand rupees. That is putting pressure. Secondly, as I shared the Henry Hub price which we are using is also not supporting us. Last year, it was substantially down. But as my colleague also said, actually this is not a normal situation which we are experiencing that Henry Hub prices are higher. So, we believe that these prices to be softened and time-to-time we are regularly tracking the market and taking positions in paper market to keep the cost down. So, these, first the optimism, our expectations that price will come down. The second, our actions on paper market will certainly help the Pata Petrochemical to give its improved performance. And how much we can do that is really difficult to predict. But we'll say, we'll be able to improve from the situation we are in today.

Probal Sen. Understood, sir. If I can squeeze in one last housekeeping question. Capex guidance for FY26 and '27, if available. Break up between segments.

Rakesh Kumar Jain. We have CapEx plan of around INR 12,000 crore in financial year '26-'27. And that largely will be pipeline projects around INR 4,000 crore. CGD projects a very small CapEx of around INR 200 crore. Petrochemical projects INR 2,500 crore. E&P INR 500 crore. We have net-zero plan, and we are working on that, around INR 2,000 crore. Then operational CapEx INR 1,400 crore. Equity contribution INR 850 crore. And there are other projects INR 500 crore.

Probal Sen. Understood, sir. Thank you so much for your detailed answers. I'll come back in the queue.

Moderator. Thank you. We'll take the next question from Sabri Hazarika from Emkay Global. Sir, please go

ahead with your question.

Sabri Hazarika. Yeah. So, sir, regarding this transmission guidance. So, 127 MMSCMD is for the full year average, is that right?

Rakesh Kumar Jain. Yes.

Sabri Hazarika. And what is the run rate currently, the volumes that we have lost, what you have mentioned when we fell to like say a round 120 MMSCMD. So, right now fertiliser plants and all they have normalized or right now what could be the run rate? If you're able to disclose?

Rakesh Kumar Jain. The current run rate is hovering around the average which we expected and around 132 MM SCMD. That means 127 to 130, 131 depending on the day. If it is Sunday, it goes down to the average of 127. If it is not Sunday then it is around 130, 131. And also, it is depending on the weather conditions. So, fertiliser plants are almost now working at a normal level. But then, we are running at around 127 currently, if you talk of July, we are running at around 127, and sometime beyond that. And even some days there will be 1 million or 2 million lower. So, we have worked out how from where this volume will come, because as we are connecting pipelines also that is not factored today. When you talk July, those pipelines are getting connected, those volumes will be added. So, all these we have worked out from where these volumes come. But again, to sum up, we are currently in this month running around transmission around 126, 127, sometime 130, 131.

Sabri Hazarika. And this Dabhol is operating normally this monsoon, right?

Rakesh Kumar Jain. Dabhol, yes, that's a positive for us.

Sabri Hazarika. Okay, sir. And sir, second question is on your this PDH -PP. So right now, how are the margins of PDH -PP?

Rakesh Kumar Jain. When we conceived this project, it was giving us beyond our hurdle rate. And even today, we are expecting around 13% to 14% of project IRR. And that's how we have recently also checked and let us see how it goes. That's the current expectations.

Sabri Hazarika.

rika. And this propane will be brought from Middle East only or do you -- are you looking at US and other things?

Rakesh Kumar Jain. We have signed a long -term contract with BPCL for 15 years contract. Wherein they will bring the propane at jetty. One contract is for with respect to jetty, this is a bundle contract, and they will supply us on Saudi CP basis. So that's the benchmark, where from they source, what they do does not matter to us. But for us, index is fixed.

Sabri Hazarika. Okay Aramco CP. Okay, sir. Thank you so much, and all the best.

Moderator. We will take the next question from Vikash Jain, CLSA. Sir, please go ahead with your question.

Vikash Jain. Hi, thanks for taking my questions, and thanks for the presentation, GAIL team and Rakesh -ji. Rakesh -ji, just one since you mentioned that you are at 127 MMSCMD right now in terms of volumes in July as compared to less than 121 MMSCMD for Q1FY26. So, this extra roughly six on an average, is this largely from fertiliser plants now operating normally as compared to the scheduled and unscheduled shutdowns that we saw in the first quarter or is there anything else which is more noticeable? It's primarily that bit. Is it?

Rakesh Kumar Jain. It's primarily that. And, we were not operating our Pata Petrochemicals during first quarter, that was also on shut down. So that is also substantial. So, in terms of major volume, this is from two sectors, the fertiliser and from Pata.

Vikash Jain. And sir, this to give a guidance of 128 MMSCMD means you're talking of possibly going well above 130 a month, 132 MMSCMD at the exit levels. So, this incremental, is there hope built-in that players like refinery et cetera will come back? And is there that is going to take volumes back to 128 MMSCMD on an average for the year?

Rakesh Kumar Jain. That is part of the working.

Vikash Jain. Okay. And of the current volumes, what proportion is the more price sensitive sectors like refinery and maybe Petrochem, how much is of this 127 MMSCMD that you're currently doing in July. What proportion is refineries and what proportion is petrochemicals?

Sumit Kishore. See that refinery petchem segment is roughly 20% of the whole basket. And going forward why we are hopeful of achieving this number is primarily because number one, Pata was shut down as sir has already conveyed. There were some scheduled shutdowns of fertiliser plants, but there were also a lot of unscheduled shutdowns. So, all these three factors will not be there going forward. The scheduled shutdowns, the unscheduled shutdowns and the Pata.

And we are still hopeful of some demand coming from the power sector in the late summers like September, October, which normally comes back after the monsoon season, especially when the monsoon this year has happened very early.

Vikash Jain. Okay, sure. And just two last bookkeeping things. One is that this INR 133 crores would possibly -- would be revenues for the gas transmission segment. Just double confirming that, right?

Rakesh Kumar Jain. Yes.

Moderator. Thank you. We'll take the last question from Amit Murarka from Axis Capital. Amit, please go ahead with your question.

Amit Murarka. Yeah, hi. Hope I'm audible. Just a question on the PNGRB revision. Like I believe it has been more than one and a half years since we have been talking about it. So, I just wanted to know when this revision happens, it will be prospective, right? Just wanted to confirm that.

Rakesh Kumar Jain. Yeah. Actually, regulation is like this, the month in which the tariff is approved, it is applicable from the subsequent month from the month it is approved. So, if it is approved say in July, it will be applicable in August. Only thing is that what PNGRB does first they approve the tariff, then they ask entities to submit zonal tariff. When we submit the zonal tariff, that is the approval. But that's a very, very small process. So that sometimes

also delays may be by 15 days. But it will be prospective.

Amit Murarka. Right. So, I mean, I believe three years anyways is the regular timeline for review of pipeline tariff. So we are falling along those timelines now if let's say it getting delayed by further another six, eight months. So, just wanted to reconfirm that like will it still be interim review or how does it work?

Rakesh Kumar Jain. Actually, there is nothing in regulations which is called as interim review. The periodical review happens in five years, but not before three financial years. This time they called for submission of tariff, the PNGRB called because there is a provision in the regulation that if any change in substantial parameters, then either we can approach or they can ask. So, there was substantial change in the parameter in terms of capacity or also in terms of gas prices. PNGRB, when they revised tariff last time, they considered significantly higher capacity. Later they engaged EIL and based on the recommendation of EIL, PNGRB revised the capacity which is downward. Second, they considered the APM price of \$3.61 which are non-existent price, and now they have come out with the regulation that they will consider \$11 as a gas price for fuel consumption. So that's of course they have come recently, but that was in their mind. So, there was the reasons -- they did not follow the regular timeline. And it is in terms of regulation only that can be called for. So, this will -- there is nothing like interim, but you can say because of change in parameter, they can revise an entry. So, in that sense, it is interim.

Moderator. Thank you, sir. That was the last question. Over to you for any closing remarks. Sir, request you to unmute your line for any closing remarks.

Rakesh Kumar Jain. So, thank you very much. It was a nice interaction with you all, and hope we were able to answer to most of your questions. Maybe all the questions. If you or investors may have any more questions, certainly we welcome you. And you can connect with our IR team, and we'll be happily responding to any more questions you may have which we could not answer, or you could not ask. Thank you very much.

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GAIL (India) Limited
Q2 FY'26 Earnings Conference Call

October 31, 2025

MANAGEMENT : MR. RAKESH KUMAR JAIN – CHIEF FINANCIAL
OFFICER & DIRECTOR FINANCE , GAIL (INDIA)
LIMITED
MODERATOR : MR. NITIN TIWARI – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

GAIL (India) Limited
October 31 , 2025

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Moderator: Ladies and gentlemen, good day, and welcome to GAIL (India) Limited 's Q2 FY '26 Earnings Conference Call, hosted by PhillipCapital (India) Private Limited.

As a reminder, all participant lines will be in the listen -only mode . And there will be an opportunity for you to ask questions once the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*”, then “0” on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Tiwari. Thank you. Over to you, sir.

Nitin Tiwari : Thank you, Shruti . Good day, ladies and gentlemen. On behalf of PhillipCapital India Limited, I welcome everyone to GAIL (India) Limited 's 2nd Quarter FY '26 Earnings Call . Today, we have a pleasure of having with us the senior management team of GAIL, led by Director Finance, Shri R.K Jain.

I will now hand over to the management for the opening remarks, which shall be followed by a question -and-answer session. Over to you, sir.

Rakesh Kumar Jain: Thank you, Nitin. Friends from the investors and analyst community, a very good afternoon and welcome to GAIL's Earnings Call for Q2 Financial Year ' 26. At the outset, I thank you all for attending this meeting.

Let me first begin with the latest business updates :

It gives me immense pleasure to inform you that on October 16 th, 2025, GAIL's Srikakulam - Angul Pipeline which is a 422-kilometer has been dedicated to the nation by Honorable Prime Minister . Further, the physical progress of Mumbai -Nagpur -Jharsuguda Pipeline has reached to 97% and PESO approval for Mumbai -Nagpur section, which is 693 -kilometer , and Chhattisgarh -Odisha Section, which is 489 kilometers has already been received , and gas -in is under process. The remaining pipeline is in advanced stage of completion and is scheduled for commissioning by 31st December , 2025.

On September 9, 2025, GAIL got PNGRB authorization to lay, build and operate pipeline from Vijapur to Bina. This will connect to the BPCL Bina refinery. The pipeline will have a capacity of 3 MMSCMD, and it is 105 -kilometer length, and involves a CAPEX of Rs. 450 crores. The time line for laying this pipeline is three years. This pipeline will become part of integrated natural gas pipeline system of GAIL.

As already informed earlier, GAIL has got authorization for capacity expansion of JLPL LPG pipeline from existing 3.25 MMTP A at present to 6.5 MMTP A. Based on current tariff rates, this will increase GAIL's revenue by approximately Rs. 700 crores. As you know, the tariff is also increasing every year by 3.4% , so that will further add to GAIL's revenue . It will also

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improve GAIL's EBITDA by around Rs. 600 crores per annum and again, the increase of tariff of 3.4% will have further addition to it.

GAIL's results for the quarter ended 30th September, 2025 have been declared today. I will briefly touch upon the major highlights for this quarter. Thereafter, we may open the session for your queries.

First of all, I will take you through the financial highlights of the quarter :

GAIL's turnover in this quarter, that is Q2, is almost flat, which is Rs. 34,972 crores as against Rs. 34,735 crores in Q1 Financial Year '26. Profit before tax stood at Rs. 2,823 crores as against Rs. 2,533 crores in Q1 Financial Year '26, this is up by 11%. The profit after tax during the quarter increased to Rs. 2,217 crores as against Rs. 1,886 crores in Q1 Financial Year '26, this is up by 18%.

On a comparative quarter basis, that is Q2 of this Financial Year versus Q2 of Financial Year '25, GAIL achieved turnover of Rs. 34,972 crores as against Rs. 32,810 crores in corresponding period of last year, an increase of approximate 7%. Profit before tax

stood at Rs. 2,823 crores as

against Rs. 3,453 crores, which is down by 18% and profit after tax stood at Rs. 2,217 crores as against Rs. 2,672 crores, down by 17%.

Now, I will take you through the physical performance during the quarter.

Gas marketing volume during the quarter stood at 105.49 MMSCMD as against 105.45

MMSCMD in Q1 Financial Year '26. The natural gas transmission volume was 123.59

MMSCMD in Q2 Financial Year '26 as against 120.62 MMSCMD in Q1 Financial Year '26.

The average capacity utilization overall basis, if we take the total authorized capacity, is 59%,

but I will talk to the integrated natural gas pipeline system, which is the main revenue earning

system. As per the capacity worked out by PNGRB, the applicable capacity for tariff

determination for '25-'26 is 150.46 MMSCMD and considering the volume flow in this integrated

pipeline is now 111.76 MMSCMD, the capacity utilization of this pipeline was 74.28%.

Polymer production was back to normal level of 220 TMT in Q2 Financial Year '26, which

stood at 177 TMT in previous quarter due to annual turn around. Liquid hydrocarbon production

stood at 221 TMT as against 199 TMT in previous quarter. LPG transmission was 1,167 TMT

as against 1,131 TMT in previous quarter. The capacity utilization was approximately 101%

during this quarter.

Now, I will take you through the consolidated financial highlights for Q2 Financial Year

'26 versus Q1 Financial Year '26:

The consolidated turnover in Q2 Financial Year '26 stood at Rs. 35,594 crores as against Rs.

35,369 crores, almost flat. The PBT in Q2 Financial Year '26 stood at Rs. 2,565 crores as against

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Rs. 3,029 crores in Q1 Financial Year '26. The profit after tax in Q2 Financial Year '26 stood at

Rs. 1,972 crores as against Rs. 2,369 crores in Q1 Financial Year '26.

Well, as you know, GAIL also has got 6 geographical areas authorized as city gas distribution.

I will also share the performance of these six geographical areas. GAIL has an infrastructure of

213 CNG stations and 4.5 lakh DPNG connections. During the quarter, 13,700 DPNG connections

were added. The physical volume stood at 0.46 MMSCMD. In the next two years, GAIL targets

to add around 85 new CNG stations and around 150,000 new DPNG connections. As you know

that GAIL also has got 100% subsidiary exclusively dealing in retail business.

Now, I will also briefly touch about the financials of GAIL Gas Limited :

In Q2 Financial Year '26, turnover of GAIL Gas stood at Rs. 3,235 crores as against Rs. 2,927

crores in Q1 Financial Year '26. PBT increased by 1% and stood at Rs. 148 crores as against Rs.

146 crores in Q1 Financial Year '26. Profit after tax was up by 3% and stood at Rs. 111 crores

as against Rs. 108 crores in Q1 Financial Year '26. The physical volume stood at 7.72

MMSCMD. During Q2 Financial Year '26, GAIL Gas along with the JVs & subsidiaries, has

added 44,512 new DPNG connections and one CNG station. GAIL Gas, with its JVs, subsidiaries,

has an infrastructure of 11,74,000 DPNG connections and 665 CNG stations.

I will also touch upon the ongoing projects with GAIL :

Pipeline projects, SAPL, as I already shared, is commissioned and MNJPL, JHBDPL and

KKMBPL Phase 2 are scheduled to be completed during this financial year, and Gurdaspur -

Jammu pipeline is scheduled for completion in Financial Year '26-'27. Petrochemicals project,

I will first say about 60 KTA polypropylene at PATA and 1,250 KTA PTA plant at GMPL are

scheduled to be commissioned in current financial year, whereas 500 KTA PDH-PP plant at

Usar is expected to be completed in Financial Year '27.

CAPEX for Q2 Financial Year '26:

During the quarter, a CAPEX of Rs. 1,662 crores was incurred, out of which Rs. 784 crores was

incurred on pipelines, Rs. 514 crores was incurred on petrochemical, Rs. 226 crores is operational CA

PEX and the remaining approximate Rs. 138 crores on CGD, E&P, renewables and equity investment.

Now I will share also the segment wise the outlook for short to medium term:

The profit before tax from gas marketing business during the quarter stood at Rs. 1,227 crores. The gross margin during the quarter stood at Rs. 1,551 crores. The PBT from gas marketing margin during H1 Financial Year '26 stood at Rs. 2,221 crores. The gross margin during the H1 Financial Year '26 stood at Rs. 2,866 crores. At PBT level, we are on our path to achieve the GAIL (India) Limited
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annual guidance of Rs. 4,000 crores to Rs. 4,500 crores from the gas marketing segment in Financial Year '26.

In the gas transmission segment, during Q2 Financial Year '26, average transmission volume improved to 123.59 MMSCMD as compared to 120.62 MMSCMD during Q1 Financial Year '26. Average transmission volume for H1 Financial Year '26 stood at 122.11 MMSCMD. From gas transmission point of view, the current financial year has not been so good for GAIL. We had to revise our guidance earlier, the main reason for this downward revision was delay in pipeline connectivity with refineries, unplanned shutdown and tripping of fertilizer plant, lack of demand from power sector due to moderate summer, early onset and above average monsoon. This situation was further worsened by higher than usual pricing of natural gas in the spot market, which impacted the consumption in domestic market as refineries and industries switched to alternative fuel.

Further, due to extreme monsoon and flash floods in Northern India, GAIL suffered pipeline disturbances at four places, which are expected to be restored by the year-end. Currently, these services are being managed partially through alternative arrangements. This also has impacted the transmission volume, which will be replenished as soon as the pipelines are operational again.

Due to above unforeseen circumstances, the annual transmission volume for Financial Year '25-'26 is expected to be at the level of around 123 to 124 MMSCMD. However, considering that most of the old factors may not be there and will be normal growth and commissioning of new pipeline that is SAPL and MNJPL, GAIL expects transmission volume to be increased by around 8 MMSCMD to 10 MMSCMD, and we expect our volumes to be around 133 to 134 MMSCMD in Financial Year '27.

Polymer production stood at 220 TMT as against 177 TMT in previous quarter, there is a loss of Rs. 299 crores during Q2 Financial Year '26 due to increased input gas cost. This segment is likely to be at similar level for the remaining part of the year. However, various measures like construction of dedicated pipeline i.e. C2/C3 pipeline, installation of advanced process control, debottlenecking and 60 KTA PP plant are being taken for cost optimization and improvement of efficiency.

Since mostly HH gas is being used as an internal consumption by PATA PC plant, and HH price have been unusually higher during this year, which is expected to be softened in coming financial year. These factors will hopefully start giving positive results from next financial year onwards. LHC production stood at 221 TMT during Q2 Financial Year '26 as against 199 TMT in previous quarter, with a PBT of Rs. 112 crores. There is a drop of 45% in PBT from LHC segment as compared to previous quarter which is primarily on account of reduced price. As you know, the LHC price on an average business has gone down by approximately Rs. 4,600 per metric ton.

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GAIL's new wells gas allocation for LPG sinkage has been reduced from 0.32 MMSCMD to 0.2 MMSCMD with effect from 1st October, 2025, estimated impact on production will be around 33 TMT for H2 Final Year '26. GAIL management is constantly taking up the matter for further allocation of domestic

gas for LHC to enhance the capacity utilization of our LPG plants.

In addition to above operational and financial performance, I would like to highlight that company is taking proactive measures to implement initiatives for maximizing profit and make our company future ready with the introduction of advanced technologies and AI-based projects. Project Sanchay-2, our flagship project, is focused on maximizing profitability across four business segments through targeted improvement enabled by advanced data analytics. Under the above product, GAIL is implementing 30 use cases leveraging advanced technology with an estimated CAPEX of Rs. 146 crores. These use cases together are expected to provide

the operational saving of approximately Rs. 600 crores on five year NPV basis, in addition to huge quantitative benefit in optimization of process manpower and material .
That's all from my side regarding the overview of performance and projects . The management of the company is available and we would be glad to address any query that you may have.
Now I hand over to you, Nitin.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: Thank you for the opportunity, sir. Sir, first question was with respect to the volumes. Because of the way that the rains have gone, obviously, demand from the power sector has been a major factor driving the lower demand. So, any guidance you can give us of what H2 looks like given the very long tail of monsoons we have seen in the country this year?

Rakesh Kumar Jain: So, I shared in terms of average volume for this financial year will be around 123 to 124 MMSCMD, and we expect it in H2 it will be around 125 MMSCMD.

Prabal Sen: So, not much change in terms of segmental demand, at least for this year.

Rakesh Kumar Jain: Yes, you are right, not much change . But it's kind of Q1 we saw , we are not going to see those things . Because in Q1, as we shared , fertilizer plants went for shutdowns, the power demand was not there , our petrochemical plants were also under shutdown . So, Q2 onwards, we have started seeing the normalcy, and we will see some kind of growth in terms of commissioning of new pipelines and the normal growth.

Prabal Sen: Got it, sir. And a couple of more questions. One was around the Dhabol LNG , with respect to the progress on getting into full utilization. Any guidance on FY '27 in terms of the terminal utilization that we can get?

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Rakesh Kumar Jain: So, as we shared with you, Dhabol terminal is now full weather terminal , right? And the nameplate capacity of that terminal is 5 MMTA. But only one constraint still we are experiencing is that we do not have the heating system. Whenever RGPPL runs, we are able to take the advantage of the heating system available there. But in the absence of heating system, we are expecting to utilize around 50% of the capacity. And the heating system will also be available some time in '26-'27.

Prabal Sen: Got it, sir. And last question from my side. You had I think mentioned in previous interaction that the last leg of that Kochi -Bangalore -Mangalore pipeline is imminent in terms of completion. If you can kindly refresh us in terms of latest time line for both the legs to be fully operational?

Rakesh Kumar Jain: Yes. I shared with all the pipelines. Actually, including KKMBPL the last leg which is pending, Jagdishpur-Haldia and and MNJPL, all the pipeline GAIL is constructing excluding Gurdaspur - Jammu pipeline will be commissioned during this financial year.

Prabal Sen: Alright, sir. Thank you. That is very helpful. I will come back for more questions. All the best.

Moderator: Thank you. The next question is from the line of Balaji Das from Alliance Services. Please go

ahead.

Balaji Das: So, I have basically two questions, right? First question is like, like what is the latest status on integrated tariff which is pending from the PNGRB , like we heard that there have been frequent discussions and there is difference of opinions in the tariff billing and etc. So, could you please comment on progress on the integrated pipeline tariff actually ?

Rakesh Kumar Jain: Actually, as you know, we submitted our integrated pipeline tariff way back in August '24. All the processes have been completed. And now with regard to various information , news, which are going around, we do not bother about these news. Because we are very clear , whatever tariff we have submitted that is Rs. 78, which is in terms of the regulations and we share that even if PNGRB , based on past PNGRB does, we were sharing some time in March that our tariff will be around Rs. 70 - 71.

But in between one development has happened, PNGRB has changed this regulations with respect to sharing of revenue above 75% utilization of pipeline, 50% to be retained by entity and 50% to be passed on to customers. That regulation is also giving some kind of increase to tariff. And second, the amount of delay that is happening in the processing of tariffs, that is also adding to the tariff. So, maybe Rs. 0.20 per month is increasing. So, our guidance on conservative basis of Rs. 70 was passed that should increase by Rs. 2 to Rs. 3. Now coming back to a specific answer to your question when it will come , we expect it can come in any time from now, maybe in November.

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Balaji Das: Okay , thanks for the update. And the second question is on , we had like on the listing of the GAIL Gas IPO actually. So , any further progress on consultant and when are the future plans

actually for GAIL Gas actually , because we heard that we are hiring consultants for analysis of listing .

Rakesh Kumar Jain: You heard rightly. GAIL Gas is one of the biggest company in the country in terms of city gas distribution. I share d in the brief that currently it is marketing 7. 72 MMSCMD volumes, GAIL Gas has got most of the geographical area any city gas distribution company has . We are one of the geographical areas like Bangalore, it has already leased 1 MMSCMD.

And we in GAIL believe that now is high time that we started the process of listing GAIL Gas, in that regard we have already started the process of hiring of consultant. As I understand, the consultant has already been selected and the order may have been here maybe in giving in very few days from now. Either it might have been given, so will be given. So, we are on a path to study about listing of GAIL Gas and after conclusion of that study, c ertainly that study is very important for us , we expect a one year time line or so should be good enough.

Balaji Das: Thanks for the opportunity. Thank you.

Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Just a question on petrochemicals. What was the input gas cost in Q2, if you could just explain that?

Rakesh Kumar Jain: Input cost in Q2 was around \$10.5 - \$10.6 deliver ed at PATA.

Amit Murarka: So, this is expected to go up given that Henry Hub has actually increased?

Rakesh Kumar Jain: Actually, Henry Hub has started softening now. I also briefed to you that we have experienced unusually higher Henry Hub price. If you compared last financial year, Henry Hub prices about 50% of the current price levels. So, it is already worth speaking, and it started softening .

Currently Henry Hub prices, we do not believe that it will further go up , rather it will be softer.

That's how we expect that in next financial year a lot of good positive things should happen with us.

Amit Murarka: And what is the outlook on OPEX . OPEX looks like it has increas

ed a bit in the quarter on the transmission side?

Rakesh Kumar Jain: Transmission side, OPEX , I will have to come back. Has it increased, I do not think. I do not know from where you are arriving at, rather gas consumption has gone down. Anyway, we can offline answer you for your specific details.

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Amit Murarka: No, not against previous year. I was looking at versus Q1. So, Q1, it was actually Rs. 836 crores, which is Rs. 905 crores in Q2.

Rakesh Kumar Jain: We will be giving this . There is no big difference in what you are sharing . We will be giving you off -line this answer, y ou can connect to our IR team.

Amit Murarka: And lastly, what is the outlook for gas transmission volumes for FY '27, like this year looks like we will do close to 124 MMSCMD or so. Next year, like earlier you were talking about 135 MMSCMD for FY '27 , so do you think that could also be at risk now with weaker numbers we are seeing in '26?

Rakesh Kumar Jain: Actually, last year we transported 131 MMSCMD. We were expecting that we will beat this number but whatever events which has happened during this year I narrated, like in terms of power demand, which has significantly gone down. Nobody would have expected that monsoon , there will be early onset of monsoon, t he summer will be below average kind of summer, and the spot prices will be higher and , therefore, the refineries in particular have shifted to alternative fuel. Henry Hub prices were also higher. And our four pipelines got impacted due to heavy monsoon. So, all these are the unique and one -off kind of situations. So, we maintained that next last financial year we will be having 134 to 135 MMSCMD of volume.

Amit Murarka: Okay. Sure. Thanks a lot.

Moderator: Thank you. The next question is from the line of Sabri from Emkay Global. Please go ahead.

Sabri Hazarika: I just missed your opening remarks, I think you mentioned something about tariffs for the first two, three minutes . Can you please like touch on that again, please?

Rakesh Kumar Jain: You are talking of tariff approvals ?

Sabri Hazarika: Yes. I mean, i nitially you started with the tariff part, right, I joined four, five minutes late, so that's what I would like to know.

Rakesh Kumar Jain: I was not speaking about tariff. I only answered with respect to the question which earlier participant had asked about the tariff approvals when it is likely to happen. If your question is that then I can repeat that answer.

Sabri Hazarika: No. My question is on the opening remarks. Before you touched on the results you were updating something , 2%, 3% it will be growing.

Rakesh Kumar Jain: I am updating as commissioning of various pipelines, not tariff.

Sabri Hazarika: Okay. So, that would lead to some sort of like blended increase in tariff , were you touching upon that?

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Rakesh Kumar Jain: No, that will not increase . Yes, on company basis it will change the tariff. But those are, I mean, MNJ PL and Srikakulam -Angul pipeline , their tariff is fixed. So, overall company level, certainly it will change the blended tariff.

Sabri Hazarika: Okay. Got it. And the second question is on this new pipeline only. I think these are like bid -out pipeline, right, but Srikakulam -Angul is not b id out, right?

Rakesh Kumar Jain: Srikakulam -Angul is also bid out. W e got three pipelines under bidding. One is Srikakulam - Angul . Second is Mumbai -Nagpur -Jharsuguda , and third is Gurdaspur pipeline.

Sabri Hazarika: Right. And I think the tariff is like above Rs. 100 per MMBtu in each of the pipeline?

Rakesh Kumar Jain: That's a good tariff , yes.

Sabri Hazarika: Yes. So, I just wanted to know , given that we have got capacity left in the integrated network, would you be able to push volumes in this? I guess Srikakulam -Angul is a specific r

oute, but

Mumbai -Nagpur -Jharsuduga is somewhat parallel to Jagdishpur -Haldia. So, what's the strategy

Rakesh Kumar Jain: How is it parallel to Jagdishpur -Haldia? Jagdishpur -Haldia is Eastern pipeline, that (MNJPL) is West-East pipeline, it's not parallel.

Sabri Hazarika: No, I mean it's connected only. I mean , that way I think Hazira Vijaipur Jagdishpur --

Rakesh Kumar Jain: It connects the terminal, yes, but the market is different.

Sabri Hazarika: Okay. So, how much volume s you are expecting in these new pipelines by FY '27 or '28?

Rakesh Kumar Jain: So, next year we expect around 2 MMSCMD volume from these pipeline s, because these are beginning to start transmitting volume. So, last year, we expect 2 million , then it will ramp up.

Sabri Hazarika: Okay, sir. Thank you so much. All the best to you.

Moderator: Thank you. The next question is from the line of Yogesh Patil from Dolat Capital. Please go ahead.

Yogesh Patil: Thanks for taking my questions, sir. Sir, in Q2 FY '26, our gas transmission segment per unit tariff realization has declined compared to the Q1 FY '26. Any particular reason for reduction in the tariff realization?

Rakesh Kumar Jain: Yes, yes. Actually, in Q1 we got Rs. 133 crores on account of tariff reconciliation on unified tariff, right, which is not available this quarter. So, that is how the weighted average tariff of Q1 was higher. This quarter, since that was a one -off kind of thing , it is not available. Second, quarter -on-quarter, the average tariff will continue to change , sometime it will be higher,

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sometimes it will be lower. The major reason is that it depends which zone has transmitted how much volume , because zonal tariff rates are different. So, these are the reasons, one is the reason I shared about Rs. 133 crores , and second is also how much , around Rs. 50 crores on account of weighted average?

Management : Rs. 50 crores is on the weighted average basis .

Rakesh Kumar Jain: And weighted average t ariff is also not much , 60.68% to 60.11%.

Yogesh Patil: Okay. Sir, second question is regarding our upcoming petrochemical projects, which are expected to complete in FY '26 and FY '27, which you guided. Can you guide us what quantum of EBITDA contribution one can expect from these petrochemical facilities in t he next one to two years? Any numbers you can share with us?

Rakesh Kumar Jain: So, if we first talk of the small capacity addition at PATA, I think which may not be very significant from your point of view, that is 60 KTA c apacity we are putting at PATA. S o, by this year end it will start producing , and since it is a facility at PATA, it will remain around same level what PATA is doing , because nothing much is going to change. But if you talk of PDHPP , which is 500 KTA facility at Usar, t his is going to be commissioned in Financial Year '27, and effectively it will start contributing in Financial Year ' 28. So , if I start forecasting polymer side for two years ahead, it will not be good on my part. But if you talk of the kind of EBITDA in terms of dollar , maybe \$250 per metric ton to \$300 per metric ton will be kind of EBITDA will be available to us. That's based on our project approval, w hich holds good even today.

Yogesh Patil: And sir, any updates on the JBS side, which will be completed in FY '26?

Rakesh Kumar Jain: Yes, it is going to be complete during this financial year , yes.

Yogesh Patil: But any probable numbers which we can expect contribution to the EBITDA from that project post completion?

Rakesh Kumar Jain: So, we will give you , because I do not have a ready number available , we will be able to share with you offline.

Yogesh Patil: Okay. Sir, last question related to our new LNG sourcing contracts, which will start mostly from the next year, 2026. Ne ed a small clarity, are we able to re gasify all o

f these new LNG cargoes

at our Dhabol terminal? Because as you mentioned that facility will be ready in the next year, so that we will be able to operate it at 100% level, 5 MMTPA.

Rakesh Kumar Jain: So, let me answer it differently. Currently, we have 2.5 million tons capacity at Dahej, which we have booked, and 1.5 MMTPA capacity at Dhamra, and 2.5 MMTPA, I shared with you, is almost available without even the heating system at Dhabol. So, currently, we are able to manage our cargoes from these facilities. But when next year one more contract will start supply,

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certainly we will be needing more regasification capacity. Currently, we are working to tie-up the additional regasification capacity with the terminal operators where we feel that the market is there.

And meanwhile, our Dhabol terminal will also start functioning at 5 MMTPA. But I believe that these capabilities will still be not sufficient w.r.t. demand we are seeing in our country. So, we have already taken a decision to expand Dhabol petrochemical from current level of 5 MMTPA to 6.5 MMTPA, and we are discussing about increase of capacity of Dhabol terminal from 6.5 MMTPA to a higher level. So, we are quite conscious of the capacity availability currently and the capacity requirement in future.

So, two actions are to sum up. One, we are tying up more regasification capacities with different terminal operators. And second, we are also taking actions to expand our Dhabol terminal beyond the existing nameplate capacity of 6.5 MMTPA and thereafter, from 6.5 to say 10 or 12 MMTPA.

Yogesh Patil: Suppose 6.5 MMTPA target Dhabol capacity, evacuation pipelines would be ready? Or do we need to inform PNGRB and they will ask us for the new pipelines to be --

Rakesh Kumar Jain: Already for 6.5 MMTPA we have taken actions. The PNGRB authorized the expansion of the DUPL DPPL pipeline. We are already starting the construction job, so that concern is not there.

As and when we take up the decision for further enhancing the Dhabol terminal capital, certainly we will go back to PNGRB for further expansion.

Yogesh Patil: So, as of now, is it a correct understanding, if we expand till 6.5 MMTPA the evacuation of gas is possible with the existing infrastructure, that is the correct understanding?

Rakesh Kumar Jain: Yes.

Yogesh Patil: Thanks a lot, sir, this was really helpful.

Moderator: Thank you. The next question is from the line of Vikash Jain from CLSA. Please go ahead.

Vikash Jain: Thanks for taking my questions. Rakesh ji, I have a few questions. Firstly is, your guidance of increase in volume in FY '27 to I think 131, 132 MMSCMD, which is roughly any around 8 to 10 MMSCMD more than the average for this year. In that, could you give the breakup of that?

What is the assumption of some of the lost power volumes which did not happen this time that coming back?

Rakesh Kumar Jain: Vikash, last year we transported 131 MMSCMD. This year, a lot of unwanted events have happened. So, coming back to your question, from where at 8 to 10 MMSCMD will come. The 3 million to 3.5 million will certainly come from the city gas distribution company, which is a normal growth, which we have experienced this year also. Second, the power volume is around

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1.5 million to 2 million was down, that will come up. So, that makes 5 million. Then 2 million I shared that we will be having volume in MNJPL and Srikakulam-Angul, that makes to 7 MMSCMD.

And then, refineries volume which have gone this year, actually we cannot expect every year to be same. Almost 2 million to 3 million volume we lost to refineries. One more event I shared that the four of our pipeline got impacted because of the heavy flood, those volumes are around 1.5 million to 1 million. So, this is a

broad back up. I have not given any new market like coming

to eastern sector or normal growth in eastern sector. But this itself makes 8 to 10 million volume.

And I am corrected, power is 3 MMSCMD, not 2 MMSCMD.

Vikash Jain: Okay. And the other question was on the CWIP that we had at the end of, say, FY '25 and also there will be a number higher than that at the end of this quarter. That's like over Rs. 20,000 crores now, how do we see a standalone number? How do we see that falling at the end of FY '26 and the end of FY '27 as your project pipelines get commissioned this time, and by FY '27 even the petchem will plant will get commissioned?

Rakesh Kumar Jain: Let me give a broad answer to this question. Around Rs. 8,500 crores belongs to MNJPL, right, that is going to be commissioned by this financial year end, that is a major CAPEX. The PATA petrochemical, around Rs. 1,300 crores is going to get commissioned this year. Then KKMBPL, my colleague will give a figure, I do not already have ready available figures, Phase 2 is going to get

commissioned, which is also significant, maybe around Rs. 2,000 crores to Rs. 2,500 crores, that will get commissioned. So, and Jagdishpur-Haldia, some CAPEX utilization will also take place here. These four major CAPEX CWIP, around Rs. 13,000 to Rs. 14,000 crores will be capitalized, likely to be capitalized in this financial year. Then PDHPP Usar will get commissioned in '27. So, remaining the CWIP belongs to PDHPP and smaller amount to Gurdaspur. So, largely, except PDHPP and Gurdaspur (which is a very small project) will get commissioned this year.

Vikash Jain: Okay. And sir, just last thing. Any change in guidance, any update on gas trading or anything on that side in terms of --

Rakesh Kumar Jain: Vikash, I have been maintaining since the beginning of this financial year that we will be earning around Rs. 4,000 crores to Rs. 4,500 crores on PBT level. And we have already crossed Rs. 2,200 crores in first half in spite of the various negative things. So, we expect that we will certainly touch Rs. 4,500 crores of guidance at PBT level, and may even exceed that.

Vikash Jain: Okay. Anything for next year also, sir?

Rakesh Kumar Jain: Next year will be around same level. We do not expect any new addition to this guidance because a lot of things depend. But in terms of guidance, I will maintain around that level only.

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Vikash Jain: Thank you, Rakesh ji. Those were all my questions. Thank you.

Moderator: Thank you. The next question is from the line of Varatharajan from Antique Limited. Please go ahead.

Varatharajan S: Thanks for the opportunity, sir. In the case of GAIL Gas, if you can give us a breakup in terms of CNG and PNG in GAIL Gas.

Rakesh Kumar Jain: GAIL Gas, you are looking for breakup in terms of CNG and PNG supplies?

Varatharajan S: That's right, sir.

Rakesh Kumar Jain: So, we have bulk trading in GAIL Gas in 4.5 MMSCMD, bulk trading which GAIL Gas does. Then Taj Trapezium zone which is the UPM based pricing, 1.32 MMSCMD. And in terms of city gas distribution, which includes PNG, CNG put together around 2 MMSCMD.

Varatharajan S: Okay. And similarly for the 6 GAS under GAIL?

Rakesh Kumar Jain: Sorry? 6 GAS, I can give you. Actually, I do not have the breakup the way you want it, but largely it will be satisfying your requirement. We marketed 0.46 MMSCMD, which constitutes 0.17 MMSCMD at APM. So, largely, it will be PNG and CNG, and some portion of RLNG also will be there. And 0.29 MMSCMD we have used RLNG. So, I do not have the breakup you wanted, but I can give you offline.

Varatharajan S: I will take it. My last question is on your JBF, I see that like you have floated a proposal for connecting the pipeline to the port. So, why would you even consider that in the presence of MRPL potentially who can sub

ject pretty much all your requirement in terms of paraxylene?

Rakesh Kumar Jain: Actually, initially we are expecting that we will get to supplies from MRPL, but somehow things could not materialize as of now when I am talking. But anyway, even if we are able to tie up with MRPL, in order to continuously run the plant, nothing wrong about having the alternative supply. And it also gives us flexibility to take the benefit of price advantage. So, currently, we do not have any contract with the MRPL, so that's the constraint. And second, it always provides a price opportunity and redundancy of the sources. So, these are two reasons why we are laying the pipeline connecting port for importing paraxylene.

Varatharajan S: Fair enough, sir. Thanks a lot.

Moderator: Thank you. The next question is from the line Gaurav Jain from ICICI Prudential. Please go ahead.

Gaurav Jain: Sir, just one question from my side. This Rs. 4,000 crores to Rs. 4,500 crores marketing guidance that we gave, that is at the EBITDA level or EBIT level, is it EBIT or EBITDA?

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Rakesh Kumar Jain: It is actually PBT level. If you talk of margin level, I also shared those numbers, it is around Rs. 2,866 crore. If you are interested in EBITDA level, Rs. 2,866 crores, I shared that also.

Gaurav Jain: Yes. But the guidance of Rs. 4,450 crores was at PBT level?

Rakesh Kumar Jain: PBT level, right.

Gaurav Jain: That's it, sir. Thank you.

Moderator: Thank you. The next question is from the line of Somaiah from Avendus Park. Please go ahead.

Somaiah Valliyappan: Thanks for the opportunity, sir. Sir, first question is on the volume for FY '27. So, you did explain in terms of what are the factors that will drive that at 8 to 10 MMSCMD. We also used to have a startup of new refineries which would contribute and also some ramp-up on the fertilizer plants. So, is this considered into FY '27 or is it more of an FY '28 phenomenon? Or what is the potential

new industries getting connected?

Sumit Kishore : We have included that , when we are talking of the refinery segment, it includes the upcoming new refineries which are likely to get connected on the eastern part of the country , and also the existing refineries which have taken slightly less during this year.

Somaiah Valliyappan: So, when you said the refineries will add 1 to 2 MMS CMD, so this include both these factors?

Rakesh Kumar Jain: No, no. Number is not correct , the statement is correct. Actually, there are two factors. One, the volume is lost, right? And another is, we said around 2 to 3 MMSCMD, not 1 to 2 MMSCMD.

In first half of the question I said around 3 MMSCMD we will get , because lost volume and the new refiner ies.

Somaiah Valliyappan: Got it, sir. And which are the refineries that we are looking at, sir, for the incremental volumes?

Sumit Kishore : New ones to be co nected are Haldia and Bongaigaon and Guwahati.

Somaiah Valliyappan: Got it, sir. Sir, any further upside in fertilizer plants ramping up or any upside that is left? Or it's fully covered ?

Rakesh Kumar Jain: Fertilizer plants have already ramped up. If we talk of the addition by consumption in fertilizer , there are some plants which are actually doing capacity expansion. And we also understand there are proposals to put plants in maybe Maharashtra and also C hhattisgarh. So, in those terms, certainly there will be additions to the transmission volume. But in terms of existing , yes, it will ramp up .

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Somaiah Valliyappan: Got it, sir. Sir, also in terms of gas consumption for transmission, the system use gas consumption, the quantum and the pricing, is it still HPHT, if you could just help on that? And also on the petchem and LPG side, the quantum of gas consumption?

Rakesh Kumar Jain: What is your specific question?

Somaiah Va

liyappan: The system use gas consumption and transmission side , it used to be 1.5 - 1.6 MMSCMD.

S K Sinha : For the gas transmission segment ?

Somaiah Valliyappan: Yes.

S K Sinha : 1.44 MMSCMD for LPG, and around ~5 MMSCMD for petrochemicals.

Somaiah Valliyappan: Sorry, sir, I missed the transmission . Transmission what number you had mentioned there?

Rakesh Kumar Jain: 1.6 MMSCMD .

Somaiah Valliyappan: And the pricing, sir, it is at the HPHT, the 1.6 MMSCMD?

Rakesh Kumar Jain: Actually, we always endeavor to get the cheapest available sourcing , one of the cheapest for even for this consumption and transmission , but you can for your working consider around HPHT.

Somaiah Valliyappan: Understood. Sir, in terms of marketing of the total volumes that we do , broadly what are the back -to-back contracts that we will have? I mean, what are the quantum of spot exposure? If you can give some color on that . And also the basis swaps that we do, to what extent it covers our portfolio currently?

Rakesh Kumar Jain: We have currently contracted volume of around 16.5 million tons, okay? And out of 16.5 million tons volume , 1 million ton will start flowing from next year , that is Vitol . The 15.5 million tons volume is currently flowing. Out of that, only 0.75 million tons or even less than 0.7 million tons is open , rest is back -to-back . Only some of the volume which is not back -to-back in terms of the index. One of contracts we have where in we have the upstream formula on JCC and nine-month s average , and downstream we have formula on Brent three months average.

So, to that extent you can say i t is differ s, but we c onsider that also back to that base because it only leaves a cash flow issue. Because over a period of time, nine months and three months average give s the similar kind of cash flow , so we consider those as back -to-back contract. If we consider those as back -to-back c ontract, only 0.75 million tons you consider that we have opened a volume around 2.53 MMSCMD of Henry Hub volume , which we have, you can say, consider ed that we are kept willfully available to us in order to take the benefit of market

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arbitrage sometimes in domestic market and sometime in international market. So, that is the only volume we have .

And in terms of spot volume, spot volume we source time to time in order to fulfill the demand of our existing contract , because we contract downstream more than we have the sourcing. And in order to fulfill those demands, sometimes we source the spot , and also to meet the demand like power we source spot. So, that largely remains 10% kind of spot volume we have on an average basis.

Somaiah Valliyappan: This is quite helpful, sir. Just one follow -up there. So, in case this 95% or 96% - 97%, where we are back -to-back contracted, if there is a difference in basis, for instance it's a Henry Hub,

whereas the end consumption is on the oil-linked basis, so we would have had a basis swap to cover it. Is that the right understanding, sir?

Rakesh Kumar Jain: Let me give you, again, repeat. Henry Hub volume, only 2.5 to 3 MMSCMD is open. Remaining 17 million - 18 million are back-to-back, we do not have any basis risk. Regarding 2.5 to 3 MMSCMD, whatever volume is there, yes, we have basis risk if we supply on crude basis, we have basis risk if spot prices we have differently and we sell on spot. We continue to take swaps for those volumes also, not 100% level. We continue to take swaps at 45% to 50% level, depending on the opportunity provided by the market. That's only risk we carry.

Somaiah Valliyappan: Thank you, sir. This is quite helpful, sir. Thank you.

Moderator: Thank you. The next question is from the line of Pratyush from InCred Equities. Please go ahead.

Pratyush: Good evening, sir. Thanks a lot for giving this opportunity. I have two questions, first is on the

transmission realization. So, I just wanted to understand that do you actually get the realization and the revenues to the weighted average of the zonal tariffs? Is it the correct way to get the revenues out there from the pure transformation segment? There is some other thing also which is mentioned on PNGRB website about the integrated tariffs, so does GAIL has something to do with the integrated tariffs also? Or you just do the weighted cost and take out the zonal tariffs and the volumes which have been supplied in those respective zones when you get that revenue. So, is it the correct way? Or again, is that something you do to the integrated tariff?

Rakesh Kumar Jain: We get the integrated tariff rate. But integrated tariff has also been divided into zonals. Integrated tariff rate is Rs. 58.60 or something like that. But that has been divided into three zones, Zone 1, Zone 2, Zone 3. These are three different tariff rates under the same average tariff of Rs. 58.60. So, when you saw weighted average, it depends which zone a customer exists in. So, if customer exists in Zone 3, we will get higher.

Pratyush: Understood. So, your integrated tariff would ultimately change if Zone 3 customer draws more gas compared to Zone 1, so it totally depends on which zone.

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Rakesh Kumar Jain: Yes, absolutely right.

Pratyush: And my second question is regarding the customer portfolio. So, you very well talked about sourcing portfolio when the marketing division of GAIL is concerned, that what is the sourcing portfolio in terms of back-to-back contract, Henry Hub and how do you usually reduce the rate. Just wanted to understand what is the portfolio of the customers to which you sell those gases? For example, you have a contract of 15.5 million tons of natural gas. And definitely, there would be some priority customer, there would be some non-priority customer. Is this something that you do have some fixed kind of margin for the priority customers, some different kind of variable margins or the market determined margin for the non-priority customers? And in that non-priority customers or in that market determined margins, you do have cost plus markup or inclination of something like that. So, what is your customer portfolio in terms of marketing division?

Rakesh Kumar Jain: Actually, market-driven price, what is market realized imported gas? So, again, in order to give more clarity to your question, out of 16.5 million tons, we are yet to start getting gas of 1 million tons. So, from 15.5 million tons, 4.8 million tons is almost on a fixed margin, which increases every year, right?

Pratyush: Okay. Understood.

Rakesh Kumar Jain: Another 3 million tons volume we have again on same margin. But as I shared just before, in that contract, we have fixed margin, but there is some cash flow issues. We source on nine month basis and we market on three month basis. So, whenever crude price goes down, our realization reduces for a time being and our payment becomes higher because nine months average takes time to come down. Or whenever crude price goes up, we get more margins initially and then it starts reducing. So, we consider them, again, back-to-back, but there is some averaging issue, that is 3 million tons, it makes 7.8 million tons.

Now, coming back to the remaining 5.8 million tons from United States and also 0.75 million tons we recently sourced from Middle East, these contracts purely are varying margin depending on the time we market it, the kind of ability we had to get the margin. So, these have varying margins depending on time when we contracted with the customer.

Let me give you. Over and above, we also have ability to optimize these margins because the United States volume is on FOB basis. What we do in order to reduce the cost, we do ship swap

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that we call destination swap or FOB share and DES purchase, so that also we continue to do and are able to reduce our shipping tariff, that also is helpful in optimizing our profit or increase in our profit.

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Pratyush: Understood, sir. And in that 4 million tons which you mentioned that you do have a fixed kind of margin , is it being sold to the priority customers where you probably usually get the margins of somewhere around Rs. 200 per 1,000, something like that ?

Rakesh Kumar Jain: No, not Rs. 200. Not priority. When we market it, we market it on whoever wanted to buy those volumes. But these are largely we have contracted with fertilizer customers.

Pratyush: But the margins are fixed by the government for the fertilizer customers ?

Rakesh Kumar Jain: Not by the government but by the party. And then it continued to increase 5% every year.

Pratyush: Okay, sir. No issues. Thank you.

Moderator: Thank you. The next question is from the line of Nirmal from Aditya Birla Sun Life. Please go ahead.

Nirmal: Thank you for the opportunity. Just sir, you mentioned that you expect 2 to 3 MMSCMD of power sector demand coming back in the next year. Just wanted to understand this in the context that the government has in March, April recently closed some of the old gas -based power plants. And also , there was a statement in August by the Chairman of Central Electricity Authority that India is planning phase out import of natural gas for power production. So , when we say that power sector demand will come back, do you expect it to come back for peak power demand usage or also for base demand considering that LNG prices might go down significantly next year?

Rakesh Kumar Jain: Let me answer . First, we are not aware of what you said, we will have to check up. We are not aware of any such kind of information. But coming back to specifics, we continue to sell around 5 to 6 MMSCMD regularly to power sector , even without peak power demand. We have more demand for peaking , and during the period maybe May to September, October, which is, you can say, the peaking power demand which comes insignificant. There are days when we had marketed last year 20 MMSCMD kind of volume to power sector.

Thirdly, now we are experiencing that power sector is also coming up with regular demand largely to balance the grid , because a lot of renewable energy is coming . As you know that renewable energy only is able to provide the power during day hours, so during non-peak hours , in order to maintain the supplies that demand also comes. So, these are three different reasons while power sector demand is existing and continues to increase.

Nirmal: Thank you so much.

Moderator: Thank you. Due to time constraints, that was the last question. I now hand the conference over to the management for the closing comments. Over to you, sir.

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Rakesh Kumar Jain: Thank you very much our friends from analyst and investor community, and hope we have been able to answer to your questions. I know one or two questions we have passed for off -line discussions, and we will certainly be providing those information to you, and you can connect with our Investor Relations Team . Over and above, if you might have any more questions you might have missed, you wanted to ask more questions , due to time limitations you could not have asked , we are always available to answer your questions , you can connect with our IR team.

Thank you very much .

Moderator: Thank you. On behalf of a PhillipCapital (India) Private Limited, that concludes this conference.

Thank you for joining us . And you may now disconnect your lines.

Call: Feb 2026

"GAIL (India) Limited Q3 FY26 Earnings Conference Call "

February 02, 2026

MANAGEMENT : SHRI RAKESH KUMAR JAIN – GAIL (INDIA) LIMITED
SHRI SATISH KUMAR SINHA – GAIL (INDIA)LIMITED
MODERATOR : MR. PROBAL SEN – ICICI SECURITIES LIMITED

GAIL (India) Limited
February 02, 2026

Moderator: Ladies and Gentlemen, Good Day and Welcome to GAIL Q3 FY26 Earnings Conference Call hosted by ICICI Securities Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Probal Sen from ICICI Securities Limited. Thank you and over to you, Sir.

Probal Sen: Thank you, Palak. Welcome, everyone to the Post Q3 FY26 Conference Call of GAIL India.

We have with us members of the senior management headed of course by Shri Rakesh Kumar Jain, the Director , Finance of the Company and Other Senior Executives in this Team.

Without further ado, I will hand it over to him for “Opening Remarks,” post which we will have a Detailed Q&A.” Sir, over to you.

Shri Rakesh Kumar Jain: Thank you, Probal, and good morning, everyone, and a very warm welcome to our Q3 FY26 Earnings

Conference Call. And here with me, I am joined by my senior colleagues from various sections /departments of GAIL India Limited.

The quarter under review has been marked by continuous volatility in global energy markets due to uncertain weather conditions and evolving geopolitical dynamics, which has kept the HH and spot prices on higher side.

Despite the adversities, GAIL's Natural Gas Transmission volume has shown a recovery as compared to the earlier quarters , marked by elevated consumption by fertilizer, refinery and CGD sectors.

In addition, GAIL has been able to seize the first -mover advantage in the preceding nine months by securing additional tie -ups with CGD customers, which has resulted in new tie -ups of approximately 2 MMSCMD. I find it worth mentioning that during calendar year 2025, more than 15,000 capacity transactions have been booked through GAIL's open pipeline access portal, which is encouraging for us to continue to build and invest in the natural gas infrastructure of the country.

Let me begin with “ Business Updates for the Quarter ”:

As you are aware that PNGRB has issued an interim revision of natural gas pipeline tariff for GAIL's integrated natural gas pipeline network from Rs.58.61 to Rs.65.69 per MMBTU, and this is effective GAIL (India) Limited

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from 1st January 2026. This represents an increase of approximately 12.1%, leading to a positive impact of approximately Rs.1,200 crore s per annum. GAIL has filed a review petition , that is post announcement of tariff, we reviewed the tariff and filed a review petition on 26 th December 2025, seeking an increase of Rs.15 per MMBTU to the interim revision. We submitted approximately say, Rs.78 , we got Rs.65.69. Effectively, there was an approximate Rs.12 reduction, but when we filed the review petition, it became Rs.15 on same principles, because as you know that the tariff is worked

out on discounted cash flow methodology. Any delay in tariff approvals also results in an increase of tariff, GAIL has ability to get more. So, therefore, the Rs.12 has become Rs.15, and we filed a review petition for an increase of Rs.15 per MMBTU to the interim tariff revision.

Though the petition, GAIL expects truing up of the factors like OPEX, CAPEX, transmission loss, and revenue sharing in terms of the regulatory provisions, which have not been considered in the interim tariff order.

With effect from October 1 st, 2025, GAIL has implemented state -wise CST procurement of domestic gas from ONGC , Gujarat to enhance tax efficiency for CGD customers and GAIL is continuously looking for tax optimization, how can we do it for the various sections or various customers so that we have the ability to give competitive prices.

GAIL has been o

ffered to set up two fertilizer plants along the MNJPL corridor. Apart from we seek to go into the fertilizer sector, these plants will also act as an anchor load for MNJPL. The envisaged investment for these two plants is Rs.21,000 crore s. The set proposal is having an in -principle approval of the board, and the proposal is under evaluation stage now.

GAIL Global I FSC Limited, which is GAIL'S wholly owned -subsidiary, has successfully commenced operations within the first year of its operation by extending an inter -corporate loan of Rs.290 crore s to Bengal Gas Company Limited.

GAIL sees renewable energy as a strategic growth opportunity and is undertaking a significant expansion of existing clean energy portfolio of 145 MW we have, that is, 118 MW of wind and 27 MW of solar.

Several large projects are currently in various stages of development are under progress, including 170 MW wind project in Maharashtra, solar projects of 100 MW and 600 MW in Uttar Pradesh, and approximately 35 MW captive use solar plants across various GAIL locations.

Compressed biogas continues to be a strategic pillar of our clean energy portfolio . Following the successful commissioning of 5 ton per day CBG plant at Ranchi, the board has approved investment for establishing 6 CBG plants. These projects are part of GAIL's commitment to establish around 25 - GAIL (India) Limited

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30 CBG plants across India, for which the Company is proactively engaging with the multiple state governments to secure land. These initiatives reflect our strong commitment to strengthen India's energy security while accelerating the transition towards sustainable and clean energy solutions and enhancing long -term value creation.

GAIL's Retail LNG business continues to progress steadily with a plan to establish 29 LNG stations. Development of LNG stations at 5 locations is presently underway. Further, GAIL's CGD entities have already commissioned 13 LNG or LCNG stations, making early steps towards building a cleaner long -haul transportation ecosystem in the country. As you know, this is one of the major upcoming major LNG consuming sectors.

I feel happy to inform our investors that the Company has declared an interim dividend at the rate of 50% of face value for the financial year 2025 -2026, i.e. Rs.5 per share.

GAIL's results for the quarter -ended 31 st December 2025 have been declared on last Saturday. I will briefly touch upon the "Major Highlights for this Quarter ," thereafter, we may open the "Session for Queries ."

GAIL's turnover stood at Rs.34,030 crore s in Q3 FY26 as against Rs.34,972 crore s in Q2 FY26.

Profit before tax in Q3 FY26 stood at Rs.2 ,030 crore s as against Rs.2 ,823 crore s in Q2 FY26. Profit after tax during the quarter stood at Rs.1 ,603 crore s as against Rs.2 ,217 crore s in Q2 FY26.

"Q3 FY26 vs Q3 FY25 ":

On a comparative quarter basis, GAIL achieved turnover of Rs.34,030 crore s as against Rs.34,907 crore s in the corresponding period of last year. PBT stood at Rs.2 ,030 crores as against Rs.5 ,029 crores and PAT stood at Rs.1 ,603 crore s as against Rs.3 ,867 crore s.

As you know, this is mainly because of an exceptional income we got last year in Quarter 3 , i.e. Rs.2,440 crore s, which was recorded by the Company on account of arbitration settlement with SMTS.

Now , I will touch upon the Physical Performance during the Quarter vis -à-vis Previous Quarter" : Gas marketing volume during the quarter stood at 103.98 MMSCMD as against 105.49 MMSCMD in Q2 FY26.

Natural gas transmission volume improved to 125.45 MMS CMD in Q3 FY26 as against 123.59 MMS CMD Q2 FY26. The average capacity utilization was 56%.

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Polymer production was almost flat at 219 TMT in Q3 FY26, which stood at 220 TMT in previous quarter.

LHC production stood at 199 TMT as against 221 TMT in previous quarter.

LPG transmissio

n was 1,188 TMT as against 1,167 TMT in previous quarter. The capacity utilization was 103% during the quarter.

Now, let me take you through the "Consolidated Financials of Q3 FY26 versus Q2 FY26":

The consolidated turnover in Q3 FY26 stood at Rs.35,253 crore s as against Rs.35,594 crore s in Q2 FY26.

The PBT in Q3 FY26 stood at Rs.2,165 crore s as against Rs.2,565 crores in Q2 FY26.

The profit after tax in Q3 FY26 stood at Rs.1,756 crore s versus Rs.1,972 crore s in Q2 FY26.

As you know, GAIL also is directly dealing with six CGDs. Just to take you through the performance of those six CGDs. GAIL has direct authorization of 6 GAs and has an infrastructure of 215 CNG stations and 4.64 lakh DPNG connections. During the quarter, 2 new CNG stations and 15,990 new DPNG stations were added. The physical volume stood at 0.55 MMSCMD. In the next two years, GAIL targets to add around 85 new CNG stations and around 1,50,000 new DPNG collections.

I will also take you through the "Performance of our 100% Subsidiary, GAIL Gas Limited":

In Q3 FY26, turnover of GAIL Gas stood at Rs.3,292 crore s as against Rs.3,235 crore s in Q2 FY26.

PBT stood at Rs.143 crore s as against Rs.148 crore s in Q2 FY26. The decrease is mainly due to increase in input gas cost and exchange rate resulted in reduction in margin.

PAT stood at Rs.106 crore s as against Rs.111 crore s in Q2 FY26.

The physical volume stood at 7.8 MMSCMD.

During Q3 FY26, GAIL Gas along with its JVs/subsidiaries has added 71,411 new DPNG connections and 9 CNG stations. GAIL Gas with its JVs/subsidiaries have an infrastructure of 12,46,000 DPNG connections and 674 CNG stations.

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I will also take you through the "Status of Ongoing Projects":

As of December 2025, GAIL's operational natural gas pipeline length has crossed to 18,000 Kms.

Calendar year 2026 will be an important year for project commissioning with several major pipelines scheduled to come on stream like Mumbai -Nagpur -Jharsuguda, that is remaining portion I am talking about. The Jagdishpur -Haldia project, KKMBPL Phase -2, Gurdaspur -Jammu pipeline. Together, these projects will significantly enhance reach, reliability and regional balance in national gas grid. GAIL is also actively considering participating in bidding for new petroleum and petroleum product pipeline s, largely LPG pipeline s.

As regards Petrochemicals project, this calendar year will be an important year from petrochemicals project point of view as well. Major projects such as GAIL's 1,250 KTA -PTA plant at GMPL, Mangalore, 500 KTA -PDH PP plant at Usar are scheduled to be commissioned during this calendar year, and 60 KTA -PP plant at Pata is in very advanced stage of commissioning, may be commissioned in a day or so.

"CAPEX for Q3 FY26"

During the quarter, a CAPEX of Rs.2,186 crore s was incurred out of which Rs.804 crore s was incurred on pipeline s, Rs.455 crore s was incurred on Petrochemicals, operational CAPEX and others was Rs.620 crore s, and rest was on CGD, E&P, Renewable, Equity contribution, etc. ,

I will also take you through the "Segment -Wise Outlook for Short-to-Medium Term":

The PBT from gas marketing during the quarter stood at Rs.779 crore s. The PBT from gas marketing during the 9 months stood at Rs.3,000 crore s. We are expecting to achieve marketing margin of Rs. 4,000 crores at PBT level from gas marketing segment in FY26.

In Gas Transmission Segment, Q3 FY26, average transmission volume improved to 125.45 MMSCMD as compared to 123.59 MMSCMD during Q2 FY26. Further, the volume during the month of December '25 stood at 128.65 MMSCMD. This reflects that there is now a recovery phase or there is a growth in transmission business after we have seen Q1, which was not up to our expectations. Average transmission volume of 9 months FY26 stood at 123.23 MMSCMD. The recovery in gas transmissio

n volume is primarily on account of elevated consumptions by fertilizer, refinery, and CGD sector and resumption of gas supply on 2 sections after completion of repair jobs which had got disrupted during Q2 FY26 due to extreme monsoon and flash floods in North India. We are hopeful of achieving our gas transmission guidance of 124 to 125 MMSCMD for FY25 -26.

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Polymer production stood at 219 TMT as against 220 TMT in the previous quarters. There is a loss of Rs.483 crore s during Q3 FY26 due to increase in input gas cost, rupee depreciation, and decline in polymer prices. This segment is likely to be at similar level for remaining part of this financial year. However, likely softening of input gas prices, various measures being taken for cost optimization, and improvement of efficiency may lead to improvement in performance of this segment in the coming years.

LHC production stood at 199 TMT during Q3 FY26 as against 221 TMT in the previous quarter.

PBT for Q3 FY26 stood at Rs.29 crore s. The PBT for LHC segment has been hit by drop in prices

on account of low crude prices coupled with reduction in allocation of New Wells gas from 0.3 MMSCMD to 0.2 MMSCMD. The management is actively engaging with Ministry for more allocation of domestic gas.

In addition to above Operational and Financial Performance, I would also like to highlight the progress of Project Sanchay 2, our flagship project which is focused on maximizing profitability across core business segments through targeted improvements enabled by advanced data analytics. Phase -I of the project has been successfully completed with 30 -approved use cases with an expected benefit of more than Rs.600 crore s on net present value basis in the coming five years. This is after net of the CAPEX which we are going to incur ~ Rs.146 crores.

In addition to Monetary Benefits , Sanchay 2 is also helping build internal capabilities. GAIL is establishing a center of excellence comprising existing Sanchay 2 team members and further strengthening a team so that analytics, optimization, and value creation become embedded in the way GAIL operates across all business units.

That is all from my side regarding overview performance and projects.

Now , the management of the Company is available, and we will be glad to address any query that you may have.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Vivek anand from Ambit. Please go ahead.

Vivek anand: Hi, thank you for the opportunity. I have two questions. The first one is on the transmission business. How do you see the volume ramp up for FY'27 -28 and what do you think the global gas supply dynamics are looking like when it comes to these assumptions of gas demand?

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Shri Rakesh Kumar Jain: Thank you. With respect to volume ramp up in financial year '26, we have been giving guidance time-to-time, and in terms of our guidance, we are expecting at least 134 -135 MMS CMD of volume in the coming financial year. We will end this financial year in fact around 124 -125 MMSCMD and we are expecting at least 10 MMSCMD volume which anyway should have been available this year , there were various factors because of which we could not achieve that. So, in order to give even further details of that, almost 4 MMSCMD volume we are expecting to come from natural growth of CGD , and then we lost power volume this year which is almost 2 MMSCMD . We expect that to come back. New refineries volume and old refineries, these 3 MMSCMD volumes will come from there. In Fertilizer , we have seen disruption during the year, that is likely to come up. So, even if that volume which we lost during this year including the CGD growth of 4 -5 MMSCMD , we expect to reach 134 -135 MMS CMD in financial year '27. Regarding global gas supply, the global gas

supply

is abundantly available from coming financial year. As you know, lot of capacities are coming on -stream and that is helping the price to go down. We expect those prices to soften. In fact, we have lot of offers available at a very , very competitive price and therefore that will also increase the boost of gas consumption in our price -sensitive market.

Vivek Anand: Okay. Thank you for this. Just one follow up or an additional question on the new gas contracts that you are signing. Are these contracts primarily Brent -linked or do you have a mix of baskets to mix the price to?

Shri Rakesh Kumar Jain: Actually, when we source the volume, we have two, three things in our mind. One, that it should be the cheapest available volume to our country , because you know that ours is a price -sensitive market we do not go based on any geography or any index. So, we are evaluating those offers which we are discussing , but currently we are feeling that , because this is all dynamics , Brent -linked contracts are more competitive as compared to Henry Hub -linked contract and therefore as a portfolio player, we always want to keep a mix of Brent -linked and Henry Hub. So, we are looking immediate basis on Brent -linked contract. We are of course also discussing Henry Hub , but we feel that Brent -linked contract may be available at a competitive rate as compared to Henry Hub during current market . I am not telling that we will not go for Henry Hub, it is a dynamic situation.

Vivek Anand: Right. That really helps. Last question is the current portfolio that you have of a long -term sourcing, which is around 17 M MT, where do you want to take this to in the next couple of years?

Shri Rakesh Kumar Jain: We have a statement about this. By 2030 at least, I am using the word at least, we want to increase our portfolio to around 6 -7 MMT PA more from the current level. Though the demand in the country will be significantly more, at least to 22-23 MMTPA we want to increase the portfolio. And when we see that more demand is coming, which are likely to come, we will further take it on.

Vivek Anand: Alright. Thank you and all the best.

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Moderator: Thank you, sir. The next question is from the line of Puneet from HSBC. Please go ahead.

Puneet: Yes, thank you so much. So, you talked about this 6 to 7 M MTPA additional LNG by 2030. When should one think that you will start contracting these?

Shri Rakesh Kumar Jain : We will go progressively. We are already in the market for sourcing of at least 12 cargos per

annum.

We are having discussions with various suppliers. So, such a huge volume you cannot expect or we do not intend to contract in one-go. So, we are going progressively, because we are also seeing what kind of index, what kind of a supplier, what kind of flexibility is available. So, progressively we will reach to 22-23 MMTPA that is we will be adding 6-7 MMTPA.

Puneet: Are you seeing early signs of price correction coming in or you are still waiting for the glut to really start coming in and then price you will see?

Shri Rakesh Kumar Jain: Actually, we believe that already the competitive offers are available. Because when we are talking of this contracting, it is not from '26, we are talking of '27, '28. For that, the suppliers are ready to offer the competitive price. So, we do not expect that the price will further crash. Of course, you cannot predict anything in oil and gas business, but still based on our analysis that the offers currently available are quite competitive and therefore we have real interest in going ahead.

Puneet: Understood. And if you can also talk, when do you think the tariff review will happen? PNGRB said 1st April 2028. Do you see a scenario where it can happen earlier?

Shri Rakesh Kumar Jain: I want to spend good time on this subject. Actually, our last tariff revision had happened

from 1st

April 2023. And in normal course of tariff revision, if you go by law of the land, that is regulations, naturally the tariff revision was due in April 2028. But when in April 2023 tariff was revised, PNGRB had done moderations of around Rs.10 per MMBTU largely on two accounts - one on consideration of system use gas at \$ 3.61 per MMBTU and capacity on a provisional basis and that \$3.61 per MMBTU was not even domestic price. Because of that we filed an appeal with the regulator to consider that. But the appeal was taking time because of some issues and we were asked by PNGRB to file regular tariff. So, whenever you file the regular tariff, you file everything. So, we filed everything and accordingly our submissions in August 2024 was giving us a tariff of Rs.78 /MMBTU. But when PNGRB approved the tariff, they approved Rs.65.69 /MMBTU. In fact, they only trued up two parameters for which we went for appeal. But, we believe that normally interim tariff concept is not there. So, we again filed an appeal of Rs.15 /MMBTU. Now, it has become Rs.15. But while even doing interim relief, we believe that the two parameters should have been considered differently than what PNGRB done. They considered higher volume but did not give the transmission loss on higher volume. There is a regulation that if you transport the volume beyond 75% of capacity, 50% of the revenues the transporter can retain and 50% can be passed on. So, PNGRB considered higher volume, GAIL (India) Limited

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but that has not been given. We feel apparently these are mistakes apart from the other parameters. So, we filed an appeal with PNGRB. We are positive and we believe that appeal will be considered. Otherwise, the tariff was due on April '28 and they have not said anything that that will be cut or this will be cut, they have told in the order that will be considered in '28. So, if it is considered in '28, Rs.15 /MMBTU we are asking will become Rs.17 /MMBTU. Its like a fixed deposit in a bank with a 15% pre-tax return.

Moderator: The next question is from the line of Somaiah from Avendus Spark. Please go ahead.

Somaiah: Thanks for the opportunity, sir. The first question is on the fertilizer project that we plan. If you could just help us in case if we start to invest, what will be the timeline and what is your thought on this CAPEX of Rs.20,000 crores, how does this compare with the Brownfield? We have an expansion option on this, plus also what is the project return that we are looking at. Timelines, cash flows and project return, these three things if you could help us? Thank you.

Shri Rakesh Kumar Jain: We expect a timeline of three years from the date board approves this proposal. Principally, it is approved but it is subject to policy on energy and the subsidies by government. We are working on that. Regarding the returns, it is an assured return. If it is in terms of the policy guidelines of fertilizer, so it will be an assured return. That is not a concern for us. Cash flow, since it is the three years project, so in these three years the cash flow will come maybe initial one year maybe 10-20% then 50-60% and remaining like that cash flow will happen.

Somaiah: So, there is a capital grant or subsidy angle to this at a later point?

Shri Rakesh Kumar Jain: No capital grant. It is a subsidy which is available to the fertilizer plants. Fertilizer plant subsidy means the production subsidy because after production, the fertilizer is sold at a price notified and the producer gets the differential.

Somaiah: Understood sir. But, based on the current prevailing economics, what do we think of a rough cut of the project IRR for this?

Shri Rakesh Kumar Jain: 12% equity IRR.

Somaiah: Okay. Got it sir. So, second question is on the marketing side. So, one, in the month of January has been quite volatile; it has spiked almost to \$6-7/MMBTU. How do we see it

his impacting us in the

near-term? That is the first part. Second part, sorry I missed your initial remarks on the marketing guidance outlook. And also, in the presentation, in terms of the overseas sales, this number has moved to close to 12 MMSCMD for the nine months FY26 which was 6-7 MMSCMD. I mean earlier it

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looked like the international volumes will continue to decline and will be diverted to the domestic market but in the last nine months it has gone up, if you could just clarify on this.

Shri Rakesh Kumar Jain: So, marketing guidance we have been given time -to-time. Initially, when the year began we gave Rs.4,000 crores of marketing margin we will be able to earn. But seeing the Q2 performance, we were expecting somewhere Rs.4,000 crores to Rs.4,500 crores. But the question you raised about volatility. So, we still maintain that we will be somewhere Rs.4,000 crores plus of marketing margin. That is the guidance.

Somaiah: Sorry, one clarification here sir. When we say Rs.4,000 crores, you are referring to FY26 or FY27?

Shri Rakesh Kumar Jain: I am talking of this financial year.

Somaiah: So, for FY27 earlier, we can expect a similar run rate or we will be guiding at a later point?

Shri Rakesh Kumar Jain: We have been giving this guidance for FY26 also. For FY27 also we are not saying that we will be having any different number than that, because our volumes are same, the marketing kind of challenges are same. So, we expect next year also we earn Rs.4,000 crores of marketing margin.

Somaiah : The second part was on the overseas sales increasing versus last nine months this year 12 MMSCMD.

Shri Rakesh Kumar Jain: My colleague , Mr. Satish Sinha will respond.

Shri Satish Kumar Sinha: Basically during the current year we have taken various optimization measures. So, earlier we used to have destination swaps . Now, we are doing it on FOB -DES basis. So, due to this our overseas sale has increased.

Somaiah: Okay, got it.

Moderator: The next question is from the line of Amit from Axis Capital. Please go ahead.

Amit: Hi, good morning. Thanks for the opportunity. On petchem input gas cost, could you tell us what was the number in Q3?

Shri Satish Kumar Sinha: \$11.2 per MMBTU as against \$10.49 per MMBTU in the previous quarter.

Amit: In Q2? Okay. If you have the same number for last year?

Shri Satish Kumar Sinha: Last year it was \$9.45 /MMBTU .

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Amit : Okay. And with Henry Hub still being higher than last quarter, so this number should go up more in Q4?

Shri Rakesh Kumar Jain: Yes, you are right. With Henry Hub it has gone higher. But, we are talking with respect to one month settlement. That is January. So, after January, February has softened if you see the current market of HH. March is still there because January normally we have seen because of the severe winter it goes high. So , February and March we do not see any challenge. January yes, there is a challenge. So, we have a lot of options , risk mitigation measure by marketing in an international market or doing some optimization measures . So, we are working out it. But on the face of it what you are thinking may be correct , because today it has gone up. So , part of that certainly we have to bear the cost.

Amit : Alright. And entire feedstock would be Henry Hub -linked LNG or is there any other gas in the mix?

Shri Rakesh Kumar Jain: Yes, significant amount is Henry Hub also. But , we are supplying Brent and also the available spot prices , whatever, because we have a lot of volumes available. So , we see whatever possible we supply to Pata plant. Largely , it is Henry Hub , but not necessarily everything is Henry Hub.

Amit: Understood. Is it fair to say that you will continue to run the plant at 100% utilization even if LNG is staying high or would you look to curtail that as well?

Shri Rakesh

Kumar Jain: February and March we do not see any challenge. In January prices settled for February, yes , there is a challenge , December price settled for January, there was no challenge ; it was \$4.69 per MMBTU . So, now coming back to your question , whether we will run 100% now ? We are in the fading end of the financial year. So, if you stop for a month or two it actually impacts the energy efficiency , and it also impacts the customer sentiment. So , for a smaller period of month or so , we do not take a call for shutting down. This happens in cyclical business certainly impacts. But second positive thing has happened in the last one month. The prices of polymer has gone up. This month it has gone up by Rs.2,500 per metric ton and before that Rs.1,000 per metric ton , Rs.3,500 per metric ton price has also gone up. One way the input cost has gone up, yes , another side that price of polymer has also increased.

Amit: Understood . And earlier you had mentioned you were also thinking of diversifying into ethane. Any progress there?

Shri Rakesh Kumar Jain: We have not said that we are diversifying in ethane. Because this is only a gas-based plant in North India. What we are working on is to optimize or take various cost optimization measures to make this plant profitable on a sustainable basis even at this price. So , what we are doing is first optimization measure we have taken, we are putting one pipeline carrying C2 -C3 from our Vijaypur plant to Pata. So , currently what we are doing, we are extracting C2 - C3 at Vijaypur, mixing in natural

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gas pipeline, re-extracting it. During this process, we lost 10% energy. So, that one optimization measure we have already taken and this pipeline will be completed in 1-1.5 years from now. Second, what we are working on, this is quite under consideration that we lay a dedicated ethane pipeline for any of the projects and actually source ethane. Instead of using gas, we actually directly use ethane. Ethane, it has been seen that is cheaper than gas and it will give 20-25% more yield as compared to gas. And if we are able to do that for which we are working, this plant will become profitable even at the current level of prices, whereas the price of polymer if you see in '29 onwards, any forecast suggesting will go significantly high, because today the capacity is higher and demand is less, the situation is going to be reversed in the coming three years.

Amit: And just a last question is on the LPG and liquid hydrocarbons business. The volume has been curtailed in this quarter because of the APM reduction. So, is this a normal run rate now, the 200 KTA volume?

Shri Satish Kumar Sinha: I think so. Right now, we are having non-APM gas allocation around 1.12 MMS CMD and new well field gas around 0.2 MMSCMD. So, total gas availability for the LHC segment is around 1.32 MMSCMD. So, our production will be around 2 lakh tons per quarter.

Amit: Okay. Understood. That is all from my side. Thank you.

Moderator: The next question is from the line of Varatharajan from Antique Limited. Please go ahead.

Varatharajan: Thank you for the opportunity, sir. Sir, in your opening remarks you highlighted that the Henry Hub price movement is adverse. Is it only adverse from the point of view of use as a feedstock in petrochem or has there been some kind of an impact on the trading side as well?

Shri Rakesh Kumar Jain: So, first question, yes, it will certainly impact to some extent on the petrochemicals project because the January price settled at higher. With respect to the natural gas marketing, we have some open volume. We have been telling that we source 21 MMS CMD from the United States, almost 3 MMS CMD we have kept open. Second, there are certain take-or-pay contracts where we have signed 60%-70% take-or-pay. So, if Henry Hub prices go higher and becomes uncom-

petitive as compared

to the crude-linked contract, it is the consumer behavior that they restrict themselves to take-or-pay or around that level. That certainly puts us in a situation to market that volume at a prevailing price and certainly the open volume also sometimes provides us arbitrage of different indexes costlier. So, yes, it may to some extent impact us, but our guidance with respect to marketing margin, we have been maintaining of Rs.4,000 crores, factoring in all likely situation or whatever is prevailing currently.

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Varatharajan: Understood. So, in that case, would you be in a position to give us some kind of a split in terms of volume with regard to this oil-linked selling contract?

Shri Rakesh Kumar Jain: Can you come again?

Varatharajan: So, you were mentioning some oil-linked contract take-or-pay is there because of which we have to curtail. So, in terms of how much of volume out of that US contract is actually oil-linked?

Shri Rakesh Kumar Jain: No, no, I have not said so. What I have said, we have 21 MMSCMD of volume we source from the United States. 3 MMSCMD volume we have kept open, that means it is not back-to-back basis, that is index is Henry Hub and market. So, that is the only challenge what we are telling. And some customers' behavior, if the prices change other way, they restrict themselves, take-or-pay and source from other gas. So, that happens regularly.

Varatharajan: Just to get it clarified. So, the remaining 18 are all back-to-back contracts with gas-linked contracts?

Shri Rakesh Kumar Jain: Majority is on back-to-back and some volume we take swaps. So, that is how we make it back-to-back. That is swaps, crude versus Henry Hub.

Varatharajan: Fair enough, sir. Of all these projects, is there any project where we are seeing an escalation in the CAPEX cost?

Shri Rakesh Kumar Jain: So, since most of our current projects are almost at the verge of completion and their cost has become

almost kind of certain. PDHPP, Rs.11,258 crores is almost we will be completing that project within that cost, PP is already under commissioning, no likely, Mumbai, Nagpur, Jharsuguda, except some portion, we are almost complete, Srikakulam, Angul, except a spur line, we are completing Gurdaspur. Because these projects are at a very significantly advanced stage of completion and we have visibility that there is unlikely of cost escalation except Jagdishpur-Haldia, which may see some cost escalation, not any other project. Minor, minor escalation, that is what I am saying.

Varatharajan: Great, that is very useful. Thank and all the best.

Moderator: The next question is from the line of Sabri Hazarika from Emkay Global. Please go ahead.

Sabri Hazarika: Yes, good morning, sir. Two questions. Firstly, you mentioned on the Henry Hub price, which is your price for January, you said it is \$4.69 per MMBTU, right?

Shri Rakesh Kumar Jain: Actually applicable price for January is price settled in December, right? So, price settled in December is \$4.69 per MMBTU, which is applicable for January supply. The price settled for January is \$7.46 per MMBTU, which is applicable for current month, that is February.

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Sabri Hazarika: So, that has gone up significantly. So, that will have impact on the petchem, right?

Shri Rakesh Kumar Jain: Yes, I admitted that. But we will take some optimization measures -- can we market it instead of bringing that gas to this market, can we market it to Europe where prices are good and then we source some spot or some crude linked contract gas or available in our portfolio supply. So, those optimization measures we will take, but on face of it, it has gone up.

Sabri Hazarika: And a small follow up to this. When you say Rs.4,000 crores, you mean the EBIT, right?

Shri Rakesh Kumar Jain: I mean PBT.

Sabri Hazarika: You

mean PBT, right? So, Q3, what was the PBT then? EBIT was 4,000 crore s, but I think below EBIT –

Shri Rakesh Kumar Jain: There was Rs.2,231 crores the PBT .

Sabri Hazarika: Rs.2,231 crores PBT for half year versus that you are expecting Rs.4,000 crore s-plus for the full year, right?

Shri Rakesh Kumar Jain: Yes, actually some events are taking place because of geopolitical situation. Has anybody envisaged

that the exchange rate will touch to 92?

Sabri Hazarika: Right, definitely.

Shri Rakesh Kumar Jain: So, these factors are also making us to calibrate, but we still maintain Rs.4,000 crores.

Sabri Hazarika: Right, sir. And second question is on your ethane sourcing. I think right now you are setting up Vijaypur -Pata. But if you were to import ethane from the US and also you have to set up another pipeline, which will be set up somewhere in the Hazira -Dahej belt, is that right?

Shri Rakesh Kumar Jain: So, maybe Hazira, maybe Dahej, maybe Dabhol to Vijaypur. We have all the options available because we have our own terminal as well. We are expanding the capacity of Dabhol from current level of 5 MMTPA to 6.3 MM TPA which was already sanctioned and we have planned to gradually increase to 12.5 M MTPA . So, we have all the options available and we are working on that, which terminal we should plan for bringing ethane and utilize, because anybody will prefer that you should utilize your own terminal.

Sabri Hazarika: Got it, sir. Thank you so much and all the best.

Moderator: The next question is from the line of Pratyush from InCred Equities. Please go ahead.

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Pratyush: Hello, sir. Thanks a lot for giving this opportunity. I have two questions. First is regarding your sourcing. So, since you have mentioned it a couple of times that you source about 15.5 million ton of contracts. Sir, can I get the bifurcation of the contracts, like what kind of volumes are you getting from Ras Gas, what kind of volumes are you getting from Exxon, Chevron, etc.,? That is the first question.

Shri Rakesh Kumar Jain: So, we have 16.53 MMTPA contracts existing. Out of that, we have 5.8 million tons from the United States on Henry Hub and 0.75 from Middle East on Henry Hub, that makes 6.55 million tons, right? Then 4.5 million tons from, again, Ras Gas on crude -linked, approximately 3 million tons, again, from one of the marketing companies, S EFE on crude linked, 0.42 million tons, again, on crude linked through PLL, and we have signed one more contract from Vitol for 1 million tons. That is crude linked, and ADNOC another 0.53 million tons of crude linked.

Pratyush : Got it, sir. Thanks a lot. The second question is regarding the downstream players, the fertilizer, the CGD players and other players whom you actually give the gas. So , I wanted to ask regarding the marketing margins of the contracts, because in the last quarterly call, you mentioned about, there is a 7.8 million tons of contract in which you have a sort of fixed margin, and which is majorly sold to the fertilizer players. So, does it involve that CGD companies also? And this 7.8 million tons is something which you majorly get from the Ras Gas, is it something which I am understanding correct? So, that is the one point. And second is, what is the typical marketing for the other 7.2 million tons contract in which you do not have a typical fixed kind of margin, which is there in the 7.8 million tons?

Shri Rakesh Kumar Jain: Actually, it is not Ras Gas we are getting 7.5 or 7.8 , only we are getting 4.8 as of now which is including 0.75 on Henry Hub. That is one. Second, largely our volume, I have said 3 MMSCMD, you can say 0.75 MMT PA or maybe 0.8 MMT PA is open. All other volumes we have marketed either back -to-back , or if not back -to-back, we are taking swaps for mitigating risk time -to-time. And when we have marketed these volumes on back -to-back or

through swap, there is a fixed margin.

Now, fixed margin varies from contract -to-contract and period of contract. So, that is the overall scenario. Somewhere you get maybe a dollar margin or somewhere you get 20 cent margin or somewhere you get 10 cent margin. That varies from the time we marketed, that varies to whom we marketed, and that varies also based on how much volume we marketed. So, largely you can consider that out of total volume we have marketed largely on back -to-back basis, except maybe 0.8 or 0.9

MMTPA .

Pratyush: Got it, sir. And so over and above this largely the back -to-back contract, you also get margins on the APM, the HPHT , right? Definitely, I think it is capped according to the government of Rs.200 per 1,000 SCM, something like that. So , this was regarding the RLNG part, but not about the domestic front. In domestic front, you also get some marketing margins on getting contract through APM or GAIL (India) Limited
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HPHT . Am I understanding it correct? But there is a margin which has been capped by government end about Rs.200 per 1,000 SCM , is it something like that?

Shri Rakesh Kumar Jain: Actually, domestic gas also has two parts. One is APM gas where the margin is Rs.200 per 1,000 SCM , another is MDP gas where marketing margin is around the line of RLNG.

Pratyush: Got it, sir. Okay, sir. That is all from my end. Thanks a lot for answering this question.

Moderator: The next question is from the line of Nitin Tiwari from Phil lipCapital India Limited. Please go ahead.

Nitin Tiwari: Hi, sir. Good morning. Thanks for the opportunity. Sir, my question is also on the gas marketing business. So , can you also help us with the guidance for volume for gas marketing in FY27? I suppose the contract with Vitol is supposed to start in FY27, right?

Shri Rakesh Kumar Jain: It has started in FY26.

Nitin Tiwari: It has started ? So, what is the volume guidance for marketing, sir?

Shri Rakesh Kumar Jain: So, volume guidance, we expect actually 5% increase. We have been maintaining that 5% to 6% increase in the volume. So , if we end up this year 104 -105 MMSCMD because a year is to be earned, so maybe 109 -110 MMS CMD on a normative basis we should achieve.

Nitin Tiwari: So, sir, my incremental question is linked to that only. So , if we are targeting higher volume in FY27, so are we expecting a contraction in margin, especially in the backdrop of what you earlier commented that now crude -linked contracts are turning out to be more favorable than HH , so, are we expecting any challenges with respect to marketing of HH contracts so that is why we are –

Shri Rakesh Kumar Jain: So, Nitin, considering those challenges, I have not revised my marketing guidance. I have maintained

Rs.4,000 crores in spite of increasing volume by 5 MMSCMD .

Nitin Tiwari: Yes. So, your volume is going up, but your PBT guidance remains the same, which tells me that we are expecting a margin contraction. Is that the right assessment?

Shri Rakesh Kumar Jain: We are not expecting, but I cannot give you guidance, which actually may face some challenges , like

this year in the beginning, who would have envisaged that situation will happen? Still, we are maintaining the guidance we have given in the beginning of the year , that is Rs.4,000 crores. So, whenever we should give guidance, which is in even conservative or a difficult scenario, you are able to achieve. Right? So , we expect more, but let that to come actually. We want to give you something which is certain based on today's assumptions.

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Nitin Tiwari: Understood. Fair enough. And, sir, my second question was with respect to the petrochemical s business. Thanks for helping us with the gas cost. I just wanted to understand the operating cost. If you can give us any ballpark number around what could be an operating gas cost, excluding depreciati

on on a per ton basis that to help us understand that how that number is moving ?

Shri Satish Kumar Sinha: Basically in the process plant, particularly in the petrochemicals, we have around 70 % to 75% as a gas cost , rest is the other cost, which includes repairs and maintenance, employee costs , stores and spares and other costs. So , you can consider this one.

Nitin Tiwari: Sir the 75% number that you are saying would change when the gas cost changes , right? So, I just wanted to understand a ballpark for say operating cost per ton that we can consider for our understanding ?

Shri Satish Kumar Sinha: You can calculate whatever we have published a figure for the petrochemical s segment. So , we are

reporting separately for the petrochemical s segment and the other segments . So, you can calculate easily from the published figure.

Nitin Tiwari : Okay. Fair enough. Thank you.

Moderator: The next question is from the line of Bin eet from Nomura. Please go ahead.

Bineet : Hi, sir. Thanks for the opportunity. One question is on the petchem side. So, I think ONGC has already announced charter contract for a couple of ethane carriers and they also have an agreement with Petronet LNG for ethane handling , and given that the Qatar gas will not be rich gas from 2028 onwards, so what is your plan in terms of sourcing gas for your ethane cracker ? I mean, will you be using the Petronet's Dahej terminal for handling ethane or will you be adding this capability in your Dabhol terminal?

Shri Satish Kumar Sinha: Actually, this question I have clarified in detail. That first, we are working on ethane sourcing. We are already in the midst of laying a line from Vija ipur to Pata which can carry ethane. We are also

evaluating for putting up a pipeline upstream to Vijaipur. And for that, we have three terminals at least in West Coast in our mind, that is Hazira, Dahej and Dabhol. Dabhol being our own terminal, subject to viability, we will prefer to bring ethane at our own terminal.

Bineet: Okay, sir. And given the current margins for petchem and the margins in the next quarter will be probably worse than what you reported in the third quarter because of higher prices. So, is it not better to just stop operating the cracker in the fourth quarter because you are making losses even at the EBITDA level?

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Shri Rakesh Kumar Jain: Actually, we could have done it, but mind it, there are two consequences of stopping the plant for a very small period. Because anyway, we are expecting next year onwards, the prices are going to be softened. We have those offers available. If we stop the plant for a period of say one or two months, actually, it hurts in two ways; one, the energy efficiency or the minimum energy required to maintain the plant in a preservative condition that we have to incur; second, the customer sentiment. You see, a lot of customers have signed the contract or MoUs with us. If we stop the plant in between, we will lose these customers and they will go to our competitors. So, we cannot fly by night player and now we are losing, we stop it, now we are earning, we start it. So, on a longer term basis, we do not believe that this plant is going to incur losses. Last year, we were at a break-even level. This year, unfortunately, two adverse things happened, prices went down, and the input has gone up. Next year, we are not expecting such a situation to be repeated.

Bineet: Okay, sir. Understood. Sir, last question is a housekeeping question. So, your staff cost is down significantly; I think it is the lowest in many, many years. So, what was causing this very low staff cost in the third quarter?

Shri Satish Kumar Sinha: Basically, during the last year, we provided PRP at 100%. Basically, during the current year, no incremental leisure for the current year. So, we have reduced our PRP provision.

Bineet: And there is no impact

act of labor code in this number, right?

Shri Satish Kumar Sinha: Right now, no.

Bineet: Okay, sir. Thank you so much.

Moderator: The next question is from the line of Mayank Maheshwari from Morgan Stanley. Please go ahead.

Mayank Maheshwari: Sir, thank you for doing the call. Just a question around CAPEX now. Considering your petrochemical projects are getting completed this year, and if you can give us a timeline of when they kind of start up on each of them, how much are you thinking about CAPEX for fiscal '27? Thank you.

Shri Rakesh Kumar Jain: Subject to addition of new projects, which I am not factoring it, we expect to incur Rs.9,000 to 10,000

crores of CAPEX in financial year '27. We have 2-3 pipelines which are under construction. Those CAPEX will come up like Vijaypur -Auraiya C2 -C3 pipeline, Gurdaspur -Jammu pipeline, completion of KKMBPL and Jagdishpur -Haldia pipeline, and the spur lines of SAPL. Second, we have also approved in board doubling the capacity of our Jamnagar -Loni pipeline. Until now, this segment appears to be a very small segment, but by doubling it will appear to be a very lucrative segment. So, that will also involve a CAPEX of Rs.5,400 crores. So, large part of CAPEX will be on

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pipeline in '27 and even in '28. And then we also have net zero plan, Rs.35,000 crores we have planned to incur in a period of 10 -years, and we are evaluating various projects, like I narrated during the opening remarks, that almost 700 -plus megawatt of renewable energy projects we have in hand, we are working on it, and we are doing it on pure commercial analysis basis to replace our internal uses of power, which we are purchasing. So, around Rs.2,000 to 3,000 crores of CAPEX will come from that side, and then maybe remaining CAPEX, which projects we are completing during this year, will be there from petrochemical and GMPL, and then equity and CGD projects which we are doing, LNG projects, which we are doing, CBG projects, which we are doing, may involve Rs.800 to 1,000 crores of CAPEX. This is how we reach to Rs.9,000 to 10,000 crores of CAPEX, including equity.

Mayank Maheshwari: Got it. So, a very clear answer. The timeline on the completion of the petrochemical plants this year, like when are you thinking which starts up, PTA, Mangalore, PP, PDH, like when do they start up now from your timeline perspective?

Shri Rakesh Kumar Jain: PTA will start during this financial year. We are very hopeful that it will be commissioned during this financial year. PP, which we are putting at Pata, 60KTA, will be commissioned in a day or two.

PDH -PP, Usar, we expect to complete during this calendar year, that is delayed as planned, we could not complete, but by calendar year end, we expect it to complete.

Mayank Maheshwari: Got it, sir. Thank you.

Moderator: The next question is from the line of Saurabh from Citigroup. Please go ahead.

Saurabh: Thank you for the opportunity. Sir, you have mentioned that for the tariff hike benefit, which is 12%,

the earnings benefit you are looking at is around Rs.1,200 crores. Now, this is what you had announced when this was before the zonal tariff apportionment. Now, based on the zonal tariffs, it looks like the benefit could be slightly higher than that. So, are you still maintaining a 12% number or could you just quantify in terms of realized benefit?

Shri Rakesh Kumar Jain: Actually, we maintain 12%, because this zonal distribution is subject to our risk-and-reward; it may be 14 %, it may be 11 %, so, we maintain an average number of 12 %.

Saurabh: Sure, sir. And just a last question on CAPEX with all your pipelines likely to get commissioned over the next, I think, between March and June, how much should we look at in terms of what you will be capitalizing and the implications for depreciation?

Shri Satish Kumar Sinha : In the current quarter, I have cap

italized around Rs.5,200 crores. So, only balanced portion of

Srikakulam -Angul spur line around 300 kilometers, and some portion of Jagdishpur -Haldia, from GAIL (India) Limited

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Calcutta to Haldia and Dhamra to Haldia, this will be capitalized by June, and some portion of Mumbai -Nagpur -Jharsuguda, mainly Nagpur to Jabalpur in the Maharashtra region. So, this pipeline will be capitalized. And by June '26, Gurdaspur -Jammu pipeline will also be capitalized. So, the CAPEX is around Rs.500 crores. So, these are the CAPEX which will be capitalized in the coming years.

Saurabh : Sir, how much would this amount be if you just exclude the Gurdaspur -Jammu pipeline -- is that another Rs.4,000 to 5,000 crores of capitalization?

Management : From Rs.2,500 crores to 3,000 crores.

Saurabh: Okay, got it. Thank you so much.

Moderator: The next question is from the line of Vikas Jain from CLSA. Please go ahead.

Vikas Jain: Hi, sir. Thanks for taking my question. I have two of them. Firstly, this staff cost, you said that there was some adjustment because you had made a higher provision earlier. So, going ahead, what would be the annual staff cost on quarterly run rate that one should look at say from FY27 or so ?

Shri Rakesh Kumar Jain: Vikas ji, this is very simple. In our pay package, there is a performance -related payment that is linked

to incremental profit. So, as compared to last year, this year we are not expecting any incremental profit. So, therefore, on account of incentive, that has gone down. Now, your question, how much you should factor in? This year we are clear, but next year certainly we expect that if we are not having incremental profit, certainly we will have next year, because our base is going down. So, next year, you can consider the staff cost at the level of previous year.

Shri Satish Kumar Sinha : You can add Rs.100 crores on the incremental profit on account of PRC.

Vikas Jain: Okay, understood. Rakesh ji, just one more thing. So, this revision of tariff that we have filed for, if it does not get a look through sometime in the next 12 -months or so, then automatically PNGRB will be like anyways going to get it from April '28. Is that how we should look at it? I mean, how is the process? So, once you submit it, then do they have a timeline within which they need to respond?

Shri Rakesh Kumar Jain: Vikas ji, there is no timeline for regulator. That is a fact. So, at our part, we have filed the petition, at our part, we will follow up for that, but the concerned around timeline remains.

Vikas Jain: Okay. And finally, I think just to kind of recap what you were just saying to the earlier participant was, so Rs.5,400 crores is the capitalization in this particular financial year for pipelines And how much is it likely to be in FY27?

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Shri Rakesh Kumar Jain: Vikas ji, I think this is not readily available. Let us give you a right answer. Give us maybe half an hour. Sinha ji will come back to you.

Vikas Jain: Okay. Thank you so much.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments.

Shri Rakesh Kumar Jain: Thank you, dear participants. It is always good to interact with you. I know you may have some more

questions which you might not or you could not have asked because of the time constraint or there was some one question of Vikas we could not respond immediately. We appreciate your participation and we will be answering you the questions you could not ask or we could respond offline and look forward to interact with you regularly. Thank you very much.

Moderator: Thank you, sir. On behalf of ICICI Securities Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.